NEW ISSUE
BOOK-ENTRY ONLY

Moody's:	**Aa1**
Standard & Poor's:	**AA+**
Fitch:	**AA+**
(See "Ratings" herein)	

In the opinion of Kutak Rock LLP, Bond Counsel, under current law and subject to the conditions described herein in the section entitled "Tax Matters," interest on the Series 2020A Bonds is excludable from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel is of the opinion that interest on the Series 2020B Bonds is included in gross income for federal income tax purposes. Bond Counsel is further of the opinion that interest on the Series 2020A Bonds and Series 2020B Bonds is exempt from income taxation by the Commonwealth of Virginia. See "**TAX MATTERS**" *herein.*

CITY OF HAMPTON, VIRGINIA

$10,725,000
General Obligation Public Improvement Bonds
(Environmental Impact Bonds) (Green Bonds)
Series 2020A (Tax-Exempt)

$16,895,000
General Obligation Public Improvement
Refunding Bonds
Series 2020B (Federally Taxable)

Dated: Date of Issuance **Due: as shown on the inside cover**

The City of Hampton, Virginia $10,725,000 General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds), Series 2020A (Tax-Exempt) (the "Series 2020A Bonds") and $16,895,000 General Obligation Public Improvement Refunding Bonds, Series 2020B (Federally Taxable) (the "Series 2020B Bonds" and, together with the Series 2020A Bonds, the "Bonds") will be issued in fully registered form without coupons. The Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee for DTC, principal and interest shall be payable to Cede & Co., as nominee for DTC, which will, in turn, remit such principal and interest to the DTC participants for subsequent disbursement to the beneficial owners of the Bonds. Individual purchases of the Bonds will be made in book-entry form only in denominations of $5,000 or multiples thereof. Beneficial owners of the Bonds will not receive physical delivery of Bond certificates.

The Bonds mature on September 1 in each of the years and amounts set forth herein. Interest on the Bonds is payable at the rates specified herein on each March 1 and September 1, commencing March 1, 2021. Interest on the Bonds will be calculated on the basis of a 30-day month and a 360-day year.

The Bonds are general obligations of the City to the payment of which its full faith and credit are pledged. The City Council of the City (the "City Council") is authorized and required by law, unless other funds are lawfully available and appropriated for timely payment of the Bonds, to levy and collect at the same time and in the same manner as other taxes of the City are assessed, levied and collected an ad valorem tax, over and above all other taxes authorized or limited by law, unlimited as to rate or amount, upon all property within the City subject to taxation by the City sufficient to pay the principal of and premium, if any, and interest on the Bonds.

The Series 2020A Bonds are subject to optional redemption prior to their stated maturities as more fully described herein. The Series 2020B Bonds may not be redeemed prior to maturity.

The Bonds are offered for delivery when, as, and if issued, subject to the legal opinion of Bond Counsel, Kutak Rock LLP, Richmond, Virginia. Certain legal matters will be passed upon for the City by Cheran Cordell Ivery, Esquire, City Attorney, and for the underwriters by McGuireWoods LLP, Richmond, Virginia. It is expected that the Bonds will be available for delivery through the facilities of DTC on or about December 2, 2020.

This cover page contains certain information for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.

Morgan Stanley

Wells Fargo Securities

Dated: November 12, 2020

CITY OF HAMPTON, VIRGINIA

$10,725,000
General Obligation Public Improvement Bonds
(Environmental Impact Bonds) (Green Bonds)
Series 2020A (Tax-Exempt)

Base CUSIP 409558

Year (September 1)	Principal Amount	Interest Rate	Yield	CUSIP**	Year (September 1)	Principal Amount	Interest Rate	Yield	CUSIP**
2021	$340,000	5.000%	0.200%	7K3	2031	$560,000	4.000%	1.130%*	7V9
2022	360,000	5.000%	0.230%	7L1	2032	580,000	4.000%	1.250%*	7W7
2023	375,000	5.000%	0.260%	7M9	2033	600,000	3.000%	1.540%*	7X5
2024	395,000	5.000%	0.290%	7N7	2034	620,000	3.000%	1.580%*	7Y3
2025	415,000	5.000%	0.340%	7P2	2035	640,000	3.000%	1.630%*	7Z0
2026	435,000	5.000%	0.510%	7Q0	2036	655,000	2.000%	1.900%*	8A4
2027	460,000	5.000%	0.630%	7R8	2037	670,000	2.000%	1.970%*	8B2
2028	485,000	5.000%	0.760%	7S6	2038	685,000	2.000%	2.030%	8C0
2029	510,000	5.000%	0.880%	7T4	2039	695,000	2.000%	2.090%	8D8
2030	535,000	5.000%	1.000%	7U1	2040	710,000	2.125%	2.160%	8E6

*Yield to the optional redemption date, September 1, 2030.

$16,895,000
General Obligation Public Improvement Refunding Bonds
Series 2020B (Federally Taxable)

Base CUSIP 409558

Year (September 1)	Principal Amount	Interest Rate	Yield	CUSIP**	Year (September 1)	Principal Amount	Interest Rate	Yield	CUSIP**
2021	$ 255,000	0.327%	0.327%	8F3	2027	$1,625,000	1.295%	1.295%	8M8
2022	255,000	0.427%	0.427%	8G1	2028	1,600,000	1.526%	1.526%	8N6
2023	1,815,000	0.527%	0.527%	8H9	2029	1,580,000	1.626%	1.626%	8P1
2024	1,760,000	0.700%	0.700%	8J5	2030	1,560,000	1.706%	1.706%	8Q9
2025	1,715,000	0.850%	0.850%	8K2	2031	1,540,000	1.796%	1.796%	8R7
2026	1,670,000	1.145%	1.145%	8L0	2032	1,520,000	1.896%	1.896%	8S5

Optional Redemption

Series 2020A Bonds The Series 2020A Bonds maturing on and after September 1, 2031 are subject to optional redemption by the City on or after September 1, 2030, from any money available for such purpose, in whole or in part (if in part, in multiples of $5,000), at any time, upon payment of the principal amount of the Bonds to be redeemed, plus accrued interest to the redemption date.

Series 2020B Bonds. The Series 2020B Bonds may not be redeemed prior to maturity.

See "REDEMPTION PROVISIONS" herein.

** See the last paragraph on page (i) regarding the use of CUSIP information herein.

CITY OF HAMPTON, VIRGINIA

CITY COUNCIL

Donnie R. Tuck, Mayor

James A. Gray, Vice Mayor

Chris Bowman

Eleanor W. Brown

Steven L. Brown

W. H. "Billy" Hobbs, Jr.

Christine Snead

CERTAIN APPOINTED OFFICIALS

Mary B. Bunting, *City Manager*

Cheran Cordell Ivery, *City Attorney*

Steven Bond, *Assistant City Manager*

Brian DeProfio, *Assistant City Manager*

Karl S. Daughtrey, *Director of Finance*

Lori A. Green, *Budget Manager*

BOND COUNSEL

Kutak Rock LLP
901 East Byrd Street, Suite 1000
Richmond, Virginia 23219

FINANCIAL ADVISOR

Davenport & Company
One James Center
901 East Cary Street, Suite 1100
Richmond, Virginia 23219

The Bonds will be exempt from registration under the Securities Act of 1933. As obligations of a political subdivision of the Commonwealth of Virginia, the Bonds will also be exempt from registration under the securities laws of Virginia.

No dealer, broker, salesman or other person has been authorized by the City or any underwriters to give any information or to make any representations with respect to the City, or the Bonds issued thereby, other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by the City or any underwriters. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person, in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

This Official Statement is not to be construed as a contract or agreement between the City and the purchasers or holders of any of the Bonds.

All quotations from and summaries and explanations of provisions of law and documents herein do not purport to be complete and reference is made to such laws and documents for full and complete statements of their provisions. Any statements made in this Official Statement involving estimates or matters of opinion, whether or not expressly so stated, are intended merely as estimates or opinions and not as representations of fact. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implications that there has been no change in the affairs of the City since the respective dates as of which information is given herein.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibilities to investors under federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

References to web site addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this final official statement for purposes of, and as that term is defined in, SEC rule 15c2-12.

CUSIP is a registered trademark of the American Bankers Association, used by Standard & Poor's in its operation of the CUSIP Service Bureau for the ABA. CUSIP (Committee on Uniform Securities Identification Procedures) numbers used in this Official Statement have been assigned by an organization not affiliated with the City, and the City is not responsible for the selection or use of the CUSIP numbers. CUSIP numbers are included solely for the convenience of bondholders and no representation is made as to the correctness of such CUSIP numbers. CUSIP numbers assigned to securities may be changed during the term of such securities based on a number of factors including, but not limited to, the refunding or defeasance of such securities or the use of secondary market financial products. The City has not agreed to, and there is no duty or obligation to, update this Official Statement to reflect any change or correction in the CUSIP numbers set forth above.

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OFFICIAL STATEMENT
RELATING TO THE ISSUANCE OF

CITY OF HAMPTON, VIRGINIA

$10,725,000	**$16,895,000**
General Obligation Public Improvement Bonds	**General Obligation Public Improvement**
(Environmental Impact Bonds) (Green Bonds)	**Refunding Bonds**
Series 2020A (Tax-Exempt)	**Series 2020B (Federally Taxable)**

PART I

INTRODUCTION

General

The purpose of this Official Statement (which includes the cover page and appendices hereto) is to furnish information in connection with the sale by the City of Hampton (herein called the "City" or "Hampton") in the Commonwealth of Virginia (herein called the "Commonwealth" or "State") of its $10,725,000 General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds), Series 2020A (Tax-Exempt) (the "Series 2020A Bonds") and its $16,895,000 General Obligation Public Improvement Refunding Bonds, Series 2020B (Federally Taxable) (the "Series 2020B Bonds" and, together with the Series 2020A Bonds, the "Bonds"). The Bonds will be general obligations of the City, to the payment of which the full faith and credit of the City are irrevocably pledged. This Official Statement has been approved and authorized by the City for use in connection with the sale of the Bonds. Financial and other information contained in this Official Statement have been prepared by the City from its records, except where other sources are noted. The information is not intended to indicate future or continuing trends in the financial or economic trends of the City. This Official Statement should be read in its entirety.

This Official Statement contains forecasts, projections and estimates that are based on current expectations but are not intended as representations of fact or guarantees of results. If and when included in this Official Statement, the words "expects," "forecasts," "projects," "intends," "anticipates," "estimates," and analogous expressions are intended to identify forward-looking statements as defined in the Securities Act of 1933, as amended, and any such statements inherently are subject to a variety of risks and uncertainties, which could cause actual results to differ materially from those contemplated in such forward-looking statements. These forward looking statements speak only as of the date of this Official Statement. The City disclaims any obligation or undertaking to release publicly any updates or revisions to any forward-looking statement contained herein to reflect any change in the City's expectations with regard thereto or any change in events, conditions or circumstances on which any such statement is based.

References to web site addresses presented in this Official Statement are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this final official statement for purposes of, and as that term is defined in, SEC rule 15c2-12.

There follows in this Official Statement a brief description of the Bonds and a description of the City, including its territory and government and information regarding the City's budget, finances,

economic condition, tax base, debt management and contingencies. **Appendix A** includes the City's audited Financial Statements for the fiscal year ended June 30, 2019. The proposed form of opinion to be delivered by Bond Counsel, the City's Continuing Disclosure Undertaking with respect to the Bonds, a description of the book-entry system under which the Bonds will be held are set forth in **Appendices B**, **C and D**, respectively. **Appendix E** contains the Project Technical Memorandum for the Resiliency Projects (herein defined). **Appendix F** contains a summary of the Refunded Bonds (herein defined).

The audited financial statements included in **Appendix A** for the fiscal year ended June 30, 2019 reflects information as of the dates indicated therein which were prior to the outbreak of the COVID-19 pandemic. See "GENERAL FUND EXPENDITURES – Financial Operations: Preliminary (Unaudited) Fiscal Year 2020 Performance – General Fund Budgetary Comparison Fiscal Year 2020 and Fiscal Year 2021" and "IMPACT OF COVID-19 ON OPERATIONS AND FINANCIAL CONDITION" for financial information related to the impact of the pandemic on the City.

Persons considering a purchase of the Bonds should read this Official Statement in its entirety.

The City

The City, settled in 1610 and the oldest English-speaking community in continuous existence in the United States, is rapidly emerging as one of the Commonwealth of Virginia's leading high technology centers. Located on the extreme southeasterly tip of the lower Peninsula of Virginia, the City is bounded on the west by the City of Newport News, on the north by York County and the City of Poquoson, on the east by the Chesapeake Bay, and on the south by the harbor of Hampton Roads. Estimated population in Hampton was 135,629 in 2019.

DESCRIPTION OF THE BONDS

Authorization and Purpose

The Bonds were authorized to be issued by a resolution duly adopted by the City Council on September 23, 2020 (the "Resolution") pursuant to the Public Finance Act of 1991, the same being Chapter 26, Title 15.2, Code of Virginia of 1950, as amended (the "Act").

The Series 2020A Bonds are being issued to fund certain stormwater management projects consisting primarily of pilot projects designed to mitigate the impact of stormwater-induced flooding through the control, redirection, treatment and storage of stormwater using environmentally advantageous and sustainable methods. Proceeds of the Series 2020A Bonds will also be used to fund issuance costs.

The Series 2020B Bonds are being issued to refund in advance of their stated maturities portions of the City's general obligation bonds as more particularly described in **Appendix F** (the "Refunded Bonds") and to pay the costs of issuing the Series 2020B Bonds and related costs. The refunding will be accomplished by depositing in an irrevocable escrow fund (the "Escrow Fund") with Regions Bank Corporate Trust, as escrow agent (the "Escrow Agent"), cash and/or noncallable obligations of the United States government ("Government Obligations") sufficient to pay all principal and interest when due on such Refunded Bonds through and until the date that they are irrevocably called for redemption by the City. Upon deposit of such amounts in the Escrow Fund, such Refunded Bonds will no longer constitute outstanding obligations of the City, but will be payable solely from the Escrow Fund. The accuracy of certain computations made in connection with the Refunded Bonds will be verified by the Verification Agent (herein defined). See **"VERIFICATION OF MATHEMATICAL COMPUTATIONS"** herein.

See **Appendix F** for a summary of maturities, principal amounts, redemption dates and redemption prices for the Refunded Bonds.

The three pilot projects to be financed with the Series 2020A Bonds and the environmental objectives of the projects are described in general terms below (the "Resiliency Projects"). Attached as **Appendix E** is a Technical Memorandum (the "Project Memorandum") prepared by Quantified Ventures in association with the Chesapeake Bay Foundation on behalf of the City which describes in greater detail the Resiliency Projects, their anticipated outcomes and the methodology behind certain evaluation metrics. The City has undertaken to make certain voluntary disclosure respecting the Resiliency Projects for a limited period of time. The City's voluntary disclosure undertaking is summarized below under "LIMITED VOLUNTARY CONTINUING DISCLOSURE RELATED TO RESILENCY PROJECTS," and described in the Project Technical Memorandum. *The City may modify, amend or discontinue the voluntary disclosure at any time in its sole discretion without the consent of the holders of the Series 2020A Bonds..*

Designation of the Series 2020A Bonds as Environmental Impact Bonds and Green Bonds

The City is designating the Series 2020A Bonds as "Environmental Impact Bonds" and "Green Bonds" based upon the environmental benefits of the sustainable mitigation and climate adaptation features of the Resiliency Projects to be financed with the proceeds of the Series 2020A Bonds, summarized herein. Further detail is included in **Appendix E:** Project Technical Memorandum. The Resiliency Projects will become a part of the City stormwater management system upon completion and will be operated and maintained by the City's Public Works Department together with other components of the system.

The City has identified flood mitigation as a goal of its ongoing resiliency planning process. Hampton's low-lying geographic location, with many waterways, make much of the City extremely susceptible to flooding. There are two types of areas affected by flooding: areas within the designated floodplain, which are most likely to flood during intense rain events, and areas affected by storm surge flooding, which occurs when high winds and changes in air pressure push water toward the shore. Most of the City is in a surge zone. Both types of flooding create risks to public safety and property and can impede economic development and the quality of life for residents of the City. Flood risks in the Hampton Roads region have also been linked to a combination of land subsidence and sea level rise.

Resilient Hampton is a City initiative to bolster the City's inherent strengths in order to alleviate chronic stresses and enable recovery from extreme events and shocks in ways that make the community even stronger than before, including but not limited to severe weather, sea level rise, and recurrent tidal flooding, in such a way as to also improve residents' quality of life, economic viability, and environmental health. Information on the initiative is available at https://hampton.gov/3459/Resilient-Hampton.

Green Bonds. The Green Bonds designation is designed to track the generally accepted Green Bond Principles promulgated by the International Capital Market Association ("ICMA"). By reference to the ICMA's "Green and Social Bonds: A High-Level Mapping to the Sustainable Development Goals" (June 2018), the City has determined that the designation reflects the use of proceeds of the Series 2020A Bonds in a manner that is consistent with "Goal 1: "No Poverty," "Goal 11: Sustainable Cities and Communities," "Goal 13: Climate Action," and "Goal 14: Life Below Water" of the United Nations 17 Sustainable Development Goals (referred to as "UNSDGs" generally and "SDG 1," "SDG 11," "SDG 13," and "SDG 14." specifically). The Green Bond Principles have four core components: Use of Proceeds, Process for Project Evaluation and Selection, Management of Proceeds, and Reporting. These components as applicable to the City and the Series 2020A Bonds are described further below. Further alignment with the Green Bond Principles and UN SDGs is described in Appendix E: Project Technical Memorandum.

Environmental Impact Bonds. The Environmental Impact Bonds designation reflects the fact that: (1) as with the Green Bonds designation, the proceeds of the Series 2020A Bonds will be used for projects creating environmental benefits; and (2) the environmental benefits of those funded projects will be objectively measured and publicly reported, including to the bondholders. The second feature, relating to the measurement of outcomes achieved, distinguishes Environmental Impact Bonds from traditional Green Bonds, for which environmental benefits may be estimated initially but may not necessarily be tracked, verified or reported to bondholders. The City, Quantified Ventures and the Chesapeake Bay Foundation have developed the Project Technical Memorandum, which details the methodology behind the pre-construction estimation and post-construction evaluation of the Primary Outcome Metric (as defined below). **Appendix E** includes the Project Technical Memorandum.

The repayment obligations of the City with respect to the Series 2020A Bonds are not conditioned on the completion of any particular project or the satisfaction of any condition relating to the status of the Series 2020A Bonds as Environmental Impact Bonds or Green Bonds. The City does not assume any obligation to ensure compliance with any legal or other principles of Green Bonds as such principles may evolve over time. The terms Environmental Impact Bonds and Green Bonds are used herein for identification purposes only and are not intended to provide or imply that holders of Series 2020A Bonds are entitled to any additional security or benefits other than as provided in the Resolution.

Use of Series 2020A Bond Proceeds. The Series 2020A Bonds are being issued to finance the costs of the Resiliency Projects, which constitute green infrastructure and flood mitigation projects identified and undertaken pursuant to the Resilient Hampton initiative. The initial Resiliency Projects consist of three pilot projects—Big Bethel Blueway, North Armistead Avenue, and Lake Hampton—described in further detail below. These Resiliency Projects are climate change adaptation and flood mitigation projects to address both chronic and extreme flooding in the Newmarket Creek watershed. In addition, the projects are designed to provide a variety of community benefits.

Big Bethel Blueway is a project that will store and slow water through the redesign of existing waterways to reduce flooding upstream in residential neighborhoods, as well as downstream in Newmarket Creek. A series of weirs in the main channel will be installed to allow it to partially fill up and detain water during a storm event. The main drainage channel, as well as the many smaller backyard drainage runnels that feed into it, will be expanded to increase the stormwater storage capacity. Installing vegetation on the banks will aid in the slowing and infiltration of water, as well as creating visual privacy for adjacent residential parcels. The Blueway will have several distinctive segments along its length, based on ecological, topographic, and urban typologies. As the Blueway approaches Newmarket Creek, ecological typologies change to recreate ones found in coastal Virginia, where each has a different planting and stormwater strategy. Separate funding is anticipated to redesign the Blueway's existing maintenance path to become a recreational trail and to accommodate more stormwater storage.

North Armistead Avenue is a major route for traffic through the City and serves as a major connector of economic drivers like Joint Base Langley-Eustis, downtown Hampton, and the Coliseum Central district. In addition, North Armistead Avenue connects to key evacuation routes. Because the project area is low-lying, the roadway already sees frequent flood-related transportation disruptions, hampering reliable transportation to the military base and other key economic centers, and over time, this part of the roadway is projected to be increasingly vulnerable to inundation. To mitigate this flood risk, a portion of North Armistead Avenue between Findley Street and the bridge just west of Lasalle Avenue will be raised by several feet. In connection with the road raising, green infrastructure will be installed to help slow, store, and redirect stormwater within the space adjacent to the elevated roadway. This system will be connected to the drainage improvements at Lake Hampton. Separate funding is planned to establish a shared use path along the raised road.

Lake Hampton will be transformed from a retention pond into a stormwater park that increases the site's existing stormwater storage capacity and yields multiple benefits for the community. The project will raise the height of the existing dam and weir and install a series of detention basins with wetland plantings in a "treatment train" to slow, store, and clean runoff from North Armistead Avenue before it enters the lake. Separate funding is anticipated to extend the existing Water Walk trail as a multi-use trail around the lake, bringing people alongside Newmarket Creek.

Outcomes. The Resiliency Projects are expected to create significant new stormwater storage capacity that will mitigate flood risks to homes and to important transportation corridors like North Armistead Avenue. The Primary Outcome Metric for the Resiliency Projects will be Stormwater Volume Storage Capacity (gallons), the maximum volume of stormwater that the Resiliency Projects can store at a single point in time. Stormwater Volume Storage Capacity represents a proxy measurement of the Resiliency Projects' contribution to the City's improved resilience profile. The City will engage a third-party engineering firm to produce an evaluation and verification of the environmental performance of the Resiliency Projects at completion of each of the three projects, including the added stormwater storage capacity. That report will be disclosed to holders of the Series 2020A Bonds as described in *Environmental Impact Bond and Green Bond Reporting*, below.

As a capacity measure, the Resiliency Projects' storage capacity represents the maximum amount of stormwater they can store every time it rains. This will especially benefit the City by absorbing chronic runoff during those less severe, more frequent rain events. In aggregate, the Resiliency Projects are expected to add 8.37 million gallons of Stormwater Volume Storage Capacity, or 25.7 acre-feet. One acre-foot is approximately equal to filling a football field with water to a height of one foot. The expected stormwater storage capacity of the Resiliency Projects as estimated by the City's engineers using the project design is shown in the table below.

Resiliency Project	Expected Added Stormwater Volume Storage Capacity, gallons (acre-feet)
Big Bethel Blueway	2.70 million gallons (8.3 acre-feet)
North Armistead Avenue Road Raising and Green Infrastructure	0.33 million gallons (1.0 acre-feet)
Lake Hampton	5.59 million gallons (17.1 acre-feet)
Total	8.62 million gallons (26.4 acre-feet)

The ability of the City to achieve the calculated outcomes through the Resiliency Projects is subject to certain risks and factors outside of the City's control, including but not limited to unanticipated geotechnical site conditions, exogenous factors such as weather events, social or labor conditions, availability of project materials, and similar matters.

The North Armistead Avenue project is also expected to provide transportation resiliency benefits in addition to its climate adaptation benefits. Based on the current height of the road, water levels, and past traffic data, the road currently experiences an average of 92 hours of flooding per year, affecting approximately 45,000 vehicles annually (see **Appendix E**). Current projections indicate the project will eliminate annual recurring flooding and the associated transportation disruptions.

The Resiliency Projects will benefit Black and low- and moderate-income communities. According to data from the U.S. Census Bureau's American Community Survey, Black residents comprise 51.2% of the population of the census tracts in the Newmarket Creek watershed; of those census tracts, 65% have median household incomes that are low-income (below 80% of area median) or moderate-income (80-

120% of area median). See Appendix E for selected socioeconomic data of the Newmarket Creek watershed census tracts.

In addition, the Resiliency Projects will create added benefits, such as enhancing neighborhood access to recreational opportunities.

Process for Project Evaluation and Selection. As part of the Resilient Hampton initiative, the City conducted a multi-year process to identify resiliency challenges and opportunities. Beginning in 2015, the City engaged in the "Dutch Dialogues Virginia," a workshop that brought together urban water management experts from New Orleans and the Netherlands —engineers, architects, and planners — to meet with their counterparts in Hampton Roads to discuss ideas and solutions for the future. After that meeting, the City pledged to be a leader in coastal resiliency. Since then, Hampton has engaged Waggoner & Ball Architects (a firm based in New Orleans who were lead participants in the Dutch Dialogues workshop) to help gather data and develop an integrated approach to coastal resiliency, based on the Dutch approach to life at sea level and the motto "Living With Water." Rather than look at flooding alone, this approach helps integrate flood risk mitigation, engineering, urban design, environmental restoration, community assets, and economic development.

The City Council selected the Newmarket Creek watershed as the first pilot project area. In January 2019, Waggonner & Ball and their Dutch colleagues from BoschSlabbers convened in Hampton for a week-long design workshop that included stakeholders from a range of organizations including Old Dominion University, Hampton University, the U.S. Army Corps of Engineers, Newport News and Poquoson officials, the Hampton Roads Planning District Commission, Joint Base Langley–Eustis, NASA, the Virginia Institute of Marine Science (VIMS), the Virginia Marine Resources Commission (VMRC) and more. The purpose of this workshop was to develop project proposals and areas of the City where water can be managed before it reaches Newmarket Creek. One of the key principles was to find ways to slow, store, and redirect water to reduce flooding impacts in ways consistent with the Resilient Hampton principles of promoting sustainability and the protection and incorporation of natural resources into flooding responses. Projects were envisioned all along the creek and throughout the watershed.

The conceptual designs prioritized during the workshop included the Resiliency Projects selected for funding through the Series 2020A Bonds by the City's Finance, Planning, and Public Works departments with the approval of the City Council. The Resiliency Projects were selected for funding based on their contribution towards improving the City's resiliency profile under the Resilient Hampton initiative, their capacity for storing stormwater, which is a major factor in both chronic and extreme flooding, and their ability to improve living conditions and reduce flooding in low-income neighborhoods in the affected watershed.

Management of Series 2020A Bond Proceeds. The net proceeds of the Series 2020A Bonds remaining after payment of issuance costs will be used by the City to pay costs of the Resiliency Projects. Such amounts will be tracked and disbursed for such purpose and, pending disbursement, will be invested in accordance with Virginia law.

Environmental Impact Bond and Green Bond Reporting. The City expects to report annually on a voluntary basis on the expenditures of the proceeds of the Series 2020A Bonds and the construction progress of the Resiliency Projects through completion of all Resiliency Projects. This report will also identify the Resiliency Projects' alignment with the U.N. Sustainable Development Goals. The City will also engage a third-party engineering firm to produce an evaluation and verification of the environmental performance of the Resiliency Projects, at project completion. Following completion of each of the Resiliency Projects, the City plans to provide a one-time, voluntary disclosure detailing the measured and

independently verified outcome metric described above in the table captioned "Expected Added Stormwater Volume Storage Capacity." The City's voluntary disclosure undertaking is further described under "LIMITED VOLUNTARY CONTINUING DISCLOSURE RELATED TO RESILENCY PROJECTS" and in the Project Technical Memorandum. *The City may modify, amend or discontinue the voluntary disclosure at any time in its sole discretion without the consent of the holders of the Series 2020A Bonds.*

Additional Funding. The City expects to apply for federal and other grants to provide additional funding for the Resiliency Projects and other stormwater management projects. Any additional funding will not impact the development and construction or goals and objectives of the Resiliency Projects, the designation of the Series 2020A Bonds as Environmental Impact Bonds and Green Bonds or the City's expectation to provide limited voluntary continuing disclosure on the Resiliency Projects as described above.

General

The full faith and credit of the City are irrevocably pledged to the payment of the Bonds. The Bonds will be dated as of their date of issue. The Bonds will bear interest from their dated date at the rates per annum set forth on the inside cover page hereof. Interest will be calculated on the basis of a 360-day year of twelve 30-day months, payable on March 1 and September 1, commencing March 1, 2021, until the earlier of maturity or redemption (each an "Interest Payment Date"). The Bonds will mature on the dates and in the principal amounts set forth on the inside cover page hereof.

Book-Entry Only System

The Bonds will be issued in fully registered form in the denominations of $5,000 and multiples thereof and will be held by DTC or its nominee, as securities depository with respect to the Bonds. See **Appendix D** "Book-Entry Only System" to this Official Statement for a description of the book-entry system. Purchases of beneficial ownership interests in the Bonds will be made only in book-entry form and individual purchasers will not receive physical delivery of bond certificates. As long as the Bonds are held by DTC or its nominee, principal, premium, if any, and interest will be paid to Cede & Co., as nominee of DTC, in same day funds on each Interest Payment Date by Regions Bank, as registrar and paying agent (the "Paying Agent"). If the book-entry system is discontinued, bond certificates will be delivered as described in the Resolution, and Beneficial Owners (as defined in **Appendix D**) will become registered owners of the Bonds ("Bondholders"). Principal, premium, if any, and interest on the Bonds shall be payable on each Interest Payment Date by check or draft mailed to the registered owners at each owner's address as it appears on the fifteenth day of the month preceding an Interest Payment Date on the registration books kept by the Paying Agent.

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SOURCES AND USES OF FUNDS

The proceeds of the Bonds are to be used as follows:

Sources of Funds:	Series 2020A Bonds	Series 2020B Bonds	Total
Par Amount of Bonds	$10,725,000.00	$16,895,000.00	$27,620,000.00
Net Premium	1,544,879.10	--	1,544,879.10
Total Sources of Funds	$12,269,879.10	$16,895,000.00	$29,164,879.10

Use of Funds:	Series 2020A Bonds	Series 2020B Bonds	Total
Public Improvements	$12,000,000.00	$ --	$12,000,000.00
Escrow Fund	--	16,759,771.24	16,759,771.24
Costs of Issuance	203,031.03	46,886.16	249,917.19
Underwriter's Compensation	66,848.07	88,342.60	155,190.67
Total Uses of Funds	$12,269,879.10	$16,895,000.00	$29,164,879.10

REDEMPTION PROVISIONS

Redemption

Optional Redemption. The Series 2020A Bonds maturing on or after September 1, 2031 may be redeemed prior to their respective maturities, at the option of the City, from any moneys that may be made available for such purpose, either in whole or in part (in $5,000 increments), on and after September 1, 2030 at any time and in such order as the City may determine at a redemption price equal to 100% of the principal amount to be redeemed together with the interest accrued thereon to the date fixed for redemption.

No Redemption of the Series 2020B Bonds. The Series 2020B Bonds may not be redeemed prior to maturity.

Manner of Redemption

If less than all of the Series 2020A Bonds are called for redemption, such Series 2020A Bonds to be redeemed shall be selected by the City's Director of Finance in such a manner as he or she may determine to be in the best interest of the City. If less than all of the Series 2020A Bonds of a particular maturity are called for redemption, such Series 2020A Bonds to be redeemed shall be selected by DTC or any successor securities depository pursuant to its rules and procedures or, if the book-entry system is discontinued, by the Paying Agent by lot in such manner as the Paying Agent in its discretion may determine. In either case, (a) the portion of any Series 2020A Bond to be redeemed shall be in the principal amount of $5,000 or some multiple thereof and (b in selecting Series 2020A Bonds for redemption, each Series 2020A Bond shall be considered as representing that number of Series 2020A Bonds which is obtained by dividing the principal amount of such Series 2020A Bond by $5,000.

Notice of Redemption

The Paying Agent, upon being satisfied as to the payment of its expenses, shall send notice of the call for redemption, identifying the Series 2020A Bonds or portions thereof to be redeemed, not less than

30 nor more than 60 days prior to the redemption date (a) by facsimile, registered or certified mail or overnight express delivery, to the holder of each such Series 2020A Bond to be redeemed at the holder's address as it appears on the registration books kept by the Paying Agent, and (b) to the MSRB via its EMMA system (as such terms are defined herein) or such other MSRB system then in effect for such purpose. In the City's discretion, any such notice of redemption may condition redemption of Series 2020A Bonds on the receipt or availability of funds for such purpose.

The City shall not be responsible for mailing notice of redemption to anyone other than DTC or another qualified securities depository or its nominee unless no qualified securities depository is the registered owner of the Series 2020A Bonds. If no qualified securities depository is the registered owner of the Series 2020A Bonds, notice of redemption shall be mailed to the registered owners of the Series 2020A Bonds. **During the period that DTC or the DTC nominee is the registered holder of the Series 2020A Bonds, the City will not be responsible for mailing notices of redemption to the beneficial owners of the Series 2020A Bonds. See "Book-Entry Only System"** in **Appendix D**.

SECURITY FOR THE BONDS

The Bonds are general obligations of the City, to the payment of which the City's full faith and credit are irrevocably pledged. The City Council is authorized and required by law, unless funds are lawfully available and appropriated for timely payment of the Bonds, to levy and collect, at the same time and in the same manner as other taxes of the City are assessed, levied and collected, an ad valorem tax, over and above all other taxes authorized or limited by law and unlimited as to rate or amount, upon all property subject to taxation by the City sufficient to pay the principal of and premium, if any, and interest on the Bonds, which tax shall be in addition to all other taxes authorized to be levied in the City.

BONDHOLDERS' REMEDIES IN THE EVENT OF DEFAULT

Section 15.2-2659 of the Code of Virginia of 1950, as amended, provides that upon an affidavit filed with the Governor of the Commonwealth by petition of any owner of or paying agent for a general obligation bond or note in default as to payment of principal, premium, if any, or interest, the Governor shall conduct a summary investigation and, if satisfied that such default has occurred, the Governor shall order the State Comptroller to withhold all funds appropriated and payable by the Commonwealth to the locality issuing such general obligation bond or note and apply the amount so withheld to payment of the defaulted principal, premium and interest.

Section 15.2-2659 also provides for notice to the registered owners of such bonds or notes of the default and the availability of withheld funds. The State Comptroller advises that, to date, no order to withhold funds pursuant to Section 15.2-2659, or its predecessor provisions, Sections 15.1-225 and 15.1-227.61, has ever been issued. Although neither Section 15.2-2659 nor its predecessor provisions, Sections 15.1-225 and 15.1-227.61, has been approved by a Virginia court, the Attorney General of Virginia has determined that appropriated funds can be withheld pursuant to its predecessor section. In the fiscal year ended June 30, 2020 total direct appropriations paid by the Commonwealth to the City, excluding payments for public school purposes, amounted to approximately $69,695,232 (unaudited) of which approximately $57,191,237 (unaudited) was deposited in the City's General Fund, approximately $3,054,993(unaudited) was deposited to the City's Capital Projects Fund and the balance, approximately $9,449,002 (unaudited), to the Federal Grants Fund. The City has never defaulted on the payment of principal, premium or interest on any of its general obligation bonds or notes.

Neither the Bonds nor the proceedings with respect thereto specifically provide any remedies that would be available to a noteholder or bondholder if the City defaults in the payment of principal of,

premium or interest on the Bonds, nor do they contain any provision for the appointment of a trustee to protect and enforce the interests of the bondholders or noteholders upon the occurrence of such a default. Upon any default in the payment of principal of, premium or interest, a bondholder or noteholder may, among other things, seek to obtain from an appropriate court a writ of mandamus requiring the City Council to levy and collect taxes as described above. The mandamus remedy, however, may be impracticable and difficult to enforce. Furthermore, the right to enforce payment of the Bonds may be limited by bankruptcy, insolvency, reorganization, moratorium and similar laws and equitable principles, which may limit the specific enforcement of certain remedies.

Chapter 9 of the United States Bankruptcy Code (the "Bankruptcy Code") permits a municipality such as the City, if insolvent or otherwise unable to pay its debts as they become due, to file a voluntary petition for the adjustment of debts provided that such municipality is "specifically authorized, in its capacity as a municipality or by name, to be a debtor..." Bankruptcy Code, §109(c)(2). Current Virginia statutes do not expressly authorize the City or municipalities generally to file for bankruptcy under Chapter 9. Chapter 9 does not authorize the filing of involuntary petitions against municipalities such as the City.

If Virginia law were changed or interpreted to authorize a municipality to file for bankruptcy, any bankruptcy proceedings by the City could have adverse effects on holders of the Bonds including (a) delay in the enforcement of their remedies, (b) subordination of their claims to claims of those supplying goods and services to the City after the initiation of bankruptcy proceedings and to the administrative expenses of bankruptcy proceedings, and (c) imposition without their consent of a reorganization plan reducing or delaying payment of the Bonds. The Bankruptcy Code contains provisions intended to ensure that, in any reorganization plan not accepted by at least a majority of a class of creditors such as the holders of general obligation bonds and notes, such creditors will have the benefit of their original claim or the "indubitable equivalent." The effect of these and other provisions of the Bankruptcy Code cannot be predicted and may be significantly affected by judicial interpretations and subsequent legislation.

PART II

CITY INDEBTEDNESS

AUTHORIZATION OF DEBT

There is no requirement in the Virginia Constitution, the Virginia statutes or in the Charter of the City that the issuance of general obligation bonds of the City be subject to approval of the electors of the City at referendum. The City Council has full authority to authorize and issue general obligation bonds such as the Bonds.

The only constitutional limitation on the issuance of general obligation bonds is contained in Article VII, Section 10 of the Virginia Constitution, which states that:

> "No city or town shall issue any bonds or other interest-bearing obligations which, including existing indebtedness, shall at any time exceed ten per centum of the assessed valuation of real estate in the city or town subject to taxation, as shown by the last preceding assessment for taxes."

The legal debt margin as of June 30, 2020 is computed in the following table, and upon issuance of the Bonds, the City will remain in compliance with the Virginia law.

Table 1
Computation of Legal Debt Margin
As of June 30, 2020 (unaudited)

Assessed value:	
Real estate	$10,754,779,690
Public service corporations - real estate	37,864,681
Newport News Waterworks	61,745,900
	$10,854,390,271
Debt limit at 10% of assessed value	$1,085,439,027
General obligation bonded debt:	
General obligation bonds	$276,795,000
Total long-term debt	$276,795,000
Legal debt margin	$808,644,027

Source: City of Hampton, Virginia, Department of Finance.

OVERLAPPING JURISDICTION DEBT

The City is a separate and distinct governmental unit, autonomous from any county, town or other political subdivision of the Commonwealth of Virginia. The City is not subject to taxation by any county, school district or other political subdivision, and is liable only for indebtedness which the City incurs.

GENERAL OBLIGATION BONDED DEBT

As of June 30, 2020 (unaudited), the City had $276,795,000 in principal amount of outstanding general obligation debt. All of this debt is scheduled to be retired by the fiscal year ending June 30, 2041.

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CITY OF HAMPTON, VIRGINIA
SCHEDULE OF DEBT SERVICE REQUIREMENTS TO MATURITY
GENERAL OBLIGATION BONDS
as of June 30, 2020 (unaudited)[1]

Fiscal Year Ending June 30,	Principal	Interest	Total Debt Service
2021	$19,808,000	$11,484,319	$31,292,319
2022	22,262,000	10,613,829	32,875,829
2023	21,245,000	9,574,782	30,819,782
2024	20,815,000	8,553,587	29,368,587
2025	21,710,000	7,569,762	29,279,762
2026	22,650,000	6,541,657	29,191,657
2027	18,975,000	5,465,759	24,440,759
2028	19,670,000	4,394,105	24,064,105
2029	10,910,000	3,676,340	14,586,340
2030	11,235,000	3,267,212	14,502,212
2031	10,865,000	2,788,546	13,653,546
2032	11,265,000	2,343,244	13,608,244
2033	11,645,000	1,914,950	13,559,950
2034	9,625,000	1,540,476	11,165,476
2035	9,960,000	1,209,083	11,169,083
2036	6,355,000	951,870	7,306,870
2037	6,545,000	766,389	7,311,389
2038	6,740,000	569,317	7,309,317
2039	6,945,000	365,497	7,310,497
2040	3,740,000	208,875	3,948,875
2041	3,830,000	105,675	3,935,675
Total	$276,795,000	$83,905,274	$360,700,274

Source: City of Hampton, Virginia, Department of Finance.

(1) Net of any federal subsidy expected related to the BABs and RZEDBs referenced in the following paragraph. Includes: (a) $1,546,999 in general obligation debt reported separately as self-supporting enterprise fund debt, and (b) the Refunded Bonds.

Of the general obligation bonds, the City issued $5,670,000 in aggregate principal amount as Build America Bonds ("BABs") and $1,520,000 in aggregate principal amount as Recovery Zone Economic Development Bonds ("RZEDBs"), all of which are outstanding. The general obligation bonds issued on behalf of the School Board of the City of Hampton, VA (the "School Board"), of which $1,050,000 is outstanding, were issued as Qualified School Construction Bonds ("QSCBs"). When issued, interest payments on the BABs were subject to a 35% federal subsidy payment, and interest payments on the

RZEDBs were subject to a 45% federal subsidy payment. Due to federal budget sequestration, federal subsidy payments have been subject to reduction since March 2013. The QSCBs holders receive a federal tax credit in lieu of interest payments; thus the City pays no interest on such bonds. The federal subsidy payments are a small portion of the City's debt service payment and, if not paid, will have no impact on the City's ability to make payments when due.

CITY MORAL OBLIGATIONS

The City has provided its moral obligation to various financing arrangements shown in Table 3 for public purposes. A moral obligation is a non-binding obligation of the City to consider making up deficits on certain obligations from monies available in the City's General Fund. In the event the revenues pledged or dedicated to the payment of the revenue bonds listed in Table 3 below are insufficient to pay debt service, the City has agreed to include in its annual budget, subject to appropriation by City Council, amounts sufficient to cure any such deficit. Such bonds are not general obligations of the City and are not secured by the City's full faith and credit and taxing power. The average aggregate annual debt service payable by the City on its moral obligation commitments listed in Table 3 through their scheduled maturities is approximately $6,519,673.

Table 3
Moral Obligation Commitments
Fiscal Year Ended June 30, 2020 (unaudited)

Economic Development Authority Revenue Bonds	$1,124,955
Convention Center Revenue Bonds	72,530,000
TOTAL	$73,654,955

Source: Finance Department, City of Hampton, Virginia.

On November 20, 2019, the City issued its $66,150,000 Convention Center Refunding Revenue Bond, Series 2019 (Taxable) to the Virginia Resources Authority ("VRA") with interest rates from 1.952% to 3.097% (the "2019 VRA Bond"). The proceeds of the 2019 VRA Bond were used to refund all of the City's Convention Center Refunding Revenue Bond, Series 2012 and all but $6.3 million of the City's Convention Center Refunding Revenue Bond, Series 2011 (the "2011 VRA Bond), both of which were held by VRA. $3,270,000 in principal is currently outstanding on the 2011 VRA Bond which is due and payable on October 1, 2021. Interest on the 2019 VRA Bond is due and payable semi-annually on each April 1 and October 1. Principal on the 2019 VRA Bond is payable annually on October 1 through maturity in October 2034. The 2019 VRA Bond and 2011 VRA Bond (collectively, the "VRA Bonds") are secured by a pledge of net revenue generated from the operation of the Convention Center and from investment earnings on reserve funds established for such bonds. Debt service on the VRA Bonds is paid in part and primarily from a portion of the meal and hotel taxes imposed by the City (2% of the City's 7.5% meal tax and 2% of the City's 8% hotel tax). Such taxes were earmarked by the City for the payment of debt service on bonds issued in 2002 to fund the development and construction of the Convention Center project. While such tax revenue is not formally pledged to pay debt service, the 2% increase in the hotel and meal taxes has provided a revenue stream to pay the majority of the debt service on the VRA Bonds and bonds refunded by such bonds. Additional support for the payment of debt service on the VRA Bonds is provided by the City's agreement to cure any debt service deficit on the VRA Bonds, subject to the appropriation of funds

for such purpose by City Council. In fiscal year 2020 (unaudited), the City paid $6.6 million towards debt service from revenues generated by the meal tax and hotel tax increase. The City also contributed approximately $636,000 to the Convention Center to cover operating deficits in fiscal year 2020.

The City entered into a limited moral obligation pledge in connection with a 20-year tax-exempt lease revenue bonds issued on September 7, 2001 by the Economic Development Authority of the City of Hampton, VA (the "Economic Development Authority" or "EDA") in the amount of $9,270,419 to pay off the construction note associated with the Peninsula Workforce Development Center. The debt is secured by 20-year leases with Old Dominion University, Thomas Nelson Community College (TNCC), the Virginia Employment Commission (VEC) and the Greater Peninsula Workforce Development Consortium (Consortium). Under the City's limited moral obligation, the City may be requested to make up any deficiencies of revenues necessary to cover the cost of repair or replacement, if insurance proceeds are insufficient, in the case of damage, condemnation or loss of title of all or any part of the project; repair and restoration costs that are the responsibility of the EDA but undertaken by a lessee in the event of casualty, condemnation or loss of title; and rent under the VEC or Consortium leases upon termination until replaced by a new lease satisfactory to the lender (VEC and Consortium have a 30-day notice of termination right). To date, rental payments have been sufficient to pay debt service on the EDA's bonds, and the City has not been requested to fund any debt service payments or operating expenses. In addition, the City and five other local governments entered into a funding agreement with the State Board for Community Colleges to provide an annual local match, subject to appropriation, for 20 years to correspond with TNCC's lease in the facility. The City has paid $73,500 annually for the past 16 years.

OTHER LONG-TERM COMMITMENTS

In February 2006, the City Council established the Peninsula Town Center Community Development Authority (the "PTC CDA"). The PTC CDA was established to help finance infrastructure improvements to the Peninsula Town Center Mall site which was being redeveloped, and which redevelopment continues, into a mixed-use facility with retail and residential areas. The City agreed to levy and collect a special assessment and special tax on the property within the PTC CDA District. Additionally, the City agreed to pledge, subject to annual appropriation by the City Council, certain collected incremental tax revenues (real estate tax (100%), sales tax (50%), food and beverage tax (25%), and amusement admissions tax (50%)) from within the PTC CDA District in support of the bonds issued by the PTC CDA. The incremental tax revenues are determined from a fixed base of collected revenue in fiscal year 2006 for real estate taxes and in calendar year 2004 for sales, food and beverage, and amusement admissions taxes. In September 2007, the PTC CDA issued $92,850,000 of revenue bonds (the "CDA Bonds") which are payable from the special assessment, the special tax and incremental tax revenues to the extent collected and appropriated by the City Council. In August 2018, the PTC CDA issued $77,880,000 of refunding bonds to refund the Series 2007 bonds and extend the maturity of the 2018 Bonds to 2045, eight years beyond the 2037 maturity of the Series 2007 Bonds. The CDA Bonds, including any bonds issued by the PTC CDA to refund the CDA Bonds, are not a debt of the City nor are they considered a contingent liability of the City.

SHORT-TERM OBLIGATIONS

The City may issue various types of short-term debt obligations, including bond anticipation notes and tax and revenue anticipation notes. The City has no bond or revenue anticipation notes outstanding.

The City has entered into short-term lease/purchase financing arrangements to finance vehicles and other equipment for City use of which approximately $2.9 million was outstanding as of June 30, 2020 (unaudited). The equipment lease/purchase financings are secured by the equipment financed. The City's

obligation to make payments under the financing leases is subject to the annual appropriation of funds for such purpose by City Council. The equipment lease/purchase financings are not debt for purposes of the Virginia Constitution, and therefore are not general obligations of the City secured by its full faith and credit.

CERTAIN DEBT RATIOS

The following table sets forth information as of June 30, 2020 (unaudited) with respect to the approximate ratios of the City's debt to certain economic factors:

Table 4
Debt Ratios
As of June 30, 2020 (unaudited)

	Amount	Per Capita	Ratio to Assessed Value
Gross Direct Debt	$276,795,000	$2,040.82	2.55%

Source: Finance Department, City of Hampton, Virginia.

(1) Per capita amounts are based on a 2019 population of 135,629, as provided by the Weldon Cooper Center for Public Service.
(2) Assessed value of total taxable real property is $10.85 billion as of June 30, 2020 (unaudited).

FINANCIAL POLICY GUIDELINES

In April 2007, the City Council amended its self-imposed guidelines originally adopted in April 1986 for future financial policy making, officially named Financial Policy Guidelines. The purpose of the Financial Policy Guidelines is to serve as an additional check and balance on the City's existing financial structure. The guidelines address aspects of debt management, a minimum percentage relationship between unassigned fund balance and revenues in the General Fund at the end of each fiscal year, and minimum requirements for equity funding of capital projects. The original guidelines became effective in the fiscal year beginning July 1, 1987. The amended guidelines became effective upon adoption in April 2007.

As a component of the Financial Policy Guidelines, the City has adopted debt policies which place further limitations on its ability to incur debt in addition to the debt limit established by Virginia law. The Financial Policy Guidelines, including the debt policies are as follows:

1. Debt Policy Limit. (a) General obligation debt shall not exceed 3% of the assessed value of all real estate within the City subject to taxation;

(b) General obligation debt together with indirect debt, which includes certain revenue backed debt and subject-to-appropriation or moral obligation commitments, and debt of certain special purpose entities shall not exceed 4.5% of the assessed value of all real and personal property subject to taxation within the City; and

(c) Debt of certain special purpose entities, such as community development authorities, shall not exceed 1% of the assessed value of all real and personal property subject to taxation within the City.

2. Debt Service Policy Limit. General obligation debt and indirect debt shall not exceed 10% of the City's total general fund expenditures plus expenditures of the City's public school system.

3. General Obligation Debt Retirement Policy. The City shall retire 60% of general obligation debt within 10 years of the date the debt is incurred.

4. Equity Funding. A minimum of 2% to 6% of general fund revenues will be applied to capital projects in the CIP (defined below) in each year and a minimum of 10% to 15% of CIP projects over a rolling five-year period are to be funded from general fund revenues.

5. Unassigned Fund Balance. The City will maintain an unassigned general fund balance equal to 10% of total general fund and school operating fund revenues, and any expenditures which reduce the balance below the 10% policy requirement shall be replenished over a three-year period.

The City is in compliance with the Financial Policy Guidelines.

LONG-TERM BORROWING PROGRAM

The City prepares a Capital Improvements Plan (the "CIP") which provides a method for implementing the long-range development, rehabilitation and renovation of City facilities and capital assets. The CIP is updated annually for a five-year period. Funding sources include long-term debt issuance, City current revenues, a Wastewater and Stormwater Fund supported from certain taxes and fees, as well as land sales, to fund specific projects financed by such Funds, and revenues from the federal and state governments.

PART III

FINANCIAL INFORMATION

BASIS OF ACCOUNTING AND ACCOUNTING PROCEDURES

Accounting and Reporting Practices

The accounts of the City are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise each fund's assets, deferred outflows of resources, liabilities, deferred inflows of resources, fund balance or net position, revenues and expenditures or expenses. The following is a description of the funds included in the financial statements accompanying this Official Statement.

General Fund - accounts for all revenues and expenditures of the City which are not accounted for in the other funds. Revenues are primarily derived from general property taxes, other local taxes, revenues from other governmental units and recovered costs.

A significant part of the General Fund's revenue is transferred to other funds, principally to fund the operation of the City public schools and the debt service requirements for the City.

Expenditures include, among other things, those for general government, public safety, highways and streets, culture and recreation; health, and human services.

Debt Service Fund

The Debt Service Fund accounts for the accumulation of resources that are restricted, committed or assigned to expenditures for principal and interest. Primary resources of the Debt Service Fund are derived from transfers from the General Fund and the proceeds from the issuance of refunding bonds.

Capital Projects Fund

The Capital Projects Fund accounts for all general City and School construction projects and reports financial resources that are restricted, committed or assigned to expenditures for capital outlays which are financed through general obligation debt and general operating funds, with the exception of projects related to Enterprise and Internal Service Funds.

Special Revenue Funds

Special Revenue Funds account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specific purposes other than debt service or capital projects. The Federal Grants Fund accounts for revenues and expenditures of all federal, state and recovery act grants to the City except the Community Development entitlement. The Federal Grants Fund also accounts for program income and matching requirements related to all awarded City grants. Federal grants received by the Component Unit - School Board are included in the discretely presented component unit. The Community Development Fund accounts for revenues and expenditures related to entitlements received by the City under the Community Development Act of 1974, administrated by the U.S. Department of Housing and Urban Development, to foster the development of the Healthy Neighborhoods Initiative. Other revenues include program income that is generated from repayments of loans, the sale of rehabilitated homes and the Revolving Loan Fund. The Economic Development Fund was established to finance the costs of capital investments, improvements, expenditures and any other approved expenditures which will assist economic development and improve the physical appearance of the City. Revenues are earned from land sales, special assessments, projects financed by the fund and rental receipts. The Stormwater Management Fund accounts for revenues and expenditures related to maintaining the storm drainage system and quality of our surface waters. Revenues are derived from a service charge levied on all developed property in the City. The Pembroke Complex Fund accounts for the receipts and disbursements related to the operations of the Pembroke Community Service Center. The facility is owned by the Hampton Redevelopment and Housing Authority and maintained by the City from the rents charged to the various tenants of the building. The Law Library Fund accounts for receipts and disbursements of funds specifically held for the purpose of purchasing law books. Revenues are derived from a court case fee, which is legally mandated to support the operations of the law library.

Enterprise Funds

Enterprise Funds are used to account for operations (a) that are financed and operated in a manner similar to private business enterprises where the intent of the governing body is that costs of operating and providing services to the general public are completely or partially financed from user fees; or (b) where the governing body has determined that the periodic determination of net results of operations is appropriate for management control and accountability.

The City's Enterprise Funds account for the operations of the Hampton Coliseum, The Woodlands Golf Course, The Hamptons (Golf Course), Solid Waste, the Virginia Air and Space Center (Museum), Convention Center, Wastewater Management, and Refuse-Steam Plant. Revenues of the Hampton

Coliseum, Woodlands Golf Course, The Hamptons (Golf Course), the Solid Waste Fund and the Wastewater Management Fund are derived primarily from user fees.

The Museum's operating revenue is derived from donations and user fees, including federal funds from the National Aeronautics and Space Administration for educational/user fee subsidy. The fund accounts for all operational activities of the Museum.

The Convention Center Fund revenues are derived from user fees and meal and lodging taxes.

The Refuse-Steam Plant Fund accounts for the operation of the City's steam generating plant. Revenues are derived from the sale of steam to the United States Government, a solid waste disposal fee (tipping fee) charged to the Solid Waste Fund and user fees charged to external customers.

Internal Service Funds

The Internal Service Funds account for the services provided to substantially all City departments or other governmental units on a cost-reimbursement basis. The City's internal service funds include Equipment Replacement, Fleet Services, Risk Management, and Information Technology.

The Equipment Replacement Fund owns all on-road rolling stock of the City and leases the equipment to the various operating departments. Leasing income is used for replacement of the equipment.

The Fleet Services Fund accounts for the operation of the City's central automotive maintenance service facility.

The Risk Management Fund accounts for the costs of providing insurance coverage and certain self-insured liabilities of the City and the School Board.

The Information Technology Fund accounts for the costs of providing the following services: personal computer support, and telecommunications services.

Fiduciary Funds

Fiduciary Funds are used to account for assets held by the City in a trustee capacity or as an agent for individuals, private organizations and other governmental units. The Fiduciary Funds consist of the Hampton Employees' Retirement System (HERS), Special Welfare and Other Agency Funds.

HERS pension trust fund accounts for the revenues and expenditures related to the City-sponsored retirement plan, which is administered by a board of trustees appointed by City Council. The Special Welfare Fund is an agency fund that accounts for receipts and disbursements for special assistance programs and activities sponsored by the City's Social Services department. The Other Agency Fund accounts for amounts held in trust by the City for others such as the Hampton Roads Peninsula Drug Initiative.

Discretely Presented Component Units

Discretely presented component units are entities that are legally separate from the City, but for which the City is financially accountable, and whose relationship with the City is such that exclusion would cause the City's financial statements to be misleading or incomplete. The discretely presented component units are: the School Board of the City, the Economic Development Authority, Coliseum Central Business Improvement District, Inc., and Downtown Hampton Development Partnership, Inc.

The School Board is a legally separate entity which oversees the operations of and establishes educational policies for the City's public school system. Seven School Board members are elected by voters of the City of Hampton. The School Board has no power to levy taxes or issue bonds. Its budget is subject to approval by the City Council; however, Council only approves, rejects, or modifies the single amount requested by the School Board. The City provides operating and capital funding to the School Board. The School Board has complete discretionary authority to expend the amount appropriated by the City.

The Hampton Economic Development Authority (EDA) is a political subdivision of the Commonwealth established under Industrial Development and Revenue Bond Act of the Commonwealth of Virginia, together with ordinances adopted by the City Council. The EDA was established to promote and develop trade within the City by inducing manufacturing, industrial and commercial enterprises to locate or remain in the City. The City Council funds EDA's operating budget and receives all revenues derived from EDA land sales.

The Coliseum Central Business Improvement District, Inc. was incorporated on January 22, 1996, to promote, develop and market the Coliseum Central Business District in the City. The Coliseum Central Business Improvement District was created by action of the City Council under provisions of the *Code of Virginia*. An additional tax is assessed on commercial real estate located in the Coliseum District to provide funds for the economic development of the District.

The Downtown Hampton Development Partnership, Inc. was incorporated on August 15, 1995, to promote, develop, and market the Downtown Hampton Business Improvement District. The Downtown Hampton Business Improvement District was created by action of the City Council under provisions of the *Code of Virginia*. The City assesses an additional tax on the value of the commercial real estate located in the Downtown Hampton District to provide funds for the economic development of the District.

INDEPENDENT AUDIT

The City Charter requires an annual audit of the City by independent certified public accountants selected by the City Council. Cherry Bekaert L.L.P. served as the City's independent certified public accountants for the fiscal year ended June 30, 2019, and the Basic Financial Statements for such year are included in **Appendix A** to this Official Statement. Cherry Bekaert L.L.P. will not be reviewing any matters in connection with the issuance and sale of the Bonds.

The financial and operating data contained in **Appendix A** are as of the dates and for the periods indicated, which were prior to the outbreak of the COVID-19 pandemic. Such financial and operating data have not been updated to reflect any potential impacts of the COVID-19 pandemic on the City's general economic and financial condition. See "GENERAL FUND EXPENDITURES – Financial Operations: Preliminary (Unaudited) Fiscal Year 2020 Performance – General Fund Budgetary Comparison Fiscal Year 2020 and Fiscal Year 2021" and "IMPACT OF COVID-19 ON OPERATIONS AND FINANCIAL CONDITION" for financial information related to the impact of the pandemic on the City.

BUDGETING PROCEDURES

Prior to the beginning of each fiscal year, the City Council adopts a balanced operating budget consisting of contemplated expenditures and estimated revenues for the ensuing fiscal year. This adopted budget is the basis of appropriate expenditures for the various functions and services of the City and for estimated revenues.

The City's budget development process commences in the latter part of the preceding calendar year when department leaders submit their preliminary funding requests to the Budget Division. These requests, as well as other expenditure needs, i.e. capital improvements, are reviewed along with all sources of revenues, including proposed tax rates sufficient to meet the revenue needs contemplated in the budget. The review takes place during a series of work sessions convened by the Budget Review Committee ("BRC"). The BRC consists of the City Manager, Assistant City Managers, City Attorney, Budget Manager, Finance Director, Human Resources Director, a representative from the Hampton City Schools ("HCS") and rotating representatives from the City's various Business Teams. A recommended budget is submitted to City Council on or before April 15 for the fiscal year commencing the following July 1.

Work sessions and public hearings are held by City Council prior to enactment of the final budget. Prior to June 1, the final budget is legally enacted through the passage of the annual appropriation ordinance.

During the fiscal year, the budget is constantly monitored by department leaders, the Budget Division and the Finance Department. Hampton's City Code authorizes the City Manager or the Budget Director to transfer any unencumbered appropriation balance from one (1) department, office, agency, project, program, or purpose to another department, office, agency, project, program, or purpose within the same accounting fund. These budget transfers, as well as those that alter the total expenditures for a department, are submitted to City Council for notification and approval, respectively. Transfers within the School Operating Fund are under the control of the School Board.

The City is required by Virginia law to maintain a balanced budget in each fiscal year based on anticipated revenues of the current year.

The City Council adopted the budget for fiscal year 2021 on May 13, 2020. See "GENERAL FUND – General Fund Budgetary Comparison" below for a comparison in general terms of the major differences between the budgets for fiscal years 2020 and 2021.

GENERAL GOVERNMENTAL REVENUES

The City finances its operations primarily through the General Fund. All taxes and most other revenues are paid into the General Fund. The City's General Fund revenues are derived from property taxes, other *ad valorem* taxes, other local taxes, licenses, fees, permits, certain revenues from the Federal and State governments, interest earned on invested cash balances and other revenues. The principal sources of City revenue available to meet operating expenditures are presented below.

Local Taxes

The most significant source of local revenue is the General Property Tax. In fiscal year 2019 general property taxes provided $166.3 million out of total tax revenues of $248.1 million. Other local taxes, including sales and use taxes, provided $81.8 million. The following table shows tax revenues by source for the ten-year period ending June 30, 2019.

Table 5
Tax Revenues by Source
($ in Thousands)

Fiscal Year	General Property Taxes	Business Licenses	Sales Taxes	Utility Taxes	Tobacco Taxes	Communications Sales Taxes	Meal Tax	Other Taxes[1]	Total Taxes
2010	$145,245	$12,349	$13,590	$4,962	$3,538	$7,993	$14,417	$11,882	$213,976
2011	144,302	11,562	13,828	5,063	3,681	9,677	15,269	16,031	219,413
2012	141,076	12,126	13,962	4,929	4,364	9,174	15,793	10,118	211,542
2013	136,705	11,850	14,247	4,959	4,264	9,418	18,083	10,889	210,415
2014	154,193	12,077	14,588	4,986	4,421	9,187	18,974	11,170	229,596
2015	155,527	11,435	15,050	4,916	4,077	9,173	19,471	11,284	230,933
2016	158,543	12,092	15,368	5,056	4,624	8,867	20,073	11,834	236,457
2017	160,810	12,304	14,979	4,978	4,427	8,649	20,370	11,693	238,210
2018	162,989	12,801	15,093	5,011	4,416	8,392	20,912	12,329	241,943
2019	166,311	14,251	15,741	4,977	4,336	7,840	22,081	12,596	248,133

Source: City of Hampton, Virginia, Comprehensive Annual Financial Report for the fiscal year ended June 30, 2010 through 2019.

(1) Other taxes include: short-term rental, recordation, lodging, and transit, amusement, motor vehicle, bank stock, license pari-mutuel, public right of way, and franchise taxes.

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The following tables provide information on the City's tax base, including the assessed value of real estate and personal property for the ten-year period ending June 30, 2019, the City's ten largest tax payers for fiscal year 2019, tax rates and tax levies and collections for the ten-year period ending June 30, 2019.

Table 6
Assessed Value of Taxable Property
($ in Thousands)

Fiscal Year Ended June 30	Real Estate Assessed Value				Personal Property Assessed Value		
	Citizens' Property	Public Service[1]	Newport News Waterworks	Total	Citizens' Property	Public Service[1]	Total
2010	$11,448,119	$166,948	$59,453	$11,674,520	$857,853	$103,642	$961,495
2011	11,166,293	203,348	59,454	11,429,095	876,337	104,558	980,895
2012	10,930,778	31,079	58,507	11,020,364	893,459	274,803	1,168,262
2013	10,480,999	31,923	59,881	10,572,803	929,896	280,117	1,210,013
2014	10,162,678	28,837	59,298	10,250,813	948,177	251,247	1,199,424
2015	10,092,713	30,562	59,119	10,182,394	927,856	279,505	1,207,361
2016	10,127,280	32,236	56,459	10,215,975	970,772	289,756	1,260,528
2017	10,249,204	33,071	56,237	10,338,512	983,860	303,254	1,287,114
2018	10,362,686	33,539	60,487	10,456,712	996,733	314,545	1,311,278
2019	10,492,939	33,881	60,925	10,587,745	1,025,906	319,170	1,345,076

Source: City of Hampton, Virginia, Department of Finance.

(1) Public Service assessed values are furnished by the State Corporation Commission of Virginia with no indication of assessment rate or actual value. Prior to 2012, the State mandated conversion of personal property to real estate for taxing purposes whereby personal property values are converted at 5% per year over a 20-year period. The State Corporation Commission has changed reporting the assessments for real estate (land) and personal property at the real estate rate.

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Table 7
Ten Largest Taxpayers
Fiscal Year Ended June 30, 2019
($ in Thousands)

	Real Estate Assessed Value	Rank	Percentage of Total Taxable Assessed Value
Peninsula Main VA LLC	$122,282	1	1.2 %
Newport News City of C/O NN Waterworks	61,001	2	0.6
FCLA LP	44,349	3	0.4
MOLA LLC	40,856	4	0.4
Hampton University OFC of General Counsel	39,794	5	0.4
Ginkgo Lake Ridge C/O LLC	38,905	6	0.4
Pinnacle Apartments LLC	36,046	7	0.3
Cambridge Apartments LLC	31,856	8	0.3
Coliseum Crossing Assoc LP	31,660	9	0.3
RP Hampton Exchange LLC & RP Hampton CTR LLC	31,500	10	0.3
Total			4.6%

Source: City of Hampton, Virginia, Assessor's Office.

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Table 8
Tax Rates

Fiscal Year Ended June 30	Rate per $100 of Assessed Value	
	Real Estate	Personal Property[(1)(2)]
2010	$1.04	$4.25
2011	1.04	4.25
2012	1.04	4.25
2013	1.04	4.25
2014	1.24	4.25
2015	1.24	4.50
2016	1.24	4.50
2017	1.24	4.50
2018	1.24	4.50
2019	1.24	4.50
2020	1.24	4.50

Source: City of Hampton, Virginia, Department of Finance.

(1) Personal property is assessed on a calendar year basis. The taxes levied are due in two installments on June 5 and December 5. Changes in the tax rate are implemented on the same basis. When a rate change is enacted by City Council, the first half of the fiscal year's tax levy is at the old rate and the second half is at the new rate. The personal property tax rate was increased from $4.25 per $100 levied to $4.50 per $100 levied effective January 1, 2015.

(2) Machinery and tool taxes are assessed, levied and due on the same basis as other property taxes.

Table 9
Real Estate Tax Levies and Collections
Last Ten Fiscal Years*
($ in thousands)

Fiscal Year	Taxes Levied for Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2010	$121,523	$117,902	97.02%	$2,246	$120,148	98.87%
2011	118,863	115,317	97.02%	2,117	117,434	98.80%
2012	114,612	114,334	99.76%	1,284	115,618	100.88%
2013	109,957	108,589	98.76%	489	109,078	99.20%
2014	127,110	125,559	98.78%	1,364	126,923	99.85%
2015	126,262	124,440	98.56%	1,618	126,058	99.84%
2016	126,678	124,791	98.51%	1,662	126,453	99.82%
2017	128,198	126,403	98.60%	1,799	126,403	98.60%
2018	129,663	127,793	98.56%	1,797	129,590	99.94%
2019	131,288	129,589	98.71%		131,288	98.71%

Source: Comprehensive Annual Financial Report for the fiscal years ended June 30, 2010 through 2019.
* There are no overlapping or underlying tax jurisdictions.

Miscellaneous Revenues

In addition to tax revenues, the City receives amounts in the City's General Fund from a number of miscellaneous sources, including license permits and privilege fees, fines and forfeitures, revenues from use of money and property (including interest on investments), and charges from services and recovered costs from the National Aeronautics and Space Administration ("NASA"). In fiscal year 2019, revenue from these sources totaled $24 million, as compared with $25 million in fiscal year 2018.

State Aid

The City receives money from the State for non-categorical aid, shared expense for certain constitutional offices and categorical aid (for certain mandated programs, including public assistance and street and highway maintenance). Categorical State Aid also includes pass-thru federal funding (federal funding to localities which passes through the State). In fiscal years 2019 and 2018 these payments amounted to $66.4 million and $65.6 million, respectively (excluding school funds). Additionally, the City received $129.2 million and $125.9 million for school operating purposes in fiscal years 2019 and 2018, respectively.

Federal Aid

State Aid discussed above includes $10.8 million in federal pass-thru aid received by the City's General Fund in fiscal year 2019, which was for public assistance, Healthy Families programs and indirect cost reimbursement from the Refuse Steam Plant. State funding for public schools include $.9 million in federal funding. The City also received State and federal Funds in the form of specific grants which are accounted for in other Special Revenue Funds. In fiscal year 2019 the City received $15.0 million in specific grant funding versus $15.8 million in fiscal year 2018.

GENERAL FUND EXPENDITURES

General Fund expenditures include, among other things, the cost of general government, transfer to the Debt Service Fund, transfer to the Capital Projects Fund, the City's share of public school operating costs, public safety, highways and streets, culture and recreation, health and human services. As shown in the following table, the significant areas of General Fund expenditures are general government public safety, education and transfers to other funds.

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Table 10

General Fund Expenditures
Fiscal Year Ended June 30, 2019

Expenditures	2019 Actual	Percent of Total Actual	2018 Actual	Difference	Percentage Change
General Government	$101,109,820	29.85%	$105,265,582	$(4,155,762)	(3.95)%
Public Safety	54,195,107	16.00%	53,970,951	224,156	0.42%
Highways & Streets	2,024,658	0.60%	2,491,197	(466,539)	(18.73)%
Health	2,496,085	0.74%	2,431,995	64,090	2.64%
Human Services	20,688,029	6.11%	20,835,963	(147,934)	(0.71)%
Culture & Recreation	13,003,112	3.84%	12,448,404	554,708	4.46%
Education - City Share	73,827,042	21.80%	73,036,416	790,626	1.08%
Education - Other Sources	2,080,937	0.61%	2,073,001	7,936	0.38%
Transfers Out	69,278,976	20.45%	57,201,811	12,077,165	21.11%
Totals	$338,703,766	100.00%	$329,755,320	$8,948,448	2.71%

Source: City of Hampton, Virginia, Comprehensive Annual Financial Report for fiscal years ended June 30, 2018 and 2019.

Financial Operations: Preliminary (Unaudited) Fiscal Year 2020 Performance. General Fund revenue collections as of June 30, 2020 totaled $348.2 million, which is $1.9 million over budget ($4.8 million over budget when you exclude the budget underperformance for pass through revenues for the Community Development Agencies and other entities) and is $6.8 million over fiscal year 2019. General Fund property tax collections, which make up approximately 50% of total estimated revenues, increased $5.3 million over fiscal year 2019. Other local taxes increased $0.9 million over fiscal year 2019. General Fund expenditures as of June 30, 2020 totaled $339.6 million, which is $15.5 million under budget and $0.9 million over fiscal year 2019. The City anticipates an estimated fiscal year end 2020 surplus of $13 million, $5 million of which will be used to make a contribution to the City's fiscal year 2021 capital budget and provide additional funding for the City's Equipment Replacement Fund, leaving $8 million of the surplus to be added to the City's unassigned fund balance.

General Fund Budgetary Comparison Fiscal Year 2020 and Fiscal Year 2021. The General Fund fiscal year 2021 adopted budget totaling $516.9 million, represents a $29 million or 5.88% increase from the fiscal year 2020 adopted budget totaling $488.2 million. General property tax revenues increased $6.5 million and other local revenues increased $4.8 million. State revenues for the City public schools increased $16.6 million, increasing the City's local contribution to public schools by $1.4 million. The increase is based on the agreed upon school funding formula in which the school system receives a predetermined percentage of the growth in residential general property and utility taxes. In addition to what is due the School system from the funding formula, the City is also providing $380,000 in one-time funds to support the Career Academies. Retirement and employee benefits expenditures increased $6.7 million related to a 3% general wage increase along with a 2% increase in the Virginia Retirement System (VRS) rate, and an increase in health insurance premiums. Quality Government increased $1.6 million related to pay adjustments within this business team. Contributions to outside agencies increased $0.6 million related to an increase in the per diem for community service agencies.

Financial Operations: Fiscal Years 2015-2019. Table 11 summarizes results of operations and changes in fund balance of the City's General Fund for fiscal years 2015-2019. During the period, General Fund revenues increased from $317 million in 2015 to $341 million in 2019 or at an average annual rate of approximately 1.83%. Local taxes comprised between 72% and 73% of total revenue in each fiscal year. State revenues as a percentage of total revenues have also remained fairly stable during the period comprising 16% and 17% of total revenue.

In fiscal years 2015-2019, federal revenues to the General Fund consisted of primarily public assistance funds and transfers from the City's Community Development Block Grant Fund. The transfer amounts are included in the amounts labeled "Transfers in" in Table 11. During the period, federal funds comprised, on average, approximately 3% of total revenues.

Local revenues (i.e., permits, licenses, user fees, etc.) average annual increase between fiscal year 2015-2019 was approximately 9.2%.

General Fund expenditures, including transfers out, increased from $316 million in 2015 to $339 million in 2019 or at an annual rate of 1.80%. General Fund expenditures have increased primarily from the increase in personal service costs (salaries, wages, fringe benefits) and the City's share of public school operating costs. Transfers to other funds have increased primarily from an increase in debt service related to recent bond issues and the funding of various capital projects.

Table 11
Summary of General Fund, Fiscal Years Ended June 30, 2015-2019*
($ in Thousands)

	2015	2016	2017	2018	2019
Revenues	$317,103	$326,631	$328,196	$334,755	$341,132
Expenditures[3]	258,544	265,663	267,728	272,553	269,425
Excess of Revenue over (under) Expenditures	58,559	60,968	60,918	62,203	71,707
Other Financing Sources (Uses)					
Transfers in	117	230	242	240	236
Transfers out [1]	(57,134)	(59,341)	(61,090)	(57,202)	(69,279)
Net Other Financing Sources (Uses)	(57,017)	(59,111)	(60,848)	(56,962)	(69,043)
Net Change in Fund Balances	1,542	1,857	70	5,239	2,664
Fund Balance, Beginning of Year	91,709	93,541[2]	95,398	95,468	100,707
Fund Balance, End of Year	$93,251	$95,398	$95,468	$100,707	103,371

Source: City of Hampton, Virginia, Comprehensive Annual Financial Report Exhibit B-2 for the fiscal years ended June 30, 2015 through 2019
* Excludes the Pearl Young Fund. See footnote 7 in the City's audited financial statements attached as Appendix A.
(1) Transfers to the Debt Service Fund constitute a majority of transfers.
(2) Restated Fund Balance.
(3) Contributions to City public schools are reflected in total expenditures.

IMPACT OF COVID-19 ON OPERATIONS AND FINANCIAL CONDITION

COVID-19 Pandemic

The World Health Organization has declared a pandemic following the outbreak of COVID-19, a respiratory disease caused by a new strain of coronavirus that is currently negatively impacting most, if not all, areas of the world, including the United States and the Commonwealth. Within the United States, the federal government and various state and local governments, as well as private entities and institutions, have implemented a variety of different efforts aimed at preventing the spread of COVID-19 including, but not limited to, travel restrictions, voluntary and mandatory quarantines, event postponement and cancellations, voluntary and mandatory work from home arrangements, and facility closures. The impact of these various measures, as well as general concerns related to the global and national public health emergency and other contributing factors (including an ongoing oil production dispute), have also resulted in significant volatility in the stock and credit markets, dislocations in the labor market and a general consensus that the global and national economies are distressed.

The economic and financial fallout from COVID-19 on the United States, including the Commonwealth, is expected to be significant and may be prolonged. For example, unemployment has increased significantly as service sector workers and others who cannot telework experience reduced hours or are laid-off because of decreases in business demand. In addition, supply shortages have increased as the production and distribution of raw and finished materials are adversely affected by efforts to mitigate the impact of COVID-19 on the labor force. The long-term and short-term capital markets have experienced significant volatility, adversely affecting the liquidity and operations of private companies.

Steps Taken by the Governor of Virginia to Address the COVID-19 Pandemic

On March 12, 2020, Governor Northam declared a state of emergency in the Commonwealth as a result of the COVID-19 pandemic (which declaration was reaffirmed and continued on May 26, 2020). Subsequently, he imposed restrictions designed to address the COVID-19 pandemic in the Commonwealth. Beginning on March 24, 2020, and lasting through May 14, 2020, those restrictions included the prohibition of public and private in-person gatherings of ten (10) or more people, the closure of certain recreational and entertainment businesses and the ban on more than ten (10) patrons in nonessential retail stores capable of maintaining required social distancing (collectively, the "Restrictions"). Businesses offering professional rather than retail services could have remained open, but they were encouraged to utilize teleworking as much as possible. Further, in-person instruction at schools in the Commonwealth was cancelled for the remainder of the academic year.

On March 30, 2020, Governor Northam issued a statewide Stay at Home executive order to protect the health and safety of Virginians and mitigate the spread of COVID-19, effective until June 10, 2020, unless amended or rescinded (the "Stay at Home Order"). The Stay at Home Order directed all Virginians to stay home except in extremely limited circumstances. Individuals could leave their residence for allowable travel, including to seek medical attention, work, care for family or household members, obtain goods and services like groceries, prescriptions, and others as outlined in the Restrictions, and engage in outdoor activity with strict social distancing requirements. The Stay at Home Order also directed all Virginia institutions of higher education to stop in-person classes and instruction. Private campgrounds were closed for short-term stays, and beaches were closed statewide except for fishing and exercise.

Also on March 30, 2020, Governor Northam requested federal disaster assistance, which was received in the form of a Major Disaster Declaration on April 2, 2020. A Major Disaster Declaration designation provides federal public assistance for all areas in the Commonwealth affected by COVID-19 at a federal cost share of 75%. The cost share allows state agencies, local governments and certain non-profit organizations to purchase supplies and receive reimbursements for COVID-19 related costs under its Public Assistance program. The

Major Disaster Declaration also authorizes federal agencies to provide direct emergency assistance to the Commonwealth.

On May 8, 2020, Governor Northam signed a new executive order that presented a detailed framework for the first phase ("Phase One") of the "Forward Virginia" plan to safely and gradually ease the Restrictions while mitigating the spread of COVID-19. Under Phase One, which became effective on May 15, 2020, the executive order moved the Commonwealth into a "Safer at Home" strategy that continued the ban on social gatherings of more than 10 people and maintained recommendations for social distancing, teleworking, and wearing face coverings. All businesses were directed to make modifications to maintain at least six feet of physical distancing, increase cleaning and sanitization of high contact surfaces, and provide enhanced workplace safety measures. Further, under Phase One, retail establishments were allowed to operate at 50 percent occupancy, restaurant and beverage establishments could offer outdoor dining at 50 percent occupancy, personal grooming services could begin operating with one patron per service provider, and fitness centers could offer outdoor exercise services. Campgrounds could also begin taking reservations for short-term stays. The Governor subsequently amended this executive order in part to allow all beach areas within the Commonwealth to reopen for individual and family recreational activity, in addition to exercise and fishing, subject to certain operating procedures. Implementation of Phase One was delayed by two weeks for the City of Richmond, the County of Accomack and certain Northern Virginia localities to allow such localities more time to meet the health metrics outlined by the Commonwealth. As of May 29, 2020, all localities in the Commonwealth had entered into Phase One.

On June 2, 2020, Governor Northam signed a new executive order that presented the second phase ("Phase Two") of the "Forward Virginia" plan. Under Phase Two, which became effective on June 5, 2020, the executive order maintained for the Commonwealth a Safer at Home strategy with continued recommendations for social distancing, teleworking, and requiring individuals to wear face coverings in indoor public settings. The maximum number of individuals permitted in a social gathering was increased from 10 to 50 people. All businesses were still required to adhere to physical distancing guidelines. Restaurant and beverage establishments could offer indoor dining at 50 percent occupancy, fitness centers could open indoor areas at 30 percent occupancy, and certain recreation and entertainment venues without shared equipment could open with restrictions. These venues include museums, zoos, aquariums, botanical gardens, and outdoor concert, sporting, and performing arts venues. Swimming pools could also expand operations to both indoor and outdoor exercise, diving, and swim instruction. The Phase Two guidelines for religious services, non-essential retail, and personal grooming services were largely the same as they were in Phase One. Overnight summer camps, most indoor entertainment venues, amusement parks, fairs, and carnivals also remained closed in Phase Two. Implementation of Phase Two was delayed by two weeks for the City of Richmond and certain Northern Virginia localities. As of June 12, 2020, all localities in the Commonwealth had entered into Phase Two.

On June 18, 2020, Governor Northam presented Phase Three of the "Forward Virginia" plan, which went into effect across the Commonwealth on July 1, 2020. In Phase Three, the Commonwealth will maintain a Safer at Home strategy with continued recommendations for social distancing and teleworking, and the requirement that individuals wear face coverings in indoor public settings. The maximum number of individuals allowed in social gatherings increased from 50 to 250 people. All brick and mortar retail establishments are allowed to resume full operations and all restaurant and beverage establishments are allowed to offer indoor and outdoor dining, provided that all such businesses continue to follow physical distancing guidelines, frequently clean and sanitize high contact surfaces, and keep enhanced workplace safety measures in place. Additionally, fitness centers may open indoor areas at 75 percent occupancy, and recreation and entertainment venues may operate at 50 percent occupancy, or a maximum of 1,000 persons. Swimming pools may also expand operations to free swim in addition to indoor and outdoor exercise, diving and swim instruction. Overnight summer camps are required to remain closed in Phase Three.

On August 3, 2020, Governor Northam signed a new executive order, effective July 31, 2020, imposing additional restrictions in the Eastern Region of the Commonwealth on restaurants and other dining establishment,

certain beverage establishments, such as breweries, distilleries and wineries, and on certain public and private in-person gatherings due to an increasing trend in positive COVID case counts and hospitalizations which had been increasing at a greater rate than the rate of increase in the Commonwealth generally. The Eastern Region includes the City. The additional restrictions on restaurants, dining establishments, food courts, breweries, microbreweries, distilleries, wineries and tasting rooms prohibit the on-premises sale, consumption or possession of alcoholic beverages after 10:00 p.m.; require closure of all dining and congregation areas in such establishments between 12:00 a.m. and 5:00 a.m.; place occupancy limits on such establishment at not more than 50% of the lowest occupancy load on certificate of occupancy; and limit the number of patrons in such establishments to not more than 50 persons. With certain exceptions, the additional restrictions prohibit all public and private in-person gatherings of more than 50 individuals. Gathering exceptions are permitted for employment, same-residence family members and religious services, among others. The additional restrictions do not alter or change restrictions on fitness centers, recreation and entertainment venues and swimming pools The executive order for the Eastern Region remains in effect until amended or rescinded by the Governor.

Given the fluidity of the public health crisis, there is no basis to predict how long Phase Three and any additional phases may be in place before all Restrictions have been lifted or whether the Governor may determine to re-impose some or all of the Restrictions in one or more localities or regions of the Commonwealth.

Steps Taken by the City to Address the COVID-19 Pandemic

The City Manager declared a local public health emergency on March 13, 2020 and the City Manager amended and restated the declaration of the local emergency on March 17, 2020. The City Council adopted a resolution confirming the declaration on March 23, 2020. Like other densely populated areas in the Commonwealth of Virginia, the City has experienced confirmed positive cases, hospitalizations and deaths related to COVID-19. The measures the City has taken to respond to the crisis follow guidance provided by the Executive Orders issued by the Governor of the Commonwealth of Virginia. The City, through its Office of Emergency Management, is working collaboratively with the Virginia Health Department. The City is monitoring this situation using guidance from the Centers for Disease Control and Prevention and World Health Organization, and is providing frequent information and guidance to the City Council and public using various communication channels. The Office of Emergency Management is coordinating planning and response activities for the City and is working with healthcare partners including the public schools and military.

The duration and extent of the impact of COVID-19 on the City's revenues, expenses and cashflow are unknown and very uncertain, making forecasts difficult. Preliminary projections assumed lower revenue collection rates, higher emergency expenditures and lower non-essential service expenditures. The loss of revenues and increased expenditures will be partially offset by increased federal disaster relief assistance and economic stimulus funding via FEMA reimbursement, Coronavirus Aid, Relief, and Economic Security (CARES) Act funds (discussed further below), enhanced Medicaid funding and unemployment insurance. The City is pursuing all available expenditure reimbursement and revenue opportunities offered by the federal and state governments.

On April 22, 2020, City Council accepted $124,577 from the Virginia Department of Housing and Community Development to respond to a statewide call to action during this public health crisis to support the most at-risk homeless populations. On May 6, 2020, City Council accepted $136,555 from the Health and Human Services CARES Act Funds to cover excess costs of the Fire and Rescue Division during the Coronavirus pandemic. On July 8, 2020, City Council accepted $95,881 of CARES Act funds to cover expenses related to COVID-19 for the November 2020 federal elections. On August 12, 2020, City Council accepted $75,000 from the Virginia Housing Development Authority to assist in providing support to the Continuum of Care's housing initiatives during the pandemic.

On May 1, 2020, Hampton City Schools (HCS) was notified that HCS was allocated funding under the CARES Act Elementary and Secondary School Emergency Relief (ESSER) Fund. The final allocation to HCS was $5,788,673.64. Additionally, on October 2, 2020, HCS was notified that HCS was approved to receive $256,258 under the CARES Act ESSER State Set-aside Fund Grant and $519,863 under the CARES Act Governor's ESSER State Set-aside Fund Grant. The award terms/conditions, guidelines/assurances and monitoring/auditing functions for the ESSER Fund are similar to those associated with the State Fiscal Stabilization Fund (SFSF) under the American Recovery and Reinvestment Act of 2009 (ARRA).

On May 12, 2020, the City was notified that on June 1 the City would receive $11,735,479 of the $3.31 billion of the CARES Act Coronavirus Relief Fund allocated to the Commonwealth to provide funding for a number of different programs to address the COVID-19 pandemic. On August 17, 2020, the City received an additional $11,735,479 from the CARES Act Coronavirus Relief Fund allocated to the Commonwealth. The requirements for use of such funds are that the costs: (i) are necessary expenditures incurred due to the public health emergency with respect to COVID-19; (ii) were not accounted for in the budget most recently approved as of May 13, 2020; and (iii) were incurred during the period that begins on March 1, 2020 and ends on December 30, 2020 and may not be used to cover revenue shortfalls.

Direct COVID-19 expenditures and encumbrances as of September 30, 2020 were $11,147,598. Real estate and personal property taxes were due June 5, 2020. On April 8, 2020, pursuant to Code of Virginia 58.1-3916, City Council approved to extend the due date for the payment of real estate and personal property taxes to August 1, 2020 whenever good cause exists. Good cause shall be determined on a case by case basis, through application made to the City's Treasurer. Good cause for this purpose shall be a demonstrated financial loss or strain directly attributable to COVID-19.

On May 13, 2020, City Council adopted the fiscal year 2021 budget totaling $492,081,718 (net of inter-fund transfers); the fiscal year 2021 Capital Budget totaling $83.5 million; and, a five year (fiscal year 2021 to fiscal year 2026) CIP totaling $367,141,890. Overall, the fiscal year 2021 approved budget grew by $28,708,321 or 5.88% compared with the adjusted fiscal year 2020 budget. Changes included various increases that took place in operating departments to accommodate additional positions needed for enhanced service delivery; a general wage increase along with an increase in the Virginia Supplemental Retirement (VRS) rate and in health insurance premiums.

The City has established an internal team that consists of the two Assistant City Managers, Director of Finance, Budget Manager and the Director of Human Resources to monitor activities related to the COVID-19 pandemic. This team monitors the pandemic's effect on the local economy and the City's budget in an effort to evaluate and predict with a greater degree of certainty the impact on City revenues and then adjust City expenditures and delivery of services as needed. Strategies implemented to manage the potential revenue impact of COVID-19 include continuing a targeted hiring freeze and a freeze on non-essential spending, which was put in place in fiscal year 2020 and a freeze on all new spending in the fiscal year 2021 budget. The steps taken during fiscal year 2020, helped the City finish the year with a $13 million surplus. $5 million of this surplus was then used to support additional funding for the City's Equipment Replacement Fund and to advance fund the General Fund Capital Budget contribution via year end transfers to provide additional budget flexibility in fiscal year 2021. As noted above, the City also put a freeze on all new spending included in the fiscal year 2021 Budget. The freeze on new spending equals all new revenue growth planned in fiscal year 2021 and is approximately $12 million. The items frozen include, pay increases, new positions, planned new General Fund supported debt and new non-essential City supported capital projects in the Capital Budget. The freeze on new non-essential capital projects is in addition to a freeze implemented in fiscal year 2020. In total the City has $7 million in frozen General Fund cash-funded capital projects in the Capital Budget. The City has also frozen $8 million in bond funded

projects in the Capital Budget that could be used to fund an additional nearly $8 million in on-going and essential cash-funded capital projects in the Capital Budget or address any urgent capital needs the City may have. As noted above, the City has also received a substantial amount of CARES Act and other disaster response/recovery funds which it is using to address expenses associated with responding to the pandemic. As a result of the steps described, the City has identified over $27 million in savings and believes these initiatives will provide sufficient financial flexibility to manage the budget impacts of the pandemic.

Despite the steps taken by the City to mitigate the impact of the COVID-19 pandemic, the duration and severity of the impact of the pandemic on the City's financial condition is not known and cannot be predicted at this time.

INSURANCE

The City is self-insured and, as of June 30, 2019, has in its risk management fund an unrestricted net position of $13,123,180.

RETIREMENT PLANS

The City contributes to two pension plans for its employees, the Hampton Employees' Retirement System ("HERS") and the Virginia Retirement System ("VRS"). HERS covers all full-time salaried employees who were first hired prior to July 1, 1984 and VRS covers all full-time salaried employees.

Hampton Employees' Retirement System

Plan Description – HERS. HERS is a single employer public employee defined benefit pension plan established and administered by the City to augment the retirement benefits provided to full-time permanent City and School Board employees under the Virginia Retirement System (VRS). The authority to establish and amend benefit provisions of HERS is governed by statute as set out in Chapter 28 of the Code of the City.

Contributions – HERS. The contribution requirements of plan members, the City and the Component Unit – School Board are established and may be amended by City Council. Plan members do not contribute. The City and Component Unit – School Board are required to contribute an actuarially determined amount.

Net Pension Liability – HERS. The City's and School Board's net pension liability was measured as of June 30, 2018 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The actuarial assumptions included (a) an 7% investment rate of return and (b) projected salary increases of 2.5% per year. The actuarial assumptions include a future inflation rate of 2.5% a year. The City and School Board reported a net pension liability of $7,956,303 and $7,089,643, respectively at June 30, 2019. For the year ended June 30, 2019, the City and School Board recognized pension expense of $1,542,148 and $1,374,165, respectively.

Virginia Retirement System

The City and Component Unit-School Board contribute to the Virginia Retirement System (VRS), an agent and cost-sharing multiple-employer defined benefit pension plan administered by the Virginia Retirement System (System).

All full-time, salaried permanent employees of the City and nonprofessional employees of the School Board are automatically covered by VRS upon employment. All full-time, salaried permanent (professional) employees of the public school divisions are automatically covered by the VRS Teacher Retirement Plan upon employment. Benefits vest after five years of service credit. Members earn one month of service credit for each month they are employed and their employer is paying into the VRS. Members are eligible to purchase prior public service, active duty military service, certain periods of leave and previously refunded VRS service as a credit in their plan.

Within the VRS Plan, the System administers three different benefit plans for local government employees – Plan 1, Plan 2, and Hybrid.

Plan members are required to contribute 5% of their annual reported compensation to the VRS. The City and the School Board are required to contribute the remaining amounts necessary to fund its participation in the VRS using the actuarial basis specified by the Code of Virginia and approved by the VRS Board of Trustees.

Net Pension Liability – VRS. The City and School Board's net pension liabilities were measured as of June 30, 2018. The total pension liability used to calculate the net pension liability was determined by an actuarial valuation performed as of June 30, 2017 using updated actuarial assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018. The City and School Board reported a net pension liability of $120,115,368 and $159,918,000, respectively at June 30, 2019. For the year ended June 30, 2019 the City and School Board recognized pension expense of $7,340,650and $7,851,695, respectively.

Contributions – VRS. For the VRS Retirement Plan, the City's and School Board's nonprofessional employees contractually required contribution rates for the year ended June 30, 2019 were 16.33% and 9.30% of covered employee compensation, respectively. This rate was based on an actuarially determined valuation as of June 30, 2017. This rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the pension plan from the City were $14,178,118 and $14,246,313 for the years ended June 30, 2019 and June 30, 2018 respectively. Contributions to the pension plan from the School Board were $356,901 and $449,018 for the years ended June 30, 2019 and June 30, 2018, respectively. For the Teacher Retirement Plan, each school division's contractually required contribution rate for the year ended June 30, 2019 was 15.68% of covered employee compensation. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the Teacher Retirement Plan for the School Board were $16,618,902 and $17,587,597 for the years ended June 30, 2019 and June 30, 2018, respectively.

Other Postemployment Benefit Plans – Health Care Benefits and Health Insurance Credits

Plan Description - Health Care Benefits. The City sponsors a single-employer, self-insured defined benefit health care plan that provides medical benefits to retirees and their dependents to age 65. At age 65, retirees can participate in the City's fully-insured supplemental medical plan where the City's plan is secondary to Medicare. Retiree health coverage is provided under the City's Personnel and Policy Procedures to all full-time, salaried permanent employees and public safety officers who retire with the required years of service with the City and continuous years of coverage under the plan. No assets are accumulated in a trust that meets GAAP's criteria. There is no standalone financial report for the plan. The School Board sponsors a single-employer, defined benefit healthcare plan that provides medical and dental

benefits to retirees and their dependents. Once retirees become eligible for Medicare at age 65, the retiree and their dependents are terminated from the plan. No assets are accumulated in a trust that meet GAAP's. There is no standalone financial report for the plan.

Contributions. The City's contribution ranges from 0% to 100% of the premium based on the retiree's years of continuous health coverage and the healthcare care option selected by the retirees. The employer contributions are financed on a pay-as-you-go basis. Contributions from the City were $2,905,572 and $2,614,315 for the years ended June 30, 2019 and June 30, 2018, respectively. The School Board contributions are financed on a pay-as-you-go basis. Contributions from the School Board were $406,410 and $534,836 for the years ended June 30, 2019 and June 30, 2018, respectively.

Funding Policy. The City Council and Hampton School Board has the authority to establish and amend the funding policy of their respective plans. The employer's contribution ranges from 0% to 100% of the premiums based on the retiree's years of continuous health care coverage and the health care option selected by the retirees. The employer contributions are financed on a pay-as-you-go basis. During fiscal year 2019, the City contributed $2,905,572, or approximately 56.8% of total premiums for post-retirement health care benefits. Plan members receiving benefits contributed $2,230,339 or approximately 43.4% of total premiums. Member contributions are 3% of covered payroll. The School Board contributed $504,195 in fiscal year 2019.

Total OPEB Liability. The City and School Board's total retiree medical OPEB liability of $94,396,901 and $4,612,120, respectively, were measured as of June 30, 2018 and determined by an actuarial valuation as of that date. For the year ended June 30, 2019 the City and School Board recognized OPEB expense of $3,680,062 and $373,246, respectively.

Plan Description – Health Insurance Credits. Professional staff of the School Board are automatically covered by the VRS Teacher Employee Health Insurance Credit Program (HIC). This plan is administered by the Virginia Retirement System (VRS), along with pension and other OPEB plans, for public employer groups in the Commonwealth of Virginia. The benefit vests with eligible employees who retire with at least 15 years of service credit. Detailed information about the HIC Program's fiduciary net position is available in the separately issued VRS 2017 Comprehensive Annual Financial Report which can be accessed from the VRS website at http:www.varetire.org/Pdf/Publications/2017-annual report.pdf.

Contributions. The contribution requirement for active employees is governed by §51.1-1401(E) of the Code of Virginia, as amended, but may be impacted as a result of funding provided to school divisions by the Virginia General Assembly. Each school division's contractually required employer contribution rate for the year ended June 30, 2019 was 1.20% of covered employee compensation for employees in the HIC Program. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2015. The actuarially determined rate was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions from the School Board to the VRS HIC Program were $1,305,003 and $1,352,052 for the years ended June 30, 2019 and June 30, 2018, respectively.

Liabilities. At June 30, 2019, the School Board reported a liability of $17,258,000 for its proportionate share of the VRS HIC net OPEB liability. The HIC OPEB liability was measured as of June 30, 2017and the total HIC OPEB liability used to calculate the net HIC OPEB Liability was determined by an actuarial valuation as of that date. The School Board's proportion of the net HIC OPEB liability was based on the School Board's actuarially determined employer contributions to the HIC OPEB plan for the year ended June 30, 2018 relative to the total of the actuarially determined employer contributions for all participating employers. At June 30, 2018, the School Board's proportion of the HIC program was

1.35919% as compared to 1.38996% at June 30, 2017. For the year ended June 30, 2019, the School Board recognized HIC OPEB expense of $1,349,000. Since there was a change in proportionate share between June 30, 2016 and June 30, 2017 a portion of the HIC net OPEB expense was related to deferred amounts from changes in proportion.

Other Post-Employment Line of Duty Benefits

Plan Description. The City administers a single-employer defined benefit Line of Duty Benefits Plan. The Commonwealth of Virginia's Line of Duty Act (LODA) requires state and local governments to provide death benefits and continued health, dental and vision insurance coverage to eligible hazardous duty employees and volunteers (law enforcement and firefighters) and their dependents if they are killed or disabled in the line of duty. The insurance covers continue until death, recovery, or return to full active duty for hazardous duty employees. For spouses or other dependents, the insurance coverages continue until death, marriage or coverage by an alternative insurance. The Line of Duty Act Plan provides for a one-time payment made to the beneficiaries of a covered individual amounts vary as follows: $100,000 when a death occurs as the direct or proximate result of performing duty as of January 1, 2006, or after; $25,000 when the cause of death is attributed to one of the applicable presumptions and occurred earlier than five years after the retirement date; an additional $20,000 benefit is payable when certain members of the National Guard and U.S. military reserves are killed in action in any armed conflict on or after October 7, 2001. All LODA eligibility determinations are conducted and investigated by the State Comptroller in accordance with the state code. Separate, stand-alone statements are not issued for this plan.

Contributions. The LODA requires the City to pay 100% of all line of duty benefits including the employee's share of insurance coverage. The employer contributions are financed on a pay-as-you-go basis. During fiscal year 2019, the City contributed $546,033 for line of duty benefits.

Annual OPEB Cost and Net OBEB Obligation. At June 30, 2019, the City reported a liability of $11,167,875 for its Net LODA OPEB Liability. The Net LODA OPEB Liability was measured as of June 30, 2018. The total LODA OPEB liability was determined by an actuarial valuation as of that date. For the year ended June 30, 2019, the City recognized LODA OPEB expense of $1,130,877.

Virginia Retirement System – Group Life Insurance Other Postemployment Benefit

Plan Description. All full-time, salaried permanent employees of the City and School Board are automatically covered by the VRS Group Life Insurance (GLI) Program upon employment. This plan is administered by the VRS, along with pensions and other OPEB plans, for public employer groups in the Commonwealth of Virginia. In addition to the Basic Group Life Insurance benefit, members are also eligible to elect additional coverage for themselves as well as a spouse or dependent children through the Optional Group Life Insurance Program. For members who elect the optional group life insurance coverage, the insurer bills employers directly for the premiums. Employers deduct these premiums from members' paychecks and pay the premiums to the insurer. Since this is a separate and fully insured program, it is not included as part of the GLI OPEB liability.

Contributions. The contribution requirements for GLI are governed by §51.1-506 and §51.1-508 of the Code of Virginia, as amended, but may be impacted as a result of funding provided to state agencies and school divisions by the Virginia General Assembly. The total rate for the Group Life Insurance Program was 1.31% of covered employee compensation. This was allocated into an employee and an employer component using a 60/40 split. The employee component was 0.79% (1.31% X 60%) and the employer component was 0.52% (1.31% X 40%). Employers may elect to pay all or part of the employee contribution, however the employer must pay all of the employer contribution. Each employer's

contractually required employer contribution rate for the year ended June 30, 2019 was 0.52% of covered employee compensation. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits payable during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the GLI from the City were $459,858 and $473,642 for the years ended June 30, 2019 and June 30, 2018, respectively. Contributions to the GLI from the School Board for Professional employees were $570,436 and $573,445 for the years ended June 30, 2019 and June 30, 2018, respectively. Contributions to the GLI from the School Board for Nonprofessional employees were $20,964 and $22,257 for the years ended June 30, 2019 and June 30, 2018 respectively.

GLI OPEB Liabilities. At June 30, 2019, the City reported a liability for its proportionate share of the Net GLI OPEB Liability of $7,275,000. The School Board reported a liability for professional employees and nonprofessional employees of $8,808,000 and $342,000, respectively. The Net GLI OPEB Liability was measured as of June 30, 2018 and the total GLI OPEB liability used to calculate the Net GLI OPEB Liability was determined by an actuarial valuation as of that date. The covered employer's proportion of the Net GLI OPEB Liability was based on the covered employer's actuarially determined employer contributions to the Group Life Insurance Program for the year ended June 30, 2018 relative to the total of the actuarially determined employer contributions for all participating employers. For the year ended June 30, 2019, the City recognized GLI OPEB expense of $13,000 and the School Board recognized GLI OPEB expense for professional employees of $29,000 and nonprofessional employees of $3,000. Since there was a change in proportionate share between measurement dates, a portion of the GLI OPEB expense was related to deferred amounts from changes in proportion.

PART IV

THE CITY OF HAMPTON

GOVERNMENTAL STRUCTURE

The City was incorporated March 30, 1908 and has operated under its present charter since December 16, 1952. Its boundaries were extended on July 1, 1952 through the annexation of Elizabeth City County and Phoebus. The City is comprised of 72 square miles, including 54.7 square miles of land and 17.3 square miles of water.

The City is an independent, full-service city with sole local governmental taxing power within its boundaries. The governing body of the City is the City Council, which formulates policies for the administration of the City. The City Council is composed of a mayor and six council members. The current charter provides for a Council-Manager form of government.

The City is autonomous from any county, town or other political subdivision of the Commonwealth of Virginia. Without referendum, the City is authorized to issue bonds, subject to certain indebtedness limitations, for the purpose of financing its capital projects. There is no overlapping general obligation debt or taxing powers with other political subdivisions. Water and sewer service is purchased directly by citizens from the Newport News Waterworks and Hampton Roads Sanitation District, respectively, for which the City has no debt obligations.

Council members, including the Mayor, are elected to four-year terms by the citizens of the City in general council elections on the first Tuesday in May. The elections are held every two years to fill expired terms. The City Council appoints the City Manager.

Under the Council-Manager form of government, elected officials make up the Legislative Branch of City government and establish policies for proper administration of the City. The City Manager acts as administrative head of the government. Serving at the pleasure of the City Council, the City Manager carries out City Council policy, directs business procedures, and appoints and has the power to remove the heads of all departments and all employees of the City, except the City Attorney and Clerk of Council who are appointed by City Council.

The School Board, composed of seven citizens, is elected by the citizens of the City. Under Virginia law all operations of public schools are completely independent of the City Council or the City administration. The Council makes an annual appropriation to the School Board but has no authority over specific expenditures approved by the School Board.

The constitution and laws of the Commonwealth of Virginia provide for direct election of the Commonwealth's Attorney, the Clerk of Courts, the City Sheriff, the Commissioner of Revenue, and the City Treasurer. They are elected to four-year terms, with the exception of the Clerk of Courts who is elected to an eight-year term.

The members of the City Council, the dates at which their terms end, the dates from which they have served continuously and their principal occupations are as follows:

Name	Served Since	Term Expires	Principal Occupation
Donnie R. Tuck, Mayor	July, 2010	June 30, 2024	Retired
James A. Gray, Vice Mayor	July, 2016	June 30, 2022	Retired Assistant City Manager
Chris L. Bowman	July, 2020	June 30, 2024	Retired State Employee
Eleanor Weston Brown	July, 2018	June 30, 2022	Attorney
Steven L. Brown	July, 2018	June 30, 2022	Director of Workforce Development
W.H "Billy" Hobbs, Jr.	July, 2012	June 30, 2024	Automotive Service Director
Christine Snead	July, 2012	June 30, 2024	Retired Budget Director

Source: City of Hampton, Virginia, Clerk of Council.

GOVERNMENTAL SERVICES

The City provides general government services for its citizens, including police and fire protection, collection and disposal of refuse, sewer services, parks and recreation, libraries, health and social services and construction and maintenance of streets and highways. Other services provided by the City which receive partial funding from the State include public education from kindergarten through twelfth grade, certain technical and special education, mental health assistance, criminal prosecution, probationary services, and judicial activities.

Hampton Roads Transit provides bus transportation within the City and into neighboring cities.

General administrative offices of the City are located in City Hall in the downtown area of the City. Immediately adjacent is the City's Public Safety Building, and in close proximity is the City jail, a judicial complex, a City garage facility, and public works operations.

More centrally located in an area adjacent to the interstate, approximately one mile from the downtown area, is the Hampton Community Services Center, a renovated high school facility. The Hampton Community Services Center houses the Hampton Social Services Department, the Health Department and HELP, Inc.

Other major facilities provided by the City include the Hampton Coliseum, a tennis complex, an 18-hole golf course, a 27-hole golf course, recreation centers, a municipal beach, and twenty three parks throughout the City.

ECONOMIC AND DEMOGRAPHIC CHARACTERISTICS

Population

In fiscal year 2020, the estimated population for the City was 135,753. The following table lists the population for the City and Commonwealth from fiscal years 2010 to 2019:

Table 13
Population[(1)]

Year	City	Commonwealth
2010	137,416	8,001,024
2011	136,435	8,096,604
2012	136,843	8,185,867
2013	136,948	8,260,405
2014	136,879	8,326,289
2015	138,454	8,382,993
2016	138,626	8,411,808
2017	137,492	8,470,020
2018	136,743	8,517,685
2019	135,629	8,535,519

Sources:

(1) Source: City of Hampton, Finance Department, CAFR, per Weldon Cooper Center for Public Service; except 2010 Source, U.S. Census Bureau.

Income

The following table shows per capita personal income for the periods indicated for the City, as compared to the Commonwealth and the U.S.:

Table 14
Per Capita Total Income[(1)(2)]

Year	City	Commonwealth	U.S.
2009	$35,170	$37,503	$34,471
2010	35,924	44,267	39,937
2011	37,241	45,920	41,663
2012	37,734	48,175	44,200
2013	37,924	48,838	44,765
2014	38,984	50,157	46,494
2015	40,773	52,184	48,451
2016	41,385	52,957	49,246
2017	42,133	55,105	51,640
2018	43,547	57,799	54,446

Source: Bureau of Economic Analysis

(1) Figures presented on a calendar year basis.
(2) 2018 data most recent available.

Employment

The City's strategic location and economic development activities offer its residential civilian labor force a wide range of employment opportunities. The following table indicates the unemployment rates for the City, as compared to the Commonwealth and the U.S.

Table 15
Annual Unemployment Rate

Calendar Year	City	Commonwealth	U.S.
2010	9.0%	7.1%	9.6%
2011	8.9	6.6	8.9
2012	8.2	6.1	8.1
2013	7.5	5.7	7.4
2014	6.8	5.2	6.2
2015	6.0	4.5	5.3
2016	5.8	4.1	4.9
2017	5.0	3.7	4.4
2018	4.1	3.0	3.9
2019	3.8	2.8	3.7

Source: Bureau of Labor Statistics.

Table 16
Principal Private and Public Employers in the City
As of June 30, 2020

Over 600 Employees

City of Hampton
Commonwealth of Virginia
Hampton City School Board
Hampton-Newport News Community Services Board
Hampton University
Arconic Howmet
Joint Base Langley-Eustis
NASA Langley Research Center
Riverside Regional Medical Center
Sentara Health Systems
Huntington Ingalls Industries
Thomas Nelson Community College
Department of Veterans Affairs
U.S. Department of Defense
TRG Customer Solutions
Food Lion LLC

200-599 Employees

Analytical Mechanics Associates
Versability Resources, Inc.
Faneuil Inc.
Kroger/Harris Teeter
Jacobs Technology
Scribe America LLC
Science Systems and Applications
Simos Insourcing Solutions
Top Guard Inc
Walmart Associates Inc
WPS Health Solutions
URS Federal Services
AMSEC
Ferguson Enterprises
Patient Advocate Foundation

Source: City of Hampton, Virginia, Department of Economic Development.

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The following table shows the trends in building permits issued and the value of construction over the ten-year period ending June 30, 2019.

Table 17
Building Permits Issued and Value of Construction
By Type in The City of Hampton
2010-2019

	Residential[1]		Non-Residential[2]		Other[3]		Total	
Calendar Year	Number of Permits	Value	Number of Permits	Value	Number of Permits	Value	Number of Permits	Value
2010	134	$21,777,334	82	$32,202,691	1,934	$41,261,122	2,150	$95,241,147
2011	196	34,213,649	103	21,648,621	1,788	37,146,279	2,087	93,008,549
2012	145	23,149,136	250	20,593,981	1,803	34,481,474	2,198	78,224,591
2013	131	19,468,140	21	7,437,939	1,992	46,928,356	2,144	73,834,435
2014	261	16,810,489	50	5,600,822	1,279	22,985,336	1,590	65,396,647
2015	145	35,300,735	14	8,160,870	682	24,252,460	841	67,714,065
2016	174	24,059,937	14	9,697,855	693	20,319,336	881	54,077,128
2017	165	41,947,808	25	29,757,402	728	23,830,783	918	95,535,993
2018	114	18,075,842	22	31,643,206	674	21,807,852	810	71,526,900
2019	107	20,381,127	32	3,678,858	756	19,762,937	895	43,822,922

Source: City of Hampton, Virginia, Department of Community Development.

(1) The Residential category includes permits issued for the construction of single-family homes, townhouses, apartments, and condominiums.
(2) The Non-Residential category includes hotels/motels, churches, schools, places of assembly, factory/industry, storage, business, institutional, and mercantile.
(3) The Other category includes permits for residential and non-residential renovations, additions, and alterations.

Economic Development

The City's central location within the Norfolk-Virginia Beach-Newport News, Metropolitan Statistical Area (MSA) affords its businesses the ability to take advantage of resources offered throughout the area. About two-thirds of the nation's population is within a day's drive of the region.

Hampton's many business assets have attracted an extensive list of national and international companies. Manufacturing, technology, retail, professional services, logistics and distribution, health services and federal installations comprise the major components of economic activity within the City. Additionally, 100% of Hampton's business parks are served by digital switching offices, SONET and ATM technologies.

Hampton businesses draw from the largest regional workforce between Washington, DC and Atlanta, with an estimated 830,400 person civilian labor force. Each year over 8,000 highly trained and disciplined personnel exit the military. Many of these veterans elect to stay in the area and look for private sector employment, and there are over 30,000 military spouses available to work in the region. In addition, there are almost 97,000 students attending the region's twelve universities and community colleges as reported by the *National Center for Education Statistics* website.

In fiscal year 2020, the City announced new businesses as well as existing business expansions that contributed to the economic health of the City, these announcements included:

Huntington Ingalls Industries Technical Solutions Division has announced the Unmanned Systems Center of Excellence. When constructed, the new 157,000 square foot building, located on a 20-acre campus, will create 269 jobs and represent a $46m investment.

The Virginia Tech Seafood Agricultural Research and Extension Center (AREC) has closed on the land in Downtown Hampton that will be needed for the construction of its new facility. Upon completion in 2021, the 22,283 square foot building will represent a $9.4 million investment.

WVS/PRG has closed on the land in Downtown Hampton needed to complete phase one of a multi-phase development plan. This initial phase, when completed, will consist of 131 residential units, 10,000 square feet of commercial space and a $25 million investment.

Rosie's Gaming Emporium opened in 2019 at Power Plant Hampton Roads. The new 38,000 square foot, $35 million, facility was recognized as the 3rd largest commercial transaction in the Hampton Roads Region in 2020.

Huntington Ingalls Industries leased 189,049 square feet at The Offices at Net Center in early 2020, and was recognized by the Hampton Roads 2020 Real Estate Market Review & Forecast as the top new office lease in the Hampton Roads region. The initial lease resulted in the entire 578,512 square foot facility being occupied at 92.17%. This lease is expected to expand further during the fourth quarter.

Bass Pro, a national retailer, renewed its lease at the Power Plant of Hampton Roads for another 10-year term.

The Hampton Marina Hotel, located at the downtown waterfront, is renovating and reflagging the 173 room facility. When completed in early 2021, it will operate under the Tapestry Collection by Hilton, and represent a private investment totaling over $12 million.

Three new residential projects are under construction in key areas of the city. Monroe Gates Apartments - a 162 apartment development is underway in Phoebus. Lumen Apartments is a 300 unit complex that opened in July 2020. The Ellipse Apartments is a new 260 unit project under development in Coliseum Central. Compass 19 is a for-sale, 120 unit condominium community located between downtown and Coliseum. The combined private investment in these new projects totals over $100 million.

Commercial Business

Hampton's commercial business is a major factor in the City's economy. The Hampton Roads Center North business park is instrumental in continuing this commercial development activity. The 210 acre shovel-ready site is accessible via Interstates 64 and 664. It is in close proximity to the Newport News/Williamsburg International Airport and Norfolk International Airport. Additionally, it is improved with all necessary public and private utilities and with other infrastructure to accommodate future commercial buildings. It is anticipated that the recently opened Lumen Apartment project will inject a live-work-play element to the park and elevate it to accommodate the needs of the modern day workforce.

In Downtown Hampton, the initial phase of the multi-phase WVS development plan is underway. The larger overall plan, when finished, will consist of 1,041,146 square feet in new residential and commercial development.

Another key development that is advancing the transformation of downtown is the construction of the Virginia Tech Seafood Agricultural Research and Extension Center (AREC). The land transaction has closed and construction is to begin in late 2020. When completed in 2021, the new research facility will house agriculture laboratories, seafood and microbiological laboratories, water chemistry labs, and training facilities.

The renaissance of the Phoebus area continues to gain momentum. New venues such as the Baker's Wife Bistro and Bar, 1865 Brewing Company and Fox Tail Wine Bar are set to open in late 2020 and will join other established local favorites such as Sly Clyde Ciderworks, Mango Mangeaux, El Diablo Loco, Stuft, Fullers Raw Bar & Grille and the Phoebus Dive Bar. The cluster of these unique spots combined with residential developments such as Monroe Gates will continue to add vibrancy to this area of Hampton.

Coliseum Central continues to be the major retail and business district within the City. The former Riverdale Shopping Center, now known as Riverpointe Shopping Center, has undergone the planned renovation and new construction. This $58 million private investment has resulted in new anchor tenants such as Conn's Home Plus, At Home and the newly constructed 105,000 square foot Kroger store which opened in early 2020.

The Peninsula Town Center is continuing to expand, adding new restaurants and private investments to the major center. Sky Zone Trampoline Park opened in January 2020. New restaurants such as Mod Pizza, Mezah Mediterranean Grill and Domoishi offer additional dining options for shoppers as well as the guests of the new Element Hotel located in the center. In fiscal year 2020 over $2 million was invested in new restaurant space in Peninsula Town Center.

Public-Private & Public-Public Economic Development Initiatives

Peninsula Town Center continues to grow its reputation as a vibrant mixed-use community located at the center of the Hampton Roads region. The approximately 77-acre site encompasses over one million square feet of mixed-use property, including over 800,000 square feet of retail, dining and entertainment space anchored by three public parks. Upper story uses include over 125,000 square feet of Class A office space and loft-style apartments. This development has been recognized both for its aesthetics as well as its contribution to the community including several regional, state and national awards.

The Crossroads Project, a comprehensive initiative of the Coliseum Central Master Plan is a multi-use development strategy aimed at enhancing Hampton's tax base and quality of life. Crossroads is located on approximately 120 acres of publicly-owned land surrounding the Hampton Coliseum and in direct proximity to the Hampton Roads Convention Center and the Embassy Suites Hampton Roads Hotel, Spa & Convention Center. Future development components may include enhanced public space, higher-end, high density residential development, retail, restaurants and entertainment venues.

Riverwalk at Central Park, a major multi-modal public park, includes a linear waterfront amenity that follows along Newmarket Creek and connects Lake Hampton, Coliseum Lake and Bass Pro Lake at the Power Plant of Hampton Roads, creating a picturesque environment. The multi-phase project, when completed, will incorporate areas for entertainment, recreation and relaxation with water access, interactive fountains and elevated boardwalks. It is designed to link major development projects and tourist attractions in Coliseum Central, extending through the Crossroads community and the Power Plant of Hampton Roads.

Sentara CarePlex is part of the largest integrated health care provider and second largest private employer in Hampton Roads. The Sentara CarePlex Hospital's third tower expansion added an additional 55,000 square feet to the complex and increased the total number of beds to 224. This addition serves exclusively as the Peninsula's only dedicated orthopedic hospital. To the west of the CarePlex is the Sentara

Campus West expansion developed in partnership with the Hammes Corporation. Sentara Campus West includes the 72,000 square foot Sentara Fitness and Medical Arts Building, 110 room Hampton Inn Hotel and C&F Bank.

The Power Plant of Hampton Roads is a lifestyle, entertainment and big-box retail project developed by The Cordish Company of Baltimore, MD. Anchored by national tenants, the Power Plant of Hampton Roads mixes retail and restaurants around an eight acre lake. Bass Pro Shops is an interactive retailer drawing from a regional and expanded market area. The 110,000 square foot store is a destination for shoppers. The Hampton store is adorned with waterfalls, a huge aquarium and true-to-life wildlife exhibits. Entertainment and restaurant venues include Rosie's Gaming Emporium, as well as PBR and Guy Fieri's Dive and Taco bar are located along the vibrant backdrop of the lake and boardwalk.

Incentive Zones

Hampton's State Designated Enterprise Zones provide a host of state and local incentives to companies expanding or relocating within these areas. Currently, Hampton has two zones - the Hampton Urban Enterprise Zone and the Hampton Roads Center Enterprise Zone. In the last grant cycle, 19 grants totaling $980,000 were awarded to Hampton businesses.

There are four census tracts within Hampton that have been designated as Opportunity Zones. The designations are permanent until December 31, 2028. Opportunity Zones are a federal economic development and community development tax benefit established as part of the 2017 Tax Cuts and Jobs Act available to investors with capital gains designed to encourage long-term private investment in low-income urban, suburban and rural census tracts.

Research Facilities

National Aeronautics and Space Administration's NASA Langley Research Center is located on 788 acres in Hampton adjacent to Joint Base Langley-Eustis. The Center is an important national resource serving inherent government functions such as safety, national defense, environment and the air transportation system. Established in 1917 as NACA, NASA Langley's economic impact for fiscal year 2019 included 3,400 government and contractor jobs with a $902 million economic impact in Hampton Roads.

Since its founding, NASA Langley has made applied research widely available to the private sector. Results of this approach are borne out in the number of commercial products generated from the Center's aerospace studies.

National Institute of Aerospace (NIA) is a world-class research institute created to complement NASA Langley's mission to conduct cutting-edge aerospace and atmospheric research, develop new technologies for the nation, and help train the next generation of scientists and engineers. The NIA was the recipient of a State bond issue and, as a result, opened its $12 million state-of-the-art laboratory facility in April 2012. The Institute has grown to revenues in excess of $31 million with just under 200 employees, faculty and students.

Hampton University is ranked #5 among the top Historically Black Colleges and Universities in the 2021 U.S. News and World Report - Best College rankings. The University is home to a number of exceptional research centers including the Virtual Parts Modeling and Simulation Center, the Center for Atmospheric Sciences, Center of Advanced Medical Instrumentation, the Aero Propulsion Center, the Data

Conversion and Management Lab, the Center for Laser Spectroscopy and Science, and the Center for the Study of the Origin and Structure of Matter.

Military

Joint Base Langley-Eustis (JBLE) is composed of Langley Air Force Base, Hampton, VA and Fort Eustis, Newport News, VA. Langley Air Force Base is the home of the United States Air Force's 633rd Air Base Wing (633 ABW), 1st Fighter Wing (1 FW), 192nd Fighter Wing (192 FW) and the 480th Intelligence Surveillance and Reconnaissance Wing (480 ISRW). It also hosts the Command and Control Integration Center Field Operating Agency, the 192nd Fighter Wing of the Virginia Air National Guard and Headquarters Air Combat Command (ACC). The recent addition of the F-22 Formal Training Unit Mission resulted in 800 new jobs.

Covering 2,900 acres, Langley has 9,199 military personnel and approximately 2,655 civilian employees with a combined payroll of over $1.471 million. The combined JBLE total fiscal year 2018 economic impact to the City and surrounding localities was $1.9 billion.

The Hampton VA Medical Center (HVAMC) is located on an 86 acre campus along the historic banks of the Chesapeake Bay and next to Hampton University. The HVAMC is a world class facility with highly skilled and compassionate staff. The Medical Center is a leader in technology and innovation providing health care services to Veterans in southeastern Virginia and northeastern North Carolina. The HVAMC is a tertiary care, Complexity Level 2 hospital. HVAMC provides comprehensive primary and specialty care in medicine, surgery and psychiatry. The Medical Center is geographically positioned among one of the largest Department of Defense (DOD) active duty and military retiree populations in the United States. The HVMAC has experienced a continuing trend of 5-7% growth in veteran enrollees. The HVAMC has over 1,850 employees and an annual operating budget of $350 million.

Minority Business Program

Hampton City Council approved a Minority Business Program in 2009. The City works with small, women, and minority (SWaM) businesses to assist with business development needs, build new business relationships and strives to improve participation on City and school related projects.

The City's ultimate goal is to increase and sustain utilization of SWaM vendors in an atmosphere of collaboration and support from staff, City leaders, businesses, agencies and other partners. This effort is envisioned to build a harmonious relationship with the SWaM community while providing the highest quality of goods and services to citizens.

In addition, the City sponsors and hosts workshops, seminars, trainings and conferences which assist SWaM businesses in becoming actively involved in procurement and contracting opportunities as well as growing their businesses. The City remains actively involved with local, regional and state initiatives focused on supporting small businesses and will continue to expand partnerships with other organizations to reach more businesses.

The City utilizes Hampton.gov notifications to inform potential SWaM businesses of bids being sought and advertised. All bids will also be posted on Virginia's eProcurement Portal (eVA) under Business Opportunities. The City is the first locality in Hampton Roads to utilize the Contact Management Module for one source data for Procurement tracking and monitoring. The City continues to identify existing small, women, and minority businesses that are not certified, market the advantages of becoming a certified business, and assist with the certification process as needed.

Staff continues to work closely with the Department of Small Business and Supplier Diversity, Hampton Procurement, and the Purchasing and Procurement Oversight Committee (PPOC) to achieve the City's Small, Women, and Minority Business Program goals. The PPOC was established by City Council and serves as an advisory board to ensure greater fairness, cost effectiveness, simplicity and broader representation in the procurement of goods and services by the City and its affiliated agencies and organizations.

Workforce Development

The Peninsula Workforce Development Center, a 92,000 square foot state-of-the-art facility, continues to proactively address the training and quality of the area's workforce. It is located in Hampton Roads Center Central and is a regional one-stop resource for workforce training and employment programs. The Center houses Thomas Nelson Community College's workforce training programs, Old Dominion University's Peninsula Higher Education Center, Virginia Career Works Region, and the Virginia Employment Commission's Hampton and Eastern Regional offices.

Thomas Nelson Community College offers planning and strategic partnerships with economic development entities on the Virginia Peninsula. Services include targeted workforce development strategic planning, joint grant opportunities, pre-employment training, employer/industry customized training programs and availability of fully equipped training facilities including classrooms, labs and flexible manufacturing and industrial training spaces.

In collaboration with the community, the School Board ensures academic excellence for "every child, every day, whatever it takes." The Academies of Hampton are the key initiative to achieve the division's vision and mission of preparing high school students for postsecondary education and employment in high-demand, high-wage, 21st century careers, regardless of the career path they choose. The Master Plan, a five year blueprint for implementation and sustainability of The Academies of Hampton, is a community-driven, community-supported plan, developed with businesses, industries, postsecondary, non-profit and civic partners. The Master Plan aligns local and state priorities with the community's vision that every young person graduates prepared for success in a career, in lifelong learning and, in life.

Opened in December 2018, the Hampton WorkOne Center offers free educational services and occupational training that include financial literacy and job readiness assistance. The purpose of the WorkOne Center aligns with the goals of the overall Workforce Hampton initiative to close the gap in accessibility to workforce resources and services and create stronger partnerships and effective policies for career-building.

Transportation and Logistics Network

Interstates 64 and 664 converge in Hampton, providing excellent access to airports and Interstates 95 and 85, making the area within a day's drive of two-thirds of the nation's population and core manufacturing and distribution centers. The Commonwealth Transportation Board (CTB) approved a preferred alternative to ease congestion and improve travel on the I-64 Hampton Roads Bridge-Tunnel. When completed, it will widen about 12 miles of I-64 to a consistent six-lane facility from I-664 in Hampton to I-564 in Norfolk. The project includes a new parallel bridge tunnel.

The I-64 Hampton Roads Bridge-Tunnel in southeastern Virginia has long been one of the region's most congested corridors. The existing 3.5-mile facility consists of two 2-lane immersed-tube tunnels on artificial islands, with trestle bridges to shore. These tunnels opened in 1957 (current westbound lanes) and

1976 (eastbound lanes) and are approximately 7,500 feet long. Traffic on these four lanes exceeds 100,000 vehicles per day during peak summer traffic.

The Hampton Roads Bridge-Tunnel Expansion Project will ease this congestion with the addition of twin 2-lane bored tunnels just west of the existing eastbound tunnel. Also, the 4-lane segments of the I-64 corridor in the cities of Hampton and Norfolk will be widened. The $3.8 billion budget includes $500 billion in contracting opportunities; the project should be completed by the end of 2025.

Hampton Roads Center Parkway provides the second major connecting link between Hampton's primary retail district and the area's interstate highway network. The parkway also provides access to several of the City's business parks including Hampton Roads Center South, Hampton Roads Center Central, Hampton Roads Center North and Langley Research and Development Park.

Two major airports are within a 30-minute drive, Newport News/Williamsburg International Airport and Norfolk International Airport. The Newport News/Williamsburg International Airport is centrally located within minutes of anywhere on the Virginia Peninsula. The airport is served by Delta and American Airlines. Corporate and general aviation aircraft at Newport News/Williamsburg International Airport are serviced by two full-service fixed base operators. The Norfolk International Airport is served by American, Delta, Southwest, United, Allegiant, and Frontier. Richmond International Airport is northwest of Hampton and less than an hour away.

The Port of Virginia is the third largest port on the East Coast, and it is the world's largest natural deep water harbor. The port has state-of-the-art facilities which handle all types of cargo, including container, bulk, break bulk, motor vehicles, equipment and coal. The Port provides direct services to 45 countries. During 2017, it handled the 3rd highest TEU volume and maintained a 13.7% market share among the 10 East Coast port operations.

The region is served by two major railroads - Norfolk Southern Corporation and CSX Corporation.

Public transportation is provided by Hampton Roads Transit (HRT). Service includes regular bus service as well as fixed route transit services such as express buses.

Tourism

Hampton is the geographic center of coastal Virginia and home to several major visitor attractions and is well positioned for weekend getaways, leisure visitations, Mid-Atlantic (tristate) conventions, and national amateur athletic competitions.

Hampton is home to several major event venues that serve as tourism economic engines for the City and are marketed by the Hampton Convention & Visitor Bureau (CVB). These include the Hampton Roads Convention Center, Hampton Coliseum, Boo Williams Sportsplex, and Hampton University Convocation Center. The campus shared by the Hampton Roads Convention Center and the Hampton Coliseum is unique in the region and in Virginia. The Hampton Roads Convention Center presents 35 flexible event spaces including an exhibit hall, grand ballroom and conference room, all divisible, plus breakout rooms to accommodate 2,000 – 14,000 people.

The Boo Williams Sportsplex, a 130,000 square foot sports facility offers basketball, volleyball, indoor track and other sports-related uses along with seating for 4,000. The venue generates $2.5 million in regional lodging economic impact alone. Hampton has seen a surge in indoor and outdoor sporting events, and hosts 30-plus events on an annual basis.

Hampton is proceeding with plans the construction of a new $29.5 million aquatics facility in the Coliseum Central district. The new venue will help the City's effort to attract sports tourism and allow it to host larger swim tournaments.

Hampton experienced a notable surge in leisure visitation, the result of ongoing concerted marketing and advertising focus on sources of leisure travelers, including AAAs, state welcome centers, print and digital media, and third party-credible placements generated by travel journalists writing about their personal experiences in Hampton.

Cyber Security – Protection of City Information Technology

The City's Information Technology (IT) Department understands the use of electronic systems and information technologies are essential to conducting City operations and delivering effective and efficient services. To this end, the IT department strives to use best practices in its use of technology and has developed policies for cyber security along with procedures for the use of the various technologies to protect our data and technology infrastructure. These policies also help prevent, respond to, and minimize the impact of malicious activity on City systems. The policies and procedures implemented are based on the National Institute of Standards and Technology (NIST) Cybersecurity Framework and the Virginia Information Technologies Agency (VITA) Information Security Standard which covers a multitude of Federal, State, and Local regulatory requirements. Annual audits are conducted by the State, City and local offices to ensure the security of the City's electronic systems. The City has implemented an IT security awareness program that provides security training for all City employees. The City has employed Cyber Security campaigns for all City employees to ensure security of systems are a way of practice for the City. To ensure safety and security of City systems, the City:

- Converted from Checkpoint and Cisco firewalls to the more robust Palo Alto Firewall
- Uses Palo Alto's Panorama program to manage all firewalls for local and remote locations
- Uses Secureworks for City Intrusion Detection System (IDS)
- Uses Proofpoint's Endpoint Solution to manage malicious activity on the City's email system
- Uses Symantec Endpoint Protection (anti-virus, malware)
- Uses Patch Management to ensure equipment is up-to-date (servers, switches, PCs)
- Is implementing Cohesity's Security Application that helps prevent and recover from ransomware attacks

PART V

ADDITIONAL INFORMATION

ABSENCE OF MATERIAL LITIGATION

There are miscellaneous claims against the City in litigation. In the opinion of the City Attorney and the City administration, none of these claims, if determined adversely to the City, would materially affect the City's financial position.

According to the City Attorney, there is no litigation of any kind now pending or, to the best of her information, knowledge and belief, threatened to restrain or enjoin the issuance or delivery of the Bonds, in any manner questioning the proceedings and authority under which the Bonds are issued or affecting the ability of the City to levy or collect ad valorem taxes over and above all other taxes authorized or limited by law without limitation as to rate or amount for payment of principal of or premium, if any, or interest on the Bonds.

RATINGS

The City requested that the Bonds be rated and it furnished certain information to Moody's Investors Service ("Moody's"), S&P Global Ratings ("S&P") and Fitch Ratings ("Fitch") that may not be included in this Official Statement. Moody's has assigned a rating of Aa1 (no outlook assigned) to the Bonds. S&P has assigned a rating of AA+ (stable outlook) to the Bonds. Fitch has assigned a rating of AA+ (stable outlook) to the Bonds. The ratings assigned by Moody's, S&P and Fitch express only the view of each respective rating agency. The explanation of the significance of each rating may be obtained from Moody's, S&P and Fitch, respectively. There is no assurance that any rating will continue for any period of time or that it will not be revised or withdrawn. Any revision or withdrawal of ratings may adversely affect the market price of the Bonds.

Additionally, due to the ongoing uncertainty regarding the debt of the United States of America, including without limitation, the general economic conditions in the country, and other political and economic developments that may affect the financial condition of the United States government, the United States debt limit, and the bond ratings of the United States and its instrumentalities, obligations issued by state and local governments, such as the Bonds, could be subject to a rating downgrade. Furthermore, if a significant default or other financial crisis should occur in the affairs of the United States or of any of its agencies or political subdivisions, then such event could also adversely affect the market for and ratings, liquidity, and market value of outstanding debt obligations, such as the Bonds.

LEGALITY FOR INVESTMENT

The Act provides that bonds and notes issued by the City under the Act are securities in which all public officers and public bodies of the Commonwealth of Virginia and all counties, cities and towns and municipal subdivisions, all insurance companies and associations, all savings banks and savings institutions, including savings and loan associations, trust companies, beneficial and benevolent associations, administrators, guardians, executors, trustees and other fiduciaries in the Commonwealth may properly and legally invest funds under their control.

FINANCIAL ADVISOR

The City has retained Davenport and Company of Richmond, Virginia, as Financial Advisor in connection with the issuance and sale of the Bonds. Although Davenport and Company has assisted in the preparation of this Official Statement, Davenport and Company is not obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in the Official Statement.

CONTINUING DISCLOSURE - RULE 15C2-12

The City has undertaken in the Resolution to assist the underwriters purchasing the Bonds in complying with the provisions of Section (b)(5)(i) of Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "SEC") under the Securities Exchange Act of 1934, as amended, and as in effect as of the date hereof, by providing certain annual financial information and event notices required by the Rule (collectively, "Continuing Disclosure'). As described in **Appendix C**, such undertaking requires the City to provide only limited information at specified times. In the undertaking, the City has agreed to provide the financial information and operating data within 180 days after the end of the City's fiscal year, commencing with its fiscal year ending June 30, 2020.

The City is required to file its Continuing Disclosure with the Municipal Securities Rulemaking Board ("MSRB"). The MSRB designated its Electronic Municipal Market Access ("EMMA") system as the repository for Continuing Disclosures filings. Bondholders will be able to access Continuing Disclosure filings with the MSRB at www.emma.msrb.org.

As described more fully in **Appendix C**, any Bondholder may take steps to enforce the obligation of the City to provide Continuing Disclosure, but any failure by the City under its obligation will not result in an event of default under the Bonds.

Investors and other interested parties may contact the MSRB for additional information concerning its services. The City makes no representation as to the scope of the services provided to the secondary market by the MSRB or as to the costs for the provision of such services by the MSRB.

LIMITED VOLUNTARY CONTINUING DISCLOSURE RELATED TO RESILIENCY PROJECTS

The City has undertaken to provide certain voluntary continuing disclosure with respect to the Resiliency Projects to allow investors to evaluate certain characteristics and outcomes related to environmental and other goals. The City's present intent is to provide ongoing disclosure annually during construction and upon completion as summarized below and described in the section of the Project Technical Memorandum entitled "Environmental Impact Bond and Green Bond Reporting." See "DESCRIPTION OF THE BONDS – Designation of the Series 2020A Bonds as Environmental Impact Bonds and Green Bonds- Environmental Impact and Green Bond Reporting" herein. *The City's undertaking is strictly voluntary and may be modified, amended or discontinued at any time in the City's sole discretion without the consent of the holders of the Series 2020A Bonds.*

Annual Disclosure Regarding Use of Series 2020A Bonds Proceeds. The City's voluntary undertaking includes posting annually on EMMA and on the Resilient Hampton Website a description of the use of proceeds of the Series 2020A Bonds on the Resiliency Projects, along with the development and construction progress made through completion of each Resiliency Project. The report will also identify the Resiliency Projects' alignment with the U.N. Sustainable Development Goals.

Project Completion Report. Within six (6) months of completion of each Resiliency Project and receipt of the Independent Validator Final Report (as defined and described in the Project Technical Memorandum), the City intends to post on EMMA and on the Resilient Hampton website a report prepared by the Independent Validator to corroborate the construction and completion of the Resiliency Projects in accordance with their plans and specifications, and include in such report a verified comparison of Stormwater Volume Storage Capacity as-built to as-designed**.**

APPROVAL OF LEGAL PROCEEDINGS

Certain legal matters relating to the authorization and validity of the Bonds will be subject to the approving opinion of Bond Counsel, Kutak Rock LLP, Richmond, Virginia (the "Bond Opinion"), in substantially the form set forth in **Appendix B**, which will be furnished at the expense of the City upon delivery of the Bonds. Certain legal matters for the City will be passed on by its City Attorney, Cheran Cordell Ivery, Esquire. Certain legal matters for the Underwriters will be passed on by their counsel, McGuireWoods LLP, Richmond, Virginia.

TAX MATTERS

Series 2020A Bonds

General Matters. In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, interest on the Series 2020A Bonds is excludable from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal alternative minimum tax. The opinion described in the preceding sentence assumes the accuracy of certain representations and compliance by the City with covenants designed to satisfy the requirements of the Code that must be met subsequent to the issuance of the Series 2020A Bonds. Failure to comply with such requirements could cause interest on the Series 2020A Bonds to be included in gross income for federal income tax purposes retroactive to their date of issuance. The City will covenant to comply with such requirements. Bond Counsel has expressed no opinion regarding other federal tax consequences arising with respect to the Series 2020A Bonds.

Bond Counsel is also of the opinion that, under existing statutes of the Commonwealth, interest on the Series 2020A Bonds, their transfer and income from them and any profit made on their sale, are exempt from taxation by the Commonwealth and its political subdivisions.

Original Issue Discount. The Series 2020A Bonds that have an original yield above their respective interest rates, as shown on the inside cover of this Official Statement (collectively, the "Discount Bonds"), are being sold at an original issue discount. The difference between the initial public offering prices of such Discount Bonds and their stated amounts to be paid at maturity constitutes original issue discount treated in the same manner for federal income tax purposes as interest, as described above.

The amount of original issue discount that is treated as having accrued with respect to a Discount Bond is added to the cost basis of the owner of the bond in determining, for federal income tax purposes, gain or loss upon disposition of such Discount Bond (including its sale, redemption or payment at maturity). Amounts received on disposition of such Discount Bond that are attributable to accrued original issue discount will be treated as tax-exempt interest, rather than as taxable gain, for federal income tax purposes.

Original issue discount is treated as compounding semiannually, at a rate determined by reference to the yield to maturity of each individual Discount Bond, on days that are determined by reference to the maturity date of such Discount Bond. The amount treated as original issue discount on such Discount Bond for a particular semiannual accrual period is equal to (a) the product of (i) the yield to maturity for such Discount Bond (determined by compounding at the close of each accrual period) and (ii) the amount that would have been the tax basis of such Discount Bond at the beginning of the particular accrual period if held by the original purchaser, (b) less the amount of any interest payable for such Discount Bond during the accrual period. The tax basis for purposes of the preceding sentence is determined by adding to the initial public offering price on such Discount Bond the sum of the amounts that have been treated as original issue discount for such purposes during all prior periods. If such Discount Bond is sold between semiannual compounding dates, original issue discount that would have been accrued for that semiannual compounding period for federal income tax purposes is to be apportioned in equal amounts among the days in such compounding period.

Owners of Discount Bonds should consult their tax advisors with respect to the determination and treatment of original issue discount accrued as of any date and with respect to the state and local tax consequences of owning a Discount Bond. Subsequent purchasers of Discount Bonds that purchase such bonds for a price that is higher or lower than the "adjusted issue price" of the Series 2020A Bonds at the time of purchase should consult their tax advisors as to the effect on the accrual of original issue discount.

Original Issue Premium. The Series 2020A Bonds that have an original yield below their respective interest rates, as shown on the inside cover of this Official Statement (collectively, the "Premium Bonds"), are being sold at a premium. An amount equal to the excess of the issue price of a Premium Bond over its stated redemption price at maturity constitutes premium on such Premium Bond. A purchaser of a Premium Bond must amortize any premium over such Premium Bond's term using constant yield principles, based on the purchaser's yield to maturity (or, in the case of Premium Bonds callable prior to their maturity, generally by amortizing the premium to the call date, based on the purchaser's yield to the call date and giving effect to any call premium). As premium is amortized, the amount of the amortization offsets a corresponding amount of interest for the period, and the purchaser's basis in such Premium Bond is reduced by a corresponding amount resulting in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Premium Bond prior to its maturity. Even though the purchaser's basis may be reduced, no federal income tax deduction is allowed. Purchasers of the Premium Bonds should consult their tax advisors with respect to the determination and treatment of premium for federal income tax purposes and with respect to the state and local tax consequences of owning a Premium Bond.

Backup Withholding. As a result of the enactment of the Tax Increase Prevention and Reconciliation Act of 2005, interest on tax-exempt obligations such as the Series 2020A Bonds is subject to information reporting in a manner similar to interest paid on taxable obligations. Backup withholding may be imposed on payments to any owner of the Series 2020A Bonds that fails to provide certain required information including an accurate taxpayer identification number to any person required to collect such information pursuant to Section 6049 of the Code. The reporting requirement does not in and of itself affect or alter the excludability of interest on the Series 2020A Bonds from gross income for federal income tax purposes or any other federal tax consequence of purchasing, holding or selling tax-exempt obligations.

Internal Revenue Service Audits. The Internal Revenue Service has an ongoing program of auditing tax-exempt obligations such as the Series2020A Bonds to determine whether, in the view of the Internal Revenue Service, interest on such tax-exempt obligations is included in the gross income for federal income tax purposes. It cannot be predicted whether or not the Internal Revenue Service will commence an audit of any of the Series 2020A Bonds. If an audit is commenced, under current procedures the Internal Revenue Service may treat the City as the issuer of the Series 2020A Bonds as a taxpayer, and the registered owners of the Series 2020A Bonds may have no right to participate in such procedure. The commencement of an audit could adversely affect the market value and liquidity of the related Series 2020A Bonds until the audit is concluded, regardless of the ultimate outcome.

Changes in Federal and State Tax Law. From time to time, there are legislative proposals in the Congress and in the states that, if enacted, could alter or amend the federal and state tax matters referred to under this heading "TAX MATTERS" or adversely affect the market value of the Series 2020A Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value of the Series 2020A Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Series 2020A Bonds or the market value thereof would be impacted thereby. Purchasers of the Series 2020A Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions expressed by Bond Counsel are based on existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Series 2020A Bonds, and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

PROSPECTIVE PURCHASERS OF THE SERIES 2020A BONDS ARE ADVISED TO CONSULT THEIR OWN TAX ADVISORS PRIOR TO ANY PURCHASE OF THE SERIES 2020A BONDS AS TO THE IMPACT OF THE CODE UPON THEIR ACQUISITION, HOLDING OR DISPOSITION OF THE SERIES 2020A BONDS.

Series 2020B Bonds

General Matters. Bond Counsel is of the opinion that interest on the Series 2020B Bonds is included in gross income for federal income tax purposes. Bond Counsel is also of the opinion that, under existing statutes of the City, interest on the Series 2020B Bonds, their transfer and income from them and any profit made on their sale, are exempt from taxation by the Commonwealth and its political subdivisions. Bond Counsel has expressed no opinion regarding other tax consequences arising with respect to the Series 2020B Bonds under the laws of the Commonwealth or any other state or jurisdiction.

The following is a summary of certain anticipated federal income tax consequences of the purchase, ownership and disposition of the Series 2020B Bonds under the Code and the Regulations, and the judicial and administrative rulings and court decisions now in effect, all of which are subject to change or possible differing interpretations. The summary does not purport to address all aspects of federal income taxation that may affect particular investors in light of their individual circumstances, nor certain types of investors subject to special treatment under the federal income tax laws. Potential purchasers of the Series 2020B Bonds should consult their own tax advisors in determining the federal, state or local tax consequences to them of the purchase, holding and disposition of the Series 2020B Bonds.

In general, interest paid on the Series 2020B Bonds, original issue discount, if any, and market discount, if any, will be treated as ordinary income to the owners of the Series 2020B Bonds, and principal payments (excluding the portion of such payments, if any, characterized as original issue discount or accrued market discount) will be treated as a return of capital.

Bond Premium. An investor that acquires a Series 2020B Bond for a cost greater than its remaining stated redemption price at maturity and holds such bond as a capital asset will be considered to have purchased such bond at a premium and, subject to prior election permitted by Section 171(c) of the Code, may generally amortize such premium under the constant yield method. Except as may be provided by regulation, amortized premium will be allocated among, and treated as an offset to, interest payments. The basis reduction requirements of Section 1016(a)(5) of the Code apply to amortizable bond premium that reduces interest payments under Section 171 of the Code. Bond premium is generally amortized over the bond's term using constant yield principles, based on the purchaser's yield to maturity. Investors of any Series 2020B Bond purchased with a bond premium should consult their own tax advisors as to the effect of such bond premium with respect to their own tax situation and as to the treatment of bond premium for state tax purposes.

Original Issue Discount. If the Series 2020B Bonds are issued with original issue discount, Section 1272 of the Code requires the current ratable inclusion in income of original issue discount greater than a specified *de minimis* amount using a constant yield method of accounting. In general, original issue discount is calculated, with regard to any accrual period, by applying the instrument's yield to its adjusted issue price at the beginning of the accrual period, reduced by any qualified stated interest allocable to the period. The aggregate original issue discount allocable to an accrual period is allocated to each day included in such period. As a general rule, the owner of a debt instrument must include in income the sum of the daily portions of original issue discount attributable to the number of days the owner owned the instrument. Owners of Series 2020B Bonds purchased at a discount should consult their tax advisors with respect to the determination and treatment of original issue discount accrued as of any date, with respect to when such

original issue discount must be recognized as an item of gross income (notwithstanding the general rule described above in this paragraph) and with respect to the state and local tax consequences of owning such Series 2020B Bonds.

Market Discount. An investor that acquires a Series 2020B Bond for a price less than the adjusted issue price of such bond may be subject to the market discount rules of Sections 1276 through 1278 of the Code. Under these sections and the principles applied by the Regulations, "market discount" means (a) in the case of a Series 2020B Bond originally issued at a discount, the amount by which the issue price of such bond, increased by all accrued original issue discount (as if held since the issue date), exceeds the initial tax basis of the owner therein, less any prior payments that did not constitute payments of qualified stated interest, and (b) in the case of a Series 2020B Bond not originally issued at a discount, the amount by which the stated redemption price of such bond at maturity exceeds the initial tax basis of the owner therein. Under Section 1276 of the Code, the owner of such a Series 2020B Bond will generally be required (i) to allocate each principal payment to accrued market discount not previously included in income and, upon sale or other disposition of the bond, to recognize the gain on such sale or disposition as ordinary income to the extent of such cumulative amount of accrued market discount as of the date of sale or other disposition of such a bond or (ii) to elect to include such market discount in income currently as it accrues on all market discount instruments acquired by such owner on or after the first day of the taxable year to which such election applies.

The Code authorizes the Treasury Department to issue regulations providing for the method for accruing market discount on debt instruments the principal of which is payable in more than one installment. Until such time as regulations are issued by the Treasury Department, certain rules described in the legislative history will apply. Under those rules, market discount will be included in income either (a) on a constant interest basis or (b) in proportion to the accrual of stated interest or, in the case of a Series 2020B Bond with original issue discount, in proportion to the accrual of original issue discount.

An owner of a Series 2020B Bond that acquired such bond at a market discount also may be required to defer, until the maturity date of such bond or its earlier disposition in a taxable transaction, the deduction of a portion of the amount of interest that the owner paid or accrued during the taxable year on indebtedness incurred or maintained to purchase or carry such bond in excess of the aggregate amount of interest (including original issue discount) includable in such owner's gross income for the taxable year with respect to such bond. The amount of such net interest expense deferred in a taxable year may not exceed the amount of market discount accrued on the Series 2020B Bond for the days during the taxable year on which the owner held such bond and, in general, would be deductible when such market discount is includable in income. The amount of any remaining deferred deduction is to be taken into account in the taxable year in which the Series 2020B Bond matures or is disposed of in a taxable transaction. In the case of a disposition in which gain or loss is not recognized in whole or in part, any remaining deferred deduction will be allowed to the extent gain is recognized on the disposition. This deferral rule does not apply if the owner elects to include such market discount in income currently as it accrues on all market discount obligations acquired by such owner in that taxable year or thereafter.

Attention is called to the fact that Regulations implementing the market discount rules have not yet been issued. Therefore, investors should consult their own tax advisors regarding the application of these rules as well as the advisability of making any of the elections with respect thereto.

Recognition of Income Generally. Section 451 of the Code was amended by Pub. L. No. 115-97, enacted December 22, 2017 (sometimes referred to as the Tax Cuts and Jobs Act), to provide that taxpayers using an accrual method of accounting for federal income tax purposes generally will be required to include certain amounts in income, including original issue discount, no later than the time such amounts are

reflected on certain financial statements of such taxpayer. The application of this rule may require the accrual of income earlier than would have been the case prior to the amendment of Section 451 of the Code. Investors should consult their own tax advisors regarding the application of this rule and its impact on the timing of the recognition of income related to the Series 2020B Bonds under the Code.

Unearned Income Medicare Contribution Tax. Pursuant to Section 1411 of the Code, as enacted by the Health Care and Education Reconciliation Act of 2010, an additional tax is imposed on individuals earning certain investment income. Holders of the Series 2020B Bonds should consult their own tax advisors regarding the application of this tax to interest earned on the Series 2020B Bonds and to gain on the sale of a Series 2020B Bond.

Sales or Other Dispositions. If an owner of a Series 2020B Bond sells the bond, such person will recognize gain or loss equal to the difference between the amount realized on such sale and such owner's basis in such bond. Ordinarily, such gain or loss will be treated as a capital gain or loss.

If the terms of a Series 2020B Bond were materially modified, in certain circumstances, a new debt obligation would be deemed created and exchanged for the prior obligation in a taxable transaction. Among the modifications that may be treated as material are those that relate to redemption provisions and, in the case of a nonrecourse obligation, those which involve the substitution of collateral. Each potential owner of a Series 2020B Bond should consult its own tax advisor concerning the circumstances in which such bond would be deemed reissued and the likely effects, if any, of such reissuance.

Defeasance. The legal defeasance of the Series 2020B Bonds may result in a deemed sale or exchange of such bonds under certain circumstances. Owners of such Series 2020B Bonds should consult their tax advisors as to the federal income tax consequences of such a defeasance.

Backup Withholding. An owner of a Series 2020B Bond may be subject to backup withholding at the applicable rate determined by statute with respect to interest paid with respect to the Series 2020B Bonds, if such owner, upon issuance of the Series 2020B Bonds, fails to provide to any person required to collect such information pursuant to Section 6049 of the Code with such owner's taxpayer identification number, furnishes an incorrect taxpayer identification number, fails to report interest, dividends or other "reportable payments" (as defined in the Code) properly, or, under certain circumstances, fails to provide such persons with a certified statement, under penalty of perjury, that such owner is not subject to backup withholding.

Foreign Investors. An owner of a Series 2020B Bond that is not a "United States person" (as defined below) and is not subject to federal income tax as a result of any direct or indirect connection to the United States of America in addition to its ownership of a Series 2020B Bond will generally not be subject to United States income or withholding tax in respect of a payment on a Series 2020B Bond, provided that the owner complies to the extent necessary with certain identification requirements (including delivery of a statement, signed by the owner under penalties of perjury, certifying that such owner is not a United States person and providing the name and address of such owner). For this purpose the term "United States person" means a citizen or resident of the United States of America, a corporation, partnership or other entity created or organized in or under the laws of the United States of America or any political subdivision thereof, or an estate or trust whose income from sources within the United States of America is includable in gross income for United States of America income tax purposes regardless of its connection with the conduct of a trade or business within the United States of America.

Except as explained in the preceding paragraph and subject to the provisions of any applicable tax treaty, a United States withholding tax will apply to interest paid and original issue discount accruing on

Series 2020B Bonds owned by foreign investors. In those instances in which payments of interest on the Series 2020B Bonds continue to be subject to withholding, special rules apply with respect to the withholding of tax on payments of interest on, or the sale or exchange of Series 2020B Bonds having original issue discount and held by foreign investors. Potential investors that are foreign persons should consult their own tax advisors regarding the specific tax consequences to them of owning a Series 2020B Bond.

Tax-Exempt Investors. In general, an entity that is exempt from federal income tax under the provisions of Section 501 of the Code is subject to tax on its unrelated business taxable income. Unrelated business taxable income generally means the gross income derived by an organization from any unrelated trade or business as defined in Section 513 of the Code. An unrelated trade or business is any trade or business that is not substantially related to the purpose that forms the basis for such entity's exemption. However, under the provisions of Section 512 of the Code, interest may be excluded from the calculation of unrelated business taxable income unless the obligation that gave rise to such interest is subject to acquisition indebtedness. Therefore, except to the extent any owner of a Series 2020B Bond incurs acquisition indebtedness with respect to such bond, interest paid or accrued with respect to such owner may be excluded by such tax-exempt owner from the calculation of unrelated business taxable income. Each potential tax-exempt holder of a Series 2020B Bond is urged to consult its own tax advisor regarding the application of these provisions.

ERISA Considerations. The Employee Retirement Income Security Act of 1974, as amended ("ERISA"), imposes certain requirements on "employee benefit plans" (as defined in Section 3(3) of ERISA) subject to ERISA, including entities such as collective investment funds and separate accounts whose underlying assets include the assets of such plans (collectively, "ERISA Plans") and on those persons who are fiduciaries with respect to ERISA Plans. Investments by ERISA Plans are subject to ERISA's general fiduciary requirements, including the requirement of investment prudence and diversification and the requirement that an ERISA Plan's investments be made in accordance with the documents governing the ERISA Plan. The prudence of any investment by an ERISA Plan in the Series 2020B Bonds must be determined by the responsible fiduciary of the ERISA Plan by taking into account the ERISA Plan's particular circumstances and all of the facts and circumstances of the investment. Government and non-electing church plans are generally not subject to ERISA. However, such plans may be subject to similar or other restrictions under state or local law.

In addition, ERISA and the Code generally prohibit certain transactions between an ERISA Plan or a qualified employee benefit plan under the Code and persons who, with respect to that plan, are fiduciaries or other "parties in interest" within the meaning of ERISA or "disqualified persons" within the meaning of the Code. In the absence of an applicable statutory, class or administrative exemption, transactions between an ERISA Plan and a party in interest with respect to an ERISA Plan, including the acquisition by one from the other of the Series 2020B Bonds could be viewed as violating those prohibitions. In addition, Section 4975 of the Code prohibits transactions between certain tax-favored vehicles such as Individual Retirement Accounts and disqualified persons. Section 503 of the Code includes similar restrictions with respect to governmental and church plans. In this regard, the City or any dealer of the Series 2020B Bonds might be considered or might become a "party in interest" within the meaning of ERISA or a "disqualified person" within the meaning of the Code, with respect to an ERISA Plan or a plan or arrangement subject to Sections 4975 or 503 of the Code. Prohibited transactions within the meaning of ERISA and the Code may arise if the Series 2020B Bonds are acquired by such plans or arrangements with respect to which the City or any dealer is a party in interest or disqualified person.

In all events, fiduciaries of ERISA Plans and plans or arrangements subject to the above sections of the Code, in consultation with their advisors, should carefully consider the impact of ERISA and the

Code on an investment in the Series 2020B Bonds. The sale of the Series 2020B Bonds to a plan is in no respect a representation by the City or the Underwriter that such an investment meets the relevant legal requirements with respect to benefit plans generally or any particular plan. Any plan proposing to invest in the Series 2020B Bonds should consult with its counsel to confirm that such investment is permitted under the plan documents and will not result in a non-exempt prohibited transaction and will satisfy the other requirements of ERISA, the Code and other applicable law.

UNDERWRITING

The Bonds are being purchased by Morgan Stanley & Co. LLC and Wells Fargo Bank, National Association (collectively, the "Underwriters"). The purchase contract for the Bonds (the "Bond Purchase Agreement") sets forth the obligation of the Underwriters to purchase the Series 2020A Bonds at a purchase price of $12,203,031.03 (which reflects the par amount thereof, $10,725,000, plus net original issue premium of $1,544,879.10, less an underwriting discount of $66,848.07), and to purchase the Series 2020B Bonds at purchase price of $16,806,657.40 (which reflects the par amount thereof, $16,895,000, less an underwriting discount of $88,342.60). The obligation of the Underwriters to purchase the Bonds is subject to certain terms and conditions, including the approval of certain legal matters by counsel. The Bond Purchase Agreement provides that the Underwriters will purchase all of the Bonds if any are purchased. The Underwriters may offer and sell the Bonds to certain dealers (including dealers depositing the Bonds into investment trusts) and others at prices different from the public offering prices stated on the cover page of this Official Statement. The public offering prices may be changed from time to time at the discretion of the Underwriters.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage services. Certain of the Underwriters and their respective affiliates have, from time to time, performed, and may in the future perform, various financial advisory and investment banking services for the City, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities, which may include credit default swaps) and financial instruments (including bank loans) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the City.

The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Morgan Stanley & Co. LLC, one of the Underwriters of the Bonds, has entered into a retail distribution arrangement with its affiliate Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association, which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Finance Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934.

Wells Fargo Bank, National Association, acting through its Municipal Finance Group ("WFBNA"), one of the underwriters of the Bonds, has entered into an agreement (the "WFA Distribution Agreement") with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name "Wells Fargo Advisors") ("WFA"), for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting compensation, as applicable, with respect to the Bonds with WFA. WFBNA has also entered into an agreement (the "WFSLLC Distribution Agreement") with its affiliate Wells Fargo Securities, LLC ("WFSLLC"), for the distribution of municipal securities offerings, including the Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

The arithmetical accuracy of certain computations made in connection with the Refunded Bonds and included in supporting schedules was verified by Bingham Arbitrage Rebate Services, Inc. (the "Verification Agent"), relating to (i) computations of forecasted receipts of principal and interest on the investments in the Government Obligations (herein defined) and/or cash deposited in the escrow fund established for the Refunded Bonds and the scheduled payments of principal and interest required to redeem the Refunded Bonds, and (ii) computation of the yield on the Series 2020B Bonds and the related Government Obligations. Such computations were based solely on assumptions and information supplied by the City's financial advisor, Davenport & Company. The Verification Agent has restricted its procedures to verifying the arithmetical accuracy of certain computations and has not made any study or evaluation of the assumptions and information on which the computations are based and, accordingly, has not expressed an opinion on the data used, the reasonableness of the assumptions or the achievability of the forecasted outcome.

MISCELLANEOUS

Additional information may be obtained, upon request, from the Director of Finance, 22 Lincoln Street, Hampton, Virginia 23669 (757-727-6314) or from the City's Financial Advisor, Davenport and Company, One James Center, 901 East Cary Street, Suite 1100, Richmond, Virginia 22203 (804-697-2905).

So far as any statements made in this Official Statement involve matters of opinion or of estimates, whether or not expressly stated, they are set forth as such and not as representations of fact. No representation is made that any of the statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the holders of the Bonds.

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. All quotations from and summaries and explanations of laws contained in this Official Statement do not purport to be complete and reference is made to such laws for full and complete statements of their provisions.

APPROVAL OF OFFICIAL STATEMENT

The distribution of this Official Statement has been duly authorized by the City Manager upon authorization from the City Council. The City Manager, on behalf of the City, has deemed this Official Statement final as of its date within the meaning of the Rule.

By: *_/s/ Mary B. Bunting_*
Mary B. Bunting, City Manager

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APPENDIX A

AUDITED FINANCIAL STATEMENTS
JUNE 30, 2019

The financial and operating data contained in this Appendix A are as of the dates and for the periods indicated, which were prior to the outbreak of the COVID-19 pandemic. Such financial and operating data have not been updated to reflect any potential impacts of the COVID-19 pandemic on the City's general economic and financial condition.

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Cherry Bekaert LLP
CPAs & Advisors

Report of Independent Auditor

To the Honorable Mayor and Members of City Council
City of Hampton, Virginia

Report on Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Hampton, Virginia (the "City"), as of and for the year ended June 30, 2019, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Downtown Hampton Development Partnership, Inc., which represents 1.2% and 0.3% of the assets and revenues, respectively, of the aggregate discretely presented component units. Those financial statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for the Downtown Hampton Development Partnership, Inc., is based solely on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and the *Specifications for Audits of Counties, Cities and Towns*, issued by the Auditor of Public Accounts of the Commonwealth of Virginia. Those standards and specifications require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. The financial statements of the Downtown Hampton Development Partnership, Inc. were not audited in accordance with *Government Auditing Standards*.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2019, and the respective changes in financial position and, where applicable, cash flows thereof, and the Statement of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual – General Fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and additional required supplementary information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The Introductory Section, Combining and Individual Statements, Supporting Schedules, and Statistical Section as listed in the table of contents, are presented for purposes of additional analysis and are not a required part of the basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and is also not a required part of the basic financial statements.

The Combining and Individual Statements, Supporting Schedules, and the Schedule of Expenditures of Federal Awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Combining and Individual Statements, Supporting Schedules, and the Schedule of Expenditures of Federal Awards are fairly stated in all material respects in relation to the basic financial statements as a whole.

The Introductory and Statistical Sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 29, 2019, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Cherry Bekaert LLP

Virginia Beach, Virginia
November 29, 2019

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MANAGEMENT'S DISCUSSION AND ANALYSIS

This section of the City of Hampton, Virginia's (City's) Comprehensive Annual Financial Report (CAFR) presents Management's Discussion and Analysis (MD&A) of the City's financial performance during the fiscal year ended June 30, 2019. The MD&A should be read in conjunction with the transmittal letter and the City's financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- The General Fund, on a current financial resource basis, reported revenues in excess of expenditures and other financing sources and uses by $2.67 million (Exhibit A-4) after making a $73.8 million payment to Hampton City Schools, $27.7 million transfer to Capital Projects, $8.6 million transfer to Enterprise Funds, $1.8 million to Special Revenue Funds and $31.1 million to Debt Service Fund.
- On a government-wide basis for governmental activities, the City's net position increased by $17.7 million (Exhibit A-2).
- In the City's business-type activities, on a government-wide basis, net position increased by $5.4 million (Exhibit A-2).
- The City's net position, excluding component units, on the government-wide basis, totaled $645.6 million at June 30, 2019. Of this amount, $25.8 million represents restricted net position and $(84.2) million represents the unrestricted net deficit (unrestricted net position - Exhibit A-1).

USING THE FINANCIAL SECTION OF THE COMPREHENSIVE ANNUAL FINANCIAL REPORT

The Comprehensive Annual Financial Report consists of four (4) sections: *introductory, financial, statistical and financial compliance reports for federal funds*. The financial section consists of three (3) sections: *management's discussion and analysis; basic financial statements; and supplementary information.*

GOVERNMENT-WIDE STATEMENTS

The *government-wide financial statements* are designed to provide the reader with a broad overview of the City of Hampton's finances, in a manner similar to a private-sector business. The *Statement of Net Position* (Exhibit A-1) presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources reported using the full accrual basis of accounting. The *Statement of Activities* (Exhibit A-2) presents all of the City's current year's revenues and expenses, regardless of when cash is received or paid.

The two government-wide statements report the City's net position and changes in net position. The City's net position presents financial information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in the City's net position are one indicator of whether its financial position is improving or deteriorating. However, other non-financial factors will need to be considered, such as changes in the City's property tax base and the condition of the City's infrastructure.

The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of the related cash flows. Thus, revenues and expenses are reported for some items that will only result in cash flows in future fiscal periods (e.g. uncollected taxes).

In the *Statement of Net Position* (Exhibit A-1) and the *Statement of Activities* (Exhibit A-2), the City is divided into the following:

- Governmental activities – The City's basic municipal services are reported here, including general government, public safety, public works, human services, and culture and recreation. Property taxes, other local taxes and state and federal grants finance most of these activities.
- Business-type activities – The City charges fees to customers to help cover all or most of the cost of certain services it provides. The City's coliseum, steam plant, golf courses, museum, convention center, sewer and trash collection operations are reported in this section.
- Component units – The City includes four separate legal entities in its report – the Hampton City School Board, Hampton Economic Development Authority, Coliseum Central Business Improvement District, Inc. and Downtown Hampton Development Partnership, Inc. Although legally separate, these component units are important because the City is financially accountable for these entities.

FUND FINANCIAL STATEMENTS

The fund financial statements provide more information about the City's most significant funds – not the City as a whole. Funds are accounting units that the City uses to keep track of specific sources of funding and spending for particular purposes. The City of Hampton uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The City has three types of funds:

- Governmental funds – Most of the City's basic services are reported in governmental funds, which focus on (1) the inflows and outflows of cash and other financial assets that can readily be converted into cash and (2) the balances left at year-end that are available for spending. Consequently, the governmental funds statements (Exhibits A-3, A-4 and A-5) provide a short-term view that helps the reader determine whether there are more or fewer financial resources that can be spent in the future to finance the City's programs. Because this information does not address the long-term focus of the government-wide statements, additional information is provided at the bottom of the governmental funds statements that explains the relationship (or differences) between these statements. The city maintains nine individual governmental funds.
- Proprietary funds – Services for which the City charges customers a fee are generally reported in proprietary funds. These funds, like the government-wide statements, provide both long and short-term financial information. The City's enterprise funds (one type of proprietary fund) are its business-type activities, but the fund financial statements provide more detail and additional information, such as cash flow. The City maintains eight individual enterprise funds. The City uses four internal service funds (the other type of proprietary fund) to report activities that provide supplies and services for the City's other programs and activities. These funds provide for the accumulation of money to replace capital equipment used in the City's operations, maintenance services for the City's vehicle fleet, risk management and computer and telecommunication services. The basic proprietary funds financial statements can be found in Exhibits A-6, A-7 and A-8 of this report.
- Fiduciary funds – The City is the trustee, or fiduciary, for its employees' pension plan. All of the City's fiduciary activities are reported in separate statements of fiduciary net position and statements of changes in fiduciary net position. The City excludes these activities from the City's government-wide statements because the City cannot use these assets to finance its operations. Agency funds are City custodial funds used to provide accountability of client monies for which the City is custodian. The basic fiduciary funds financial statements can be found in Exhibits A-9 and A-10 of this report.

FINANCIAL ANALYSIS OF THE CITY AS A WHOLE

Table I
Summary of Statement of Net Position (In Thousands)
June 30, 2019 and 2018

	Governmental Activities		Business-type Activities		Total Primary Government		Component Units	
	2019	2018	2019	2018	2019	2018	2019	2018
Current and other assets	$ 228,399	$ 230,981	$ 72,130	$ 68,575	$ 300,529	$ 299,556	$ 51,898	$ 45,061
Capital assets	860,457	868,553	139,061	142,096	999,518	1,010,649	42,042	43,736
Total assets	1,088,856	1,099,534	211,191	210,671	1,300,047	1,310,205	93,940	88,797
Deferred outflows of resources	25,098	26,216	5,231	5,656	30,329	31,872	22,291	23,921
Current liabilities	79,787	75,376	11,359	10,403	91,146	85,779	31,737	28,376
Long-term liabilities	471,385	505,122	95,670	101,614	567,055	606,736	200,857	216,895
Total liabilities	551,172	580,498	107,029	112,017	658,201	692,515	232,594	245,271
Deferred inflows of resources	24,984	25,121	1,619	1,919	26,603	27,040	29,154	29,611
Net position								
Investment in capital assets	636,463	635,185	67,497	69,107	703,960	704,292	42,042	43,735
Restricted	17,817	69,681	8,017	8,068	25,834	77,749	1,235	1,316
Unrestricted (deficit)	(116,482)	(184,735)	32,260	25,216	(84,222)	(159,519)	(188,794)	(207,215)
Total net position	$ 537,798	$ 520,131	$ 107,774	$ 102,391	$ 645,572	$ 622,522	$ (145,517)	$ (162,164)

The City's combined net position (which is the City's bottom line) increased by $23.1 million in fiscal year 2019. Approximately 4% represents resources that are subject to external restrictions. Net investment in capital assets represents 109% of net position. These assets are used to provide services to citizens and consequently are not available for future spending. The City's unrestricted net deficit totals $(84.2) million.

Table II

Summary of Changes in Net Position (In Thousands)

For the Fiscal Years Ended June 30, 2019 and 2018

	Governmental Activities		Business-type Activities		Total Primary Government		Component Units	
	2019	2018	2019	2018	2019	2018	2019	2018
Revenues:								
Program Revenues								
Charges for service	$ 31,263	$ 32,565	$ 48,656	$ 45,647	$ 79,919	$ 78,212	$ 5,734	$ 7,403
Operating grants and contributions	83,507	83,503	1,024	1,805	84,531	85,308	154,767	150,740
Capital grants and contributions	5,080	10,988	-	-	5,080	10,988	105	317
General revenues								
Property taxes	163,966	162,922	-	-	163,966	162,922	-	-
Other taxes	82,225	79,311	-	-	82,225	79,311	-	-
Other	4,738	1,883	1,285	930	6,023	2,813	84,664	84,776
Total revenues	370,779	371,172	50,965	48,382	421,744	419,554	245,270	243,236
Expenses								
General government	105,865	121,452	-	-	105,865	121,452	11,372	6,043
Public safety	81,673	84,859	-	-	81,673	84,859	-	-
Highways and streets	12,362	9,919	-	-	12,362	9,919	-	-
Sanitation	-		24,626	23,061	24,626	23,061	-	-
Health	1,564	(575)	-	-	1,564	(575)	-	-
Human services	34,769	34,579	-	-	34,769	34,579	-	-
Culture and recreation	16,842	16,076	30,215	27,935	47,057	44,011	-	-
Education - payment to school board	73,827	73,036	-	-	73,827	73,036	-	-
Educational	9,806	11,506	-	-	9,806	11,506	217,251	217,716
Interest on long-term debt	7,145	6,451	-	-	7,145	6,451	-	-
Total expenses	343,853	357,303	54,841	50,996	398,694	408,299	228,623	223,759
Increase (decrease) in net position before transfers	26,926	13,869	(3,876)	(2,614)	23,050	11,255	16,647	19,477
Transfers	(9,259)	(7,852)	9,259	7,852	-	-	-	-
Increase in net position	17,667	6,017	5,383	5,238	23,050	11,255	16,647	19,477
Net position, July 1	520,131	514,114	102,391	97,153	622,522	611,267	(162,164)	(181,641)
Net position, June 30	$ 537,798	$ 520,131	$ 107,774	$ 102,391	$ 645,572	$ 622,522	$ (145,517)	$ (162,164)

GOVERNMENTAL ACTIVITIES

For the fiscal year ended June 30, 2019, revenues from governmental activities totaled $370.8 million. Revenues from governmental activities decreased by approximately $.393 million. Capital grants and contributions totaled $5.1 million, a decrease of $5.9 million over the prior year. The majority of funding in capital grants and contributions consists of federal and state funding for various road projects throughout the City.

Property taxes, the City's largest revenue source, were $164.0 million, increasing $1.0 million over fiscal year 2018 primarily as a result of additional supplemental real estate assessments for new construction. Program revenues for governmental activities totaled $119.9 million. Program revenues are derived from the program itself and reduce the cost of the function to the City. One of the most significant of these revenues is the revenue category "Operating Grants and Contributions". These revenues totaled $83.5 million for the year ended June 30, 2019 which remained consistent with prior year revenues.

The other taxes revenue category, which includes taxes on general sales, utilities purchases, cigarettes, hotel rooms, restaurant meals, amusements, and business and automobile licenses, totaled $82.2 million, an increase of $2.9 million over fiscal year 2018. Business license, sales and use tax, and lodging and transit tax increased by $1.5 million, $.648 million and $.134 million, respectively. In addition, meal tax revenues increased by $1.17 million.

For the fiscal year ended June 30, 2019, expenses for governmental activities, excluding transfers totaled $343.9, decreased by $13.5 million over the prior fiscal year. The majority of this decrease occurred in the general goverment and public safety categories totaling $15.6 million and $3.2 million, respectively, offset by increases in the highways and streets and health categories totaling $2.4 and $2.1 million, respectively.

BUSINESS-TYPE ACTIVITIES

Business-type activities generated revenues of $51 million, an increase of $2.6 million when compared to the previous year. The majority of this variance is due to a $3 million increase in charges for services. Expenses for business-type activities totaled $54.8 million, an increase of $3.8 million compared to the prior year. The Coliseum experienced a $3.4 million increase in revenues along with a $2.9 million increase in expenses as a result of the variety of events held in fiscal year 2019.

FINANCIAL ANALYSIS OF THE CITY'S FUNDS

The General Fund's fund balance increased by $2.7 million over fiscal year 2018 primarily due to unexpended appropriations for the year.

The Capital Projects Fund reflected a decrease in fund balance of $7.4 million due to the completion of prior year capital projects funded with bond funds.

GENERAL FUND BUDGETARY HIGHLIGHTS

During the year, the City Council revised the budget on several occasions. City Council appropriated $12 million from committed fund balance to fund uncompleted projects in the Capital Projects Fund. These projects were funded from the General Fund in fiscal year 2019 but the appropriations lapsed at the end of the fiscal year. Under the City's budget savings program, the remaining budget savings of $1.4 million was rolled from fiscal year 2018 to fiscal year 2019. City Council adopted a budget savings program whereby departments will retain 65 percent of their end of the fiscal year budget savings, 15 percent will be placed into an innovations pool, 15% will be placed in a computer replacement program and $415,000 will be designated for drainage projects. In addition, the City reappropriated grant, donations, and other revenues.

Actual expenditures and transfers were $18.2 million below the final budget. A significant amount of this variance ($11.6 million) occurred in the general government function, specifically in non-departmental in the amount of $4.8 million, retirement and employee benefits in the amount of $4.2 million and public safety category in the amount of $1.1 million. Also contributing to this variance was unused budget savings under the City's budget savings program of $1.2 million. A $3.1 million variance was noted in transfers to other funds, specifically the transfer to the Debt Service Fund.

Revenues exceeded budget by $4.1 million. This is primarily due to general property taxes exceeding budget by $1.6 million due to additional supplemental real estate assessments for new construction. Also contributing to this variance is business license taxes, meal taxes, interest earned on investments, ambulance services revenue and federal public assistance funding tracking over budget by $1.9 million, $.967 million, $1.2 million, $.544 million, and $1.2 million, respectively.

CAPITAL ASSETS

The total decrease over fiscal year 2018 in the City's investment in capital assets for the current fiscal year is $11.1 million. At the end of fiscal year 2019, the City had invested approximately $1 billion in a variety of capital assets and infrastructure, as reflected in the following schedule:

Table III Capital Assets (In Thousands)

	Governmental Activities		Business-type Activities		Total	
	2019	2018	2019	2018	2019	2018
Non-depreciable assets:						
Land and land improvements	$ 519,060	$ 517,593	$ 11,066	$ 11,065	$ 530,126	$ 528,658
Easements	2,222	2,162	29	29	2,251	2,191
Construction in progress	25,441	23,400	749	957	26,190	24,357
Other capital assets:						
Buildings and improvements	196,613	196,613	140,883	140,142	337,496	336,755
Improvements other than buildings	82,821	80,624	35,757	35,809	118,578	116,433
Equipment and vehicles	87,360	85,969	32,718	30,272	120,078	116,241
Exhibits	-	-	14,865	14,683	14,865	14,683
Landfill	-	-	3,866	3,866	3,866	3,866
Infrastructure	222,757	217,332	74,843	73,450	297,600	290,782
Computer software	2,121	2,121	402	402	2,523	2,523
Other assets	4,446	4,446	-	-	4,446	4,446
Accumulated depreciation	(282,384)	(261,707)	(176,117)	(168,579)	(458,501)	(430,286)
Total	$ 860,457	$ 868,553	$ 139,061	$ 142,096	$ 999,518	$ 1,010,649

	School Board		Economic Development Authority		Coliseum Central Business Improvement District, Inc.	
	2019	2018	2019	2018	2019	2018
Component Units						
Non-depreciable assets:						
Land and land improvements	$ 5,111	$ 5,111	$ 21,470	$ 21,470	$ -	$ -
Other capital assets:						
Buildings and improvements	48,963	48,963	7,834	7,834	-	-
Improvements other than buildings	310	310	755	755	-	-
Infrastructure	-	-	2,049	2,049	-	-
Computer software	1,132	-	-	-	5	5
Equipment and vehicles	40,740	42,521	623	623	148	144
Accumulated depreciation	(84,964)	(84,460)	(2,255)	(1,690)	(145)	(142)
Total	$ 11,292	$ 12,445	$ 30,476	$ 31,041	$ 8	$ 7

Component Units	Downtown Hampton 2019	Downtown Hampton 2018	Total Component Units 2019	Total Component Units 2018
Non-depreciable assets:				
Land and land improvements	$ -	$ -	$ 26,581	$ 26,581
Other capital assets:				
Buildings and improvements	-	-	56,797	56,797
Improvements other than buildings	-	-	1,065	1,065
Infrastructure	471	447	2,520	2,496
Computer software	8	8	1,145	13
Equipment and vehicles	131	107	41,642	43,395
Accumulated depreciation	(347)	(321)	(87,711)	(86,613)
	$ 263	$ 241	$ 42,039	$ 43,734

The capital budget set forth $51.5 million to be spent during fiscal year 2019 in various projects including $7.5 million in school building maintenance and technology projects, $6 million in street and infrastructure projects, $8.1 in economic growth projects, $7.7 million in Hampton's waterways projects, $16.8 in good government projects and $2.6 million in maintenance of public properties. Additional information about the City's capital assets can be found in Note 6 to the financial statements.

LONG-TERM DEBT

At the end of fiscal year 2019, the City had $241.3 million in outstanding general obligation bonds and $71.2 million in outstanding revenue bonds. More detailed information about the City's long-term liabilities is presented in Note 8 to the financial statements.

The Commonwealth of Virginia limits the amount of general obligation debt the City can issue to 10% of the assessed valuation of real property. As of June 30, 2019, the City's aggregate general obligation indebtedness is $817 million below this limit.

Table IV
Change in General Obligation and Revenue Bonds (In Thousands)
June 30, 2019 and 2018

	Governmental Activities 2019	Governmental Activities 2018	Business-type Activities 2019	Business-type Activities 2018	Total 2019	Total 2018
General Obligation bonds	$ 216,314	$ 259,437	$ 2,001	$ 2,433	$ 218,315	$ 261,870
Direct placement general obligation bonds	22,991	-	-	-	22,991	-
Direct placement revenue bonds	-	-	71,155	73,970	71,155	73,970
Unamortized premium	28,448	32,319	7,777	8,413	36,225	40,732
Total primary government	$ 267,753	$ 291,756	$ 80,933	$ 84,816	$ 348,686	$ 376,572

Component Unit - Economic Development Authority		
Revenue bonds	$ 2,003	$ 2,829

NEXT YEAR'S BUDGET

The City's staff and City Council considered many factors when developing the fiscal year 2020 budget, with the economy as one of the major factors. The fiscal year 2020 approved budget for the General Fund is $487.9 million, a 3.55% increase over fiscal year 2019. The most important priorities for the fiscal year 2020 budget are to invest in public safety to increase the focus on crime reduction, a 3% salary increase for City and Hampton City Schools employees, an increase in the Law Enforcement Officer Virginia Retirement System supplement for City police and fire sworn personnel and to invest in flood mitigation and prevention efforts. Tax and fee rate changes in the fiscal year 2020 budget include an increase in solid waste user fee-recyclers from $6.10 per week to $7.25 per week, an increase in solid waste user fee-recyclers from $11.85 per week to $13.00 per week, an increase in Stormwater user fees, both commercial and residential from $7.83 per month to $8.83 per month, an increase in lodging tax from 8.0%, plus $1.00 per room per night to 8.0% plus $2.00 per room per night and an increase in the public right-of-way use fee from $1.09 per line/per month to $1.20 per line/per month.

CONTACTING THE CITY'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, customers, investors and creditors with a general overview of the City's finances and to demonstrate the City's accountability for the money it receives. Questions concerning this report or requests for additional financial information should be directed to Karl S. Daughtrey, Director of Finance, 22 Lincoln Street, 7th Floor, Hampton, Virginia 23669, telephone (757) 727-6230.

CITY OF HAMPTON, VIRGINIA
Statement of Net Position
June 30, 2019

	Primary Government			
	Governmental Activities	Business-type Activities	Total Primary Government	Component Units
ASSETS				
Cash and cash equivalents	$ 144,970,765	$ 35,817,918	$ 180,788,683	$ 16,113,000
Cash with fiscal agent	337,354	2,600,000	2,937,354	10,321,952
Investments	67,297,548		67,297,548	31,399
Accounts receivable	24,520,622	4,513,109	29,033,731	851,639
Lease receivable				1,980,119
Due from component units	373,488	35,328	408,816	
Due from Primary Government				387,591
Internal balances	(9,820,953)	9,820,953		
Due from other governments				5,440,448
Inventories	385,004	418,949	803,953	524,127
Prepaid items	335,498	25,394	360,892	47,762
Temporarily restricted assets:				
Cash and cash equivalents		2,755,075	2,755,075	1,234,935
Cash with fiscal agent		477,845	477,845	
Investments		15,658,781	15,658,781	
Notes receivable		5,843	5,843	73,511
Land held for sale				14,891,952
Capital assets not being depreciated	546,722,149	11,844,337	558,566,486	26,581,314
Capital assets, net of accumulated depreciation	313,734,710	127,216,976	440,951,686	15,460,442
Total assets	1,088,856,185	211,190,508	1,300,046,693	93,940,191
DEFERRED OUTFLOWS OF RESOURCES				
Deferred charge on refunding	6,746,507	3,816,423	10,562,930	
Related to pensions	14,275,116	1,159,641	15,434,757	19,180,803
Related to other postemployment benefits	4,076,394	255,155	4,331,549	3,110,642
Total deferred outflows of resources	25,098,017	5,231,219	30,329,236	22,291,445
LIABILITIES				
Accounts payable and other liabilities	39,907,965	2,770,339	42,678,304	19,051,460
Due to component units	387,591		387,591	
Due to Primary Government				408,816
Unearned revenues	146,240	2,489,678	2,635,918	2,957,000
Current liabilities payable from restricted assets		1,168,872	1,168,872	
Notes and other long-term payables:				
Due within one year	14,326,882	880,309	15,207,191	8,441,703
Due in more than one year	228,651,111	18,786,957	247,438,068	199,732,362
Bonds Payable:				
Due within one year	25,018,580	4,050,176	29,068,756	878,387
Due in more than one year	242,734,194	76,882,816	319,617,010	1,124,955
Total liabilities	551,172,563	107,029,147	658,201,710	232,594,683
DEFERRED INFLOWS OF RESOURCES				
Deferred charge on refunding	563,306		563,306	
Property taxes collected in advance	1,780,149		1,780,149	
Related to pensions	8,629,351	683,339	9,312,690	26,870,471
Related to other postemployment benefits	14,011,251	935,526	14,946,777	2,283,356
Total deferred inflows of resources	24,984,057	1,618,865	26,602,922	29,153,827
NET POSITION				
Net investment in capital assets	636,462,324	67,497,366	703,959,690	42,041,756
Restricted for:				
Capital projects	2,019,496		2,019,496	
Debt service	86,814		86,814	
Public safety projects	1,217,127		1,217,127	
Stormwater management	12,279,967		12,279,967	
Human services	551,445		551,445	
Bond indenture		8,016,673	8,016,673	1,234,935
Culture and recreation	56,274		56,274	
Physical environment	177,617		177,617	
Education	6		6	
Community development	877,262		877,262	
Operations and maintenance	53,235		53,235	
Other purposes	498,238		498,238	
Unrestricted (deficit)	(116,482,223)	32,259,676	(84,222,547)	(188,793,565)
Total net position (deficit)	$ 537,797,582	$ 107,773,715	$ 645,571,297	$ (145,516,874)

The accompanying notes are an integral part of these financial statements.

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CITY OF HAMPTON, VIRGINIA
Statement of Activities
For the Year Ended June 30, 2019

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expenses) Revenue and Change in Net Position — Primary Government: Governmental Activities	Primary Government: Business-type Activities	Primary Government: Total	Component Units
Primary Government								
Governmental activities:								
General government	$ 105,864,961	$ 22,205,872	$ 33,340,362	$ 665,088	$ (49,653,639)		$ (49,653,639)	$
Public safety	81,672,541	6,182,407	11,013,997		(64,476,137)		(64,476,137)	
Highways and streets	12,362,303		16,792,868	4,415,297	8,845,862		8,845,862	
Health	1,563,903				(1,563,903)		(1,563,903)	
Human services	34,769,329	1,907,600	21,783,204		(11,078,525)		(11,078,525)	
Culture and recreation	16,842,354	939,435	154,182		(15,748,737)		(15,748,737)	
Education (payment to school district)	73,827,042				(73,827,042)		(73,827,042)	
Education and educational services	9,805,593	26,682	167,568		(9,611,343)		(9,611,343)	
Interest on long-term debt	7,145,017		254,698		(6,890,319)		(6,890,319)	
Total Governmental Activities	343,853,043	31,261,996	83,506,879	5,080,385	(224,003,783)		(224,003,783)	
Business-type activities								
Culture and recreation	$ 30,214,919	$ 19,040,741	$ 1,023,742	$		$ (10,150,436)	$ (10,150,436)	
Sanitation	24,625,642	29,614,619				4,988,977	4,988,977	
Total Business-type activities	54,840,561	48,655,360	1,023,742			(5,161,459)	(5,161,459)	
Total Primary Government	$ 398,693,604	$ 79,917,356	$ 84,530,621	$ 5,080,385	$ (224,003,783)	$ (5,161,459)	$ (229,165,242)	
Component units								
Public school system	$ 217,250,645	$ 4,201,758	$ 154,466,523	$				$ (58,582,364)
Economic development	9,347,806	658,911		104,800				(8,584,095)
Business improvement	1,295,695	614,955						(680,740)
Downtown development	728,480	258,927	300,023					(169,530)
Total component units	$ 228,622,626	$ 5,734,551	$ 154,766,546	$ 104,800	$	$	$	$ (68,016,729)
General revenues								
Taxes:								
Property taxes					$ 163,965,632	$	$ 163,965,632	$
Sales taxes					15,740,811		15,740,811	
Lodging, meal and amusement taxes					27,370,416		27,370,416	
Motor vehicle taxes					4,496,435		4,496,435	
Business license taxes					14,251,134		14,251,134	
Utility taxes					5,443,338		5,443,338	
Tobacco taxes					4,336,342		4,336,342	
Recordation taxes					1,912,688		1,912,688	
Bank stock taxes					704,714		704,714	
Short-term rental taxes					109,523		109,523	
Communication sales tax					7,839,839		7,839,839	
Mobile home titling tax					20,055		20,055	
Payments from (to) City								84,348,139
Investment earnings					4,738,377	1,285,075	6,023,452	239,881
Miscellaneous								75,541
Transfers					(9,259,216)	9,259,216	-	
Total general revenues and transfers					241,670,088	10,544,291	252,214,379	84,663,561
Change in net position (deficit)					17,666,305	5,382,832	23,049,137	16,646,832
Net position(deficit), beginning of year					520,131,277	102,390,883	622,522,160	(162,163,706)
Net position(deficit), ending					$ 537,797,582	$ 107,773,715	$ 645,571,297	$ (145,516,874)

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2019

	General Fund	Special Revenue-Economic Development	Debt Service	Capital Projects	Other Governmental Funds	Total Governmental Funds
Assets:						
Cash and cash equivalents	$ 98,341,006	$ 5,888,148	$ 532,264	$ 1,407,330	$ 12,607,840	$ 118,776,588
Investments	23,807,208			43,490,340		67,297,548
Accounts receivables:						
Taxes (net of allowance of uncollectible)	5,870,179					5,870,179
Due from other governments	10,364,148			2,393,213	3,122,848	15,880,209
Other	1,612,447	16,761	2,739		1,061,356	2,693,303
Due from other funds	11,399,879			11,897,867	341,221	23,638,967
Due from component units	222,559	-				222,559
Inventories	26,961					26,961
Total assets	$ 151,644,387	$ 5,904,909	$ 535,003	$ 59,188,750	$ 17,133,265	$ 234,406,314
Liabilities:						
Accounts payable	$ 11,416,652	$ 24,999	$	$ 4,544,146	$ 1,568,504	$ 17,554,301
Accrued health insurance	14,020,384					14,020,384
Accrued liabilities	4,324,302				133,684	4,457,986
Due to other funds	12,320,403			3,200,000	417,578	15,937,981
Due to component units	356,372	31,219				387,591
Unearned revenues	146,239	6,185				152,424
Total liabilities	42,584,352	62,403	-	7,744,146	2,119,766	52,510,667
Deferred inflows of resources:						
Unavailable revenue-property taxes	3,866,383					3,866,383
Property taxes collected in advance	1,780,149					1,780,149
Unavailable revenue-program income					122,528	122,528
Unavailable revenue-stormwater fees					511,175	511,175
Total deferred inflows of resources	5,646,532				633,703	6,280,235
Fund balances:						
Nonspendable	26,961					26,961
Restricted	422,821	863,498	86,814	682,518	14,290,618	16,346,269
Committed	22,019,384	1,663,541		47,321,960		71,004,885
Assigned	6,190,329	3,315,467	448,189	3,440,126	89,178	13,483,289
Unassigned	74,754,008					74,754,008
Total fund balances	103,413,503	5,842,506	535,003	51,444,604	14,379,796	175,615,412
Total liabilities, deferred inflows of resources and fund balances	$ 151,644,387	$ 5,904,909	$ 535,003	$ 59,188,750	$ 17,133,265	$ 234,406,314

Reconciliation of Balance Sheet of the Governmental Funds to the Statement of Net Position (Exhibit A-1)

Total fund balances of governmental funds	$ 175,615,412
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital Assets used in governmental activities are not financial resources, and therefore, are not reported in the funds. (Note 6)	843,107,583
Other assets are not available to pay current-period expenditures and, therefore, are deferred in the funds.	4,506,270
Deferred charges on refunding are reported as deferred outflows of resources in the government-wide financial statements, but are not reported in the governmental fund statements.	6,746,507
Deferred outflows of resources related to pensions are reported in the government-wide financial statements, but are not reported in the governmental fund statements	14,275,116
Deferred outflows of resources related to other postemployment benefits are reported in the government-wide financial statements, but are not reported in the governmental fund statements	4,076,394
Deferred charges on refunding are reported as deferred inflows of resources in the government-wide financial statements, but are not reported in the governmental fund statements	(563,306)
Deferred inflows of resources related to pensions are reported in the government-wide financial statements, but are not reported in the governmental fund statements	(8,629,351)
Deferred inflows of resources related to other postemployment benefits are reported in the government-wide financial statements, but are not reported in the governmental fund statements	(14,011,251)
Internal service funds are used by management to charge the costs of certain activities to individual funds. The assets, liabilities and deferred flows of resources of the internal service funds are included in governmental activities in the Statement of Net Position. Net position on Combining Statement of Net Position-Internal Service Funds (Exhibit E-1)	30,436,176
Internal service funds deferred outflows of resources related to pensions are reported in the government-wide financial statements, but are not reported in the governmental fund statements	(260,826)
Internal service funds deferred outflows of resources related to other postemployment benefits are reported in the government-wide financial statements, but are not reported in the governmental fund statements	(101,838)
Internal service funds deferred inflows of resources related to pensions are reported in the government-wide financial statements, but are not reported in the governmental fund statements	140,565
Internal service funds deferred inflows of resources related to other postemployment benefits are reported in the government-wide financial statements, but are not reported in the governmental fund statements	215,336
Other liabilities not paid from current-period revenues are not reported in the funds for:	
Accrued interest	(3,190,782)
Interfund balances related to amounts eliminated in the Statement of Net Position	(17,527,361)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, not reported in the funds. (Note 8)	(497,037,062)
Net position of governmental activities	$ 537,797,582

The accompanying notes are an integral part of these financial statements.

Exhibit A-4

CITY OF HAMPTON, VIRGINIA
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
For the Year Ended June 30, 2019

	General Fund	Special Revenue-Economic Development	Debt Service	Capital Projects	Other Governmental Funds	Total Governmental Funds
REVENUES						
General property taxes	$ 166,310,843	$	$	$	$	$ 166,310,843
Other local taxes	81,822,728					81,822,728
Special assessments	2,456,621					2,456,621
Intergovernmental revenues:						
From the Commonwealth of Virginia	55,644,179			3,769,577	9,834,538	69,248,294
From the Federal government	10,768,512		254,698	1,084,402	5,162,063	17,269,675
Permits, privilege fees and regulatory licenses	1,641,090					1,641,090
Fines and forfeitures	1,438,887					1,438,887
Revenues from use of money and property	3,062,798	416,246	5,906	1,264,461	395,859	5,145,270
Charges for services	10,587,773				8,806,912	19,394,685
Payment from component units	2,232,199					2,232,199
Miscellaneous	4,209,902			50,000	1,625,553	5,885,455
Recovered costs	957,640					957,640
Total revenues	341,133,172	416,246	260,604	6,168,440	25,824,925	373,803,387
EXPENDITURES						
Current:						
General government	101,109,821	443,105			3,332,491	104,885,417
Public safety	54,195,107				5,950,885	60,145,992
Highways and streets	2,024,658					2,024,658
Sanitation					4,935,460	4,935,460
Health	2,496,085					2,496,085
Human services	20,688,029				9,338,627	30,026,656
Culture and recreation	13,003,112				142,407	13,145,519
Education (payment to school district)	73,827,042					73,827,042
Education and education services	2,080,937					2,080,937
Capital improvements				43,394,049		43,394,049
Debt Service:						
Principal retirement			20,498,024			20,498,024
Interest and fiscal charges			10,864,042			10,864,042
Bond issuance costs			43,405			43,405
Total expenditures	269,424,791	443,105	31,405,471	43,394,049	23,699,870	368,367,286
Excess (deficiency) of revenues over (under) expenditures	71,708,381	(26,859)	(31,144,867)	(37,225,609)	2,125,055	5,436,101
OTHER FINANCING SOURCES (USES)						
Issuance of refunding bonds			22,991,000			22,991,000
Payment to refunded bond escrow agent			(22,943,135)			(22,943,135)
Transfers in	236,094		31,107,640	30,776,603	1,941,000	64,061,337
Transfers out	(69,278,976)	(47,325)		(945,612)	(3,048,640)	(73,320,553)
Other financing sources (uses), net	(69,042,882)	(47,325)	31,155,505	29,830,991	(1,107,640)	(9,211,351)
Net change in fund balances	2,665,499	(74,184)	10,638	(7,394,618)	1,017,415	(3,775,250)
Fund balances, beginning of year	100,748,004	5,916,690	524,365	58,839,222	13,362,381	179,390,662
Fund balances, end of year	$ 103,413,503	$ 5,842,506	$ 535,003	$ 51,444,604	$ 14,379,796	$ 175,615,412

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances to the Statement of Activities (Exhibit A-2)

Net change in fund balance - total governmental funds	$ (3,775,250)
Amounts reported for governmental activities in the Statement of Activities are different because:	
Governmental funds report capital outlays as expenditures while governmental activities report depreciation expense to allocate those expenditures over the life of the assets. Loss on disposal of assets is not reported in the governmental funds, but is reflected in the statement of activities.	
Capital acquisitions	12,811,850
Depreciation expense	(20,187,449)
Loss on disposal of assets	(26,387)
Donated assets are not reported in the governmental funds, but are reflected in the statement of activities.	63,100
Revenues earned during the period that are not yet available are reported in the Statement of Activities, but not reported as revenues in the funds.	(3,421,592)
Proceeds from bond issuance and capital leases provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position.	
Increase in compensated absences	(158,745)
Proceeds from debt issuance	(22,991,000)
Payment to refunded bond escrow agent	22,943,135
Repayment of debt principal	22,206,162
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the internal service funds is reported with governmental activities.	2,514,247
Expenses incurred during the period related to liabilities that are still outstanding and not yet due at year-end for accrued interest	(24,529)
Amortization of premiums	2,094,117
Change in net pension liability, which is recognized as an expense in the Statement of Activities as compared to the pension contributions reported in the governmental funds	6,565,682
Change in net other postemployment benefits liability, which is recognized as an expense in the Statement of Activities as compared to the other postemployment benefit contributions reported in the governmental funds	(947,036)
Change in net position of governmental activities	$ 17,666,305

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
GENERAL FUND
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget
	Original	Final	Actual	Over (Under)
REVENUES				
Intergovernmental:				
From the Commonwealth of Virginia	$ 40,384,314	$ 56,334,229	$ 55,644,179	$ (690,050)
From the Federal government	9,381,750	9,381,750	10,768,512	1,386,762
Local taxes	259,610,260	244,156,331	248,133,572	3,977,241
Special assessments	5,748,234	5,748,234	2,456,621	(3,291,613)
Licenses and permits	1,364,600	1,364,600	1,641,090	276,490
Fines and forfeitures	1,302,762	1,302,762	1,438,887	136,125
Revenues from use of money and property	1,463,609	1,463,609	3,062,025	1,598,416
Charges for services	9,659,666	9,659,666	10,587,773	928,107
Recovered costs	916,000	916,000	957,640	41,640
Payment from component units	2,437,345	2,437,345	2,232,199	(205,146)
Miscellaneous	4,165,329	4,256,897	4,209,902	(46,995)
Total revenues	336,433,869	337,021,423	341,132,400	4,110,977
EXPENDITURES				
Current:				
General government	113,782,681	112,703,924	101,109,820	(11,594,104)
Public safety	53,351,726	55,270,938	54,195,107	(1,075,831)
Highways and streets	2,852,900	2,662,479	2,024,658	(637,821)
Health	2,632,307	2,649,941	2,496,085	(153,856)
Human services	21,406,499	21,514,846	20,688,029	(826,817)
Culture and recreation	13,123,473	13,414,614	13,003,112	(411,502)
Education	75,921,963	75,934,529	75,907,979	(26,550)
Total expenditures	283,071,549	284,151,271	269,424,790	(14,726,481)
Excess of revenues over expenditures	53,362,320	52,870,152	71,707,610	18,837,458
OTHER FINANCING SOURCES (USES)				
Transfers in	583,880	583,880	236,094	(347,786)
Transfers out	(59,831,125)	(72,718,761)	(69,278,976)	(3,439,785)
Total other financing uses, net	(59,247,245)	(72,134,881)	(69,042,882)	(3,091,999)
Net change in fund balances	(5,884,925)	(19,264,729)	2,664,728	$ 21,929,457
Appropriations from fund balance	5,884,925	19,509,563		
Appropriations - encumbrances		(244,833)		
Fund balance - July 1			100,707,474	
Fund balance - June 30	$	$	$ 103,372,202	

The accompanying notes are an integral part of these financial statements.

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CITY OF HAMPTON, VIRGINIA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2019

	Business-type Activities - Enterprise Funds						Governmental Activites
	Wastewater Management	The Hamptons	Museum	Convention Center	Non-Major Enterprise Funds	Totals	Internal Service Funds
ASSETS							
Current assets:							
Cash and cash equivalents	$ 12,202,704	$ 800	$ 2,071,418	$	$ 21,542,996	$ 35,817,918	$ 26,194,177
Cash with fiscal agent					2,600,000	2,600,000	337,354
Restricted assets to be used to liquidate current liabilities:							
Revenue bond indenture:							
Cash and cash equivalents				2,068,920		2,068,920	
Cash with fiscal agent				477,845		477,845	
Accounts receivable, net	1,348,406	3,880	136,281	297,335	2,727,209	4,513,111	76,929
Notes receivable	5,843					5,843	
Due from other funds	26,310				158,500	184,810	9,127
Due from component units					35,328	35,328	150,929
Inventories	210,744	9,465	121,466		77,274	418,949	358,043
Prepaid items			2,253	23,141		25,394	335,497
Restricted assets:							
Revenue bond indenture:							
Cash and cash equivalents				686,155		686,155	
Investments				15,658,781		15,658,781	
Total current assets	13,794,007	14,145	2,331,418	19,212,177	27,141,307	62,493,054	27,462,056
Noncurrent Assets:							
Capital Assets:							
Land	145,615	262,100	1,921,420	5,332,401	3,404,805	11,066,341	
Easements	28,943					28,943	
Buildings and improvements	2,683,118	2,398,794	32,306,100	89,858,046	13,636,907	140,882,965	
Improvements other than buildings	290,651	3,802,031	6,800	4,396,863	27,260,394	35,756,739	450,472
Computer software	153,386				248,343	401,729	215,775
Equipment	4,943,900	618,060	4,781,908	817,647	21,556,885	32,718,400	44,084,303
Construction in progress	605,999			89,437	53,617	749,053	
Exhibits			14,865,440			14,865,440	
Landfill					3,865,986	3,865,986	
Infrastructure	74,843,110					74,843,110	
Less accumulated depreciation	(37,741,633)	(6,591,904)	(44,398,451)	(35,484,540)	(51,900,864)	(176,117,392)	(27,401,274)
Net capital assets	45,953,089	489,081	9,483,217	65,009,854	18,126,073	139,061,314	17,349,276
Total noncurrent assets	45,953,089	489,081	9,483,217	65,009,854	18,126,073	139,061,314	17,349,276
Total assets	59,747,096	503,226	11,814,635	84,222,031	45,267,380	201,554,368	44,811,332
DEFERRED OUTFLOWS OF RESOURCES							
Deferred charge on refunding				3,816,423		3,816,423	
Related to pensions	338,447	39,713			781,481	1,159,641	260,826
Related to other postemployment benefits	74,882	691			179,582	255,155	101,838
Total deferred outflows of resources	413,329	40,404		3,816,423	961,063	5,231,219	362,664

	Business-type Activities - Enterprise Funds						Governmental Activites
	Wastewater Management	The Hamptons	Museum	Convention Center	Non-Major Enterprise Funds	Totals	Internal Service Funds
LIABILITIES							
Current liabilities:							
Accounts payable	$ 590,159	$ 7,960	$ 329,866	$	$ 1,144,826	$ 2,072,811	$ 648,726
Accrued liabilities				57,688		57,688	
Accrued leave	111,017	7,975	49,013		205,263	373,268	73,940
Due to other funds		4,463,656	854,525		2,573,035	7,891,216	3,708
Unearned revenues			279,037		2,210,641	2,489,678	
Current portion of long-term debt				3,596,240	960,977	4,557,217	8,189,861
Current liabilities payable from restricted assets:							
Accounts payable				272,498		272,498	
Accrued interest payable				896,373		896,373	
Other liabilities	47,060	18,918	58,498	91,430	423,937	639,843	35,780
Total current liabilities	748,236	4,498,509	1,570,939	4,914,229	7,518,679	19,250,592	8,952,015
Noncurrent liabilities:							
Claims payable							1,399,011
Accrued leave	96,396	15,652			305,932	417,980	85,756
Bonds payable				75,335,818	1,546,999	76,882,817	
Obligations under capital leases					1,603,143	1,603,143	
Other postemployment benefits obligation							1,918,417
Net pension liability	2,749,726	308,588			6,419,583	9,477,897	2,026,720
Net other postemployment benefits liability	2,211,094	45,111			5,031,731	7,287,936	
Total noncurrent liabilities	5,057,216	369,351		75,335,818	14,907,388	95,669,773	5,429,904
Total liabilities	5,805,452	4,867,860	1,570,939	80,250,047	22,426,067	114,920,365	14,381,919
DEFERRED INFLOWS OF RESOURCES							
Related to pensions	197,381	21,403			464,555	683,339	140,565
Related to other postemployment benefits	285,170	15,286			635,070	935,526	215,335
Total deferred inflows of resources	482,551	36,689			1,099,625	1,618,865	355,900
NET POSITION							
Net investment in capital assets	45,953,089	489,081	9,483,217	(2,442,974)	14,014,954	67,497,367	17,316,042
Restricted							
Bond indenture				8,016,673		8,016,673	
Unrestricted (deficit)	7,919,333	(4,850,000)	760,478	2,214,708	8,687,797	14,732,316	13,120,134
Total net position (deficit)	$ 53,872,422	$(4,360,919)	$ 10,243,695	$ 7,788,407	$ 22,702,751	$ 90,246,356	$ 30,436,176

Reconciliation of the Statement of Net Position for Proprietary Funds to the Business-type Activities Statement of Net Position (Exhibit A-1)

Net position of enterprise funds	90,246,356
Amounts reported for business-type activities in the Statement of Net Position are different because:	
Net revenue of internal service funds are allocated to funds receiving services	458,625
Interfund reimbursement for allocated overhead costs	17,068,734
Net position business-type activities	$ 107,773,715

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
STATEMENT OF REVENUES, EXPENSES IN CHANGES IN NET POSITION
PROPRIETARY FUNDS
For the Year Ended June 30, 2019

	Business-type Activities-Enterprise Funds		
	Wastewater Management	The Hamptons	Museum
Operating revenues:			
Charges for services	$ 8,356,191	$ 482,025	$ 1,772,330
Federal revenues			150,000
Other	28,261		976,127
Total operating revenues	8,384,452	482,025	2,898,457
Operating expenses:			
Personal services	2,164,289	395,684	1,142,030
Fringe benefits	407,438	88,363	303,578
Promoters fees			
City-sponsored events			
Cost of goods sold	48,258	23,297	
Utilities	280,232	75,406	224,837
Insurance	44,280	22,035	65,108
Operating supplies	223,846	58,583	351,305
Equipmental rental	1,588	107,369	18,094
Equipment and building repairs	368,704	36,185	117,952
Telephone and postage	41,096	5,476	31,457
General expense	186,462	2,125	311,937
Claims			
Landfill costs			
Contractual services	1,491,600	52,113	242,429
Indirect cost	456,000		
Depreciation and amortization	1,608,023	39,030	1,428,277
Total operating expenses	7,321,816	905,666	4,237,004
Operating income (loss)	1,062,636	(423,641)	(1,338,547)
Nonoperating revenues (expenses):			
Interest income	2,546		1,451
Interest and fiscal charges			
Other			
Gain on disposal of capital assets	10,731		
Net decrease in fair value of investments			
Total nonoperating revenues (expenses), net	13,277		1,451
Income (loss) before transfers	1,075,913	(423,641)	(1,337,096)
Transfers in(out)	(113,292)		945,612
Change in net position (deficit)	962,621	(423,641)	(391,484)
Net position, (deficit) beginning of year	52,909,801	(3,937,278)	10,635,179
Net position, (deficit) end of year	$ 53,872,422	$ (4,360,919)	$ 10,243,695

Business-type Activities - Enterprise Funds			Governmental Activities
Convention Center	Non-Major Enterprise Funds	Totals	Internal Service
$ 2,623,213	$ 35,205,046	$ 48,438,805	$ 20,687,870
		150,000	
	4,794	1,009,182	
2,623,213	35,209,840	49,597,987	20,687,870
1,202,551	5,741,079	10,645,633	1,621,462
403,871	1,176,172	2,379,422	91,094
	6,944,846	6,944,846	
	1,136,329	1,136,329	
	557,312	628,867	4,297,604
794,056	736,403	2,110,934	48,298
107,069	633,789	872,281	2,429,846
331,135	1,268,865	2,233,734	177,807
	113,445	240,496	86,722
243,164	1,705,601	2,471,606	108,540
29,763	105,555	213,347	1,091,331
52,144	1,865,686	2,418,354	239,239
			4,057,155
	4,233,720	4,233,720	
367,649	3,913,633	6,067,424	1,430,035
	574,470	1,030,470	
2,875,979	2,480,700	8,432,009	3,060,962
6,407,381	33,187,605	52,059,472	18,740,095
(3,784,168)	2,022,235	(2,461,485)	1,947,775
1,024,336	122,121	1,150,454	484,272
(3,624,436)	(187,122)	(3,811,558)	(15,297)
			9,757
	70,383	81,114	87,740
134,620		134,620	
(2,465,480)	5,382	(2,445,370)	566,472
(6,249,648)	2,027,617	(4,906,855)	2,514,247
7,550,218	876,678	9,259,216	
1,300,570	2,904,295	4,352,361	2,514,247
6,487,837	19,798,456	85,893,995	27,921,929
$ 7,788,407	$ 22,702,751	$ 90,246,356	$ 30,436,176

Reconciliation of the Statement of Revenues, Expenses, and Changes in Net Position of Proprietary Funds to the Statement of Net Position (Exhibit A-2)

Change in net position	$ 4,352,361
Interfund reimbursement of overhead costs	1,030,471
Change in net position - Business-type activities	$ 5,382,832

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended June 30, 2019

	Business-type Activities-Enterprise Funds						Governmental Activities
	Wastewater Management	The Hamptons	Museum	Convention Center	Non-Major Enterprise Funds	Totals	Internal Service Funds
CASH FLOWS FROM OPERATING ACTIVITIES							
Cash received from customers	$ 8,703,587	$ 485,174	$ 2,917,200	$ 2,702,217	$ 35,560,711	$ 50,368,889	$ 21,279,856
Cash payments to suppliers for goods and services	(3,276,099)	(83,900)	(1,656,301)	(2,507,382)	(24,961,296)	(32,484,978)	(13,752,632)
Cash payments to employees for services	(2,648,432)	(401,274)	(1,142,701)	(1,195,108)	(5,707,725)	(11,095,240)	(1,621,955)
Net cash provided by (used in) operating activities	2,779,056	-	118,198	(1,000,273)	4,891,690	6,788,671	5,905,269
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES							
Cash received from other funds			945,612	8,124,572	1,052,844	10,123,028	
Cash paid to other funds	(113,292)				(176,166)	(289,458)	
Net cash provided by (used in) noncapital financing activities	(113,292)	-	945,612	8,124,572	876,678	9,833,570	
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES							
Acquisition and construction of capital assets	(1,102,419)		(925,634)	(120,426)	(2,833,891)	(4,982,370)	(2,976,348)
Principal paid on revenue bond maturities and long-term debt				(2,815,000)	(921,792)	(3,736,792)	(916,835)
Interest paid on revenue bonds and long-term debt				(3,659,741)	(187,122)	(3,846,863)	(15,297)
Sale of capital assets	10,731				19,755	30,486	430,105
Net cash used in capital and related financing activities	(1,091,688)	-	(925,634)	(6,595,167)	(3,923,050)	(12,535,539)	(3,478,375)
CASH FLOWS FROM INVESTING ACTIVITIES							
Purchase of investment securities				(14,599,605)		(14,599,605)	
Sale of investment securities				14,628,871		14,628,871	
Interest and dividends on investments	2,546		1,451	371,296	122,121	497,414	464,750
Net cash provided by investing activites	2,546		1,451	400,562	122,121	526,680	464,750
Net increase in cash and cash equivalents (including restricted amounts)	1,576,622	-	139,627	929,694	1,967,439	4,613,382	2,891,644
Cash and cash equivalents (including restricted), July 1	10,626,082	800	1,931,791	2,303,226	22,175,557	37,037,456	23,639,887
Cash and cash equivalents, June 30	$ 12,202,704	$ 800	$ 2,071,418	$ 3,232,920	$ 24,142,996	$ 41,650,838	$ 26,531,531

	Business-type Activities-Enterprise Funds						Governmental Activities
	Wastewater Management	The Hamptons	Museum	Convention Center	Non-Major Enterprise Funds	Totals	Internal Service Funds
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:							
Operating income (loss)	$ 1,062,636	$ (423,641)	$ (1,338,547)	$ (3,784,168)	$ 2,022,235	$ (2,461,485)	$ 1,947,775
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:							
Depreciation and amortization expense	1,608,023	39,030	1,428,277	2,875,979	2,480,700	8,432,009	3,060,962
Decrease (increase) in:							
Accounts receivable	345,444	2,623	(22,550)	79,003	835,397	1,239,917	(26,464)
Due from other funds		500		574,354		390,044	488,973
Due from component units					11,175	11,175	100,199
Inventories	(36,443)	2,357	13,786		158,253	137,953	37,974
Prepaid items			2,724	(9,384)		(6,660)	(91,500)
Increase (decrease) in:							
Accounts payable	309,848	(2,694)	(6,114)		362,938	663,978	(654,037)
Accrued leave	58,350	5,563	(5,077)		96,231	155,067	24,787
Due to other funds		386,943		(196,093)	231,635	422,485	3,708
Other liabilities	633	526	4,406	7,444	65,144	78,153	(1,375)
Nonoperating revenues reported as operating activity							9,757
Unearned revenues			41,293		(157,924)	(116,631)	
Accrued liabilities				(36,153)		(36,153)	
Current liabilities payable from restricted assets				63,099		63,099	
Current portion of long-term accrued claims							1,107,885
Accounts receivable reported as nonoperating activities							19,521
Long-term accrued leave	(66,693)				(69,888)	(136,581)	(42,334)
Accounts payable							330,433
Long-term accrued insurance claims							34,177
Prepaid items		(11,153)		(574,354)		(585,507)	
Net pension liability	(413,336)	10,065			(835,906)	(1,239,177)	(395,665)
Deferred outflows & inflows related to pensions	(63,096)	(10,119)			(149,800)	(223,015)	(49,507)
Total adjustments	1,716,420	423,641	1,456,745	2,783,895	2,869,455	9,250,156	3,957,494
Net cash provided by (used in) operating activities	$ 2,779,056	$ -	$ 118,198	$ (1,000,273)	$ 4,891,690	$ 6,788,671	$ 5,905,269

The notes to the financial statements are an integral part of this statement

CITY OF HAMPTON, VIRGINIA
STATEMENT OF FIDUCIARY NET POSITION
June 30, 2019

	Pension Trust Hampton Employees' Retirement System	Agency Funds
ASSETS		
Cash and cash equivalents	$ 17,705	$ 939,606
Investments:		
Bond mutual funds	46,881,202	
Stock mutual funds	80,206,706	
Receivables:		
Accounts		15,848
Property, Plant, and Equipment		
Office and operating equipment	5,976	
Less accumulated depreciation	(3,808)	
Total assets	$ 127,107,781	$ 955,454
DEFERRED OUTFLOWS OF RESOURCES		
Related to pensions	23,346	
Total deferred outflows of resources	23,346	
LIABILITIES		
Deposits		$ 921,078
Accounts payable	20,424	34,376
Net pension liability	181,408	
Net other postemployment benefit liability	33,327	
Total liabilities	235,159	$ 955,454
DEFERRED INFLOWS OF RESOURCES		
Related to pensions	12,582	
Related to other postemployment benefits	4,451	
Total deferred inflows of resources	17,033	
NET POSITION		
Net position restricted for pensions	$ 126,878,935	

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
For the Year Ended June 30, 2019

	Hampton Employees' Retirement System
ADDITIONS	
Investment income:	
Appreciation in fair value of investments	$ 5,880,002
Dividends	2,910,186
Total investment earnings	8,790,188
Less investment expenses	(15,499)
Net investment earnings	8,774,689
Employer contributions	6,716,299
Total additions	15,490,988
DEDUCTIONS	
Benefits	16,824,255
Administrative expenses	317,337
Total deductions	17,141,592
Change in net position	(1,650,604)
Net position, July 1	128,529,539
Net position, June 30	$ 126,878,935

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
COMBINING STATEMENT OF NET POSITION
DISCRETELY PRESENTED COMPONENT UNITS
June 30, 2019

	Governmental Activities	Business-type Activities			
	School Board	Economic Development Authority	Coliseum Central Business Improvement District, Inc.	Downtown Hampton Development Partnership, Inc.	Total
ASSETS					
Cash and cash equivalents	$ 13,526,774	$ 1,466,365	$ 499,265	$ 620,596	$ 16,113,000
Cash with fiscal agent	8,985,569	1,336,383			10,321,952
Investments	31,399				31,399
Accounts receivable, net	494,284		284,324	73,031	851,639
Lease receivable		1,980,119			1,980,119
Due from Primary Government	100,642	286,949			387,591
Due from other governments	5,440,448				5,440,448
Inventories	524,127				524,127
Prepaid items			12,098	35,664	47,762
Temporarily restricted assets:					
Cash and cash equivalents		1,234,935			1,234,935
Notes receivable		73,511			73,511
Land held for sale		14,891,952			14,891,952
Capital assets not being depreciated	5,111,045	21,470,269			26,581,314
Capital assets, net of accumulated depreciation	6,180,875	9,005,997	9,384	264,186	15,460,442
Total assets	40,395,163	51,746,480	805,071	993,477	93,940,191
DEFERRED OUTFLOWS OF RESOURCES					
Related to pensions	19,180,803				19,180,803
Related to other postemployment benefits	3,110,642				3,110,642
Total deferred outflows of resources	22,291,445				22,291,445
LIABILITIES					
Accounts payable and other liabilities	14,691,604	4,291,468	34,374	34,014	19,051,460
Due to Primary Government	177,527	231,289			408,816
Unearned revenues	2,748,651	155,849		52,500	2,957,000
Notes and other long-term payables:					
Due within one year	8,441,703				8,441,703
Due in more than one year	199,732,362				199,732,362
Bonds payable:					
Due within one year		878,387			878,387
Due in more than one year		1,124,955			1,124,955
Total liabilities	225,791,847	6,681,948	34,374	86,514	232,594,683
DEFERRED INFLOWS OF RESOURCES					
Related to pensions	26,870,471				26,870,471
Related to other postemployment benefits	2,283,356				2,283,356
Total deferred inflows of resources	29,153,827				29,153,827
NET POSITION					
Net investment in capital assets	11,291,920	30,476,266	9,384	264,186	42,041,756
Restricted for:					
Bond indenture		1,234,935			1,234,935
Unrestricted (deficit)	(203,550,986)	13,353,331	761,313	642,777	(188,793,565)
Total net position (deficit)	$ (192,259,066)	$ 45,064,532	$ 770,697	$ 906,963	$ (145,516,874)

The accompanying notes are an integral part of these financial statements.

CITY OF HAMPTON, VIRGINIA
COMBINING STATEMENT OF ACTIVITIES
DISCRETELY PRESENTED COMPONENT UNITS
For the Year Ended June 30, 2019

		Program Revenues			Net (Expenses) Revenues and Changes in Net Position				
Functions/Programs	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	School Board	Economic Development Authority	Coliseum Central Business Improvement District, Inc.	Downtown Hampton Development Partnership, Inc.	Total
Governmental type activities									
Public school system	$ 217,250,645	$ 4,201,758	$ 154,466,523	$	$ (58,582,364)	$	$	$	$ (58,582,364)
Business-type activities									
Economic development	9,347,806	658,911		104,800		(8,584,095)			(8,584,095)
Business improvement	1,295,695	614,955					(680,740)		(680,740)
Downtown development	728,480	258,927	300,023					(169,530)	(169,530)
Total component units	$ 228,622,626	$ 5,734,551	$ 154,766,546	$ 104,800	$ (58,582,364)	$ (8,584,095)	$ (680,740)	$ (169,530)	$ (68,016,729)
Payments from City					73,827,042	9,794,073	553,952	173,072	84,348,139
Investment earnings						234,194	1,491	4,196	239,881
Miscellaneous						75,541			75,541
Total general revenues					73,827,042	10,103,808	555,443	177,268	84,663,561
Change in net position (deficit)					15,244,678	1,519,713	(125,297)	7,738	16,646,832
Net position (deficit), beginning of year					(207,503,744)	43,544,819	895,994	899,225	(162,163,706)
Net position (deficit), end of year					$ (192,259,066)	$ 45,064,532	$ 770,697	$ 906,963	$ (145,516,874)

The accompanying notes are an integral part of these financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

In 1610, the construction of Fort Henry and Fort Charles at the mouth of Hampton Creek marked the beginnings of Hampton. In 1619, the settlers chose an English name for the community, Elizabeth City. The settlement was known as Hampton as early as 1680 and in 1705, Hampton was recognized as a town. The City of Hampton (the City) was first incorporated in 1849 and classified as a city of the second class in 1908. In 1952 Hampton, the independent town of Phoebus and Elizabeth City County, encompassing Buckroe and Foxhill, were consolidated under one municipal government and classified as a city of the first class.

The following is a summary of the significant accounting policies.

Reporting Entity

The accompanying financial statements present the City and its component units. These statements conform to accounting principles generally accepted in the United States of America (GAAP) applicable to government units promulgated by the Governmental Accounting Standards Board (GASB). Accordingly, the City follows GAAP; and presents a Comprehensive Annual Financial Report (CAFR), which includes the Management's Discussion and Analysis, Government-wide (Statement of Net Position and Statement of Net Activities) Financial Statements and Budgetary Comparison Schedules.

Component Unit Disclosures

The component units discussed in the following section are included in the City's reporting entity because the City is financially accountable for these organizations, as defined within GAAP. Each discretely presented component unit is reported in a separate column in the government-wide financial statements to emphasize that it is legally separate from the government.

Discretely Presented Component Units

Discretely presented component units are entities that are legally separate from the City, but for which the City is financially accountable, and whose relationship with the City is such that exclusion would cause the City's financial statements to be misleading or incomplete. The discretely presented component units are: Hampton City School Board, Hampton Economic Development Authority, Coliseum Central Business Improvement District, Inc. and Downtown Hampton Development Partnership, Inc. All of these component units are considered major. They are reported as a separate column in Exhibits A-1 and A-2 and are also presented in detail in Exhibits A-11 and A-12.

Hampton City School Board

The Hampton City School Board (School Board) is a legally separate entity which oversees the operations of and establishes educational policies for the City's public school system. Seven School Board members are elected by the voters of the City of Hampton. The School Board has no power to levy taxes or issue bonds. Its budget is subject to approval by the City Council; however, Council only approves, rejects, or modifies the single amount requested by the School Board. The City provides operating and capital funding to the School Board. Therefore, the School Board is fiscally dependent and imposes specific financial burdens on the City. Combining statements for the School Board are presented in Exhibits G-1 through G-3. The School Board does not issue separate financial statements.

Hampton Economic Development Authority

The Hampton Economic Development Authority (EDA) is a public corporation established under the Industrial Development and Revenue Bond Act of the Commonwealth of Virginia, together along with ordinances adopted by the City Council. The EDA was established to promote and develop trade within the City by inducing manufacturing, industrial and commercial enterprises to locate or remain in the City. The EDA is included as a discretely presented component unit because the City appoints the governing body of the EDA, funds the EDA's operating and capital budgets and it receives all of the revenues derived from EDA land sales. The EDA does not issue separate financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Coliseum Central Business Improvement District, Inc.

The Coliseum Central Business Improvement District, Inc. (Coliseum BID) was incorporated on January 22, 1996, to promote, develop and market the Coliseum Central Business District in the City. Coliseum BID was created by action of the City Council under provisions of the *Code of Virginia*. An additional tax is assessed on commercial real estate located in the District to provide funds for the economic development of the District. City Council levies the additional tax for the District and provides other funding for operations. Coliseum BID is included in the City's reporting entity because it is fiscally dependent and it imposes specific financial burdens on the City. A copy of the separately issued financial statements for Coliseum BID may be obtained by writing to Coliseum BID, 4410 E. Claiborne Square, Suite 211, Hampton, Virginia 23666 or by calling (757) 826-6351.

Downtown Hampton Development Partnership, Inc.

The Downtown Hampton Development Partnership, Inc. (Downtown Hampton) was incorporated on August 15, 1995, to promote, develop, and market the Downtown Hampton Business Improvement District. Downtown Hampton was created by action of the City Council under provisions of the *Code of Virginia*. The City assesses an additional tax on the value of the commercial real estate located in the District to provide funds for the economic development of the District. City Council levies the additional tax for the District and provides other funding for operations. Downtown Hampton is included in the City's reporting entity because it is fiscally dependent and it imposes specific financial burdens on the City. A copy of the separately issued financial statements for Downtown Hampton may be obtained by writing to Downtown Hampton Development Partnership, 710 Settlers Landing Road, Hampton, Virginia 23669 or by calling (757) 727-1271.

Other Related Organizations

The financial statements of the following public organizations, commissions, authorities and boards are not included in the reporting entity. These organizations are political subdivisions created under the laws of the Commonwealth of Virginia. Their governing boards are appointed, at least in part, by the City. The City's responsibility in most instances is limited to pro rata representation through appointments to the governing boards. The individual governing boards of the organizations appoint management, establish budgetary control and are accountable for their own fiscal affairs including deficits, debt service, operating costs, etc. The City is not financially accountable for these organizations.

Peninsula Airport Commission

The Peninsula Airport Commission (PAC) operates the Newport News/Williamsburg International Airport. Board membership is allocated among and appointed by the various localities. The PAC's operating and capital expenditures, including debt service, are financed by its operations and contributions from the participating localities. The City has no budgetary authority, is not responsible for deficits or debt service and cannot set rates for services or uses of the airport facilities.

Other

There are certain other agencies and commissions that service the City and surrounding localities whose board membership is allocated among and appointed by the various localities. These agencies include: Hampton Roads Transit (HRT), Hampton Roads Planning District Commission (HRPDC), Virginia Peninsula Public Service Authority (VPPSA), Hampton Roads Economic Development Alliance (HREDA) and the Peninsula Council for Workforce Development (PCFWD). Expenditures of these agencies are financed by federal and state grants, fees, and contributions. During the year ended June 30, 2019, the City provided operating and capital support of $4,763,183 to HRT, $165,728 to HRPDC, $10,500 to VPPSA, $129,631 to HREDA and $74,435 to PCFWD.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Jointly Governed Organizations

Hampton-Newport News Community Services Board

The City has one jointly governed organization, the Hampton-Newport News Community Services Board (CSB). The CSB operates as an agent for the Cities of Hampton and Newport News in the establishment and operation of community mental health, mental retardation and substance abuse programs as provided for in Chapter 10 of Title 37.1 of the *Code of Virginia*, relating to the Virginia Department of Mental Health and Mental Retardation. The CSB designates its own management and adopts its own budget. The operations are financed principally by state and federal funds. The City provided operating support of $1,570,662 to the CSB during fiscal year 2019.

Government-wide and Fund Financial Statements

The government-wide reporting model (Exhibits A-1 and A-2) includes financial statements prepared using full accrual accounting for all government activities. The government-wide financial statements, the Statement of Net Position and the Statement of Activities, report information on all of the nonfiduciary activities of the City and its component units. As a general rule, the effect of interfund activity has been removed from these statements. Governmental activities, which are normally supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for services. The Primary Government is reported separately from certain legally separate component units for which the Primary Government is financially accountable.

Statement of Net Position

The Statement of Net Position (Exhibit A-1) is designed to display the financial position of the Primary Government (governmental and business-type activities) and its discretely presented component units. Governments report all capital assets, including infrastructure, in the government-wide Statement of Net Position and report depreciation expense in the Statement of Activities. The net position of a government is displayed in three categories – net investment in capital assets, restricted and unrestricted. Also included in the Statement of Net Position are long term debt and obligations.

Statement of Activities

The government-wide Statement of Activities (Exhibit A-2) reports expenses and revenues in a format that focuses on the cost of each of the City's functions. The expenses of the individual functions are compared to the revenues directly generated by the function through user fees or intergovernmental grants.

The Statement of Activities demonstrates the degree to which direct expenses of a given function or segment is offset by program revenues. Program revenues include charges to customers who purchase, use or directly benefit from goods, services or privileges provided by a given function or segment and grants and contributions that are restricted to meet the operational and/or capital requirements of a particular function or segment. Taxes and other items that are not included in program revenues are classified as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds and fiduciary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements. The City reports the following major governmental funds: the General, Economic Development Special Revenue, Debt Service and Capital Project funds. The major enterprise funds are: Convention Center, The Hamptons, Virginia Air and Space Center Museum, and Wastewater Management funds.

Basis of Accounting

The basis of accounting applied to a fund and the Discretely Presented Component Units is determined by the measurement focus. Basis of accounting refers to when revenues, expenditures (governmental) or expenses (proprietary), transfers and the related assets and liabilities are recognized in the accounts and reported in the financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

In the government-wide financial statements, all Proprietary Funds, the Pension Trust Fund, and Discretely Presented Component Units are accounted for using the economic resources measurement focus. This measurement focus is the same as that used by commercial enterprises. This approach includes not just current assets and liabilities (such as cash and accounts payable) but also capital assets and long-term liabilities (such as buildings and infrastructures, including bridges and roads, and general obligation debt). The accrual basis of accounting also reports all of the revenues and cost of providing services each year, not just those received or paid in the current year or soon thereafter.

The accrual basis of accounting is followed in the government-wide financial statements, the Internal Service, Enterprise, Fiduciary Funds and the Discretely Presented Component Units. Under this method of accounting, revenues are recognized when earned and expenses are recognized when the related liability is incurred. Proprietary funds distinguish operating revenues and expenses from non-operating items. Generally, operating revenues and expenses result from services provided by or producing and delivering goods in connection with the proprietary fund's principal operations.

All Governmental Funds are accounted for using the current financial resources measurement focus and modified accrual basis of accounting. This means that generally only current assets and current liabilities are reflected on their balance sheets. Their operating statements present increases (revenues and other financing resources) and decreases (expenditures and other financing uses) in net current assets.

Under the modified accrual basis of accounting, followed by the General, Special Revenue, Debt Service, and Capital Projects Funds, revenues are recognized when they become both measurable and available to finance operations of the current year. Revenues considered susceptible to accrual consist primarily of property taxes, certain grants and sales and utility taxes. Accordingly, real and personal property taxes are recorded as revenue when levied and billed, net of allowances for uncollectible amounts. Property taxes not collected within 45 days after year-end are reflected as unearned revenue. Revenues from Federal, state, and other grants, used to fund specific City expenditures, are recorded at the time of receipt of notification of the grant. Revenues from general purpose grants are recognized in the period to which the grant applies. Sales and utility taxes collected by the State or utility companies and subsequently remitted to the City are recognized as revenue upon collection by the State or utility company, which is generally in the month preceding receipt by the City. Licenses, permits, fines and rents are recorded as revenue when received. Expenditures, other than interest and principal on long-term debt, are recorded as the related liabilities are incurred, if measurable. Interest and principal on long-term debt are recognized when due. General capital asset acquisitions are reported as expenditures in governmental funds. Issuance of long-term debt and acquisitions under capital leases are reported as other financing sources.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

Budgets and Budgetary Accounting

The City's procedures for establishing the budgetary data reflected in the financial statements for the General Fund and School Operating Fund are as follows:

1. The City Manager submits to the City Council a recommended budget no later than April 15th, for the fiscal year commencing the following July 1. The operating budget includes proposed expenditures and the means of financing them.

2. Public hearings are conducted by City Council to obtain taxpayer comments.

3. The budget is legally enacted through the passage of an ordinance by City Council no later than May 15th.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

4. The City Manager or his/her designee is authorized to transfer budgeted amounts within departments within the General Fund. Revisions that alter the total appropriations for a department must be approved by City Council. Therefore, the level of control at which expenditures may not exceed appropriations is the total expenditure level of each department. Transfers within the School Operating Fund are under the control of the School Board.

5. Formal budgetary integration is employed as a management control device during the year for the General Fund and School Board Component Unit Operating Fund.

6. Budgets for the City General Fund and School Board Operating Fund are legally adopted on a basis consistent with Generally Accepted Accounting Principles.

Budgeted amounts are as originally adopted or as amended by City Council and the School Board during fiscal year 2019. Unencumbered appropriations lapse at year-end in the General and School Operating Funds. Appropriations which are encumbered at year-end are carried forward into the following year's appropriation to allow liquidation of the encumbrances.

An annual budget is not adopted for the Debt Service Fund because effective control is alternatively achieved through general obligation bond indenture provisions. Annual budgets are not employed for Capital Projects Fund and Special Revenue Funds because each program grant or capital project is approved separately.

General Property Tax Calendar

Real property is assessed at fair market value as of July 1 of each year; personal property and public service corporation properties (real and personal) are assessed as of January 1 of each year. Taxes are levied on a fiscal-year basis for real property and a calendar year basis for personal property. Taxes are due and payable in two equal installments on June 5th and December 5th.

Penalties are assessed at 10% of the tax due for real estate and personal property which are not paid by the due date. Interest at 10% per year for real and personal property is charged on unpaid tax installments. A lien is recorded on all real property with delinquent real estate taxes not paid within three years.

Encumbrances

Encumbrance accounting, under which purchase orders, contracts and other commitments for the expenditure of monies are recorded in order to reserve that portion of the applicable appropriation, is employed as an extension of formal budgetary integration in the General Fund and School Operating Fund. Encumbered amounts for specific purposes for which amounts have not been previously restricted, committed or assigned will be reported within committed or assigned fund balance, as appropriate.

Investments

Investments of the Hampton Employees' Retirement System are stated at fair value, except for short-term investments, which are stated at cost. All other City investments are generally stated at fair value, except for short-term cash equivalents, which are stated at cost.

Receivables

Receivables of the General Fund are stated net of an allowance for uncollectible taxes of $3,955,472. Management has determined that the allowance is sufficient to provide for any losses that may be sustained on realization of the accounts receivable.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Inventories

The inventories reflected in the Enterprise Funds and School Funds consist principally of food items and items held for resale and are valued at cost (first-in, first-out). The General Fund's inventory consists of consumable supplies valued at cost (first-in, first-out). The Internal Service Funds' inventories consist principally of expendable items held for consumption and are valued by the average-cost method. Inventories are recognized as expenditures and expenses when consumed or sold.

Prepaids

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements. Prepaids in the General Fund, Internal Service Funds and Enterprise Funds consist of mainly insurance and contract costs which are recognized proportionately over the periods the service is provided (consumption method).

Land Held for Resale

Land held for resale by EDA is stated at cost or, if donated, at acquisition value as of the date received. Development costs of the EDA are added to the cost of the land when incurred. Total land and development costs are allocated to total saleable acreage under development and are charged to expenses on a prorated basis when the land is sold.

Interfund Activity

Activity between funds that represents lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as "due to/from other funds" (current portion) or "advances to/from other funds" (non-current portion of interfund loans). Any residual balances outstanding between governmental activities and business-type activities are reported in the government-wide financial statements as internal balances (see note 3).

Restricted Assets

Restricted assets represent the following invested assets set aside in The Convention Center and discretely presented component unit – EDA:

	Convention Center	Component Unit- EDA
Restricted Assets		
Cash:		
Operating and Maintenance Account	$	$ 138,606
Operating/Capital Reserve Fund	2,546,765	522,814
Debt Service Reserve Fund	686,155	573,515
Investments:		
Operating Reserve Fund	7,689,606	
Bond Fund	1,157,223	
Debt Service Reserve Fund	6,811,952	
	$ 18,891,701	$ 1,234,935

The assets for Convention Center and EDA are classified as restricted since their use is limited by the Bond Trust Indenture.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Capital Assets

Capital assets, which include property, plant, equipment, infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), and intangible assets (e.g., easements and computer software), are reported at historical cost, or estimated historical cost if actual cost is not available, less accumulated depreciation for the Primary Government in the applicable governmental or business-type activities columns in the government-wide financial statements and in the proprietary fund financial statements. Capital assets, other than computer equipment, computer software, and infrastructure assets, are defined by the City as assets with an initial, individual cost of more than $2,500 and an estimated useful life greater than one year. Computer equipment and computer software are capitalized when the initial, individual cost exceeds $1,000 and $5,000, respectively. Infrastructure assets and improvements that meet the capitalization threshold, generally $10,000, are capitalized and reported in the government-wide financial statements. Major outlays for capital assets and improvements are capitalized as projects are constructed. Historical cost of self-constructed infrastructure includes direct labor, direct materials and overhead costs allocated based on direct labor hours charged to the project. Capital assets capitalized at a lower threshold continue to be reported on the basis of past practice. The cost of normal maintenance and repairs that do not add to the value or materially extend asset lives are not capitalized. Donated capital assets are recorded at acquisition value at the date of donation. When assets are retired or otherwise disposed of, the related cost and accumulated depreciation are eliminated and any resulting gain or loss is reflected as non-operating revenue or expense.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Assets	Years
Buildings and improvements	10-40
Improvements other than buildings	10-50
Equipment and computer software	3-20
Exhibits	7-10
Infrastructure	5-75
Landfill	Percentage of completion

The City capitalizes interest costs on funds borrowed to finance the construction of capital assets in the proprietary funds.

The Landfill in the Solid Waste fund is recorded at cost and amortized using the straight-line method based on tonnage received in relation to total expected capacity.

The Hampton Employees' Retirement System (HERS) capitalizes equipment, other than computer equipment, over $2,500. Computer equipment having a cost of $1,000 or more is capitalized. Capital assets are recorded at cost and depreciation is recorded using the straight-line method over the estimated useful lives of the assets. The estimated useful life of equipment is 3 – 20 years.

The capital assets of the discretely presented component units – School Board, Economic Development Authority, Downtown Hampton Development Partnership, Inc., and the Coliseum Central Business Improvement District, Inc. are stated at cost. Depreciation has been provided using the straight-line method over the estimated useful lives of the assets.

Deferred outflows/inflows of resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. *Deferred outflows of resources*, which represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. One of the deferred outflows resources is the deferred charge on refunding reported in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. The other deferred outflows of resources are related to pensions and other postemployment benefits (OPEB), which consist of employer contributions subsequent to the measurement date, changes in proportion and differences between employer contributions and proportionate share of contributions, net difference between projected and actual earnings on pension plan

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

investments and change in assumptions. These amounts are deferred and amortized in accordance with GAAP.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. *Deferred inflows of resources,* which represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The City has two types of items, which arise only under a modified accrual basis of accounting, that qualify for reporting in this category. Accordingly, unavailable revenue and property taxes collected in advance are reported only in the governmental funds' Balance Sheet. The governmental funds report unavailable revenues from three sources: property taxes, charges for services and program income. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. The governmental funds report revenues collected in advance from one source: property taxes. These amounts are deferred and recognized as an inflow of resources when the taxes are levied.

The other deferred inflows of resources are related to pensions and OPEB, which consist of differences between expected and actual experience, net difference between projected and actual earnings on plan investments, changes in proportion and differences between employer contributions and proportionate share of contributions and change in assumptions. These amounts are deferred and amortized in accordance with GAAP.

Fund Balance

Fund balance is essentially the difference between the assets and liabilities and deferred inflows of resources reported in a governmental fund. There are five separate components of fund balance, each of which identifies the extent to which the City is bound to honor constraints on the specific purpose for which amounts can be spent. The five categories are as follows:

Nonspendable Fund Balance – Includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact. Examples would be inventory, long term receivables, or a fund that is legally or contractually required to be maintained intact such as a permanent fund.

Restricted Fund Balance – Includes amounts that can be spent only for specific purposes as stipulated by constraints imposed by either external creditors, grantors, laws or regulations of other governments or they are imposed by law through constitutional provisions or enabling legislation.

Committed Fund Balance – Includes amounts that can only be used for specific purposes pursuant to a formal action of the government's highest level of decision-making authority.

Authority to Commit – Commitments for specific purposes require a formal action (resolution) of the City Council. A majority vote is required to approve or remove a commitment. Committed amounts cannot be used for any other purpose unless City Council removes or changes the specified use by taking the same type of action (resolution).

Assigned Fund Balance – Includes amounts intended to be used by the City for a specific purpose but do not meet the criteria to be classified as restricted or committed. The intent should be expressed by the governing body itself or an official or committee that the governing body has delegated the authority to assign amounts to be used for specific purposes.

Authority to Assign – The City Council's fund balance policy has delegated to the City Manager and Director of Finance the authority to assign amounts to be used for specific purposes; however, before the assigned funds can be spent, such amounts, excluding appropriations related to encumbrances that are carried forward to the subsequent fiscal year, must be appropriated by City Council.

Unassigned Fund Balance – The residual classification for the General Fund. This category represents fund balance that has not been restricted, committed or assigned to specific purposes within the General Fund.

When an expenditure is incurred for purposes for which both restricted and unrestricted (committed, assigned, or unassigned) amounts

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

are available, it shall be the policy of the City of Hampton to consider restricted amounts to have been spent first.

When an expenditure is incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, it shall be the policy of the City that committed amounts would be reduced first, followed by assigned amounts and then unassigned amounts.

The City will maintain a minimum unassigned fund balance in the General Fund equal to 10% of the total revenues for the General and School Operating Funds. To the extent the minimum unassigned fund balance falls below policy, the shortfall shall be replenished over a three-year period.

A schedule of fund balances by specific purpose is provided below:

	General	Economic Development	Debt Service	Capital Projects	Other Governmental Funds	Total Governmental Funds
Fund Balances:						
Nonspendable:						
Inventory	$ 26,961	$	$	$	$	$ 26,961
Restricted:						
Debt service			86,814			86,814
Donations for parks projects	10,000					10,000
Public safety for hazmat fees	40,203					40,203
Wetlands Encroachment/In Lieu	169,499					169,499
Donations for bike racks				1,300		1,300
Title IVE	138,446					138,446
Urban Development Action grant projects		863,498				863,498
Property acquisition/redevelopment				252,149		252,149
Street and Infrastructure projects				336,987		336,987
Waterways projects				844	99,193	100,037
Park improvement projects				90,571	15,803	106,374
Public Works equipment					215,334	215,334
Facilities maintenance and repairs					53,235	53,235
Law library books and subscriptions					26,583	26,583
Stormwater management					12,279,967	12,279,967
Commonwealth's Attorney investigations,training and equipment					129,915	129,915
Probation supervision services					210,443	210,443
Emergency preparedness					173,818	173,818
Fire equipment, training and supplies					457,564	457,564
Police investigations, training and equipment					175,935	175,935
Early intervention and special education services					380,796	380,796
Neighborhood improvement projects					39,477	39,477
Donations for bus shelter benches	41,303					41,303
Fishing pier	9,727					9,727
Other	13,643			667	32,555	46,865
Committed:						
Budget savings program	9,986,502					9,986,502
Computer replacement program	1,358,016					1,358,016
Debt service	5,811,513					5,811,513
Home elevation loan program	1,934,517					1,934,517
Maintenance of driving range	161,113					161,113
Job creation grants		831,915				831,915

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

	General	Economic Development	Debt Service	Capital Projects	Other Governmental Funds	Total Governmental Funds
Emergency Management	3,036					3,036
Drainage	2,526,332					2,526,332
Public Works Yard Master Plan				51,750		51,750
KRONOS Time Accounting System	86,309			1,222,710		1,309,019
Reengineering Technology				268,620		268,620
Streets & Infrastructure projects		616,457		9,476,442		10,092,899
Waterways projects				6,259,649		6,259,649
Buckroe redevelopment projects		86,274		257,765		344,039
Va Air and Space Museum support/improvements	1,614			691		2,305
Coliseum Central projects		60,333		913,479		973,812
Court buildings projects				103,484		103,484
Downtown strategic projects				3,708,855		3,708,855
Facilities maintenance projects				1,826,154		1,826,154
Fire and Rescue projects				534,284		534,284
Sheriff projects				417,148		417,148
North King Street Corridor projects				141,571		141,571
Neighborhood improvement projects				4,869,761		4,869,761
Parks improvement projects				3,646,391		3,646,391
Police and E911 equipment	150,432			1,154,415		1,304,847
Property acquisition/redevelopment		19,337		3,949,254		3,968,591
School projects				6,354,410		6,354,410
Transportation projects				225,853		225,853
Other		49,225		342,184		391,409
Commonwealth's Attorney				89,000		89,000
Council Chambers				43,296		43,296
MLK Memorial				10,299		10,299
War Memorial Stadium				1,454,495		1,454,495
Assigned:						
Donations for parks projects	3,297					3,297
Subsequent year expense	4,938,379					4,938,379
Proceeds from real estate auctions	15,675					15,675
Economic development projects		3,315,467				3,315,467
Transportation projects	234,213					234,213
Fire and Rescue operations	763,678					763,678
Debt service			448,189			448,189
Donations for History Museum	13,357					13,357
Donations for general operations	42,975					42,975
Unappropriated bond interest income-general capital projects				3,272,043		3,272,043
Line of Duty program	92,743					92,743
Commemorative Commission	86,012					86,012
Other				168,083	89,178	257,261
Unassigned	74,754,008					74,754,008
Total Fund Balances	$ 103,413,503	$ 5,842,506	$ 535,003	$ 51,444,604	$ 14,379,796	$ 175,615,412

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Net Position (deficit)-Enterprise Fund and Internal Service Funds

The net position(deficit) at June 30, 2019 in the Enterprise Funds are as follows:

	Primary Government	Discretely Presented Component Units
Wastewater Management	$ 53,872,422	$
The Hamptons Golf Course	(4,360,919)	
Museum	10,243,695	
Hampton Roads Convention Center	7,788,407	
Non-Major Enterprise:		
Hampton Coliseum	7,615,110	
The Woodlands Golf Course	(804,891)	
Solid Waste	8,940,813	
Refuse-Steam Plant	6,951,719	
Component Units:		
School Board		(192,259,066)
Economic Development Authority		45,064,532
Coliseum Central Business Improvement District, Inc.		770,697
Downtown Hampton Development Partnership, Inc.		906,963

The deficits in The Hamptons Golf Course Fund and The Woodlands Golf Course Fund are primarily attributed to accumulated depreciation charges on capital assets and current year net operating losses. Net operating losses before depreciation are usually funded in the succeeding year by transfers from the General Fund.

The net position in the Internal Service Funds are as follows:

Internal Service:	
Equipment Replacement	$ 18,783,462
Fleet Management	(1,883,782)
Risk Management	13,123,180
Information Technology	413,316

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's and School Board's retirement plans (Plans) and the addition to/deductions from the Plans' net fiduciary position have been determined on the same basis as they were reported by the Virginia Retirement System (VRS) and Hampton Employees' Retirement System (HERS). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES , continued:

Group Life

The Group Life Insurance Program (GLI) is administered by the VRS. The GLI is a defined benefit plan that provides a basic group life insurance benefit for employees of the City. For purposes of measuring the net GLI OPEB liability, deferred outflows of resources and deferred inflows of resources related to the GLI OPEB, and GLI OPEB expense, information about the fiduciary net position of the VRS GLI OPEB and the additions to/deductions from the VRS GLI OPEB's net fiduciary position have been determined on the same basis as they were reported by VRS. In addition, benefit payments are recognized when due and payable in accordance with the benefit terms.

Health Insurance Credit Program

The Health Insurance Credit Program (HIC) is administered by the VRS. The HIC is a defined benefit plan that provides a credit toward the cost of health insurance coverage for retired teachers. For purposes of measuring the net HIC OPEB liability, deferred outflows of resources and deferred inflows of resources related to the HIC OPEB, and the HIC OPEB expense, information about the fiduciary net position of the VRS HIC; and the additions to/deductions from the VRS HIC net fiduciary position have been determined on the same basis as they were reported by VRS. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms.

Compensated Absences

It is the City's policy to permit employees to accumulate a limited amount of earned but unused annual and sick leave benefits, which will be utilized in future periods or will be paid to employees upon separation from City service. In governmental fund types, the cost of annual and sick benefits is recognized when payments are made to employees. The current and long-term liability for accrued annual and sick leave benefits at June 30, 2019 has been reported in the government-wide statements, representing the City's commitment to fund such costs from future operations. Proprietary fund types accrue annual and sick leave benefits in the period they are earned. Such benefits are included in accounts payable and other liabilities in the government-wide statements. In prior years, the General, Federal Grants, Community Development, Pembroke Complex and Stormwater Management Funds have been used to liquidate the liability for compensated absences.

The accounts of the City are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts, which comprise each fund's assets, liabilities, deferred inflows/outflows of resources, fund balance or net position, revenues and expenditures or expenses.

Implementation of New Standard

Effective July 1, 2018, the City adopted the provisions of GASB Statement No. 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements*, the objective of this statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. The statement also clarifies which liabilities governments should include when disclosing information related to debt. The disclosures related to this statement have been included in Note 8.

2. BASIS OF PRESENTATION - FUND ACCOUNTING:

The following is a description of the funds included in the accompanying financial statements.

General Fund

The General Fund is the City's primary operating fund and accounts for all revenues and expenditures of the City, which are not

2. BASIS OF PRESENTATION - FUND ACCOUNTING , continued:

accounted for in the other funds. Revenues are primarily derived from general property taxes, other local taxes, revenues from other governmental units and recovered costs. A significant part of the General Fund's revenue is transferred to other funds, principally to fund the operations of the City public schools and debt service requirements of the City. Expenditures include, among other things, those for general government, public safety, highways and streets, culture and recreation, health and human services.

Debt Service Fund

The Debt Service Fund accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest. Primary resources of the Debt Service Fund are derived from transfers from the General Fund and the proceeds from the issuance of refunding bonds.

Capital Projects Fund

The Capital Projects Fund accounts for all general City and School construction projects and reports financial resources that are restricted, committed or assigned to expenditure for capital outlays which are financed through general obligation debt and general operating funds, with the exception of projects related to Enterprise and Internal Service Funds.

Special Revenue Funds

Special revenue funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specific purposes other than debt service or capital projects.

The Federal Grants Fund accounts for revenues and expenditures of all federal, state and recovery act grants awarded to the City except the Community Development entitlement. The Federal Grants Fund also accounts for program income and matching requirements related to all awarded City grants. Federal grants received by the Component Unit - School Board are included in the discretely presented component unit.

The Community Development Fund accounts for revenues and expenditures related to entitlements received by the City under the Community Development Act of 1974, administered by the United States Department of Housing and Urban Development, to foster the development of the Healthy Neighborhoods Initiative. Other revenues include program income that is generated from repayments of loans, the sale of rehabilitated homes and the Revolving Loan Fund.

The Economic Development Fund was established to finance the costs of capital investments, improvements, expenditures and any other approved expenditure, which will assist economic development and improve the physical appearance of the City. Revenues are earned from land sales, special assessments, projects financed by the fund and rental receipts.

The Stormwater Management Fund accounts for revenues and expenditures related to maintaining the storm drainage system and the quality of our surface waters. Revenues are derived from a service charge levied on all developed property in the City.

The Pembroke Complex Fund accounts for the receipts and disbursements related to the operations of the Pembroke Community Service Center. The facility is owned by the Hampton Redevelopment and Housing Authority and maintained by the City from the rents charged to the various tenants of the building.

The Law Library Fund accounts for receipts and disbursements of funds specifically held for the purpose of purchasing law books. Revenues are derived from a court case fee, which is legally mandated to support the operations of the law library.

Enterprise Funds

Enterprise Funds, (Exhibit A-6, A-7 and A-8), are used to account for operations (a) that are financed and operated in a manner similar

2. BASIS OF PRESENTATION - FUND ACCOUNTING , continued:

to private business enterprises where the intent of the governing body is that costs of operating and providing services to the general public are completely or partially financed from user fees; or (b) where the governing body has determined that the periodic determination of net results of operations is appropriate for management control and accountability.

The City's Enterprise Funds account for the operations of the Hampton Coliseum, The Woodlands Golf Course, The Hamptons (Golf Course), Solid Waste, the Virginia Air and Space Center (Museum), Convention Center, Wastewater Management, and the Refuse-Steam Plant. Revenues of the Hampton Coliseum, Woodlands Golf Course, The Hamptons, the Solid Waste Fund, the Refuse-Steam Plant Fund and the Wastewater Management Fund are derived primarily from user fees. The Convention Center Fund revenues are derived from user fees and meal and lodging taxes. The Museum's operating revenue is derived from donations and user fees, including federal funds from the National Aeronautics and Space Administration for educational/user fee subsidy.

Internal Service Funds

The Internal Service Funds account for the services provided to substantially all City departments or other governmental units on a cost-reimbursement basis. The City's internal service funds include Equipment Replacement, Fleet Services, Risk Management and Information Technology.

The Equipment Replacement Fund owns all on-road rolling stock of the City and leases the equipment to the various operating departments. Leasing income is used for replacement of the equipment. The Fleet Services Fund accounts for the operation of the City's central automotive maintenance service facility. The Risk Management Fund accounts for the costs of providing insurance coverage and certain self-insured liabilities of the City and the School Board. The Information Technology Fund accounts for the costs of providing the following services: personal computer support and telecommunications services.

Fiduciary Funds

Fiduciary Funds are used to account for assets held by the City in a trustee capacity or as an agent for individuals, private organizations and other governmental units. The Fiduciary Funds consist of the Hampton Employees' Retirement System (HERS), Special Welfare and Other Agency Funds.

HERS pension trust fund (Exhibits A-9 and A-10) accounts for the revenues and expenditures related to the City-sponsored retirement plan, which is administered by a board of trustees appointed by City Council. The Special Welfare Fund is an agency fund that accounts for receipts and disbursements for special assistance programs and activities sponsored by the City's Social Services department. The Other Agency Fund accounts for amounts held in trust by the City for others such as the Hampton Roads Peninsula Drug Initiative.

3. INTERFUND BALANCES:

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" or "advances to/from other funds" in the fund statements or as "internal balances" in the Statement of Net Position. All residual balances outstanding between governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

The due from reflected in the General Fund in the amount of $11,399,879 is primarily to cover negative cash balances for several funds. The due from reflected in the Capital Projects Fund in the amount of $11,897,867 is to fully fund all City funded capital projects in the current year. All remaining balances resulted from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur and (2) payments between the funds are made.

3. INTERFUND BALANCES , continued:

Interfund Receivables and Payables:

Primary Government:	Due From	Due To
General Fund	$ 11,399,879	$ 12,320,403
Capital Projects	11,897,867	3,200,000
Non-Major Governmental Funds	341,221	417,578
Proprietary Funds:		
Wastewater Management	26,310	
The Hamptons		4,463,656
Museum		854,525
Non-Major Enterprise Funds	158,500	2,573,035
Internal Service Funds	9,127	3,707
Total Primary Government	$ 23,832,904	$ 23,832,904

Receivable and payable balances between the Primary Government and component units are as follows:

	Due From Primary Government	Due To Component Unit	Due From Component Unit	Due To Primary Government
Primary Government - General Fund	$	$ 356,372	$ 222,559	$
Primary Government - Economic Development		31,219		
Primary Government - Non-major Enterprise Funds			35,328	
Primary Government - Internal Service Funds			150,929	
Component Unit - School Board Operating Fund	100,642			177,527
Component Unit - EDA	286,949			231,289
Total	$ 387,591	$ 387,591	$ 408,816	$ 408,816

Individual fund interfund transfers for the Primary Government were made for operating as well as capital purposes. The more significant transfers were made from the General Fund for the purposes of funding debt service, various capital projects and operating support to the Enterprise Funds. Interfund transfers for the year ended June 30, 2019 are as follows:

Primary Government:	Transfer From	Transfer To
General Fund	$ 236,094	$ 69,278,976
Special Revenue:		
Economic Development		47,325
Debt Service	31,107,640	
Capital Projects	30,776,603	945,612
Non-Major Governmental Funds	1,941,000	3,048,640
Proprietary Funds:		
Wastewater Management		113,292
Museum	945,612	
Convention Center	7,550,218	
Non-Major Enterprise Funds	876,678	
Total Primary Government	$ 73,433,845	$ 73,433,845

3. INTERFUND BALANCES , continued:

Related party transactions between the Primary Government and component units are as follows:

	Payments From Primary Government	Payments To Component Unit	Payments From Component Unit	Payments To Primary Government
Primary Government - General Fund	$	$ 81,557,955	$ 2,232,199	$
Primary Government - Economic Development		237,500		
Primary Government - Capital Projects Fund		2,552,684		
Component Unit - School Board Operating Fund	73,827,042			2,000,000
Component Unit - EDA	9,794,073			232,199
Component Unit - Coliseum BID	553,952			
Component Unit - Downtown Hampton	173,072			
Total	$84,348,139	$ 84,348,139	$ 2,232,199	$ 2,232,199

4. DEPOSITS AND INVESTMENTS:

For purposes of reporting cash flows, cash and cash equivalents including demand deposits, certificates of deposit, money market funds and repurchase agreements.

Deposits

On June 30, 2019, the carrying value of the City's deposits was $26,096,254 and the bank balance was $18,658,677. All of the bank balances are covered by the Federal Deposit Insurance Corporation (FDIC) and collateralized in accordance with the Virginia Security for Public Deposits Act (the "Act") Section 2.2-4400 et. seq. of the *Code of Virginia*. Under the Act, banks and savings institutions holding public deposits in excess of the amount insured by the FDIC must pledge collateral to the Commonwealth of Virginia Treasury Board. Financial institutions may choose between two collateralization methodologies and depending upon that choice will pledge collateral that ranges in the amounts from 50% to 130% of excess deposits. The Commonwealth of Virginia Treasury Board is responsible for monitoring compliance with the collateralization and reporting requirements of the Act and notifying local governments of compliance by financial institutions. All deposits are considered fully collateralized.

Investments

Statutes authorize the City to invest in obligations of the United States or agencies thereof, obligations of states and local governments, obligations of international development banks, "prime quality" commercial paper and certain corporate notes, repurchase agreements, certificates of deposit in United States banks, State Treasurer's Local Government Investment Pool (LGIP), and the State Non-Arbitrage Program (SNAP).

Investments for the City are primarily reported at fair value. The State Treasurer's LGIP operates in accordance with appropriate state laws and regulations. There are no restrictions on participant withdrawals for LGIP. The reported value of the pool is the same as the fair value of the pool shares.

The LGIP and SNAP are money market funds. The LGIP is reported at amortized cost and SNAP is reported at net asset value.

4. DEPOSITS AND INVESTMENTS , continued:

HERS Investments

Investments are stated at fair value except for short-term investments. These are reported at cost, which approximates fair value. The fair value of mutual funds traded on a national securities exchange is determined by using the last reported sales price on the last business day of the fiscal year; listed securities for which no sale was reported on that date are valued at the mean between the last reported bid and asked prices. The Bank of New York Mellon serves as custodian of HERS investments.

Investment Policy

The City's investment policy requires that all investments and investment practices meet or exceed all statutes and guidelines governing the investment of public funds in Virginia, including the Code of Virginia and the guidelines established by the State Treasury Board. State statutes limit investment in commercial paper to no more than 35% of the total portfolio, with not more than 5% per issuer. The City's investment policy addresses credit risk, custodial credit risk, interest rate risk, and concentration of risk, in which instruments are to be diversified and maturities timed in accordance with anticipated needs in order to minimize any exposure to fair value losses. The City's policy does not address foreign currency risk.

HERS Investment Policy

The Board of Trustees of the System has the full power to invest and reinvest the trust funds in accordance with Section 28-47 of the City Code, as amended. It requires the Board of Trustees to invest the assets with the care, skill, prudence and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character with like aims. In addition, the investments are required to be diversified so as to minimize the risk of losses under the circumstances it is clearly prudent not to do so. All investments shall be clearly marked to indicate ownership by the System. The HERS investments are held by the Bank of New York Mellon.

Credit Risk

The City's investment policy requires all bonds or notes of the Commonwealth of Virginia, states, or political subdivisions of any state of the U.S., or asset-backed securities have at least AAA ratings by two rating agencies, one of which must be Moody's Investor Services (Moody's) or Standard & Poor's (S&P). Repurchase agreements must be collateralized by Treasury or Agency obligations of which the market value is at least 102% of the purchase price of the security. Certificates of deposit of domestic banks must have at least A-1 rating by S&P and P-1 by Moody's for maturities less than 1 year, and AA by S&P and Aa by Moody's for maturities over one year and not exceeding 3 years. Commercial paper must be rated "Prime Quality" with at least a P-1 rating by Moody's, A-a rating by S&P, and Duff and Phelps within its rating of D-1. Corporate notes and bonds must have a rating of at least A by S&P, and A by Moody's. The City also invested funds during the year with the State Treasurer's Local Government Investment pool, a 2a7 like pool, and the SNAP, both rated AAAm by Standard & Poor's.

HERS Credit Risk

HERS manages its credit risk by limiting investments in domestic bonds to those rated investment grade or better.

HERS Concentration of Credit Risk

HERS manages its exposure to concentrations of credit risk by limiting investments in domestic bonds for a single Non U.S. Government security to no more than 5% of the Plan's total investments. With the exception of passively managed investment vehicles seeking to match the returns of a broadly diversified market index, no single investment pool or mutual fund shall comprise more than 20% of the Plan's total investments.

4. DEPOSITS AND INVESTMENTS , continued:

U. S. Government Securities

The City invested in U. S. Government Securities which consisted of U.S Treasury Notes, Supra-National Agency Notes, Municipal Bonds, FHLB and FHLMC. U. S. Government Securities are subject to interest rate risk.

Custodial Credit Risk

All securities purchased for the City shall be held by the City or by the City's designated third party custodian. Securities are only purchased from brokerage firms/institutions that are under the Commonwealth of Virginia's supervision and located in the Commonwealth of Virginia.

HERS Custodial Credit Risk

HERS limits its exposure to custodial credit risk by maintaining its investments in custodial accounts. Securities that exist in book entry form are held in trust by the custodian in the name of the Plan.

Interest Rate Risk

As a means of limiting exposure to fair value losses arising from rising interest rates, the City manages the investment maturities of operating funds to coincide with the City's projected cash flow needs. Bond proceeds are invested in compliance with the specific requirements of the bond covenants.

The City limits U.S. Treasury securities, U.S. Agency securities, and corporate notes to maturities of less than five years; bankers' acceptances to maturities of less than 180 days; and commercial paper to maturities of less than 270 days.

HERS Interest Rate Risk

HERS does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. Interest rate risk is monitored by measuring the weighted average duration of the portfolio.

4. DEPOSITS AND INVESTMENTS , continued:

As of June 30, 2019, the City had the following investments and maturities:

Primary Government	Fair Value	Actual Credit Rating	Investment Maturities (in years) Less than 1 year	1-5 years
Commercial Paper	$ 2,971,392	A-1 + P-1	$ 2,971,392	$
Certificate of Deposit	4,202,044	AA, A-1+, AA-	2,400,000	1,802,044
U.S. Government securities	32,016,946	AAA, AA+, AA-	4,514,609	27,502,337
Corporate Notes	6,291,820	AAA, AA, AA+, AA-, A+	620,419	5,671,401
LGIP - City	155,013,159	AAAm	155,013,159	
State Non-Arbitrage Fund-City	44,647,562	AAAm	44,647,562	
Mutual and Money Market Funds	2,203,315	Unrated	2,203,315	
Total Investments Controlled by City	247,346,238		212,370,456	34,975,782
Pension Plan Investments	127,087,908		127,087,908	
Total	374,434,146		$ 339,458,364	$ 34,975,782

Reconciliation to Total Cash and Investments:	
Add:	
Cash on Hand and in Banks-City	20,111,161
Cash With Fiscal Agent	3,415,198
Total Deposits and Investments Primary Government and Fiduciary Funds per Exhibits A-1 and A-9	$ 397,960,505

4. DEPOSITS AND INVESTMENTS , continued:

Component Unit - School Board

	Investment Maturities (in years)	
	Fair Value	Less than 1 year
Repurchase Agreements	$ 1,300,000	$ 1,300,000
Mutual and Money Market Funds	31,399	31,399
Total Investments School Board	$ 1,331,399	$ 1,331,399

Other Component Units

	Investment Maturities (in years)	
	Fair Value	Less than 1 year
Mutual and Money Market Funds	$ 1,234,935	$ 1,234,935
Total Investments Other Component Units	$ 1,234,935	$ 1,234,935

Reconciliation of total deposits and investments to the government-wide statements at June 30, 2019:

Primary Government	Governmental Activities	Business-type Activities	Fiduciary Responsibilities	Total
Cash Deposits-City	$ 1,793,887	$ 17,359,963	$ 957,311	$ 20,111,161
Cash With Fiscal Agent-City	337,354	3,077,844		3,415,198
Mutual and Money Market Funds		2,163,031		2,163,031
Investments-City	210,474,426	34,708,781	127,087,908	372,271,115
Total Primary Government	$ 212,605,667	$ 57,309,619	$ 128,045,219	$397,960,505
Component Unit - School Board				
Cash Deposits	$ 12,226,774	$	$	$ 12,226,774
Cash With Fiscal Agent	8,985,569			8,985,569
Investments	1,331,399			1,331,399
Total Component Unit School Board	$ 22,543,742	$	$	$ 22,543,742
Other Component Units				
Cash Deposits	$	$ 2,586,226	$	$ 2,586,226
Cash With Fiscal Agent		1,336,383		1,336,383
Investments		1,234,935		1,234,935
Total Other Component Units	$	$ 5,157,544	$	$ 5,157,544

4. DEPOSITS AND INVESTMENTS , continued:

GAAP requires the City to use valuation techniques which are appropriate under the circumstances and are either a market approach, a cost approach or an income approach. GAAP establishes a hierarchy of inputs used to measure fair value consisting of three levels. Level 1 inputs are quoted prices for identical assets or liabilities in active markets. Level 2 inputs are inputs, other than quoted prices included within Level 1 that are observable for an asset or liability, either directly or indirectly. Level 3 inputs are unobservable inputs for asset or liability.

Fair Value Hierarchy

The City categorizes its fair value measurements within the fair value hierarchy established by GAAP. City investments are classified in Level 2 of the fair market value hierachy and are valued using matrix pricing techniques maintained by various pricing vendors. Matrix pricing is used to value securities based on the securities' relationship to the benchmark quoted prices. Fair value is defined as the quoted market value on the last trading day of the period. These prices are obtained from various pricing sources by our custodian bank. Pension plan investments are classified in Level 1 of the fair value hierachy. Level 1 inputs are quoted prices in active markets for identical assets.

The following is a summary of the fair value hierarchy for investments of the City as of June 30, 2019:

		Fair Value Measurements Using		
Primary Government	Investments at Fair Value June 30, 2019	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Commercial Paper	$ 2,971,392	$	$ 2,971,392	$
Certificate of Deposit	4,202,044		4,202,044	
Corporate Notes	6,291,820		6,291,820	
U.S. Government Securities	32,016,946		32,016,946	
Total Primary Government	$ 45,482,202	$	$ 45,482,202	$
Pension Plan Investments	$ 127,087,908	$ 127,087,908	$	$

5. ACCOUNTS RECEIVABLE:

Accounts receivable at June 30, 2019 in the Governmental Funds and School Board are as follows:

	General Fund	Special Revenue-Economic Development	Debt Service	Capital Projects	Other Governmental Funds
Primary Government:					
General property taxes (net of allowance for uncollectible taxes of $3,955,472)	$ 5,870,179	$	$	$	$
Due from Commonwealth of Virginia	9,607,539			2,393,213	1,269,432
Due from Federal Government	756,609				1,853,416
Other	1,612,447	16,761	2,739		1,061,356
Total Primary Government	$ 17,846,774	$ 16,761	$ 2,739	$ 2,393,213	$ 4,184,204

Discretely Presented Component Unit - School Board:	
Due from Commonwealth of Virginia	$ 2,921,515
Due from Federal Government	2,518,933
Due from Primary Government	100,642
Other	494,284
Total Component Unit	$ 6,035,374

6. CAPITAL ASSETS:

Capital asset activity for the year ended June 30, 2019 is as follows:

	Beginning Balance	Additions	Reductions	Ending Balance
Governmental Activities				
Capital assets not being depreciated:				
Land	$ 517,593,045	$ 1,466,343	$	$ 519,059,388
Easements	2,161,953	59,962		2,221,915
Construction in progress	23,399,955	7,477,558	(5,436,667)	25,440,846
Total capital assets not being depreciated	543,154,953	9,003,863	(5,436,667)	546,722,149
Capital assets being depreciated:				
Buildings	196,612,574			196,612,574
Improvements	80,624,065	2,204,779	(7,996)	82,820,848
Computer Software	2,121,466			2,121,466
Machinery & Equipment	85,969,035	4,031,600	(2,640,321)	87,360,314
Infrastructure	217,332,229	5,424,941		222,757,170
Other Assets	4,446,039			4,446,039
Total capital assets being depreciated	587,105,408	11,661,320	(2,648,317)	596,118,411
Less accumulated depreciation for:				
Buildings	(61,348,745)	(4,475,336)		(65,824,081)
Improvements	(55,567,285)	(3,108,522)	3,964	(58,671,843)
Computer Software	(1,187,371)	(253,169)		(1,440,540)
Machinery & Equipment	(52,649,515)	(6,159,170)	2,567,950	(56,240,735)
Infrastructure	(89,083,066)	(9,012,193)		(98,095,259)
Other Assets	(1,871,223)	(240,020)		(2,111,243)
Total accumulated depreciation	(261,707,205)	(23,248,410)	2,571,914	(282,383,701)
Total capital assets being depreciated, net	325,398,203	(11,587,090)	(76,403)	313,734,710
Governmental activities capital assets, net	$ 868,553,156	$ (2,583,227)	$ (5,513,070)	$ 860,456,859

Primary Government:

Net capital assets for Governmental Activities are comprised of the following:

General capital assets	$ 843,107,583
Internal service funds	17,349,276
	$ 860,456,859

6. CAPITAL ASSETS , continued:

	Beginning Balance	Additions	Reductions	Ending Balance
Business-type Activities:				
Capital assets not being depreciated:				
Land	$ 11,066,341	$	$	$ 11,066,341
Easements	28,943			28,943
Construction in progress	956,891	560,930	(768,768)	749,053
Total capital assets not being depreciated	12,052,175	560,930	(768,768)	11,844,337
Capital assets being depreciated:				
Buildings	140,142,174	740,791		140,882,965
Improvements	35,809,014		(52,276)	35,756,738
Computer Software	401,729			401,729
Machinery & Equipment	30,271,965	2,928,029	(481,595)	32,718,399
Exhibits	14,682,501	182,939		14,865,440
Landfill	3,865,986			3,865,986
Infrastructure	73,449,765	1,393,345		74,843,110
Total capital assets being depreciated	298,623,134	5,245,104	(533,871)	303,334,367
Less accumulated depreciation for:				
Buildings	(70,554,445)	(3,814,450)		(74,368,895)
Improvements	(26,222,539)	(1,043,731)	49,663	(27,216,607)
Computer Software	(297,433)	(63,057)		(360,490)
Machinery & Equipment	(21,798,575)	(1,928,107)	479,941	(23,246,741)
Exhibits	(14,290,193)	(104,599)		(14,394,792)
Landfill	(3,667,505)	(3,358)		(3,670,863)
Infrastructure	(31,748,662)	(1,110,341)		(32,859,003)
Total accumulated depreciation	(168,579,352)	(8,067,643)	529,604	(176,117,391)
Total capital assets being depreciated, net	130,043,782	(2,822,539)	(4,267)	127,216,976
Business-type activities capital assets, net	$ 142,095,957	$ (2,261,609)	$ (773,035)	$ 139,061,313

Depreciation expense was charged to functions/programs of the Primary Government as follows:

	General Capital Assets	Internal Service Funds	Total
Governmental activities			
General government	$ 3,667,867	$ 3,060,962	$ 6,728,829
Health	818,414		818,414
Public welfare	62,071		62,071
Public safety	3,680,652		3,680,652
Streets and highways	7,272,340		7,272,340
Culture and recreation	586,841		586,841
Education	4,099,263		4,099,263
Total depreciation expense - governmental activities	$ 20,187,448	$ 3,060,962	$ 23,248,410
Business - type activities:			
Culture and recreation	$ 4,674,090		
Sanitation	3,393,553		
Total depreciation expense - business-type activities	$ 8,067,643		

6. CAPITAL ASSETS , continued:

The City leases certain buildings, equipment and vehicles under capital leases. Included in capital assets are the following amounts applicable to capital leases:

	Governmental Activities	Business-type Activities
Machinery and equipment	$ 15,313,595	$ 2,598,500
Less accumulated depreciation	(9,194,173)	(155,008)
Capital assets, net	$ 6,119,422	$ 2,443,492

The total amount of equipment acquired through a capital lease during fiscal year ended June 30, 2019 was $2,598,500. Depreciation expense on the leased assets totaled $550,978 for the fiscal year ended June 30, 2019.

Discretely Presented Component Units
School Board:

	Beginning Balance	Additions	Reductions	Ending Balance
Capital assets not being depreciated:				
Land	$ 5,111,045	$	$	$ 5,111,045
Total capital assets not being depreciated:	5,111,045			5,111,045
Capital assets being depreciated:				
Buildings	48,962,686			48,962,686
Improvements	310,100			310,100
Computer Software		1,132,453		1,132,453
Machinery & Equipment	42,521,021	1,413,501	(3,194,887)	40,739,635
Total capital assets being depreciated	91,793,807	2,545,954	(3,194,887)	91,144,874
Less accumulated depreciation for:				
Buildings	(48,962,686)			(48,962,686)
Improvements	(259,337)	(15,319)		(274,656)
Computer Software		(56,623)		(56,623)
Machinery & Equipment	(35,237,735)	(1,421,598)	989,299	(35,670,034)
Total accumulated depreciation	(84,459,758)	(1,493,540)	989,299	(84,963,999)
Total capital assets being depreciated, net	7,334,049	1,052,414	(2,205,588)	6,180,875
School Board capital assets, net	$ 12,445,094	$ 1,052,414	$ (2,205,588)	$ 11,291,920

6. CAPITAL ASSETS , continued:

Economic Development Authority:

	Beginning Balance	Additions	Reductions	Ending Balance
Capital assets not being depreciated:				
Land	$ 21,470,269	$	$	$ 21,470,269
Total capital assets not being depreciated	21,470,269			21,470,269
Capital assets being depreciated:				
Building	7,833,807			7,833,807
Improvements	755,136			755,136
Infrastructure	2,049,350			2,049,350
Machinery & Equipment	622,848			622,848
Total capital assets being depreciated	11,261,141			11,261,141
Less accumulated depreciation for:				
Buildings	(152,324)	(261,119)		(413,443)
Improvements	(20,663)	(35,412)		(56,075)
Infrastructure	(1,476,018)	(102,468)		(1,578,486)
Machinery & Equipment	(40,932)	(166,208)		(207,140)
Total accumulated depreciation	(1,689,937)	(565,207)		(2,255,144)
Total capital assets being depreciated, net	9,571,204	(565,207)		9,005,997
Economic Development Authority capital assets, net	$ 31,041,473	$ (565,207)	$	$ 30,476,266

Downtown Hampton Development Partnership, Inc:

	Beginning Balance	Additions	Reductions	Ending Balance
Capital assets being depreciated:				
Improvements	$ 446,537	$ 24,365	$	$ 470,902
Computer Software	9,000			9,000
Machinery & Equipment	107,371	23,628		130,999
Total capital assets being depreciated	562,908	47,993		610,901
Less accumulated depreciation	(321,218)	(25,497)		(346,715)
Downtown Hampton Development Partnership capital assets, net	$ 241,690	$ 22,496	$	$ 264,186

6. CAPITAL ASSETS , continued:

Coliseum Central Business Improvement District, Inc:

	Beginning Balance	Additions	Reductions	Ending Balance
Capital assets being depreciated:				
Computer Software	$ 4,580	$	$	$ 4,580
Machinery & Equipment	144,976	4,417		149,393
Total capital assets being depreciated	149,556	4,417		153,973
Less accumulated depreciation	(142,048)	(2,541)		(144,589)
Coliseum Central Business Improvement District capital assets, net	$ 7,508	$ 1,876	$ -	$ 9,384

Construction in Progress

Several capital projects were in various stages of completion on June 30, 2019. In accordance with the City's accounting policies and practices, these projects will remain in construction in progress until completion, at which time they will be transferred into the various capital asset accounts in the government-wide statements, Enterprise Fund and Discretely Presented Component Units. At June 30, 2019, construction in progress by project was comprised as follows:

	Project Authorization	Expended to June 30, 2019
Governmental Activities		
Infrastructure	$ 51,346,219	$ 21,635,661
Construction	6,655,683	3,805,185
	$ 58,001,902	$ 25,440,846
Business-type Activities		
Wastewater Management - Sewer Projects	$ 4,300,000	$ 605,999
Coliseum-Construction and renovation	102,900	53,617
Convention Center - Construction and renovation	209,467	89,437
	$ 4,612,367	$ 749,053

7. BUDGETARY - GAAP REPORTING RECONCILIATION:

The City adopts an annual budget for the General Fund, but does not adopt an annual budget for any of the Special Revenue Funds except for the Stormwater Management Fund. Resources are provided for and appropriated individually throughout the year as they become available to the City. The Pearl Young Fund, a fund previously reported as a Special Revenue Fund, but now is reported as a part of the General Fund for GAAP purposes, does not have a legally adopted budget. Therefore, the Pearl Young Fund has not been included in Exhibit A-5 Statement of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual. Therefore, the General Fund budget basis is different from GAAP.

Reconciliation to the General Fund statements (GAAP):	
Exhibit A-5 Fund balances, June 30, 2019 (Budget basis)	$103,372,202
Pearl Young Fund's fund balances	41,301
Exhibit A-4 Fund balances, June 30, 2019 (GAAP)	$103,413,503

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT:

The following is a summary of the changes in general obligation debt and other indebtedness during the year ended June 30, 2019:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds payable:					
Serial bonds	$ 259,437,089	$	$ (43,123,024)	$ 216,314,065	$ 10,166,064
Direct placement serial bonds		22,991,000		22,991,000	12,196,000
Unamortized premium and discount	32,319,361		(3,871,652)	28,447,709	2,656,516
Capital leases	3,436,333		(1,708,138)	1,728,195	1,728,195
Capital leases - Internal Service Funds	950,070		(916,836)	33,234	33,234
Compensated absences	7,411,606	4,493,631	(4,334,886)	7,570,351	4,334,886
Compensated absences - Internal Service Funds	177,239	56,397	(73,940)	159,696	73,940
Claims and judgements - Internal Service Funds	8,413,575	2,167,862	(1,025,799)	9,555,638	8,156,627
Net OPEB liability - Line of Duty Benefits	13,035,534	1,408,247	(3,275,906)	11,167,875	
Net pension liability - Internal Service Funds	2,434,207		(407,487)	2,026,720	
Net other postemployment benefits liability - Internal Service Funds	1,906,595	46,128	(34,306)	1,918,417	
Net OPEB liability	92,469,334	83,806	(120,919)	92,432,221	
Net pension liability	119,816,226		(3,430,580)	116,385,646	
Governmental activities long-term liabilities	$ 541,807,169	$ 31,247,071	$ (62,323,473)	$ 510,730,767	$ 39,345,462

Long-term liabilities applicable to the City's governmental activities are not due and payable in the current period and accordingly are not reported as fund liabilities in the governmental funds. Interest on long-term debt is not accrued in governmental funds, but is recognized as an expenditure when due.

Balances at June 30, 2019	
Long-term liabilities (detail above)	$ 510,730,767
Less debt - Internal Service Fund	(13,693,705)
Combined adjustment	$ 497,037,062

Section 148 of the Internal Revenue Code of 1986 requires public entities to refund interest earned in excess of interest paid over the first five years outstanding on tax exempt borrowings. The regulations are applicable to borrowings incurred subsequent to August 1986. The City has calculated the rebate due as of June 30, 2019 and reflected the liability, if any, in the governmental activities column of the Statement of Net Position.

The funds used to liquidate the net OPEB obligations include the General Fund, the Risk Management Fund, the Fleet Services Fund and the Information Technology Fund.

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Business-type Activities:					
Bonds payable:					
Direct placement revenue bonds	$ 73,970,000	$	$ (2,815,000)	$ 71,155,000	$ 2,960,000
Serial bonds	2,432,911		(431,976)	2,000,935	453,936
Unamortized premium and discount	8,413,297		(636,240)	7,777,057	636,240
Total bonds payable	84,816,208		(3,883,216)	80,932,992	4,050,176
Capital leases	2,600,000		(489,816)	2,110,184	507,041
Net pension liability	10,619,497	14,171	(1,155,771)	9,477,897	
Net other postemployment benefit liability	7,385,513	27,699	(125,276)	7,287,936	
Compensated absences	783,915	380,602	(373,268)	791,249	373,268
Business-type activities long-term liabilities	$ 106,205,133	$ 422,472	$ (6,027,347)	$ 100,600,258	$ 4,930,485
Component Units:					
School Board:					
Compensated absences	$ 7,048,399	$ 7,373,739	$ (6,236,413)	$ 8,185,725	$ 8,185,725
Capital leases	1,622,069		(1,088,782)	533,287	255,978
Net OPEB liability	31,304,412		(284,292)	31,020,120	
Net pension liability	182,522,329		(14,087,396)	168,434,933	
Total School Board	$ 222,497,209	$ 7,373,739	$ (21,696,883)	$ 208,174,065	$ 8,441,703
Economic Development Authority:					
Revenue bonds payable	$ 2,829,255	$	$ (825,913)	$ 2,003,342	$ 878,387

Enterprise Funds

On June 13, 2012, the City issued $33,750,000 in Convention Center Refunding Direct Placement Revenue Bonds, Series 2012A with interest ranging from 4.826% to 5.125%. The proceeds of the bonds were used to refund a portion of the City's Convention Center Direct Placement Revenue Bonds, Series 2002.

On June 2, 2011 the City issued $52,460,000 in Convention Center Refunding Direct Placement Revenue Bonds, Series 2011 with interest ranging from 2.922% to 5.125%. The proceeds of the bonds were used to refund a portion of the City's Convention Center Direct Placement Revenue Bonds, Series 2002.

Convention Center Direct Placement Revenue Bonds (Bonds) in the amount of $106,305,000 were issued November 1, 2002 with interest ranging from 3.50% to 5.25%. The proceeds of the Bonds were used to finance the cost of the construction of a convention center, to retire a $7,585,000 Revenue Bond Anticipation Note issued in connection with the project and to pay interest on the Series 2002 Bonds. The bonds are payable solely from and collateralized by, revenues derived by the City from ownership and operation of the project.

According to the indenture, if an event of default occurs and is continuing, the Trustee may, and if requested by the holders of 25% in aggregate principal amounts of direct placement revenue bonds then outstanding shall, by notice to the City, declare the entire unpaid principal and interest on the bonds due and payable.

In prior years, the City defeased certain revenue bonds by placing the proceeds of the new bonds in an irrevocable trust to provide for all future debt service payments on the old bonds. Accordingly, the trust account assets and liabilities for the defeased bonds are not included in the City's financial statements. On June 30, 2019, no defeased bonds were outstanding.

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

Direct placement revenue bond debt service requirements to maturity are as follows:

Fiscal year ending June 30	Principal	Interest
2020	$ 2,960,000	$ 3,511,919
2021	3,110,000	3,360,150
2022	3,270,000	3,203,088
2023	3,430,000	3,038,825
2024	3,610,000	2,861,751
2025-2029	21,025,000	11,330,280
2030-2034	27,395,000	5,199,222
2035	6,355,000	162,847
	$ 71,155,000	$ 32,668,082

In April 2005, the City issued $53,210,000 in General Obligation Public Improvement Bonds, Series 2005A with interest ranging from 3.00% to 5.00%. The Refuse-Steam Plant used $2,000,000 of the bond proceeds to finance the mandated replacement of the air pollution retrofit.

On April 1, 2002, the City issued $30,155,000 in General Obligation Public Improvement Bonds, Series 2002 with interest ranging from 4.25% to 5.00%. The Refuse-Steam Plant used $5,000,000 of the bond proceeds to finance an air pollution control system.

All of these general obligation bonds are expected to be repaid from the resources of the Refuse-Steam Plant Fund; therefore, the bonds are accounted for in this fund.

Debt service on the foregoing debt is payable during future fiscal years ending June 30 as follows:

General Obligation Bonds		
Year	**Principal**	**Interest**
2020	$ 453,936	$ 97,908
2021	476,213	75,212
2022	500,622	51,401
2023	133,049	26,370
2024	139,060	20,217
2025-2026	298,055	20,838
	$ 2,000,935	$ 291,946

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

Solid Waste Fund:

On March 23, 2018, the City entered into an equipment lease purchase agreement for $2,600,000 with Key Government Finance, Inc. to purchase ten refuse trucks. The Lease is payable in 16 quarterly remaining equal installments of $139,358 at an interest rate of 2.623%. At June 30, 2019, the outstanding balance on the lease is $2,110,184.

Debt service on the foregoing debt payable during fiscal years ending June 30 is as follows:

Year	Principal	Interest
2020	$ 507,041	$ 50,390
2021	520,472	36,959
2022	534,259	23,172
2023	548,412	9,023
	$ 2,110,184	$ 119,544

Discretely Presented Component Unit-EDA:

On September 7, 2001, the EDA issued Lease Revenue Bonds in the amount of $11,286,888. The proceeds from the bond issue were used to finance the construction of the Peninsula Workforce Development Center. The bonds are payable from revenues generated from the lease of the building with the lease term being equivalent to the life of the bond issue. On each January 1 and July 1 beginning January 1, 2002, to and including July 1, 2021, the EDA shall pay semi-annual installments of principal and interest in the amount of $495,030.

Details at June 30, 2019 are as follows:

	2002 Revenue Bonds Tax-Exempt
Outstanding Debt	$ 2,003,342
Interest	6.17%
Years of maturity	2020- 2022

Debt service on the foregoing debt during future years is as follows:

	Revenue Bonds	
Year	Principal	Interest
2020	$ 878,387	$ 111,672
2021	933,997	56,062
2022	190,958	5,924
	$ 2,003,342	$ 173,658

Discretely Presented Component Unit-School Board:

On March 20, 2018, the School Board entered into a Government Obligation Contract with KS StateBank for the purchase of software.

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

The note is payable in 3 yearly remaining equal intallments of $299,729. The note was paid in full during the second year.

In 2017, the School Board entered into a master maintenance and lease agreement with Virginia Business Systems. The lease is payable in monthly installments of $21,331. As of June 30, 2019, the outstanding balance is $533,287.

Internal Service Funds:

The City is self-insured for workmens' compensation benefits and general liability insurance claims. At June 30, 2019, the liability for existing claims amounted to $9,555,638. Workmens' compensation benefit claims are payable weekly or monthly through 2025.

The City has one capital lease obligation reflected in the Internal Service Funds for equipment purchases. The following is a description of those capital lease obligations:

Equipment Replacement Fund:

During fiscal year 2010, the City financed a fire truck through this agreement. The lease is payable in 2 quarterly remaining equal installments of $16,899 at an interest rate of 4.52%. At June 30, 2019 the outstanding balance on the lease is $33,234.

Debt service on the foregoing debt payable during fiscal years ending June 30 is as follows:

Year	Accrued Insurance Claims
2020	$ 8,156,627
2021	328,934
2022	305,361
2023	250,559
2024	159,383
2025-2027	354,774
	$ 9,555,638

Capital Lease		
Year	Principal	Interest
2020	$ 33,234	$ 555
	$ 33,234	$ 555

General Long-Term Debt:

Details of general obligation bonds and loans reported in the government-wide statements at June 30, 2019 are as follows:

General Obligation Bonds Outstanding	$239,305,065
Coupon interest rate	2.0% to 5.63%
Years of maturity	2020-2039

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

Debt service on the foregoing debt payable during future fiscal years ending June 30 is as follows:

	General Obligation Bonds		Direct Placement General Obligation Bonds	
Year	Principal	Interest	Principal	Interest
2020	$ 10,166,064	$ 9,718,595	$ 12,196,000	$ 385,840
2021	10,493,787	9,322,467	8,818,000	254,762
2022	17,819,378	8,684,693	1,977,000	46,657
2023	19,056,951	7,813,784		
2024	18,555,940	6,860,192		
2025-2029	81,421,945	20,402,148		
2030-2034	39,550,000	7,209,873		
2035-2038	19,250,000	1,422,956		
	$216,314,065	$ 71,434,708	$ 22,991,000	$ 687,259

On April 29, 2019, the City issued $22,991,000 in General Obligation Public Improvement Refunding Bond, Series 2019 to Bank of America, N.A pursuant to a Bond Purchase and Loan Agreement to evidence a loan from the bank to the City. The bond matures on January 15, 2022, bears interest at the rate of 2.36%, payable semi-annually on January 15 and July 15. The interest rate is subject to adjustment upon the occurrence of an Event of Default and upon the occurrence of a Determination of Taxability on the terms set forth in the Bond and in the Agreement. Principal installments are payable on January 15, 2020, January 15, 2021 and at maturity on January 15, 2022. The bond is pre-payable at the election of the City at anytime, subject to a make-whole pre-payment requirement. Payment of principal and interest on the bond is a general obligation of the City secured by its full faith and credit. The bond is issued to refund for debt service savings the outstanding principal amount, $22,625,000, of the City's General Obligation Public Improvement and Refunding Bonds, Series 2010A (Tax-exempt), maturing January 15, 2022. The Series 2010A (Tax-exempt) Bonds were redeemed on April 30, 2019.

As a result of the refunding, the City will reduce its total debt service costs by approximately $610,991 for a present value savings of $593,591. The present value savings represents approximately 2.63% of the refunded bonds.

In the government-wide statements this transaction resulted in an economic gain of $597,613.

On June 27, 2018, the City issued $46,070,000 in General Obligation Public Improvement Bonds, Series 2018A with interest rates ranging from 3.25% to 5.0% and $9,185,000 in General Obligation Public Improvement Refunding Bonds, Series 2018B (Taxable) with interest rates ranging from 3.45% to 4.0%. The Series 2018B Bonds were issued to redeem on their date of issuance the City's $9,250,000 General Obligation Bond Anticipation Note, Series 2017 issued on October 31, 2017. Interest on the Bonds is due and payable semi-annually each March 1 and September 1.

On October 31, 2017, the City issued its $9,250,000 General Obligation Bond Anticipation Note, Series 2017 (the "BAN") to Branch Banking and Trust Company to evidence a loan from the bank to the City. The BAN matured on October 1, 2018, bears interest at the rate of 2.07%, payable semi-annually on April 1 and October 1, and is subject to optional prepayment in whole at the election of the City at any time on and after January 1, 2018 in an amount equal to the principal amount thereof plus accrued and unpaid interest to the prepayment date. The BAN is issued in anticipation of the issuance of long-term bonds by the City, the proceeds of which will be used to refund and redeem the BAN and fund other public improvement projects. The BAN is a general obligation of the City secured by its full faith and credit and taxing power.

On April 23, 2015, the City issued $46,770,000 in General Obligation Public Improvement Bonds, Series 2015A with interest rates ranging from 3.5% to 5.0% and $56,250,000 in General Obligation Public Improvement Refunding Bonds, Series 2015B with an interest rate of 5.0%. The proceeds of the 2015B Bonds were used to refund portions of the City's Series 2007 General Obligation

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

Bonds in the amount of $63,320,000 and the remaining balance will be used to finance the cost of general capital improvement projects of the City. Interest on the Bonds is due and payable semi-annually on each March 1 and September 1.

On April 24, 2013, the City issued $38,865,000 in General Obligation Public Improvement Bonds, Series 2013 with interest ranging from 2% to 5%. The proceeds of the bonds will be used to finance the cost of general capital improvements of the City, including construction of a new courthouse.

On June 20, 2012, the City issued $26,390,000 in General Obligation Public Improvement Refunding Bonds, Series 2012A (Tax-Exempt) and $18,380,000 General Obligation Public Improvement Refunding Bonds, Series 2012B (Taxable) with interest rates ranging from .51% to 5%. The proceeds of the bonds were used to refund portions of the City's Series 2002, 2002A, 2004 and 2005A General Obligation Bonds.

On July 8, 2010, the City issued $2,545,000 in General Obligation Virginia Public School Authority Qualified School Construction Bonds, Series 2010C with interest payable at the rate of 5.31% per annum. The proceeds of the bonds were used to pay for the cost of lighting upgrades in the City schools.

On March 3, 2010, the City issued $65,595,000 in General Obligation Public Improvement and Refunding Bonds, Series 2010A with interest ranging from 2% to 5% and $7,190,000 in General Obligation Public Improvement Direct Pay Build America and Recovery Zone Economic Development Bonds, Series 2010B with interest ranging from 4.34% to 5.63%. The proceeds of the bonds were used to refund portions of the City's Series 1998, 2002, 2002A, 2005A, and 2007 General Obligation Bonds and the remaining balance will be used to finance the cost of general capital improvement projects of the City.

On October 25, 2007, the City issued $145,815,000 in General Obligation Public Improvement and Refunding Bonds, Series 2008 with interest ranging from 4.00% to 5.00%. The proceeds of the bonds were used to refund bond anticipation notes issued by the City in April 2007 in the amount of $29,540,000 and the remaining balance will be used to finance the cost of general capital improvement projects of the City.

On April 6, 2005, the City issued $53,210,000 in General Obligation Public Improvement Bonds, Series 2005A with interest ranging from 3.00% to 5.00% and $10,000,000 in Taxable General Obligation Public Improvement Bonds, Series 2005B with an interest rate of 5.04%. The proceeds of the Bonds will be used to finance capital improvements in the City.

On August 20, 2004, the City issued $29,630,000 in General Obligation Public Improvement Refunding Bonds, Series 2004 with interest ranging from 2.00% to 5.00%.

The City's outstanding general obligation bonds and direct placement general obligation bonds contain a provision that in the event of default, amounts outstanding become immediately due if the City is unable to make payment.

In prior years, the City defeased certain general obligation bonds by placing the proceeds of the new bonds in an irrevocable trust to provide for all future debt service payments on the old bonds. Accordingly, the trust account assets and liabilities for the defeased bonds are not included in the City's financial statements. On June 30, 2019, no defeased bonds were outstanding.

Capital Leases:

On February 27, 2009, the City entered into an equipment lease/purchase agreement for $14,506,267 for the purpose of upgrading and replacing the existing radio system of the City and to provide infrastructure site improvements to the City's 911 Center and three transmit/receive sites. The lease is to be repaid in 2 remaining semi-annual installments at an interest rate of 1.1742%. The final payment is due March 1, 2020.

8. GENERAL OBLIGATION AND OTHER LONG-TERM DEBT , continued:

Debt service on the foregoing debt during future years is as follows:

	Capital Leases	
Year	Principal	Interest
2020	$ 1,728,195	$ 20,292

Debt Limit:

The Commonwealth of Virginia imposes a legal limit of 10% of assessed valuation on the amount of general obligation borrowings which may be issued by the City. As of June 30, 2019, the City's aggregate general obligation indebtedness was $241,306,000, which is $817,468,472 less than the State limit.

Overlapping Debt:

There are no overlapping or underlying tax jurisdictions.

9. DEFINED BENEFIT PENSION PLANS:

The City contributes to two pension plans for its employees, HERS and VRS. HERS covers all full-time salaried employees who were first hired prior to July 1, 1984 and VRS covers all full-time salaried employees.

The City's aggregate totals reported for all pension plans were as follows: $128,071,670 net pension liabilities; $15,458,103 deferred outflows of resources; $(9,325,272) deferred inflows of resources and $8,882,798 pension expense.

Plan Description - HERS:

HERS is a single employer public employee defined benefit pension plan established and administered by the City to augment the retirement benefits provided to full-time permanent City and School Board employees under VRS.

HERS was established as a separate trust fund in 1966 and became non-contributory on January 1, 1975. The authority to establish and amend benefit provisions of HERS is governed by statute as set out in Chapter 28 of the City Code. All full-time permanent employees of the City and School Board, who are members of VRS and have credit with HERS for service rendered prior to July 1, 1984, are members. HERS was closed to new entrants effective July 1, 1984.

HERS provides retirement benefits as well as death-in-service and disability benefits. All benefits vest after five years of credited service. Employees who retire on or after age 60 with five or more years of credited service or upon attaining age 55 with 25 or more years of credited service (age 50 for public safety officers) are entitled to an annual benefit, payable monthly for life, in an amount equal to 2% of their final average compensation for each of the first 20 years of credited service, plus 2-1/4% for each year of service thereafter, offset by an assumed VRS benefit equal to 1-1/2% of their average final compensation for credited service with VRS resulting for City of Hampton service. Final average compensation is the employee's average salary, excluding overtime, over the three highest consecutive years of credited service as a member. Employees with five years of credited service may retire on or after 55 (age 50 for public safety officers) and receive a reduced retirement benefit. Additionally, a plan amendment passed in 1999 allows for early retirement at age 50 for school and general members having at least 10 years of credited service.

Effective July 1, 2001, a plan amendment provided for a one-time cost of living adjustment of 3.5% to the gross monthly retirement benefits for retired members and beneficiaries who were receiving retirement benefits on that date and hired prior to July 1, 1999.

9. DEFINED BENEFIT PENSION PLANS , continued:

COLAs are not automatic under the plan.

HERS is considered a part of the City's reporting entity and is included in the City's financial reports as a pension trust fund. HERS issues a publicly available financial report that includes financial statements and required supplementary information for HERS. The financial report may be obtained by writing to City of Hampton, Finance Department, 22 Lincoln Street, Hampton, Virginia, 23669 or by calling (757) 727-6230.

Employees Covered by Benefit Terms - HERS:

As of June 30, 2018, the following employees were covered by the benefit terms of the pension plan :

	Number
Inactive members or their beneficiaries currently receiving benefits	2,559
Vested inactive members	397
Active members	53
Total	3,009

Contributions - HERS:

The contribution requirements of plan members, the City and School Board are established and may be amended by City Council. Plan members do not contribute. The City and Component Unit – School Board are required to contribute an actuarially determined amount. Contributions from the City totaled $3,551,582 and the School Board totaled $3,164,717 for the year ending June 30, 2019.

Net Pension Liability - HERS:

The City's and School Board's net pension liability was measured as of June 30, 2019 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

Actuarial assumptions: The total pension liability in the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.50%
Salary increases	2.5% per annum for all members of the plan
Investment rate of return	7.0%, net of investment expenses, annually

Mortality rates were based on the RP-2014 Combined Annuitant and Non-Annuitant Mortality Table projected with Scale AA to 2010. The actuarial assumptions used for the June 30, 2017 valuation were based on the results of an experience study for the period July 1, 2005 through June 30, 2009.

9. DEFINED BENEFIT PENSION PLANS , continued:

The long-term expected rate of return on pension plan investments using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation and adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major class are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Domestic Equity- Large Cap	45%	7.20%
Domestic Equity-Small Cap	9%	8.90%
International Equity	11%	7.40%
Fixed Income	35%	2.10%
Total	100%	

The discount rate used to measure the total pension liability was 7.00 percent. A formal cash flow projection was not performed; however, the assumption was made that the City and School Board will continue the historical and legally required practice of contributing to the plan based on an actuarially determined contribution, reflecting a payment equal to the normal cost plus an amount necessary to amortize the June 30, 2013 unfunded actuarial liability as a level dollar amount over a closed 10 year period, plus layers of future actuarial gains and losses over separate fixed 10 year periods. Based on that assumption, the pension plans' fiduciary net position was projected to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in the Net Pension Liability - HERS:

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a)-(b)
Balances at June 30, 2018	$ 148,344,894	$ 128,529,539	$ 19,815,355
Changes for the year:			
Service cost	127,787		127,787
Interest	9,809,650		9,809,650
Differences between expected and actual experience	466,804		466,804
Contributions-employer		6,716,299	(6,716,299)
Net investment income		8,790,186	(8,790,186)
Benefit payments, including refunds of employee contributions	(16,824,254)	(16,824,254)	
Administrative expense		(332,835)	332,835
Net Changes	(6,420,013)	(1,650,604)	(4,769,409)
Balances at June 30, 2019	$ 141,924,881	$ 126,878,935	$ 15,045,946

At June 30, 2019, the City and School Board reported a net pension liability of $7,956,303 and $7,089,643, respectively.

9. DEFINED BENEFIT PENSION PLANS , continued:

Sensitivity of the net pension liability to changes in the discount rate - The following presents the net pension liability of the City and School Board, calculated using the discount rate of 7.00%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Current Discount Rate (7.00%)	1% Increase (8.00%)
Net pension liability	$ 24,833,089	$ 15,045,946	$ 6,395,218

Pension plan fiduciary net position detailed information about the the pension plan's fiduciary net position is available in the separately issued HERS financial report.

Pension Expense and Deferred Outflows (Inflows) of Resources Related to Pensions - HERS

For the year ended June 30, 2019, the City and School Board recognized pension expense of $1,542,148 and $1,374,165, respectively. At June 30, 2019, the City and Component Unit - School Board reported deferred inflows of resources related to pensions from the following sources:

	City	School Board
	Deferred Inflows of Resources	Deferred Inflows of Resources
Net difference between projected and actual earnings on pension plan investments	$ (994,457)	$ (886,134)
Total	$ (994,457)	$ (886,134)

Amounts reported as deferred inflows of resources related to pensions will be recognized as follows:

Year ended June 30:	City	School Board
2020	$ (24,979)	$ (22,258)
2021	(783,526)	(698,179)
2022	(169,838)	(151,338)
2023	(16,114)	(14,359)

9. DEFINED BENEFIT PENSION PLANS , continued:

Pension Plan Fiduciary Net Position - HERS

Detailed information about the pension plan's fiduciary is available in the separately issued HERS financial report.

Plan Description - VRS:

The City and School Board contribute to the VRS, an agent and cost-sharing multiple-employer defined benefit pension plan administered by the VRS.

All full-time, salaried permanent (professional) employees of public school divisions are automatically covered by the VRS Teacher Retirement Plan, a cost-sharing multiple-employer defined benefit plan, upon employment. All full-time, salaried permanent employees of the City and nonprofessional employees of the School Board are automatically covered by the VRS Retirement Plan, an agent multiple-employer defined benefit plan, upon employment. These plans are administered by the Virginia Retirement System (System) along with plans for other employer groups in the Commonwealth of Virginia. Members earn one month of service credit for each month they are employed and for which they and their employer pay contributions to VRS. Members are eligible to purchase prior service, based on specific criteria as defined in the *Code of Virginia*, as amended. Eligible prior service that may be purchased includes prior public service, active military service, certain periods of leave, and previously refunded service.

The System administers three different benefit structures for covered employees - Plan 1, Plan 2, and Hybrid. Each of these benefits structures has a different eligibility criteria. The specific information for each plan and the eligibility for covered groups within each plan are set out in the table below:

9. DEFINED BENEFIT PENSION PLANS , continued:

PLAN 1	PLAN 2	HYBRID RETIREMENT PLAN
About Plan 1 Plan 1 is a defined benefit plan. The retirement benefit is based on a member's age, creditable service and average final compensation at retirement using a formula.	**About Plan 2** Plan 2 is a defined benefit plan. The retirement benefit is based on a member's age, creditable service and average final compensation at retirement using a formula.	**About the Hybrid Retirement Plan** The Hybrid Retirement Plan combines the features of a defined benefit plan and a defined contribution plan. Most members hired on or after January 1, 2014 are in this plan, as well as Plan 1 and Plan 2 members who were eligible and opted into the plan during a special election window. (See "Eligible Members") • The defined benefit is based on a member's age, creditable service and average final compensation at retirement using a formula. • The benefit from the defined contribution component of the plan depends on the member and employer contributions made to the plan and the investment performance of those contributions. • In addition to the monthly benefit payment payable from the defined benefit plan at retirement, a member may start receiving distributions from the balance in the defined contribution account, reflecting the contributions, investment gains or losses, and any required fees.

9. DEFINED BENEFIT PENSION PLANS , continued:

Eligible Members Employees are in Plan 1 if their membership date is before July 1, 2010, and they were vested as of January 1, 2013, and they have not taken a refund. **Hybrid Opt-In Election** VRS non-hazardous duty covered Plan 1 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 1 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan. Members who were eligible for an optional retirement plan (ORP) and had prior service under Plan 1 were not eligible to elect the Hybrid Retirement Plan and remain as Plan 1 or ORP.	**Eligible Members** Employees are in Plan 2 if their membership date is on or after July 1, 2010, or their membership date is before July 1, 2010, and they were not vested as of January 1, 2013. **Hybrid Opt-In Election** Eligible Plan 2 members were allowed to make an irrevocable decision to opt into the Hybrid Retirement Plan during a special election window held January 1 through April 30, 2014. The Hybrid Retirement Plan's effective date for eligible Plan 2 members who opted in was July 1, 2014. If eligible deferred members returned to work during the election window, they were also eligible to opt into the Hybrid Retirement Plan. Members who were eligible for an optional retirement plan (ORP) and have prior service under Plan 2 were not eligible to elect the Hybrid Retirement Plan and remain as Plan 2 or ORP.	**Eligible Members** Employees are in the Hybrid Retirement Plan if their membership date is on or after January 1, 2014. This includes: • School division employees • Political subdivision employees* • Members in Plan 1 or Plan 2 who elected to opt into the plan during the election window held January 1-April 30, 2014; the plan's effective date for opt-in members was July 1, 2014 ***Non-Eligible Members** Some employees are not eligible to participate in the Hybrid Retirement Plan. They include: • Political subdivision employees who are covered by enhanced benefits for hazardous duty employees Those employees eligible for an optional retirement plan (ORP) must elect the ORP plan or the Hybrid Retirement Plan. If these members have prior service under Plan 1 or Plan 2, they are not eligible to elect the Hybrid Retirement Plan and must select Plan 1 or Plan 2 (as applicable) or ORP.
Retirement Contributions Employees contribute up to 5% of their compensation each month to their member contribution account through a pre-tax salary reduction. Member contributions are tax-deferred until they are withdrawn as part of a retirement benefit or as a refund. The employer makes a separate actuarially determined contribution to VRS for all covered employees. VRS invests both member and employer contributions to provide funding for the future benefit payment.	**Retirement Contributions** Same as Plan 1.	**Retirement Contributions** A member's retirement benefit is funded through mandatory and voluntary contributions made by the member and the employer to both the defined benefit and the defined contribution components of the plan. Mandatory contributions are based on a percentage of the employee's creditable compensation and are required from both the member and the employer. Additionally, members may choose to make voluntary contributions to the defined contribution component of the plan, and the employer is required to match those voluntary contributions according to specified percentages.

9. DEFINED BENEFIT PENSION PLANS , continued:

Creditable Service Creditable service includes active service. Members earn creditable service for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional creditable service the member was granted. A member's total creditable service is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit.	**Creditable Service** Same as Plan 1.	**Creditable Service** **Defined Benefit Component:** Under the defined benefit component of the plan, creditable service includes active service. Members earn creditable service for each month they are employed in a covered position. It also may include credit for prior service the member has purchased or additional creditable service the member was granted. A member's total creditable service is one of the factors used to determine their eligibility for retirement and to calculate their retirement benefit. It also may count toward eligibility for the health insurance credit in retirement, if the employer offers the health insurance credit. **Defined Contributions Component:** Under the defined contribution component, creditable service is used to determine vesting for the employer contribution portion of the plan.

9. DEFINED BENEFIT PENSION PLANS , continued:

Vesting Vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members become vested when they have at least five years (60 months) of creditable service. Vesting means members are eligible to qualify for retirement if they meet the age and service requirements for their plan. Members also must be vested to receive a full refund of their member contribution account balance if they leave employment and request a refund. Members are always 100% vested in the contributions that they make.	**Vesting** Same as Plan 1.	**Vesting** **Defined Benefit Component:** Defined benefit vesting is the minimum length of service a member needs to qualify for a future retirement benefit. Members are vested under the defined benefit component of the Hybrid Retirement Plan when they reach five years (60 months) of creditable service. Plan 1 or Plan 2 members with at least five years (60 months) of creditable service who opted into the Hybrid Retirement Plan remain vested in the defined benefit component. **Defined Contributions Component:** Defined contribution vesting refers to the minimum length of service a member needs to be eligible to withdraw the employer contributions from the defined contribution component of the plan. Members are always 100% vested in the contributions that they make. Upon retirement or leaving covered employment, a member is eligible to withdraw a percentage of employer contributions to the defined contribution component of the plan, based on service. • After two years, a member is 50% vested and may withdraw 50% of employer contributions. • After three years, a member is 75% vested and may withdraw 75% of employer contributions. • After four or more years, a member is 100% vested and may withdraw 100% of employer contributions. Distribution is not required by law until age 70½.

9. DEFINED BENEFIT PENSION PLANS , continued:

Calculating the Benefit The Basic Benefit is calculated based on a formula using the member's average final compensation, a retirement multiplier and total service credit at retirement. It is one of the benefit payout options available to a member at retirement. An early retirement reduction factor is applied to the Basic Benefit if the member retires with a reduced retirement benefit or selects a benefit payout option other than the Basic Benefit.	**Calculating the Benefit** See definition under Plan 1.	**Calculating the Benefit** **Defined Benefit Component:** See definition under Plan 1 **Defined Contribution Component:** The benefit is based on contributions made by the member and any matching contributions made by the employer, plus net investment earnings on those contributions.
Average Final Compensation A member's average final compensation is the average of the 36 consecutive months of highest compensation as a covered employee.	**Average Final Compensation** A member's average final compensation is the average of their 60 consecutive months of highest compensation as a covered employee.	**Average Final Compensation** Same as Plan 2. It is used in the retirement formula for the defined benefit component of the plan.
Service Retirement Multiplier VRS: The retirement multiplier is a factor used in the formula to determine a final retirement benefit. The retirement multiplier for non-hazardous duty members is 1.7%. **Sheriffs and regional jail superintendents**: The retirement multiplier for sheriffs and regional jail superintendents is 1.85%. **Political subdivision hazardous duty employees:** The retirement multiplier of eligible political subdivision hazardous duty employees other than sheriffs and regional jail superintendents is 1.7% or 1.85% as elected by the employer.	**Service Retirement Multiplier** VRS: Same as Plan 1 for service earned, purchased or granted prior to January 1, 2013. For non-hazardous duty members the retirement multiplier is 1.65% for creditable service earned, purchased or granted on or after January 1, 2013. **Sheriffs and regional jail superintendents**: Same as Plan 1 **Political subdivision hazardous duty employees**: Same as Plan 1.	**Service Retirement Multiplier** **Defined Benefit Component:** VRS: The retirement multiplier for the defined benefit component is 1.0%. For members that opted into the Hybrid Retirement Plan from Plan 1 or Plan 2, the applicable multipliers for those plans will be used to calculate the retirement benefit for service credited in those plans. **Sheriffs and regional jail superintendents**: Not applicable. **Political subdivision hazardous duty employees**: Not applicable. **Defined Contribution Component**: Not applicable.

9. DEFINED BENEFIT PENSION PLANS , continued:

Normal Retirement Age : VRS: Age 65. **Political subdivisions hazardous duty employees**: Age 60.	**Normal Retirement Age**: VRS: Normal Social Security retirement age. **Political subdivisions hazardous duty employees**: Same as Plan 1.	**Normal Retirement Age** **Defined Benefit Component:** VRS: Same as Plan 2. **Political subdivisions hazardous duty employees**: Not applicable. **Defined Contribution Component:** Members are eligible to receive distributions upon leaving employment, subject to restrictions.
Earliest Unreduced Retirement Eligibility VRS: Age 65 with at least five years (60 months) of creditable service or at age 50 with at least 30 years of creditable service. **Political subdivisions hazardous duty employees**: Age 60 with at least five years of creditable service or age 50 with at least 25 years of creditable service.	**Earliest Unreduced Retirement Eligibility** VRS: Normal Social Security retirement age and have at least five years (60 months) of creditable service or when their age and service equal 90. **Political subdivisions hazardous duty employees**: Same as Plan 1.	**Earliest Unreduced Retirement Eligibility** **Defined Benefit Component:** VRS: Normal Social Security retirement age and have at least five years (60 months) of creditable service or when their age and service equal 90. **Political subdivisions hazardous duty employees**: Not applicable. **Defined Contribution Component:** Members are eligible to receive distributions upon leaving employment, subject to restrictions.
Earliest Reduced Retirement Eligibility VRS: Age 55 with at least five years (60 months) of creditable service or age 50 with at least 10 years of creditable service. **Political subdivisions hazardous duty employees**: 50 with at least five years of creditable service.	**Earliest Reduced Retirement Eligibility** VRS: Age 60 with at least five years (60 months) of creditable service. **Political subdivisions hazardous duty employees**: Same as Plan 1.	**Earliest Reduced Retirement Eligibility** **Defined Benefit Component:** VRS: Age 60 with at least five years (60 months) of creditable service. **Political subdivisions hazardous duty employees**: Not applicable. **Defined Contribution Component:** Members are eligible to receive distributions upon leaving employment, subject to restrictions.

9. DEFINED BENEFIT PENSION PLANS , continued:

Cost-of-Living Adjustment (COLA) in Retirement The Cost-of-Living Adjustment (COLA) matches the first 3% increase in the Consumer Price Index for all Urban Consumers (CPI-U) and half of any additional increase (up to 4%) up to a maximum COLA of 5%.	**COLA in Retirement** The Cost-of-Living Adjustment (COLA) matches the first 2% increase in the CPI-U and half of any additional increase (up to 2%), for a maximum COLA of 3%.	**COLA in Retirement** **Defined Benefit Component:** Same as Plan 2. **Defined Contribution Component:** Not applicable.
Eligibility: For members who retire with an unreduced benefit or with a reduced benefit with at least 20 years of creditable service, the COLA will go into effect on July 1 after one full calendar year from the retirement date. For members who retire with a reduced benefit and who have less than 20 years of creditable service, the COLA will go into effect on July 1 after one calendar year following the unreduced retirement eligibility date.	**Eligibility:** Same as Plan 1.	**Eligibility:** Same as Plan 1 and Plan 2.
Exceptions to COLA Effective Dates: The COLA is effective July 1 following one full calendar year (January 1 to December 31) under any of the following circumstances: • The member is within five years of qualifying for an unreduced retirement benefit as of January 1, 2013. • The member retires on disability. • The member retires directly from short-term or long-term disability under the Virginia Sickness and Disability Program (VSDP). • The member is involuntarily separated from employment for causes other than job performance or misconduct and is eligible to retire under the Workforce Transition Act or the Transitional Benefits Program. • The member dies in service and the member's survivor or beneficiary is eligible for a monthly death-in-service benefit. The COLA will go into effect on July 1 following one	**Exceptions to COLA Effective Dates:** Same as Plan 1.	**Exceptions to COLA Effective Dates:** Same as Plan 1 and Plan 2.

9. DEFINED BENEFIT PENSION PLANS , continued:

full calendar year (January 1 to December 31) from the date the monthly benefit begins.		
Disability Coverage Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.7% on all service, regardless of when it was earned, purchased or granted. VSDP members are subject to a one-year waiting period before becoming eligible for non-work related disability benefits.	**Disability Coverage** Members who are eligible to be considered for disability retirement and retire on disability, the retirement multiplier is 1.65% on all service, regardless of when it was earned, purchased or granted. VSDP members are subject to a one-year waiting period before becoming eligible for non-work related disability benefits.	**Disability Coverage** Eligible political subdivision and school division (including Plan 1 and Plan 2 opt-ins) participate in the Virginia Local Disability Program (VLDP) unless their local governing body provides an employer-paid comparable program for its members. Hybrid members (including Plan 1 and Plan 2 opt-ins) covered under VLDP are subject to a one-year waiting period before becoming eligible for non-work related disability benefits.
Purchase of Prior Service Members may be eligible to purchase service from previous public employment, active duty military service, an eligible period of leave or VRS refunded service as creditable service in their plan. Prior creditable service counts toward vesting, eligibility for retirement and the health insurance credit. Only active members are eligible to purchase prior service. When buying service, members must purchase their most recent period of service first. Members also may be eligible to purchase periods of leave without pay.	**Purchase of Prior Service** Same as Plan 1.	**Purchase of Prior Service** **Defined Benefit Component:** Same as Plan 1, with the following exceptions: • Hybrid Retirement Plan members are ineligible for ported service. **Defined Contribution Component:** Not applicable.

9. DEFINED BENEFIT PENSION PLANS , continued:

Employees Covered by Benefit Terms - VRS Retirement Plan

As of the June 30, 2017 actuarial valuation, the following employees were covered by the benefit terms of the pension plan:

	Number	
	City	School Board Nonprofessional Employees
Inactive members or their beneficiaries currently receiving benefits	1,640	271
Inactive members:		
Vested inactive members	339	40
Non-vested inactive members	593	112
Active elsewhere in VRS	603	79
Total inactive members	1,535	231
Active members	1,878	195
Total covered employees	5,053	697

Contributions - VRS:

The contribution requirement for active employees is governed by Title 51.1-145 of the *Code of Virginia*, as amended, but may be impacted as a result of funding options provided to political subdivisions and school divisions by the Virginia General Assembly. Employees are required to contribute 5% of their compensation toward their retirement. Prior to July 1, 2012, all or part of the 5% member contribution may have been assumed by the employer. Beginning July 1, 2012 new employees were required to pay the 5% member contribution. In addition, for existing employees, employers were required to begin making the employee pay the 5% member contribution. This could be phased in over a period of up to 5 years and the employer is required to provide a salary increase equal to the amount of the increase in the employee-paid member contribution.

For the Teacher Retirement Plan, each school division's contractually required contribution rate for the year ended June 30, 2019 was 15.68% of covered employee compensation. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the Teacher Retirement Plan from the School Board were $16,618,902 and $17,587,597 for the years ended June 30, 2019 and June 30, 2018, respectively.

For the VRS Retirement Plan, the City's and School Board's nonprofessional employees contractually required contribution rates for the year ended June 30, 2019 were 16.33% and 9.30% of covered employee compensation, respectively. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. This rate, when combined with employee contributions, was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the pension plan from the City were $14,178,118 and $14,246,313 for the years ended June 30, 2019 and June 30, 2018, respectively. Contributions to the pension plan from the School Board were $356,901 and $449,018 for the years ended June 30, 2019 and June 30, 2018, respectively.

9. DEFINED BENEFIT PENSION PLANS , continued:

Net Pension Liability - VRS Retirement Plan

The City and School Board's nonprofessional employees net pension liabilities were measured as of June 30, 2018. The total pension liability used to calculate the net pension liability was determined by an actuarial valuation performed as of June 30, 2017, using updated actuarial assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Pension Liabilities, Pension Expense, and Deferred Outflows (Inflows) Related to Pensions - VRS Teacher Retirement Plan

At June 30, 2019, the School Board reported a liability of $159,918,000 for its proportionate share of the Net Pension Liability. The Net Pension Liability was measured as of June 30, 2018 and the total pension liability used to calculate the Net Pension Liability was determined by an actuarial valuation as of that date. The School Board's proportion of the Net Pension Liability was based on the School Board's actuarially determined employer contributions to the pension plan for the year ended June 30, 2018 relative to the total of the actuarially determined employer contributions for all participating employers. At June 30, 2018, the School Board's proportion was 1.36% as compared to 1.39% at June 30, 2017.

For the year ended June 30, 2019, the School Board recognized pension expense of $7,851,695. Since there was a change in proportionate share between measurement dates, a portion of the pension expense was related to deferred amounts from changes in proportion and from differences between employer contributions and the proportionate share of employer contributions.

At June 30, 2019, the School Board reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$	$ (13,675,000)
Change in assumptions	1,909,000	
Net difference between projected and actual earnings on pension plan investments		(3,391,000)
Changes in proportion and differences between Employer contributions and proportionate share of contributions	296,000	(8,630,000)
Employer contributions subsequent to the measurement date	16,618,902	
	$ 18,823,902	$ (25,696,000)

9. DEFINED BENEFIT PENSION PLANS , continued:

$16,618,902 reported as deferred outflows of resources related to pensions resulting from the School Board's contributions subsequent to the measurement date will be recognized as a reduction of the Net Pension Liability in the fiscal year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30	
2020	$ (5,233,000)
2021	$ (6,206,000)
2022	$ (8,276,000)
2023	$ (2,808,000)
2024	$ (968,000)

Actuarial Assumptions - VRS Teacher Retirement Plan

The total pension liability for the VRS Teacher Retirement Plan was based on an actuarial valuation as of June 30, 2017, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Inflation	2.5 percent
Salary increases, including Inflation	3.5 percent – 5.95 percent
Investment rate of return	7.0 percent, net of pension plan investment expense, including inflation*

* Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GAAP purposes of slightly more than the assumed 7.0%. However, since the difference was minimal, and a more conservative 7.0% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 7.0% to simplify preparation of pension liabilities.

Mortality rates:

Pre-Retirement:
RP-2014 White Collar Employee Rates to age 80, White Collar Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020.

Post-Retirement:
RP-2014 White Collar Employee Rates to age 49, White Collar Healthy Annuitant Rates at ages 50 and older projected with scale BB to 2020; males 1.0% increase compounded from ages 70 to 90; females set back 3 years with 1.5% increase compounded from ages 65 to 70 and 2.0% increase compounded from ages 75 to 90.

Post-Disablement:
RP-2014 Disability Mortality Rates projected with scale BB to 2020; 115% of rates for males and females.

9. DEFINED BENEFIT PENSION PLANS , continued:

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, disabled	Update to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Adjusted rates to better match experience
Salary Scale	No change

Actuarial Assumptions – VRS Retirement Plan General Employees

The total pension liability for General Employees in the Political Subdivision's Retirement Plan was based on an actuarial valuation as of June 30, 2017, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Inflation	2.5 percent
Salary increases, including inflation	3.5 percent – 5.35 percent
Investment rate of return	7.0 Percent, net of pension plan investment expense, including inflation*

* Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GAAP purposes of slightly more than the assumed 7.0%. However, since the difference was minimal, and a more conservative 7.0% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 7.0% to simplify preparation of pension liabilities.

9. DEFINED BENEFIT PENSION PLANS , continued:

Mortality rates:

Largest 10 – Non-Hazardous Duty: 20% of deaths are assumed to be service related.

Pre-Retirement:
RP-2014 Employee Rates to age 80, Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020; males 95% of rates; females 105% of rates.

Post-Retirement:
RP-2014 Employee Rates to age 49, Healthy Annuitant Rates at ages 50 and older projected with scale BB to 2020; males set forward 3 years; females 1.0% increase compounded from ages 70 to 90.

Post-Disablement:
RP-2014 Disability Mortality Rates projected with scale BB to 2020; males set forward 2 years, 110% of rates; females 125% of rates.

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Largest 10 – Non-Hazardous Duty:

Mortality Rates (Pre-retirement, post-retirement healthy, disabled	Update to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Lowered Rates
Salary Scale	No change
Line of Duty Disability	Increase rate from 14% to 20%

9. DEFINED BENEFIT PENSION PLANS , continued:

Actuarial Assumptions – VRS Retirement Plan Public Safety Employees with Hazardous Duty Benefits

The total pension liability for Public Safety employees with Hazardous Duty Benefits in the Political Subdivision Retirement Plan was based on an actuarial valuation as of June 30, 2017, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Inflation	2.5 percent
Salary increases, including Inflation	3.5 percent - 4.75 percent
Investment rate of return	7.0 percent, net of pension plan investment expense, including inflation*

* Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GAAP purposes of slightly more than the assumed 7.0%. However, since the difference was minimal, and a more conservative 7.0% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 7.0% to simplify preparation of pension liabilities.

9. DEFINED BENEFIT PENSION PLANS , continued:

Mortality rates:

Largest 10 - Hazardous Duty: 70% of deaths are assumed to be service related
Pre-Retirement: RP-2014 Employee Rates to age 80, Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020; males 90% of rates; females set forward 1 year.

Post-Retirement:
RP-2014 Employee Rates to age 49, Healthy Annuitant Rates at ages 50 and older projected with scale BB to 2020; males set forward 1 year; females 1.0% increase compounded from ages 70 to 90; females set forward 3 years.

Post-Disablement:
RP-2014 Disability Mortality Rates projected with scale BB to 2020; males set forward 2 years, unisex using 100% male.

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Largest 10 - Hazardous Duty:

Mortality Rates (Pre-retirement, post-retirement healthy, disabled	Update to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages
Withdrawal Rates	Adjusted rates to better fit experience
Disability Rates	Increased rates
Salary Scale	No change
Line of Duty Disability	Increase rate from 60% to 70%

9. DEFINED BENEFIT PENSION PLANS , continued:

Long-Term Expected Rate of Return

The long-term expected rate of return on pension System investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension System investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target asset allocation and best estimate of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class (Strategy)	Target Allocation	Arithmetic Long-Term Expected Rate of Return	Weighted Average Long-Term Expected Rate of Return
Public Equity	40.00%	4.54	1.82%
Fixed Income	15.00%	0.69	0.10%
Credit Strategies	15.00%	3.96	0.59%
Real Assets	15.00%	5.76	0.86%
Private Equity	15.00%	9.53	1.43%
Total	100.00%		4.80%
	Inflation		2.50%
* Expected arithmetic nominal return			7.30%

*The above allocation provides a one-year return of 7.30%. However, one-year returns do not take into account the volatility present in each of the asset classes. In setting the long-term expected return for the system, stochastic projections are employed to model future returns under various economic conditions. The results provide a range of returns over various time periods that ultimately provide a median return of 6.83%, including expected inflation of 2.50%.

Discount Rate

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that System member contributions will be made per the VRS Statutes and the employer contributions will be made in accordance with the VRS funding policy at rates equal to the difference between actuarially determined contribution rates adopted by the VRS Board of Trustees and the member rate. Consistent with the phased-in funding provided by the General Assembly for state and teacher employer contributions; political subdivisions were also provided with an opportunity to use an alternate employer contribution rate. For the year ended June 30, 2018, the alternate rate was the employer contribution rate used in fiscal year 2012 or 90% of the actuarially determined employer contribution rate from the June 30, 2015 actuarial valuations, whichever was greater. From July 1, 2018, participating employers are assumed to continue to contribute 100% of the actuarially determined contribution rates. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

9. DEFINED BENEFIT PENSION PLANS , continued:

Changes in Net Pension Liability - VRS Retirement Plan City

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a)-(b)
Balances at June 30, 2017	$575,919,522	$452,964,528	$122,954,994
Changes for the year:			
Service cost	11,525,376		11,525,376
Interest	39,213,600		39,213,600
Differences between expected and actual experience	(1,988,091)		(1,988,091)
Contributions-employer		14,247,065	(14,247,065)
Contributions-employee		4,489,433	(4,489,433)
Net investment income		33,174,366	(33,174,366)
Benefit payments, including refunds of employee contributions	(31,450,468)	(31,450,468)	
Administrative expense		(290,989)	290,989
Other changes		(29,364)	29,364
Net changes	17,300,417	20,140,043	(2,839,626)
Balances at June 30, 2018	$593,219,939	$473,104,571	$120,115,368

9. DEFINED BENEFIT PENSION PLANS , continued:

Changes in Net Pension Liability - VRS Retirement Plan Component Unit - School Board Nonprofessional Employees

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a)-(b)
Balances at June 30, 2017	$ 28,092,618	$ 26,156,690	$ 1,935,928
Changes for the year:			
Service cost	388,116		388,116
Interest	1,896,547		1,896,547
Differences between expected and actual experience	(266,110)		(266,110)
Contributions-employer		449,019	(449,019)
Contributions-employee		203,832	(203,832)
Net investment income		1,893,091	(1,893,091)
Benefit payments, including refunds of employee contributions	(1,998,178)	(1,998,178)	
Administrative expenses		(17,095)	17,095
Other changes		(1,656)	1,656
Net changes	20,375	529,013	(508,638)
Balances at June 30, 2018	$ 28,112,993	$ 26,685,703	$ 1,427,290

Sensitivity of the School Board's Proportionate Share of the Teachers Net Pension Liability to Changes in the Discount Rate

The following presents the School Board's proportionate share of the net pension liability using the discount rate of 7.00%, as well as what the School Board's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate:

	1.00% Decrease (6.00%)	Current Discount Rate (7%)	1.00% Increase (8%)
School Division's proportionate share of the VRS Teacher Employee Retirement Plan Net Pension Liability	$ 244,279,000	$ 159,918,000	$ 90,090,000

9. DEFINED BENEFIT PENSION PLANS , continued:

Sensitivity of the Net Pension Liability to Changes in the Discount Rate - VRS Retirement Plan

The following presents the net pension liability of the City and School Board Nonprofessional employees using the discount rate of 7.00%, as well as what the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate:

	1.00% Decrease (6.00%)	Current Discount Rate (7%)	1.00% Increase (8%)
City's Plan Net Pension Liability	$ 191,976,515	$ 120,115,368	$ 60,007,985
Component Unit-School Board Nonprofessional Employees' Plan's Net Pension Liability	$ 4,417,029	$ 1,427,290	$ (1,098,635)

Pension Expense and Deferred Outflows (Inflows) Related to Pensions - VRS Retirement Plan

City

For the year ended June 30, 2019, the City recognized pension expense of $7,340,650. At June 30, 2019, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$	$ (4,661,185)
Change in assumptions	1,279,985	
Net difference between projected and actual earnings on pension plan investments		(3,669,630)
Employer contributions subsequent to the measurement date	14,178,118	
Total	$ 15,458,103	$ (8,330,815)

9. DEFINED BENEFIT PENSION PLANS , continued:

$14,178,118 reported as deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the Net Pension Liability in the year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Fiscal Year Ending June 30	
2020	$ (603,742)
2021	(1,126,870)
2022	(4,935,608)
2023	(384,610)

School Board Nonprofessional Employees

For the year ended June 30, 2019, the School Board recognized pension expense of ($243,887). At June 30, 2019, the School Board reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$	$ (113,173)
Net difference between projected and actual earnings on pension plan investments		(175,164)
Employer contributions subsequent to the measurement date	356,901	
Total	$ 356,901	$ (288,337)

$356,901 reported as deferred outflows of resources related to pensions resulting from the School Board's contributions subsequent to the measurement date will be recognized as a reduction of the Net Pension Liability in the year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Fiscal Year Ending June 30	
2020	$ 7,534
2021	(4,515)
2022	(269,382)
2023	(21,974)

9. DEFINED BENEFIT PENSION PLANS , continued:

Pension Plan Fiduciary Net Position

Detailed information about the VRS Teacher Retirement and VRS Retirement Plans' Fiduciary Net Position is available in the separately issued VRS 2018 CAFR. A copy of the 2018 VRS CAFR may be downloaded from the VRS website at http://www.varetire.org/PDF/Publications/2018-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA, 23218-2500.

Payables to the Pension Plan

At June 30, 2019, the City reported a payable of $970,095 for the outstanding amount of contributions to the pension plan required for the year ended June 30, 2019.

10. DEFERRED COMPENSATION PLAN:

The City provides an approved deferred compensation plan, under Section 457 of the Internal Revenue Code, which is administered by the ICMA Retirement Corporation. All City employees are eligible to participate. The Internal Revenue Code requires that the plan assets and income attributed to those assets be held in trust for the exclusive benefit of the participants and/or beneficiaries. All amounts of employees' compensation deferred under the plan are deposited with the plan trustee, ICMA Retirement Corporation, for management and investment. The plan trustee holds all assets of the plan, maintains accounting of each plan participant's accumulated assets and makes distribution to participants in accordance with the plan document.

The deferred compensation amount is not available for withdrawal by employees until termination, retirement, death or unforeseeable emergency. However, eligible active plan participants may borrow funds from their plan account balance. The City provides an approved governmental profit-sharing plan & trust, under Section 401(a) of the Internal Revenue Code, which is administered by the ICMA Retirement Corporation. The City Manager and/or Interim City Manager are eligible to participate. The Internal Revenue Code requires that the plan assets and income attributed to those assets be held in a trust for the exclusive benefit of the participants and/or beneficiaries. All amounts of employees' compensation deferred under the plan are deposited with the plan trustee, ICMA Retirement Corporation, for management and investment. The plan trustee holds all assets of the plan, maintains accounting of each plan participant's accumulated assets and makes distribution to participants in accordance with the plan document.

11. JOINT VENTURE:

The Hampton Roads Regional Jail Authority (the Authority), a political subdivision of the Commonwealth of Virginia, was created through an agreement by the Cities of Hampton, Newport News, Norfolk, Portsmouth and Chesapeake (the member jurisdictions). The Authority has the responsibility to finance the acquisition, construction and operation of a regional jail facility for the benefit of the member jurisdictions. Each member jurisdiction is responsible for paying the Authority a per diem charge, as established in the Authority's annual budget, for the care, maintenance and subsistence of prisoners from the member jurisdictions. The member jurisdictions have agreed to commit to the Authority its prisoners equal to its initial guaranteed capacity as follows: Hampton, 175 prisoners or 15.56%; Newport News, 200 prisoners or 17.78%; Norfolk, 250 prisoners or 22.22%; Portsmouth, 250 prisoners or 22.22%; Chesapeake, 250 prisoners or 22.22%. The Authority shall make adjustments to the per diem charge as and when necessary to reconcile projected revenues and expenditures to actual revenues and expenditures and to comply with any revenue or other covenant related to the Bonds.

11. JOINT VENTURE , continued:

The Authority opened the jail facility on March 16, 1998. Summarized financial information for the Authority for fiscal year ending June 30, 2018 is below. This information shows the jail is well able to meet its obligations. The City does not currently expect a financial benefit from its participation in this joint venture.

Revenues and other sources	$ 42,147,334
Expenses and other uses	(40,687,520)
Change in fund equity	1,459,814
Net position, as adjusted, July 1,2017	13,406,997
Net position, June 30,2018	$ 14,866,811

The revenue bonds issued by the Authority are limited obligations of the Authority payable solely from net revenues and other funds derived from the ownership and operation of the regional jail. Separate financial statements are available from the Hampton Roads Regional Jail Authority at 2690 Elmhurst Lane, Portsmouth, Virginia 23701-2745.

12. COMMITMENT AND CONTINGENCIES:

Grants:

The City receives grant funds, principally from the United States government, for construction and various other programs. Expenditures from certain of these funds are subject to audit by the grantor, and the City is contingently liable to refund amounts received in excess of allowable expenditures. In the opinion of the management of the City, no material refunds will be required as a result of expenditures disallowed by grantors.

Leases:

The City leases various types of equipment under capital lease agreements (see Note 8). Under an operating lease, the City leases the Pembroke Community Service Center building from the Hampton Redevelopment and Housing Authority at an annual rent of $367,103. In addition, the City leases space under operating leases for use as branches of the City's public library.

The City also leases various City properties to other governmental agencies and businesses under operating lease agreements. Included in Capital Assets are the following amounts that are applicable to the operating leases:

Land	$ 714,778
Buildings	25,043,465
Improvements	8,326,017
Less accumulated depreciation	(24,140,642)
Capital Assets, net	$ 9,943,618

12. COMMITMENT AND CONTINGENCIES , continued:

A summary of future minimum rental payments under the operating leases at June 30, 2019 is as follows:

Year Ending June 30,	Operating Leases	Future Rental Income
2020	$ 1,279,986	$ 720,521
2021	1,259,526	401,475
2022	1,225,844	190,349
2023	607,196	116,110
2024	479,729	73,648
2025-2029	914,460	112,004
	$ 5,766,741	$ 1,614,107

The City's rental expense and rental income for the year ended June 30, 2019 amounted to $1,448,256 and $276,018, respectively.

Self-Insurance:

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City established a Risk Management Fund (internal service fund) to account for and finance its uninsured risks of loss except for medical claims, which are accounted for in the General Fund.

The City and the Hampton City Schools are self-insured for a portion of their risk up to the following self-insured levels per occurrence:

	City	School Board
Workers' Compensation	$ 1,000,000	$ 1,000,000
General Liability	1,000,000	1,000,000
Property Coverage	100,000	100,000
Medical Claims	125,000 per person/plan year	-

The City purchases commercial insurance for claims in excess of coverage provided by the funds and for all other risks of loss. Settled claims have exceeded this commercial coverage in one of the past three years.

All funds of the City participate in the program and make payments to the Risk Management and General Fund based on historical cost information. The unrestricted net position of $13,123,180 at June 30, 2019 is designated as a reserve for claims in the Risk Management Fund. The City accrues claims and judgments as incurred by a review of all claims on a case-by-case basis. Claims incurred, but not reported, were considered in the determination of the claims liability.

12. COMMITMENT AND CONTINGENCIES , continued:

Changes in the Funds' claims liability amount in fiscal years 2019 , 2018 and 2017 were:

Risk Management Fund	Claims Liability July 1	Incurred Claims	Claims Payment	Claims Liability June 30
Fiscal Year 2019	$ 8,413,575	$ 2,167,861	$ 1,025,798	$ 9,555,638
Fiscal Year 2018	6,925,124	3,489,736	2,001,285	8,413,575
Fiscal Year 2017	4,806,137	3,024,925	905,938	6,925,124

General Fund	Claims Liability July 1	Incurred Claims	Claims Payment	Claims Liability June 30
Fiscal Year 2019	$ 49,210	$ 16,012,535	$ 15,994,420	$ 67,325
Fiscal Year 2018	483,488	13,713,872	14,148,150	49,210
Fiscal Year 2017	542,882	16,093,245	16,152,639	483,488

Various claims and lawsuits are pending against the City. In the opinion of City management, the resolutions of these cases would not involve a substantial liability to the City.

Letters of Credit:

Old Point National Bank issued a standby Letter of Credit totaling $3,000,000 on behalf of the EDA in connection with its commitment under certain agreements for the development of the Bass Pro Project. The City has agreed to pay the EDA for any draws by the beneficiary under the Letter of Credit. During the fiscal year ended June 30, 2019, no draws were made under the Letters of Credit. The Letter of Credit expires January 15, 2020. Any draws under the Letters of Credit are charged interest at prime rate.

Encumbrances

Encumbrances outstanding at year-end represent the estimated amount of expenditures required to complete contracts, purchase orders and other committments in process of completion at year-end. Outstanding encumbrances as of June 30, 2019 were as follows:

General Fund	$ 1,313,978
Capital Projects Funds	14,781,612
Other Governmental Funds	1,221,203
Total Encumbrances	$ 17,316,793

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS:

Health Care Benefits

Plan Description:

City

The City sponsors a single-employer, self-insured defined benefit health care plan that provides medical benefits to retirees and their dependents to age 65. At age 65, retirees can participate in the City's fully-insured supplemental medical plan where the City's plan is secondary to Medicare. Retiree health coverage is provided under the City's Personnel and Policy Procedures to all full-time, salaried permanent employees and public safety officers who retire with the required years of service with the City and continuous years of coverage under the plan. No assets are accumulated in a trust that meets GAAP's criteria. There is no standalone financial report for the plan.

School

The School Board sponsors a single-employer, defined benefit healthcare plan that provides medical and dental benefits to retirees and their dependents. Once retirees become eligible for Medicare at age 65, the retiree and their dependents are terminated from the plan. No assets are accumulated in a trust that meet GAAP's. There is no standalone financial report for the plan.

Benefits Provided:

City

The City requires retirees to pay the premiums charged to active employees plus a surcharge based on the retiree claims experience. Since retirees premiums are not based on a separate actuarially rated plan, there's an implicit rate subsidy, which is considered other postemployment benefits (OPEB). Retirees and Spouse under the City's self-insured plan have the same benefits as active employees. Coverage terminates in the pre-65 plan when the retiree or spouse becomes 65.

School

The School Board allows employees, who have been enrolled in the School Board health and/or dental insurance plan for a minimum of five consecutive years prior to retirement, to use their accrued sick leave towards a health or dental subsidy as follows:

- 100 days = $100 per month up to a total maximum subsidy of $5,000

- 150 days = $150 per month up to a total maximum subsidy of $7,500

- 200 days = $200 per month up to a total maximum subsidy of $10,000

- 250 days = $250 per month up to a total maximum subsidy of $12,500

- 300 days = $300 per month up to a total maximum subsidy of $15,000

Since retiree premiums are not based on a separate actuarially rated plan, there's an implicit rate subsidy, which is also considered other postemployment benefits (OPEB). Retirees and their dependents under the School Board's plan have the same benefits as active employees.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Contributions

City

The City's contribution ranges from 0% to 100% of the premium based on the retiree's years of continuous health coverage and the healthcare care option selected by the retirees. The employer contributions are financed on a pay-as-you-go basis. Contributions from the City were $2,905,572 and $2,614,315 for the years ended June 30, 2019 and June 30, 2018, respectively.

School

The School Board contributions are financed on a pay-as-you-go basis. Contributions from the School Board were $406,410 and $534,836 for the years ended June 30, 2019 and June 30, 2018, respectively.

The following summaries the memberships of the Plan as of June 30, 2018, the valuation date:

	Number	
	City	School Board
Inactive members or their beneficiaries currently receiving benefit payments	700	83
Active members	1,682	2,003
Total memberships	2,382	2,086

Funding Policy:

The City Council and Hampton School Board has the authority to establish and amend the funding policy of their respective plans. The employer's contribution ranges from 0% to 100% of the premiums based on the retiree's years of continuous health care coverage and the health care option selected by the retirees. The employer contributions are financed on a pay-as-you-go basis. During fiscal year 2019, the City contributed $2,905,572, or approximately 56.8% of total premiums for post-retirement health care benefits. Plan members receiving benefits contributed $2,230,339 or approximately 43.4% of total premiums. Member contributions are 3% of covered payroll. The School Board contributed $504,195 in fiscal year 2019.

Total OPEB Liability:

The City and School Board's total retiree medical OPEB liability of $94,396,901 and $4,612,120, respectively, were measured as of June 30, 2018 and determined by an actuarial valuation as of that date.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Actuarial Assumptions:

The total OPEB liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.50%
Real wage growth	1.00%
Wage Inflation	3.50%
Salary increases, including wage inflation	
Regular (General) Employees	3.50% - 5.35%
LEO	3.50% - 4.75%
Municipal Bond Index (Discount Rate)	
Prior Measurement Date	3.58%
Current Measurement Date	3.87%
Health Care Cost Trends	
Pre-Medicare	7.75% for 2017 decreasing to an ultimate rate of 4.75% by 2028
Medicare	5.75% for 2017 decreasing to an ultimate rate of 4.75% by 2025

Mortality rates were based on the RP-2014 mortality tables, with adjustments for VRS experience and projected with scale BB to 2020.

The demographic actuarial assumptions for mortality, retirement, disability incidence, and withdrawal used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period July 1, 2012 through June 30, 2016, adopted by the Virginia Retirement System.

The remaining actuarial assumptions (e.g., initial per capita costs, health care cost trends, rate of plan participation, rates of plan election, etc.) used in the June 30, 2017 valuation were based on a review of recent plan experience done concurrently with the June 30, 2017 valuation.

Discount Rate

There was a change in the total OPEB liability arising from the change in the discount rate from 3.58% on the prior measurement date to 3.87% on the measurement date of June 30, 2017. The discount rate used was based on the Bond Buyer General Obligation 20-year Municipal Bond Index published for the last week of June by The Bond Buyer (www.bondbuyer.com). Additionally, the demographic actuarial assumptions for mortality, retirement, disability incidence, and withdrawal were updated based on the results of an actuarial experience study for the period July 1, 2012 through June 30, 2016, adopted by the Virginia Retirement System. Therefore, the change in total OPEB liability resulting from the change in the discount rate and the updated assumptions is to be recognized in the OPEB Expense (OE), beginning in the current measurement period, over a closed period equal to 6.74 years for City and 8.07 years for Non-professional teachers.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Changes in the Total Retiree Medical OPEB Liability - City

	Increase (Decrease) Total OPEB Liability (a)
Balances at June 30, 2017	$ 94,403,774
Changes for the year:	
Service cost	2,417,844
Interest	3,420,421
Differences between expected and actual experience	(182,752)
Changes in assumptions	(3,081,415)
Benefit payments	(2,580,971)
Net changes	(6,873)
Balances at June 30, 2018	$ 94,396,901

Changes in the Total Retiree Medical OPEB Liability - School Board

	Increase (Decrease) Total OPEB Liability (a)
Balances at June 30, 2017	$ 4,382,412
Changes for the year:	
Service cost	237,502
Interest	156,447
Differences between expected and actual experience	241,860
Changes in assumptions	98,094
Benefit payments	(504,195)
Net changes	229,708
Balances at June 30, 2018	$ 4,612,120

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Sensitivity of the Total Retiree Medical OPEB liability to Changes in the Discount Rate

The following presents the total OPEB liability of the City and School Board, calculated using the discount rate of 3.87%, as well as what the City's and the School Board's total retiree medical OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.87%) or 1-percentage higher (4.87%) than the current rate:

	1% Decrease (2.87%)	Current Discount Rate (3.87%)	1% Increase (4.87%)
Total OPEB Liability - City	$ 109,694,367	$ 94,396,901	$ 82,008,091
Total OPEB Liability - School Board	4,957,425	4,612,120	4,287,582

Sensitivity of the Total Retiree Medical OPEB liability to Changes in the Health Care Cost Trend Rates

The following presents the total OPEB liability of the City and School Board, calculated using the discount rate of 7.75%, as well as what the City's and the School Board's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.75% decreasing to an ultimate rate of 3.75%) or 1-percentage higher (8.75% decreasing by to an ultimate rate of 5.75%) than the current health care cost trend rate:

	1% Decrease (3.75%)	Current Discount Rate (4.75%)	1% Increase (5.75%)
Total OPEB Liability - City	$ 80,055,561	$ 94,396,901	$ 112,609,057
Total OPEB Liability - School Board	4,156,685	4,612,120	5,150,312

OPEB Expense and Deferred Outflows (Inflows) of Resources Related to Retiree Medical OPEB

For the year ended June 30, 2019, the City recognized OPEB expense in the amount of $3,680,062. At June 30, 2019, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 64,086	$ (64,411)
Changes in assumptions or other inputs	-	(10,871,049)
Employer contributions subsequent to the measurement date	2,905,572	-
Total	$ 2,969,658	$ (10,935,460)

$2,905,572 reported as deferred outflows of resources related to the retiree medical resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net retiree medical OPEB liability in the fiscal year ending June 30, 2020.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year ended:	
2020	$ (2,191,367)
2021	(2,191,367)
2022	(2,191,367)
2023	(2,191,367)
2024	(1,747,527)
Thereafter	(358,379)

For the year ended June 30, 2019, the School Board recognized OPEB expense in the amount of $373,246. At June 30, 2019, the School Board reported deferred outflows of resources and deferred inflows of resources related to health care from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 211,890	$ (30,523)
Changes in assumptions or other inputs	85,939	(536,833)
Employer contributions subsequent to the measurement date	406,410	-
Total	$ 704,239	$ (567,356)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2020	$ (51,344)
2021	(51,344)
2022	(51,344)
2023	(51,344)
2024	(51,344)
Thereafter	(12,807)

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Health Insurance Credits

Other Postemployment Benefits-Health Insurance Credits

Plan Description

Professional staff of the School Board are automatically covered by the VRS Teacher Employee Program. This plan is administered by the VRS, along with pension and other OPEB plans, for public employer groups in the Commonwealth of Virginia. The benefit vests with eligible employees who retire with at least 15 years of service credit. Detailed information about the HIC Program's fiduciary net positon is available in the separately issued VRS 2017 Comprehensive Annual Financial Report which can be accessed from the VRS website at http:www.varetire.org/Pdf/Publications/2017-annual report.pdf.

Benefits

Members earn one month of service credit toward the benefit for each month they are employed and for which their employer pays contributions to VRS. The HIC is a tax-free reimbursement in an amount set by the General Assembly for each year of service credit against qualified health insurance premiums retirees pay for single coverage, excluding any portion covering the spouse or dependents. The credit cannot exceed the amount of the premiums and ends upon the retiree's death. For teacher and other professional school employees who retire, the monthly benefit is $4 per year of service per month with no cap on the benefit amount. For teachers and other professional employees who retire on disability, the monthly benefits is either $4 per month multiplied by twice the amount of service credit or $4 per month multiplied by the amount of service earned had the employee been active until age 60, whichever is lower.

Contributions

The contribution requirement for active employees is governmed by §51.1-1401(E) of the *Code of Virginia*, as amended, but may be impacted as a result of funding provided to school divisions by the Virginia General Assembly.

Each school division's contractually required employer contribution rate for the year ended June 30, 2019 was 1.20% of covered employee compensation for employees in the HIC Program. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. The actuarially determined rate was expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions from the School Board to the VRS HIC Program were $1,305,003 and $1,352,052 for the years ended June 30, 2019 and June 30, 2018, respectively.

Liabilities

Teacher Employee Health Insurance Credit Program OPEB Liabilities, Teacher Employee HIC Prograrm OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Teacher Employee Health Insurance Credit Program OPEB

At June 30, 2019, the School Board reported a liability of $17,258,000 for its proportionate share of the VRS HIC net OPEB liability. The HIC OPEB liability was measured as of June 30, 2017 and the total HIC OPEB liability used to calculate the net HIC OPEB Liability was determined by an actuarial valuation as of that date. The School Board's proportion of the net HIC OPEB liability was based on the School Board's actuarially determined employer contributions to the HIC OPEB plan for the year ended June 30, 2018 relative to the total of the actuarially determined employer contributions for all participating employers. At June 30, 2018, the School Board's proportion of the HIC program was 1.35919% as compared to 1.38996% at June 30, 2017.

For the year ended June 30, 2019, the School Board recognized HIC OPEB expense of $1,349,000. Since there was a change in

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

proportionate share between June 30, 2016 and June 30, 2017 a portion of the HIC net OPEB expense was related to deferred amounts from changes in proportion.

At June 30, 2019, the School Board reported deferred outflows of resources and deferred inflows of resources related to the HIC OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ -	$ (86,000)
Changes in proportionate share	-	(380,000)
Net difference between projected and actual earnings on OPEB plan investments	-	(13,000)
Changes of assumptions or other inputs	-	(150,000)
Employer contribution subsequent to the measurement date	1,305,003	-
Total	$ 1,305,003	$ (629,000)

$1,305,003 reported as deferred outflows of resources related to the HIC OPEB resulting from the School Board's contributions subsequent to the measurement date will be recognized as a reduction of the net HIC OPEB liability in the Fiscal Year ending June 30, 2020. Other amounts reported as deferred inflows of resources related to the HIC OPEB will be recognized in the HIC OPEB expense in future reporting periods as follows:

Fiscal Year Ending June 30	
2020	$ (103,000)
2021	(103,000)
2022	(103,000)
2023	(95,000)
2024	(98,000)
Thereafter	(127,000)

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Actuarial Assumptions

The total HIC OPEB liability for the VRS HIC was based on an actuarial valuation as of June 30, 2017, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Inflation	2.5 percent
Salary increases, including inflation - Teacher Employees	3.5 percent - 5.95 percent
Investment rate of return	7.0 percent, net of plan investment expenses, including inflation*

* Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GAAP purposes of slightly more than the assumed 7.0%. However, since the difference was minimal, and a more conservative 7.0% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 7.0% to simplify preparation of OPEB liabilities.

Mortality rates

Pre-Retirement:

RP-2014 White Collar Employee Rates to age 80, White Collar Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020.

Post-Retirement:

RP-2014 White Collar Employee Rates to age 49, White Collar Healthy Annuitant Rates at ages 50 and older projected with scale BB to 2020; males 1% increase compounded from ages 70 to 90; females set back 3 years with 1.5% increase compounded from ages 65 to 70 and 2.0% increase compounded from ages 75 to 90.

Post-Disablement:

RP-2014 Disability Mortality Rates projected with Scale BB to 2020; 115% of rates for males and females.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Adjusted rates to better match experience
Salary Scale	No change

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Long-Term Expected Rate of Return

The long-term expected rate of return on OPEB investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of VRS System investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target asset allocation and best estimate of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class (Strategy)	Target Allocation	Arithmetic Long-Term Expected Rate of Return	Weighted Average Long-Term Expected Rate of Return
Public Equity	40.00%	4.54%	1.82%
Fixed income	15.00%	0.69%	0.10%
Credit Strategies	15.00%	3.96%	0.59%
Real Assets	15.00%	5.76%	0.86%
Private Equity	15.00%	9.53%	1.43%
Total	100.00%		4.80%
	Inflation		2.50%
	*Expected arithmetic nominal return		7.30%

* The above allocation provides a one-year return of 7.30%. However, one-year returns do not take into account the volatility present in each of the asset classes. In setting the long-term expected return for the system, stochastic projections are employed to model future returns under various economic conditions. The results provide a range of returns over various time periods that ultimately provide a median return of 6.83%, including expected inflation of 2.50%.

Discount Rate

The discount rate used to measure the total HIC OPEB was 7.00%. The projection of cash flows used to determine the discount rate assumed that employer contributions will be made in accordance with the VRS funding policy and at rates equal to the actuarially determined contribution rates adopted by the VRS Board of Trustees. Through the fiscal year ending June 30, 2018, the rate contributed by each school division for the VRS HIC Program will be subject to the portion of the VRS Board-certified rates that are funded by the Virginia General Assembly. From July 1, 2018 on, all agencies are assumed to contribute 100% of the actuarially determined contribution rates. Based on those assumptions, the HIC OPEB plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return was applied to all periods of projected benefit payments to determine the total HIC OPEB liability.

13. OTHER POSTEMPLOYMENT BENEFIT PLANS - HEALTH CARE BENEFITS AND HEALTH INSURANCE CREDITS , continued:

Sensitivity of the School Board's Proportionate Share of HIC Net OPEB Liability to Changes in the Discount Rate

The following presents the School Board's proportionate share of net HIC OPEB liability using the discount rate of 7.00%, as well as what the School Board's proportionate share of the net HIC OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate:

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
School Board's proportionate share of the HIC OPEB Plan net HIC OPEB liability	$ 19,275,000	$ 17,258,000	$ 15,542,000

Payables

The HIC OPEB Plan had a payable of $125,199 as of June 30, 2019.

14. OTHER POSTEMPLOYMENT LINE OF DUTY BENEFITS:

Plan Description:

The City administers a single-employer defined benefit Line of DutyAct plan. The Commonwealth of Virginia's Line of Duty Act (LODA) requires state and local governments to provide death benefits and continued health, dental and vision insurance coverage to eligible hazardous duty employees and volunteers (law enforcement and firefighters) and their dependents if they die or become disabled as a result of the performance of their duties as a public safety officer. The insurance coverages continue until death, recovery, or return to full active duty for hazardous duty employees. For spouses or other dependents, the insurance coverages continue until death, marriage or coverage by an alternative insurance. All LODA eligibility determinations are conducted and investigated by the State Comptroller in accordance with the *Code of Virginia*. Separate, stand-alone statements are not issued for this plan.

Benefit

Death

The Line of Duty Act Plan provides for a one-time payment made to the beneficiaries of a covered individual. Amounts vary as follows:

- $100,000 when a death occurs as the direct or proximate result of performing duty as of January 1, 2006, or after.

- $25,000 when the cause of death is attributed to one of the applicable presumptions and occured earlier than five years after the retirement date.

- An additional $20,000 benefit is payable when certain members of the National Guard and U.S. military reserves are killed in action in any armed conflict on or after October 7, 2001.

14. OTHER POSTEMPLOYMENT LINE OF DUTY BENEFITS: , continued

Health Insurance

Premium continued health plan coverage for LODA-eligible disabled individuals, survivors and family members are provided as long as they continue to meet eligibility requrements as defined by the Line of Duty Act.

Contributions

The Line of Duty Act requires the City to fund all costs of the program. Contributions to the Line of Duty Act Program were $546,033 and $468,634 for the years ended June 30, 2019 and June 30, 2018, respectively.

Membership:

The following table summarizes the members of the Plan as of June 30, 2018, the Valuation Date:

	Number
Inactive employees entitled to but not yet receiving benefit payments	19
Active employees	779
Total	798

Line of Duty Act Program (LODA) OPEB Liabilities, LODA OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to the LODA OPEB

At June 30, 2019, the City reported a liability of $11,167,875 for its Net LODA OPEB Liability. The Net LODA OPEB Liability was measured as of June 30, 2018. The total LODA OPEB liabilitywas determined by an actuarial valuation as of that date.

For the year ended June 30, 2019, the City recognized LODA OPEB expense of $1,130,877.

At June 30, 2019, the agency reported deferred outflows of resources and deferred inflows of resources related to the LODA OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ -	$ (2,303,670)
Changes of assumptions or other inputs	-	(840,098)
Employers contributions subsequent to the measurement date	546,033	-
Total	$ 546,033	$ (3,143,768)

14. OTHER POSTEMPLOYMENT LINE OF DUTY BENEFITS: , continued

$546,033 reported as deferred outlows of resources related to LODA OPEB resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2020. Amounts reported as deferred outflows of resources and deferred inflows of resources related to the LODA OPEB will be recognized in LODA OPEB expense in future reporting periods as follows:

Fiscal year Ending June 30		
2020	$	(306,460)
2021		(306,460)
2022		(306,460)
2023		(306,460)
2024		(306,460)
Thereafter		(1,611,468)

Actuarial Assumptions

The total LODA OPEB liability was based on an actuarial valuation as of June 30, 2018, using the Entry Age Normal actuarial cost method and the following assumptions:

Inflation	2.50%
Real wage growth	1.00%
Wage inflation	3.50%
Salary increases, including wage inflation	
Regular employees	3.50% - 5.35%
LEO	3.50% - 4.75%
Health care cost trend rates assumption -	
Under age 65	7.75% for 2017 decreasing to an ultimate rate of 4.75% by 2027
Ages 65 and older	5.75% for 2017 decreasing to an ultimate rate of 4.75% by 2022
Municipal bond index rate	
Prior measurement date	3.58%
Measurement date	3.87%

Mortality rates - Largest Ten Locality Employers With Public Safety Employees

Pre-Retirement:

RP-2014 Employee Rates to age 80, Healthy Annuitant Rates to 81 and older projected with Scale BB to 2020; males 95% of rates; females 105% of rates.

Post-Retirement:

RP-2014 Employee Rates to age 49, Healthy Annuitant Rates at ages 50 and older projected with Scale BB to 2020; males set forward 3 years, females 1.0% increase compounded from ages 70 to 90.

14. OTHER POSTEMPLOYMENT LINE OF DUTY BENEFITS: , continued

Post-Disablement:

RP-2014 Disability Life Mortality Table projected with scale BB to 2020; males set forward 2 years; 110% of rates; females 125% of rates.

Discount Rate

The discount rate used to measure the total LODA OPEB liability was 3.58%. This rate was based on the Bond Buyer General Obligation 20-year Municipal Bond Index published for the week of June.

Change in Net LODA OPEB Liability

Total OPEB Liability as of June 30, 2017	$ 13,035,534
Changes for the year:	
Service Cost at the end of the year*	916,561
Interest	491,686
Difference between expected and actual experience	(2,391,726)
Changes of assumptions or other inputs	(444,636)
Benefit payments	(439,544)
Net changes	$ (1,867,659)
Total OPEB Liability as of June 30, 2018	$ 11,167,875

*Service Cost includes interest for the year

Sensitivity of the Net LODA OPEB Liability to Changes in the Discount Rate

The following presents the covered employer's proportionate share of the net LODA OPEB liability using the discount rate of 3.87%, as well as what the covered employer's proportionate share of the net LODA OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (2.87%) or one percentage point higher (4.87%) than the current rate:

	1% Decrease (2.87%)	Discount Rate (3.87%)	1% Increase (4.87%)
Net OPEB liability	$ 12,663,654	$ 11,167,875	$ 9,943,670

14. OTHER POSTEMPLOYMENT LINE OF DUTY BENEFITS: , continued

Sensitivity of the Net LODA OPEB Liability to Changes in the Health Care Trend Rate

Because the Line of Duty Act Program contains a provisions for the payment of health insurance premiums, the liabilities are also impacted by the health care trend rates. The following presents the net LODA OPEB liability would be if it were calculated using a health care trend rate that is one percentage point lower or one percentage point higher than the current rate:

	1% Decrease	Current Healthcare Cost Trend Rates	1% Increase
Net OPEB liability	$ 9,544,639	$ 11,167,875	$ 13,172,790

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB:

Plan Description:

All full-time, salaried permanent employees of the City and School Board are automatically covered by the VRS Group Life Insurance (GLI) Program upon employment. This plan is administered by the VRS, along with pensions and other OPEB plans, for public employer groups in the Commonwealth of Virginia.

In addition to the Basic Group Life Insurance benefit, members are also eligible to elect additional coverage for themselves as well as a spouse or dependent children through the Optional Group Life Insurance Program. For members who elect the optional group life insurance coverage, the insurer bills employers directly for the premiums. Employers deduct these premiums from members' paychecks and pay the premiums to the insurer. Since this is a separate and fully insured program, it is not included as part of the GLI OPEB liability.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

The specific information for GLI OPEB, including eligibility, coverage and benefits is set out in the table below:

GROUP LIFE INSURANCE PROGRAM PLAN PROVISIONS
Eligible Employees The Group Life Insurance Program was established July 1, 1960, for state employees, teachers and employees of political subdivisions that elect the program, including the following employers that do not participate in VRS for retirement: • City of Richmond • City of Portsmouth • City of Roanoke • City of Norfolk • Roanoke City Schools Board Basic group life insurance coverage is automatic upon employment. Coverage end for employees who leave their position before retirement eligibility or who take a refund of their member contributions and accrued interest.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

Benefit Amounts

The benefits payable under the Group Life Insurance Program have several components.

- **Natural Death Benefit** – The natural death benefit is equal to the employee's covered compensation rounded to the next highest thousand and then doubled.
- **Accidental Death Benefit** – The accidental death benefit is double the natural death benefit.
- **Other Benefit Provisions** – In addition to the basic natural and accidental death benefits, the program provides additional benefits provided under specific circumstances. These include:
  - Accidental dismemberment benefit
  - Safety belt benefit
  - Repatriation benefit
  - Felonious assault benefit
  - Accelerated death benefit option

Reduction in benefit Amounts

The benefit amounts provided to members covered under the Group Life Insurance Program are subject to a reduction factor. The benefit amount reduces by 25% on January 1 following one calendar year of separation. The benefit amount reduces by an additional 25% on each subsequent January 1 until it reaches 25% of its original value.

Minimum Benefit Amount and Cost-of-Living Adjustment (COLA)

For covered members with at least 30 years of creditable service, there is a minimum benefit payable under the Group Life Insurance Program. The minimum benefit was set at $8,000 by statute. This amount is increased annually based on the VRS Plan 2 cost-of-living adjustment and is currently $8,279.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

Contributions

The contribution requirements for GLI are governed by §51.1-506 and §51.1-508 of the *Code of Virginia*, as amended, but may be impacted as a result of funding provided to state agencies and school divisions by the Virginia General Assembly. The total rate for the Group Life Insurance Program was 1.31% of covered employee compensation. This was allocated into an employee and an employer component using a 60/40 split. The employee component was 0.79% (1.31% X 60%) and the employer component was 0.52% (1.31% X 40%). Employers may elect to pay all or part of the employee contribution, however the employer must pay all of the employer contribution. Each employer's contractually required employer contribution rate for the year ended June 30, 2019 was 0.52% of covered employee compensation. This rate was based on an actuarially determined rate from an actuarial valuation as of June 30, 2017. The actuarially determined rate, when combined with employee contributions, was expected to finance the costs of benefits payable during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the GLI from the City were $459,858 and $473,642 for the years ended June 30, 2019 and June 30, 2018, respectively. Contributions to the GLI from the School Board for Professional employees were $570,436 and $573,445 for the years ended June 30, 2019 and June 30, 2018, respectively. Contributions to the GLI from the School Board for Nonprofessional employees were $20,964 and $22,257 for the years ended June 30, 2019 and June 30, 2018 respectively.

GLI OPEB Liabilities, GLI OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to the Group Life Insurance Program OPEB

At June 30, 2019, the City reported a liability for its proportionate share of the Net GLI OPEB Liability of $7,275,000. The School Board reported a liability for professional employees and nonprofessional employees of $8,808,000 and $342,000, respectively. The Net GLI OPEB Liability was measured as of June 30, 2018 and the total GLI OPEB liability used to calculate the Net GLI OPEB Liability was determined by an actuarial valuation as of that date. The covered employer's proportion of the Net GLI OPEB Liability was based on the covered employer's actuarially determined employer contributions to the Group Life Insurance Program for the year ended June 30, 2018 relative to the total of the actuarially determined employer contributions for all participating employers.

The City and School Board employer's proportion for June 30, 2018 and June 30, 2017 is summarized below:

	Employer's Proportion June 30, 2018	Employers's Portion June 30, 2017
City of Hampton	0.47902 %	0.49133 %
School Board Professional Employees	0.57996 %	0.59619 %
School Board Nonprofessional Employees	0.02251 %	0.02113 %

For the year ended June 30, 2019, the City recognized GLI OPEB expense of $13,000 and the School Board recognized GLI OPEB expense for professional employees of $29,000 and nonprofessional employees of $3,000. Since there was a change in proportionate share between measurement dates, a portion of the GLI OPEB expense was related to deferred amounts from changes in proportion.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

At June 30, 2019, the City and School Board reported deferred outflows of resources and deferred inflows of resources related to the GLI OPEB from the following sources:

City

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 356,000	$ (130,000)
Changes of assumptions	-	(303,000)
Net difference between projected and actual investments earning on GLI OPEB program investments	-	(237,000)
Changes in porportionate share	-	(202,000)
Employer contributions subsequent to the measurement date	459,858	-
Total	$ 815,858	$ (872,000)

$459,858 reported as deferred outflows of resources related to the GLI OPEB resulting from the employer's contributions subsequent to the measurement date will be recognized as a reduction of the Net GLI OPEB Liability in fiscal year ending June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to the GLI OPEB will be recognized in the GLI OPEB expense in future report periods as follows:

Fiscal Year Ending June 30	
2020	$ (145,000)
2021	(145,000)
2022	(145,000)
2023	(78,000)
2024	(14,000)
Thereafter	11,000

School Board - Professional Employees

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 431,000	$ (158,000)
Changes in porportionate share	43,000	(229,000)
Net difference between projected and actual investment earnings on GLI OPEB investments	-	(287,000)
Changes of assumptions or other inputs	-	(367,000)
Employer contributions subsequent to the measurement date	570,436	-
Total	$ 1,044,436	$ (1,041,000)

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

$570,436 reported as deferred outflows of resources related to the GLI OPEB resulting from the employer's contributions subsequent to the measurement date will be recognized as a reduction of the Net GLI OPEB Liability in fiscal year ending June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to the GLI OPEB will be recognized in the GLI OPEB expense in future report periods as follows:

Fiscal Year Ending June 30		
2020	$	(163,000)
2021		(163,000)
2022		(163,000)
2023		(81,000)
2024		(8,000)
Thereafter		11,000

School Board - Nonprofessional Employees

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 17,000	$ (6,000)
Changes in porportionate share	19,000	(15,000)
Net difference between projected and actual investment earnings on GLI OPEB investments	-	(11,000)
Changes of assumptions or other inputs	-	(14,000)
Employer contributions subsequent to the measurement date	20,964	-
Total	$ 56,964	$ (46,000)

$20,964 reported as deferred outflows of resources related to the GLI OPEB resulting from the employer's contributions subsequent to the measurement date will be recognized as a reduction of the Net GLI OPEB Liability in fiscal year ending June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to the GLI OPEB will be recognized in the GLI OPEB expense in future report periods as follows:

Fiscal Year Ending June 30		
2020	$	(4,000)
2021		(4,000)
2022		(4,000)
2023		(1,000)
2024		1,000
Thereafter		2,000

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

Actuarial Assumptions

The total GLI OPEB liability was based on an actuarial valuation as of June 30, 2017, using the Entry Age Normal actuarial cost method and the following assumptions, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2018.

Inflation	2.5 percent
Salary increases, including inflation -	
Teachers	3.5 percent - 5.95 percent
City/School - General employees	3.5 percent - 5.35 percent
City Hazardous Duty employees	3.5 percent - 4.75 percent
Investment rate of return	7.0 percent, net of investment expenses, including inflation

*Administrative expenses as a percent of the market value of assets for the last experience study were found to be approximately 0.06% of the market assets for all of the VRS plans. This would provide an assumed investment return rate for GAAP purposes of slightly more than the assumed 7.0%. However, since the difference was minimal, and a more conservative 7.0% investment return assumption provided a projected plan net position that exceeded the projected benefit payments, the long-term expected rate of return on investments was assumed to be 7.0% to simplify preparation of the OPEB liabilities

Mortality rates – Teachers

Pre-Retirement:

RP-2014 White Collar Employee Rates to age 80, White Collar Healthy Annuitant Rates at ages 81 and older projected with scale BB to 2020.

Post-Retirement:

RP-2014 White Collar Employee Rates to age 49, White Collar Health Annuitant Rates at ages 50 and older projected with scale BB to 2020; males 1% increase compounded from ages 70 to 90; females set back 3 years with 1.5% increase compounded from ages 65 to 70 and 2.0% increase compounded from ages 75 to 90.

Post-Disablement:

RP-2014 Disability Mortality Rates projected with Scale BB to 2020; 115% of rates for males and females.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawal Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Adjusted rates to better match experience
Salary Scale	No change

Mortality rates – Largest Ten Locality Employers - General Employees

Pre-Retirement:

RP-2014 Employee Rates to age 80, Healthy Annuitant Rates to 81 and older projected with Scale BB to 2020; males 95% of rates; females 105% of rates.

Post-Retirement:

RP-2014 Employee Rates to age 49, Healthy Annuitant Rates at ages 50 and older projected with Scale BB to 2020; males set forward 3 years; females 1.0% increase compounded from ages 70 to 90.

Post-Disablement:

RP-2014 Disability Life Mortality Table projected with scale BB to 2020; males set forward 2 years, 110% of rates; females 125% of rates

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages and extended final retirement age from 70 to 75
Withdrawal Rates	Adjusted termination rates to better fit experience at each age and service year
Disability Rates	Lowered disability rates
Salary Scale	No change
Line of Duty Disability	Increased rate from 14% to 20%

Mortality rates – Largest Ten Locality Employers – Hazardous Duty Employees

Pre-Retirement:

RP-2014 Employee Rates to age 80, Healthy Annuitant Rates to 81 and older projected with Scale BB to 2020; males 90% of rates; females set forward 1 year.

Post-Retirement:

RP-2014 Employee Rates to age 49, Healthy Annuitant Rates at ages 50 and older projected with Scale BB to 2020; males set forward 1 year with 1.0% increase compounded from ages 70 to 90; females set forward 3 years.

Post-Disablement:

RP-2014 Disability Life Mortality Table projected with scale BB to 2020; males set forward 2 years; unisex using 100% male.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table – RP-2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages
Withdrawal Rates	Adjusted termination rates to better fit experience at each age and service year
Disability Rates	Increased disability rates
Salary Scale	No change
Line of Duty Disability	Increased rate from 60% to 70%

Net GLI OPEB Liability

The net OPEB liability (NOL) for the Group Life Insurance Program represents the program's total OPEB liability determined in accordance with GAAP, less the associated fiduciary net position. As of June 30, 2018, NOL amounts for the GLI is as follows (amounts expressed in thousands):

	Group Life Insurance OPEB Program
Total GLI OPEB Liability	$ 3,113,508
Plan Fiduciary Net Position	1,594,773
Employers' Net GLI OPEB Liability	1,518,735
Plan fiduciary Net position as a Percentage of Total GLI OPEB Liability	51.22 %

The total GLI OPEB liability is calculated by VRS's actuary, and each plan's fiduciary net position is reported in the System's financial statements. The net GLI OPEB liability is disclosed in accordance with the requirements of GAAP in the System's notes to the financial statements and required supplementary information.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

Long-Term Expected Rate of Return

The long-term expected rate of return on the System's investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of System's investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected furture real rates of return by the target asset allocation percentage and by adding expected inflation. The target asset allocation and best estimate of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class (Strategy)	Target Allocation	Arithmetic Long-Term Expected Rate of Return	Long-Term Expected Real Rate of Return
Public Equity	40.00%	4.54%	1.82%
Fixed income	15.00%	0.69%	0.10%
Credit Strategies	15.00%	3.96%	0.59%
Real Assets	15.00%	5.76%	0.86%
Private Equity	15.00%	9.53%	1.43%
Total	100.00%		4.80%
	Inflation		2.50%
	*Expected arithmetic nominal return		7.30%

* The above allocation provides aone-year return of 7.30%. However, one-year returns do not take into account the volatility present in each of the asset classes. In setting the long-term expected return for th esystem, stochastic projections are employed to model future return under various economic conditions. The results provide a range of returns over various time periods that ultimately provide a median rate of 6.83%, including expected inflation of 2.50%

Discount Rate

The discount rate used to measure the total GLI OPEB liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that member contributions will be made per the VRS guidance and the employer contributions will be made in accordance with the VRS funding policy at rates equal to the difference between actuarially determined contribution rates adopted by the VRS Board of Trustees and the member rate. Through the fiscal year ending June 30, 2018, the rate contributed by the entity for the GLI OPEB will be subject to the portion of the VRS Board-certified rates that are funded by the Virginia General Assembly. From July 1, 2018 on, employers are assumed to contribute 100% of the actuarially determined contribution rates. Based on those assumptions, the GLI OPEB's fiduciary net position was projected to be available to make all projected future benefit payments of eligible employees. Therefore, the long-term expected rate of return was applied to all periods of projected benefit payments to determine the total GLI OPEB liability.

15. VIRGINIA RETIREMENT SYSTEM-GROUP LIFE INSURANCE-OPEB: , continued

Sensitivity of the Employer's Proportionate Share of the Net GLI OPEB Liability to Changes in the Discount Rate

The following tables presents the City and School Board's proportionate share of the net GLI OPEB liability using the discount rate of 7.00%, as well as what the employer's proportionate share of the net GLI OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate:

	1.00% Decrease 6.00%	Discount Rate 7.00%	1.00% Increase 8.00%
City's GLI OPEB Liability	$ 9,508,000	$ 7,275,000	$ 5,463,000
School's GLI OPEB Liability			
Professional Employees	11,511,000	8,808,000	6,614,000
Nonprofessional Employees	447,000	342,000	257,000

Group Life Insurance Program Fiduciary Net Position

Detailed information about the Group Life Insurance Program's Fiduciary Net Position is available in the separately issued VRS 2018 Comprehensive Annual Financial Report (CAFR). A copy of the 2018 VRS CAFR may be downloaded from the VRS website at http://www.varetire.org/PDF/Publications/2017-annual-report.pdf, or by writing to the System's Chief Financial Officer at P.O. Box 2500, Richmond, VA, 23218-2500.

Payables to the Group Life Insurance Program

The City's and School's VRS Group Life Insurance OPEB plan payable as of June 30, 2019 totaled $96,285 and $143,529, respectively.

16. LEASE RECEIVABLES:

The EDA issued Revenue Bonds (Note 8) to construct the Peninsula Workforce Development Center (PWDC). Under terms of agreements with this organization, revenue generated from the lease of the building is used to make the bond payments with the lease term being equivalent to the life of the bond. As of June 30, 2019, future lease receivable is $1,980,119 from PWDC.

The minimum lease payments for future years are:

2020	$ 990,059
2021	990,060
Total	$ 1,980,119

As of June 30, 2019, the balance of unearned interest income associated with the PWDC is $155,849.

17. SUBSEQUENT EVENTS

On October 8, 2019, the City issued $54,000,000 General Obligation Public Improvement Bonds, Series 2019A with interest rates ranging from 1.29% to 2.85% and $21,355,000 General Obligation Public Improvement and Refunding Bonds, Series 2019B (Taxable) with interest rates ranging from 1.95% to 2.95%. The proceeds of the Series 2019A Bonds are being used to fund various public improvement projects in the City and to pay costs of issuing the Series 2019A Bonds. The proceeds of the Series 2019B Bonds were used to advance refund portions of the City's Series 2012A General Obligation Public Improvement Refunding Bonds and the remaining balance will be used for a strategic land acquisition. Interest on the Bonds is due and payable semi-annually on each March 1 and September 1.

On November 20, 2019, the City issued $66,150,000 in Convention Center Refunding Direct Placement Revenue Bonds, Series 2019C with interest from 1.952% to 3.097%. The proceeds of the bonds were used to refund the City's Convention Center Direct Placement Revenue Bonds, Series 2012A and a portion of the City's Convention Center Revenue Bonds, Series 2011A. Interest on the bonds is due and payable semi-annually on each April 1 and October 1.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CHANGES IN THE HERS NET PENSION PLAN LIABILITY AND RELATED RATIOS
HERS' PENSION PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015	2014
Total pension liability						
Service cost	$ 127,787	$ 117,036	$ 152,557	$ 188,078	$ 112,348	$ 373,903
Interest	9,809,650	10,991,423	11,411,712	11,796,729	12,183,886	12,518,593
Differences between expected and actual experience	466,804		(76,396)		(425,331)	296
Changes of assumptions		(580,802)				
Benefit payments, including refunds of employee contributions	(16,824,254)	(17,047,039)	(17,100,560)	(17,101,282)	(17,040,172)	(17,032,982)
Net change in total pension liability	(6,420,013)	(6,519,382)	(5,612,687)	(5,116,475)	(5,169,269)	(4,140,190)
Total pension liability-beginning	148,344,894	154,864,276	160,476,963	165,593,438	170,762,707	174,902,897
Total pension liability-ending (a)	$ 141,924,881	$ 148,344,894	$ 154,864,276	$ 160,476,963	$ 165,593,438	$ 170,762,707
Plan fiduciary net position						
Contributions-employer	$ 6,716,299	$ 7,100,125	$ 7,100,148	$ 8,880,839	$ 8,880,839	$ 6,628,122
Net investment income	8,790,186	10,682,406	14,694,582	2,144,248	5,361,684	20,494,864
Benefit payments, including refunds of employee contributions	(16,824,254)	(17,047,039)	(17,100,560)	(17,101,282)	(17,040,172)	(17,032,982)
Administrative expense	(332,835)	(277,957)	(286,431)	(386,247)	(299,195)	(278,663)
Net change in plan fiduciary net position	(1,650,604)	457,535	4,407,739	(6,462,442)	(3,096,844)	9,811,341
Plan fiduciary net position-beginning	128,529,539	128,072,004	123,702,338	130,164,780	133,261,624	123,450,283
Plan fiduciary net position-ending (b)	$ 126,878,935	$ 128,529,539	$ 128,110,077	$ 123,702,338	$ 130,164,780	$ 133,261,624
Net pension liability-ending (a)-(b)	$ 15,045,946	$ 19,815,355	$ 26,754,199	$ 36,774,625	$ 35,428,658	$ 37,501,083
Plan fiduciary net position as a percentage of the total pension liability	89.40 %	86.64 %	82.72 %	77.08 %	78.61 %	78.04 %
Covered payroll	$ 2,684,932	$ 2,803,090	$ 2,806,674	$ 5,335,759	$ 6,085,814	$ 10,188,093
Net pension liability as a percentage of covered payroll	560.38 %	706.91 %	953.24 %	689.21 %	582.15 %	368.09 %

Notes to Schedule:

1) Benefit Changes: No benefit changes were enacted during fiscal year 2019.

2) Valuation Date: 6/30/2017; Actuarially determined contribution rates are calculated based on the actuarial valuation determined as of the odd year proceding the beginning of the Plan year.

2) Changes in assumptions: During FY19 no changes occured.

3) GAAP requires 10- year trend information. Fiscal year 2014 is the first year of implementation.

4) Per GAAP, net pension liabilities are reported using the measurement date, which is June 30, 2019.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CONTRIBUTIONS TO HERS
HERS' PENSION PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015	2014
Actuarially determined contribution	$ 6,716,299	$ 7,100,125	$ 7,100,148	$ 8,880,839	$ 8,880,839	$ 6,628,122
Contributions in relation to the actuarially determined contribution	6,716,299	7,100,125	7,100,148	8,880,839	8,880,839	6,628,122
Covered payroll	$ 2,684,932	$ 2,803,090	$ 2,806,674	$ 5,335,759	$ 6,085,814	$ 10,188,093
Contributions as a percentage of covered payroll	250.15 %	253.30 %	252.97 %	166.44 %	145.93 %	65.06 %

Notes to Schedule

Valuation Date:

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which the contributions are reported.

GAAP requires 10-year trend information. Fiscal year 2014 is the first year of implementation.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF CHANGES IN THE CITY'S VRS PENSION PLAN LIABILITY AND RELATED RATIOS
VRS RETIREMENT PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
Total pension liability					
Service cost	$ 11,525,376	$ 10,934,809	$ 10,835,551	$ 10,960,536	$ 10,938,812
Interest	39,213,600	38,078,180	37,250,101	36,276,354	34,999,056
Changes in assumptions		2,910,537			
Differences between expected and actual experience	(1,988,091)	(4,596,969)	(5,909,803)	(4,100,921)	
Benefit payments, including refunds of employee contributions	(31,450,468)	(30,762,074)	(29,930,211)	(28,520,380)	(26,861,136)
Net change in total pension liability	17,300,417	16,564,483	12,245,638	14,615,589	19,076,732
Total pension liability-beginning	575,919,522	559,355,039	547,109,401	532,493,812	513,417,080
Total pension liability-ending (a)	$ 593,219,939	$ 575,919,522	$ 559,355,039	$ 547,109,401	$ 532,493,812
Plan fiduciary net position					
Contributions-employer	$ 14,247,065	$ 14,235,281	$ 16,240,833	$ 15,816,808	$ 16,046,763
Contributions-employee	4,489,433	4,539,420	4,451,221	4,393,892	4,400,548
Net investment income	33,174,366	49,975,564	7,097,707	18,515,581	56,039,049
Benefit payments, including refunds of employee contributions	(31,450,468)	(30,762,074)	(29,930,211)	(28,520,380)	(26,861,136)
Administrative expense	(290,989)	(294,277)	(261,143)	(257,367)	(304,392)
Other	(29,364)	(44,266)	(3,049)	(3,890)	2,953
Net change in plan fiduciary net position	20,140,043	37,649,648	(2,404,642)	9,944,644	49,323,785
Plan fiduciary net position-beginning	452,964,528	415,314,880	417,719,522	407,774,878	358,451,093
Plan fiduciary net position-ending (b)	$ 473,104,571	$ 452,964,528	$ 415,314,880	$ 417,719,522	$ 407,774,878
Net pension liability-ending (a)-(b)	$ 120,115,368	$ 122,954,994	$ 144,040,159	$ 129,389,879	$ 124,718,934
Plan fiduciary net position as a percentage of the total pension liability	79.75 %	78.65 %	74.25 %	76.35 %	76.58 %
Covered payroll	$ 89,543,136	$ 89,460,842	$ 88,836,512	$ 86,291,441	$ 86,428,123
Net pension liability as a percentage of covered payroll	134.14 %	137.44 %	162.14 %	149.95 %	144.30 %

Notes to Schedule:

1) Changes of benefit terms: There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation. The 2014 valuation includes Hybrid Retirement Plan members for the first time. A hybrid plan with changes to the defined benefit plan structure and a new defined contribution component was adopted in 2012. The hybrid plan applies to most new employees hired on January 1, 2014 and not covered by enhanced hazardous duty benefits. Because this is still a fairly new benefit and the nmber of participants was relatively small, the impact on the liabilities as of the measurement date of June 30, 2018 is not material. The liabilities presented do not reflect the hybrid plan since it covers new members joining the Plan after the valuation date of June 30, 2013 and the impact on the liabilities as of the measurement date of June 30, 2014 are minimal.

2) Changes in assumptions: Changes in actuarial assumptions were made effective June 30, 2013 based on the most recent experience study of the Plan for the four-year period ending June 30, 2012. Changes were made to the mortality table, decrease in rates of service retirement, decrease in rates of disability retirement, reduced rates of salary increase by 0.25% per year, increase in rates of withdrawal.

3) GAAP requires 10-year trend information. Fiscal year 2015 is the first year of implementation.

4) Per GAAP, net pension liabilities are reported using the measurement date, which is one year prior to the reporting date.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CITY'S CONTRIBUTIONS TO VRS
VRS RETIREMENT PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
Contractually required contribution	$ 14,178,118	$ 14,246,313	$ 14,233,220	$ 16,241,604	$ 15,816,817
Contributions in relation to the contractually required contribution	14,178,118	14,246,313	14,233,220	16,241,604	15,816,817
Contribution deficiency (excess)	$	$	$	$	$
Covered payroll	$ 88,345,160	$ 89,543,136	$ 89,460,842	$ 88,078,113	$ 85,774,496
Contributions as a percentage of covered payroll	16.05 %	15.91 %	15.91 %	18.44 %	18.44 %

Notes to Schedule

Valuation Date: Fiscal years ending 2015 and 2016 are based on June 30, 2013 actuarial valuation, rates for fiscal years 2017 and 2018 are based on June 30, 2015 actuarial valuation and rates for fiscal year 2019 are based on June 30, 2017 valuation.

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which the contributions are reported.

GAAP requires 10-year trend information. Fiscal year 2015 is the first year of implementation.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF CHANGES IN THE SCHOOL BOARD'S VRS NONPROFESSIONAL EMPLOYEES' NET PENSION PLAN LIABILITY AND RELATED RATIOS

VRS RETIREMENT PLAN

REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
Total pension liability					
Service cost	$ 388,116	$ 376,186	$ 390,637	$ 791,558	$ 813,234
Interest	1,896,547	1,908,394	2,054,913	2,022,874	1,973,760
Changes in assumptions		(101,861)			
Differences between expected and actual experience	(266,110)	(405,218)	(2,626,193)	(220,586)	
Benefit payments, including refunds of employee contributions	(1,998,178)	(1,895,299)	(1,929,683)	(2,342,607)	(1,828,117)
Net change in total pension liability	20,375	(117,798)	(2,110,326)	251,239	958,877
Total pension liability-beginning	28,092,618	28,210,416	30,320,742	30,069,503	29,110,626
Total pension liability-ending (a)	$ 28,112,993	$ 28,092,618	$ 28,210,416	$ 30,320,742	$ 30,069,503
Plan fiduciary net position					
Contributions-employer	$ 449,019	$ 413,542	$ 427,758	$ 411,361	$ 900,981
Contributions-employee	203,832	188,884	238,049	193,337	372,764
Net investment income	1,893,091	2,910,259	410,877	1,135,856	3,582,353
Benefit payments, including refunds of employee contributions	(1,998,178)	(1,895,299)	(1,929,683)	(2,342,607)	(1,828,117)
Administrative expense	(17,095)	(17,696)	(16,323)	(17,081)	(19,666)
Other	(1,656)	(2,556)	(181)	(236)	188
Net change in plan fiduciary net position	529,013	1,597,134	(869,503)	(619,370)	3,008,503
Plan fiduciary net position-beginning	26,156,690	24,559,556	25,429,059	26,048,429	23,039,926
Plan fiduciary net position-ending (b)	$ 26,685,703	$ 26,156,690	$ 24,559,556	$ 25,429,059	$ 26,048,429
Net pension liability-ending (a)-(b)	$ 1,427,290	$ 1,935,928	$ 3,650,860	$ 4,891,683	$ 4,021,074
Plan fiduciary net position as a percentage of the total pension liability	94.92 %	93.11 %	87.06 %	83.87 %	86.63 %
Covered payroll	$ 4,624,284	$ 3,822,015	$ 3,952,516	$ 3,802,628	$ 7,346,439
Net pension liability as a percentage of covered payroll	30.87 %	50.65 %	92.37 %	128.64 %	54.74 %

Notes to Schedule:

1)Changes of benefit terms: There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation. The 2014 valuation includes Hybrid Retirement Plan members for the first time. A hybrid plan with changes to the defined benefit plan structure and a new defined contribution component was adopted in 2012. The hybrid plan applies to most new employees hired on January 1, 2014 and not covered by enhanced hazardous duty benefits. Because this is still a fairly new benefit and the number of participants was relatively small, the impact on the liabilities as of the measurement date of June 30, 2018 is not material. The liabilities presented do not reflect the hybrid plan since it covers new members joining the Plan after the valuation date of June 30, 2013 and the impact on the liabilities as of the measurement date of June 30, 2014 are minimal.

2)Changes in assumptions: The actuarial assumptions used in the June 30, 2017 valuation were based on the result of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes were made to the mortality rates, retirement rates, withdrawal rates, disability rates and salary scale.

3) GAAP requires 10-year trend information. Fiscal year 2015 is the first year of implementation.

4) Per GAAP, net pension liabilities are reported using the measurement date, which is one year prior to the reporting date.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF SCHOOL BOARD'S NONPROFESSIONAL EMPLOYEES' CONTRIBUTIONS TO VRS

VRS RETIREMENT PLAN

REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
Contractually required contribution	$ 356,901	$ 449,018	$ 413,542	$ 427,758	$ 411,361
Contributions in relation to the contractually required contribution	356,901	449,018	413,542	427,758	411,361
Contribution deficiency (excess)	$	$	$	$	$
Covered payroll	$ 3,837,645	$ 4,624,284	$ 3,822,015	$ 3,957,058	$ 3,805,375
Contributions as a percentage of covered payroll	9.30 %	9.71 %	10.82 %	10.81 %	10.81 %

Notes to Schedule

Valuation Date: Fiscal years ending 2015 and 2016 are based on June 30, 2013 actuarial valuation, the rates shown for fiscal years 2017 and 2018 are based on June 30, 2015 actuarial valuation and the rates for fiscal year 2019 are based on June 30, 2017 actuarial valuation .

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which the contributions are reported.

GAAP requires 10-year trend information. Fiscal year 2015 is the first year of implementation.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF THE SCHOOL BOARD'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
VRS TEACHERS' PENSION PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
School Board's proportion of the net pension liability	1.36 %	1.39 %	1.39 %	1.43 %	1.50 %
School Board's proportionate share of the net pension liability	$ 159,918,000	$ 170,830,000	$ 195,347,000	$ 180,096,000	$ 181,847,000
School Board's covered payroll	$ 107,767,132	$ 106,158,070	$ 105,320,099	$ 105,909,421	$ 110,084,974
School Board's proportionate share of the net pension liability as a percentageof its covered payroll	148.39 %	160.92 %	185.48 %	170.05 %	165.19 %
Plan fiduciary net position as a percentage of the total pension liability	76.00 %	73.11 %	75.60 %	74.56 %	70.88 %

*The amounts presented has a measurement date of the previous fiscal year end.

Notes:

1) This schedule is intended to show information for 10 years. Since 2015 is the first year for the presentation, there are only four years available. However, additional years will be included as they become available.

2) Changes of benefit terms: There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation. The 2014 valuation includes Hybrid Retirement Plan members for the first time. The hybrid plan applies to most new employees hired on January 1, 2014 and not covered by enhanced hazardous duty benefits. Because this is still a fairly new benefit and the number of participants was relatively small, the impact on the liabilities as of the measurement date of June 30, 2018 is not material.

3) Changes in assumptions: The actuarial assumptions used in the June 30, 2017 were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

- Mortality Rates (Pre-retirement, post-retirement healthy, disabled	Update to a more current mortality table - RP-2014 projected to 2020
- Retirement Rates	Lowered rates at older ages and changes final retirement from 70 to 75
- Withdrawl Rates	Adjusted rates to better fit experience at each age and service through 9 years of service
- Disability Rates	Adjusted to better match experience
- Salary Scale	No change

4) Per GAAP, net pension liabilities are reported using the measurement date, which is one year prior to the reporting date.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF COMPONENT UNIT- SCHOOL BOARD'S CONTRIBUTIONS
VIRGINIA RETIREMENT SYSTEM TEACHERS PENSION PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017	2016	2015
Contractually required contribution	$ 17,052,089	$ 17,598,373	$ 17,324,997	$ 19,168,258	$ 19,270,757
Contribution in relation to the contractually required contribution	16,618,902	17,587,596	15,562,773	14,808,006	15,356,866
Contribution deficiency (excess)	$ 433,187	$ 10,777	$ 1,762,224	$ 4,360,252	$ 3,913,891
School Board's covered payroll	$ 101,769,149	$ 107,767,132	$ 106,158,070	$ 105,320,099	$ 105,909,421
Contributions as a percentage of covered payroll	16.3 %	16.3 %	14.7 %	14.1 %	14.5 %

Notes to Schedule

Valuation Date :

1. Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which the contributions are reported.

2. Changes of benefit terms- There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation. The 2014 valuation includes Hybrid Retirement Plan members for the first time. The hybrid plan applies to most new employees hired on January 1, 2014 and not covered by enhanced hazardous duty benefits. Because this is still a fairly new benefit and the number of participants was relatively small, the impact on the liabilities as of the measurement date of June 30, 2018 is not material.

3. Changes in assumptions:

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year peiod from July 1, 2012 through June30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

- Mortality Rates (Pre-retirement, post-retirement healthy, disabled)	Update to a more current mortality table - RP-2014 projected to 2020
- Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
- Withdrawl Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
- Disability Rates	Adjusted rates to better match experience
- Salary Scale	No change

4. GAAP requires 10-year trend information. Fiscal year 2015 is the first year of implementation.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CHANGES IN NET OPEB LIABILITY AND RELATED RATIOS
PRIMARY GOVERNMENT
OTHER POSTEMPLOYMENT BENEFITS-RETIREE HEALTHCARE
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018
Total OPEB Liability		
Service cost at end of year	$ 2,417,844	$ 3,059,781
Interest	3,420,421	2,889,041
Differences between expected and actual experience	(182,752)	220,844
Changes of assumptions or other inputs	(3,081,415)	(11,726,487)
Benefit payments	(2,580,971)	(2,798,872)
Net change in total OPEB	(6,873)	(8,355,693)
Total OPEB liability - beginning	94,403,774	102,759,467
Total OPEB liability - ending	$ 94,396,901	$ 94,403,774
Covered payroll	$ 91,084,919	$ 90,627,625
Net OPEB liability as a percentage of covered payroll	103.64 %	104.17 %

Notes to Schedule

1) Per GAAP, net OPEB liabilities are reported using the mesaurement date, which is one year prior to the reporting date.

2) Schedules are intended to show information for 10 years. Since 2018 is the first year of this presentation, no other data is available. Additional years will be included as they become available.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CHANGES IN NET OPEB LIABILITY AND RELATED RATIOS
COMPONENT UNIT-SCHOOL BOARD
OTHER POSTEMPLOYMENT BENEFITS-RETIREE HEALTHCARE
LAST 10 FISCAL YEARS
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018
Total OPEB Liability		
Service cost at end of year	$ 237,502	$ 285,422
Interest	156,447	137,391
Differences between expected and actual experience	241,860	(40,581)
Changes of assumptions or other inputs	98,094	(713,713)
Benefit payments	(504,195)	(212,196)
Net change in total OPEB	229,708	(543,677)
Total OPEB liability - beginning	4,382,412	4,926,089
Total OPEB liability - ending	$ 4,612,120	$ 4,612,120
Covered payroll	$ 109,922,935	$ 109,696,113
Net OPEB liability as a percentage of covered payroll	4.20 %	4.20 %

Notes to Schedule

1) Per GAAP, net OPEB liabilities are reported using the measurement date, which is one year prior to the reporting date.

2) Schedules are intended to show information for 10 years. Since 2018 is the first year of this presentation, no other data is available. Additional years will be included as they become available.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF EMPLOYER OPEB CONTRIBUTIONS
PRIMARY GOVERNMENT AND COMPONENT UNIT-SCHOOL BOARD
OTHER POSTEMPLOYMENT BENEFITS-RETIREE HEALTHCARE
LAST 10 FISCAL YEARS

	2019	2018	2017
Primary Government			
Contractually determined contribution	$ 2,905,572	$ 2,614,135	$ 2,798,872
Contributions in relation to the contractually determined contribution	2,905,572	2,614,135	2,798,872
Employee covered payroll	$ 91,627,934	$ 91,084,919	$ 90,627,625
Contributions as a percentage of covered payroll	3.17 %	2.87 %	3.09 %
Component Unit-School Board			
Contractually determined contribution	504,195	534,836	212,196
Contributions in relation to contractually determined contribution	504,195	534,836	212,196
Employee payroll	108,750,257	109,922,935	109,696,113
Contributions as a percentage of covered payroll	0.46 %	0.49 %	0.19 %

Notes to Schedule

*Schedule is intended to show informaiton for 10 years. Additional years will be included as they become available. The amount presented have a measurement date of the prior fiscal year.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF COMPONENT UNIT-SCHOOL BOARD'S PROPORTIONATE SHARE OF NET OTHER POSTEMPLOYMENT BENEFIT LIABILITY
VIRGINIA RETIREMENT SYSTEM-TEACHER HEALTH INSURANCE CREDITS PLAN
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018
Proportion of the Net OPEB liability	1.35919 %	1.38996 %
Proportionate Share of the Net OPEB liability	$ 17,258,000	$ 17,633,000
Employer's Covered payroll	109,922,935	109,696,113
Proportionate share of the net OPEB liability as a percentage of covered payroll	15.70 %	16.07 %
Plan fiduciary net position as a percentage of total OPEB liability	8.08 %	7.00 %

Notes to Schedule

1) Per GAAP, Net HIC OPEB liabilities are reported using the measurement date, which is one year prior to the reporting date.

2) Schedule is intended to show information for 10 years. Since 2018 is the first year of this presentation, no other data is available. Additional years will be included as they become available.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF COMPONENT UNIT- SCHOOL BOARD'S CONTRIBUTIONS
VRS TEACHER HEALTH INSURANCE CREDIT PLAN CONTRIBUTIONS*
LAST 10 FISCAL YEARS
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018	2017
Contractually determined contribution	$ 1,305,003	$ 1,352,052	$ 1,349,262
Contributions in relation to the contractually determined contribution	1,305,003	1,352,052	1,217,627
Contribution deficiency	$ -	$ -	$ 131,635
School Board's covered payroll	$ 108,750,257	$ 109,922,935	$ 109,696,113
Contributions as a percentage of covered payroll	1.20 %	1.23 %	1.11 %

Notes to Schedule

*Schedule is intended to show information for 10 years. Additional years will be included as they become available. The amount presented have a measurement date of the prior fiscal year.

Changes of benefit term - There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation.

Changes of assumptions -The following changes in actuarial assumptions were made effective June 30, 2016 based on the most recent experience study of the System for the four-year period ending June 30, 2016:

Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table - RP-2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages and changed final retirement age from 70 to 75
Withdrawl Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Lowered disability rates
Salary Scale	No change

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF CHANGES IN NET OPEB LIABILITY AND RELATED RATIOS
PRIMARY GOVERNMENT
OTHER POSTEMPLOYMENT BENEFITS-LINE OF DUTY
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018
Total OPEB Liability		
Service cost at end of year	$ 916,561	$ 565,127
Interest	491,686	278,308
Changes of benefit terms	-	3,162,168
Differences between expected and actual experience	(2,391,726)	(146,400)
Changes of assumptions or other inputs	(444,636)	(526,209)
Benefit payments	(439,544)	(124,402)
Net change in total OPEB	(1,867,659)	3,208,592
Total OPEB liability - beginning	13,035,534	9,826,942
Total OPEB liability - ending	$ 11,167,875	$ 13,035,534
Covered payroll	$ 91,084,919	$ 90,627,625
Net OPEB liability as a percentage of covered payroll	12.26 %	14.38 %

Notes to Schedule

1) Per GAAP, net OPEB liabilities are reported using measurement date, which is one year prior to the reporting date.

2) Schedule is intended to show information for 10 years. Since 2018 is the first year of this presentation, no other data is available. Additional years will be included as they become available.

CITY OF HAMPTON, VIRGINIA
SCHEDULE OF EMPLOYER OTHER POSTEMPLOYMENT BENEFITS
OTHER POST EMPLOYMENT BENEFITS-LINE OF DUTY
LAST 10 FISCAL YEARS
REQUIRED SUPPLEMENTAL INFORMATION - UNAUDITED

	2019	2018	2017
Contractually required contribution	$ 546,033	$ 468,634	$ 124,402
Contribution in relation to the contractually required contribution	546,033	468,634	124,402
Contribution deficiency (excess)	$ -	$ -	$ -
City's covered-employee payroll	$ 88,434,323	$ 91,084,919	$ 90,627,625
Contributions as a percentage of covered-employee payroll	0.62 %	0.51 %	0.14 %

Changes in benefit terms - There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation.

Changes of assumptions - The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience are as follows:

Largest Ten Locality Employers - General Employees	
Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortaity table - RP-2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages
Withdrawl Rates	Adjusted termination rates to better fit experience at each age and service year
Disability Rates	Increased disability rates
Salary Scale	No change
Line of Duty Disability	Increased rate from 60% to 70%

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF EMPLOYERS' PROPORTIONATE SHARE OF THE NET OTHER POSTEMPLOYMENT BENEFIT LIABILITY
VIRGINIA RETIREMENT SYSTEM-GROUP LIFE
REQUIRED SUPPLEMENTAL INFORMATION-UNAUDITED

	2019	2018
Primary Government		
Proportionate share of the net other postemployment benefit liability	0.4790 %	0.4913 %
Proportionate share of the net other postemployment benefit liability	$ 7,275,000	$ 7,394,000
Covered payroll	$ 91,084,919	$ 90,627,625
Proportionate share of the net other postemployment benefit liability as a percentage of covered payroll	8 %	8 %
Plan fiduciary net position as a percentage of the total other postemployment benefit liability	51.22 %	49.00 %
Component Unit-School Board		
Proportionate share of the net other postemployment benefit liability	0.60247 %	0.61732 %
Proportionare share of the net other postemployment benefit liability	$ 9,150,000	$ 9,289,000
Covered payroll	$ 114,558,220	$ 113,866,451
Proportionate share of the net other postemployment benefit liability as a percentage of covered payroll	8 %	8 %
Plan fiduciary net position as a percentage of the total other postemployment benefit liability	51.22 %	48.86 %

Notes to Schedule

1) Per GAAP, net OPEB liabilities are reported using the measurement date, which is one year prior to the reporting date.

2) Schedule is intended to show information for 10 years. Since 2018 is the first year of this presentation, no other data is available. Additional years will be included as they become available.

CITY OF HAMPTON, VIRGINIA

SCHEDULE OF EMPLOYER OTHER POSTEMPLOYMENT BENEFIT CONTRIBUTIONS
OTHER POST EMPLOYMENT BENEFITS-GROUP LIFE INSURANCE
LAST 10 FISCAL YEARS
REQUIRED SUPPLEMENTARY INFORMATION-UNAUDITED

	2019	2018	2017
Primary Government			
Contractually required contribution	$ 459,858	$ 473,642	$ 471,264
Contributions in relation to the contractually required contribution	459,858	473,642	471,264
City covered payroll	$ 88,434,323	$ 91,084,919	$ 90,627,625
Contributions as a percentage of covered payroll	0.52 %	0.52 %	0.52 %
Component Unit-School Board			
Contractually required contribution	$ 591,400	$ 595,702	$ 592,106
Contributions in relation to contractually required contribution	591,400	595,702	592,106
School Board covered payroll	$ 113,730,722	$ 114,558,220	$ 113,866,451
	0.52 %	0.52 %	0.52 %

CITY OF HAMPTON, VIRGINIA
NOTES TO VRS REQUIRED SUPPLEMENTAL INFORMATION
PRIMARY GOVERNMENT AND SCHOOL BOARD COMPONENT UNIT
OTHER POST EMPLOYMENT BENEFITS - GROUP LIFE INSURANCE PROGRAM

Changes of benefit terms - There have been no actuarially material changes to the System benefit provisions since the prior actuarial valuation.
Changes of assumptions - The acturial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period from July 1, 2012 through June 30, 2016. Changes to the actuarial assumptions as a result of the experience study are as follows:

Largest Ten Locality Employers - General Employees	
Mortality Rates (Pre-retirement, post-retirement healthy, and disabled)	Updated to a more current mortality table - RP-2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages and extended final retirement age from 70 to 75
Withdrawl Rates	Adjusted termination rates to better fit experience at each age and service year
Disability Rates	Lowered disability rates
Salary Scale	No change
Line of Duty Disability	Increased rate from 14% to 20%
Largest Ten Locality Employers - Hazardous Duty Employees	
Mortality Rates (Pre-retirement, post retirement healthy, and disabled)	Updated to a more current mortality table-RP2014 projected to 2020
Retirement Rates	Lowered retirement rates at older ages
Withdrawl Rates	Adjusted termination rates to better fit experience at each age and service year
Disability Rates	Increased disability rates
Salary Scale	No change
Line of Duty Disability	Increased rate from 60% to 70%
Teachers	
Mortality Rates (Pre-retirement, post retirement healthy, and disabled)	Updated to a more current mortality table - RP-2014 projected to 2020
Retirement Rates	Lowered rates at older ages and changed final retirement from 70 to 75
Withdrawl Rates	Adjusted rates to better fit experience at each year age and service through 9 years of service
Disability Rates	Adjusted rates to better match experience
Salary Scale	No change

APPENDIX B

FORM OF PROPOSED BOND COUNSEL OPINION

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December __, 2020

Mayor and City Council
City of Hampton
Hampton, Virginia 23669

City of Hampton, Virginia

$10,725,000 General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds), Series 2020A (Tax-Exempt)

$16,895,000 General Obligation Public Improvement Refunding Bonds, Series 2020B (Taxable)

Ladies and Gentlemen:

We have examined the applicable law and certified copies of proceedings and other documents relating to the issuance and sale by the City of Hampton, Virginia (the "City") of its $10,725,000 General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds), Series 2020A (Tax-Exempt) and $16,895,000 General Obligation Public Improvement Refunding Bonds, Series 2020B (Federally Taxable) (collectively, the "Bonds"). The Series 2020A Bonds are being issued to fund certain stormwater management projects and pay certain costs of issuing the Series 2020A Bonds. The Series 2020B Bonds are being issued to refund certain of the City's outstanding General Obligation Public Improvement Bonds, Series 2013 and pay certain costs of issuing the Series 2020B Bonds. Reference is made to the forms of the Bonds for information concerning their details, including payment and redemption provisions, and the proceedings pursuant to which they are issued.

Without undertaking to verify the same by independent investigation, we have also relied on (a) computations provided to Bingham Arbitrage Rebate Services, Inc. the mathematical accuracy of which has been verified by them, relating to the yield of investments in the escrow fund established in connection with the refunding of the Refunded Bonds, the sufficiency of such investments to pay when due the principal of and interest on the Refunded Bonds and (b) certifications by representatives of the City and other public officials furnished to us as to certain facts relevant to both our opinion and requirements of the Internal Revenue Code of 1986, as amended (the "Code"), including (i) the proceedings authorizing the issuance of the Bonds and Refunded Bonds, (ii) the use, investment and expenditure of the proceeds of the Bonds and the

Refunded Bonds and (iii) the projects financed or refinanced by the proceeds of the Bonds and the Refunded Bonds.

Based on the foregoing, it is our opinion that:

(1) The Bonds have been authorized and issued in accordance with the Constitution and statutes of the Commonwealth of Virginia, including the Public Finance Act of 1991, and constitute valid and legally binding obligations of the City, enforceable in accordance with their terms, to which the faith and credit of the City are irrevocably pledged for the payment of principal thereof and interest thereon. The Council of the City is authorized and required by law, unless other funds are lawfully available and appropriated for timely payment of the Bonds, to levy and collect annually, at the same time and in the same manner as other taxes of the City are assessed, levied and collected, ad valorem taxes on all locally taxable property in the City, without limitation as to rate or amount, over and above other taxes authorized or limited by law, sufficient to pay when due the principal of and interest on the Bonds.

(2) Interest on the Series 2020A Bonds (including any original issue discount properly allocable to an owner thereof) is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. The opinion set forth in this paragraph is subject to the condition that the City comply with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the Series 2020A Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The City has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause interest on the Series 2020A Bonds to be included in gross income for federal income tax purposes retroactively to their date of issuance.

(3) Interest on the Series 2020B Bonds is included in gross income for federal income tax purposes.

(4) Interest on the Bonds is exempt from income taxation by the Commonwealth of Virginia.

The rights of the owners of the Bonds and the enforceability of such rights may be limited or otherwise affected by bankruptcy, insolvency, reorganization, moratorium and other laws affecting the rights of creditors generally and principles of equity, whether considered at law or in equity.

Our services as bond counsel to the City have been limited to a review of the legal proceedings required for the authorization of the Bonds and to rendering the opinions set forth above. We express no opinion herein as to the accuracy, adequacy or completeness of the Official Statement dated November 12, 2020 relating to the Bonds. Further, we express no opinion

regarding tax consequences arising with respect to the Bonds other than as expressly set forth herein.

Our opinion is based upon statutes, regulations, rulings and court decisions in effect on the date hereof. We undertake no obligation to update this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Very truly yours,

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APPENDIX C

CONTINUING DISCLOSURE UNDERTAKING

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APPENDIX C

CONTINUING DISCLOSURE UNDERTAKING

Pursuant to the Resolution, the City of Hampton, Virginia (the "City"), in connection with the issuance by the City of its $10,725,000 General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds), Series 2020A (Tax-Exempt) and its $16,895,000 General Obligation Public Improvement Refunding Bonds, Series 2020B (Federally Taxable) (collectively, the "Bonds"), the City has undertaken to comply with the provisions of Section (b)(5)(i) of Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "SEC") under the Securities Exchange Act of 1934, as the same may be amended from time to time, by providing certain annual financial information and event notices required by the Rule as follows:

Section 1. Continuing Disclosure. (a) The City shall annually provide certain financial information and operating data in accordance with the provisions of Section (b)(5)(i) of the Rule, as follows:

(i) Audited financial statements, prepared in accordance with generally accepted accounting principles (GAAP) will be provided; and

(ii) The operating data with respect to the City of the type appearing in the Official Statement in final form under the headings in Part II thereof entitled "Authorization of Debt," "General Obligation Bonded Debt," "Certain Debt Ratios," and under the headings in Part III thereof entitled "General Governmental Revenues" and "General Governmental Expenditures."

(b) The City shall annually provide the financial information and operating data described in subsection (a) above (the "Continuing Disclosure") within 180 days after the end of the City's fiscal year, commencing with its fiscal year ending June 30, 2020, to the Municipal Securities Rulemaking Board (the "MSRB") utilizing its Electronic Municipal Market Access ("EMMA") System or such other system designated by the MSRB.

(c) Any of the Continuing Disclosure may be included by specific reference to other documents previously provided to the MSRB or filed with the SEC; provided, however, that any final official statement incorporated by reference must be available from the MSRB.

(d) The City shall provide in a timely manner to the MSRB notice specifying any failure of the City to provide the Continuing Disclosure by the date specified.

(e) If the City fails to comply with any covenant or obligation specified in this section, any holder (within the meaning of the Rule) of Bonds then outstanding may, by notice to the City, proceed to protect and enforce its rights and the rights of the holders by an action for specific performance of the City's covenant to provide financial information and operating data.

Section 2. Event Disclosure. The City shall provide in a timely manner not in excess of ten (10) business days after the occurrence of the event to the MSRB through the EMMA system notice of the occurrence of any of the following events with respect to the Bonds:

(a) principal and interest payment delinquencies;

(b) non-payment related defaults, if material;

(c) unscheduled draws on debt service reserves reflecting financial difficulties;

(d) unscheduled draws on credit enhancement reflecting financial difficulties;

(e) substitution of credit or liquidity providers, or their failure to perform;

(f) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(g) modifications to rights of Bond holders, if material;

(h) bond calls, if material, and tender offers;

(i) defeasances;

(j) release, substitution, or sale of property securing repayment of the Bonds, if material;

(k) rating changes;

(l) bankruptcy, insolvency, receivership or similar event of the City;

Note to paragraph (l): For the purposes of the event identified in paragraph (l), the event is considered to occur when any of the following occur: The appointment of a receiver, fiscal agent or similar officer for an obligated person in proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(m) the consummation of a merger, consolidation or acquisition involving the City or sale of all or substantially all of the assets of the City, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(n) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(o) incurrence of a financial obligation of the City, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the City, any of which affect security holders, if material; and

(p) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of the financial obligation of the City, any of which reflect financial difficulties.

The term "financial obligation" means a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term "financial obligation" shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

Section 3. Termination. The covenants and obligations of the City specified in Sections 1 and 2 will terminate upon the redemption, defeasance (within the meaning of the Rule) or payment in full of all the Bonds.

Section 4. Amendment. The City reserves the right to modify its obligations contained in Sections 1 and 2 without the consent of bondholders, provided that such modification complies with the Rule as it exists at the time of

modification. The City shall within a reasonable time thereafter send to the MSRB a description of such modification(s).

Section 5. Additional Disclosure. The City may from time to time disclose certain information and data in addition to the Continuing Disclosure. Notwithstanding anything herein to the contrary, the City shall not incur any obligation to continue to provide, or to update, such additional information or data.

Section 6. Defaults.

(a) If the City fails to comply with any covenant or obligation regarding Continuing Disclosure specified in this Disclosure Agreement, any holder (within the meaning of the Rule) of Bonds then outstanding may, by notice to the City, proceed to protect and enforce its rights and the rights of the holders by an action for specific performance of the City's covenant to provide the Continuing Disclosure.

(b) Notwithstanding anything herein to the contrary, any failure of the City to comply with any obligation regarding Continuing Disclosure specified in this Disclosure Agreement (i) shall not be deemed to constitute an event of default under the Bonds or the resolution providing for the issuance of the Bonds and (ii) shall not give rise to any right or remedy other than that described in Section 6(a) above.

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APPENDIX D

BOOK-ENTRY DESCRIPTION

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APPENDIX D

BOOK-ENTRY ONLY

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds and notes registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate for the Bonds will be issued for each maturity as set forth on the cover page of this Official Statement, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade-settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial

Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to issuers of obligations such as the Bonds as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Direct and Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct or Indirect Participant and not of DTC or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the City. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In such event, Bond certificates will be printed and delivered.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

APPENDIX E

RESILIENCY PROJECTS TECHNICAL MEMORANDUM

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City of Hampton

General Obligation Public Improvement Bonds
(Environmental Impact Bonds) (Green Bonds)
Series 2020

Technical Memorandum
Date: Nov. 5, 2020

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Definitions

The following definitions are used in this Technical Memorandum:

- "City": City Manager and City Council of Hampton, VA.
- "Contractor": Firm contracted by the City to construct a portion of the Resiliency Projects.
- "City of Hampton EIB": The City of Hampton General Obligation Public Improvement Bonds (Environmental Impact Bonds) (Green Bonds) Series 2020
- "Environmental Impact Bond": A debt instrument characterized by an evaluation and disclosure of project outcomes, as well as, in some cases, performance payments contingent on the measured outcomes being above or below pre-determined thresholds. (Note that the City of Hampton EIB contains the evaluation and disclosure of project outcomes only, and not the performance payment feature.)
- "Environmental, Social, and Corporate Governance" (ESG): Non-financial characteristics of an organization or project that may inform financial or investment analysis. Examples include contributions to climate change adaptation, or addressing social or economic injustice.
- "Final Report": A report delivered by the Validator to the City at the end of the measurement period that contains the validated measurement of the Primary Outcome Metric and its deviation from pre-construction estimates.
- "International Capital Market Association Green Bond Principles": Voluntary guidelines promulgated by the International Capital Market Association to promote standardization, transparency, and integrity in green bond issuances.
- "Outcomes": The various anticipated impacts of the Resiliency Projects, such as flood mitigation, community green space, and other resiliency benefits. The Outcomes are discussed in more detail in Section 4 ("Discussion of Project Objectives").
- "Primary Outcome Metric": The project outcome chosen for measurement as part of the EIB transaction. In the case of the City of Hampton EIB, the Primary Outcome Metric is Gallons of Stormwater Volume Storage Capacity, aggregated across all three Projects.
- "Purchaser(s)": Investor(s), Lender(s), or Institution(s) who purchase the City of Hampton EIB from the City.
- "Resilient Infrastructure": Resilient infrastructure is planned, designed, and built specifically to both better withstand and mitigate the risks of climate-related disruptions and damages.[1] Proceeds of this transaction will be used to construct the following types of project elements:
    - Bioswales and stormwater retention terraces
    - In-stream storage accomplished by stream widening and use of weirs to hold water further upstream
    - Road raising with associated median and roadside bioretention cells
- "Resiliency Projects": The three Resilient Infrastructure projects to be funded with the proceeds of the City of Hampton EIB. The Resiliency Projects are part of the

[1] http://www.oecd.org/environment/cc/policy-perspectives-climate-resilient-infrastructure.pdf

City's Newmarket Creek Water Plan. They are discussed in more detail in Section 2 ("Description of Projects").

- "Stormwater Volume Storage Capacity": The maximum volume of stormwater that the Resiliency Projects can store at a single point in time. Note that as a measurement of capacity, it represents a proxy measurement of the Resiliency Projects' contribution to the City's improved resilience profile rather than a prediction of the cumulative amount of water infiltrated by the Projects in any given year.
- "United Nations Sustainable Development Goals": A set of 17 ESG goals articulated by the United Nations that address shared global challenges and form "the blueprint to achieve a better and more sustainable future for all."[2]
- "Validator": Third-party independent entity that will inspect each project site and perform spot check measurements.

[2] https://www.un.org/sustainabledevelopment/sustainable-development-goals/

1. Introduction

1.1 Purpose of the Technical Memorandum

The purpose of this document is to describe the Resiliency Projects financed by the City of Hampton EIB, their goals and anticipated Outcomes, and the methodology behind pre-construction estimation and post-construction evaluation of the Primary Outcome Metric. It also discusses the selection process for the Resiliency Projects, how the bond proceeds will be limited to the Resiliency Projects, the qualifications of the City of Hampton EIB under certain current third-party evaluation frameworks, and the disclosure of Outcomes to the bondholders.

1.2 Environmental Impact Bond Overview

Environmental Impact Bonds, or EIBs, are a type of bond issuance that is characterized by two key features:

1. *Use of proceeds for environmentally and socially beneficial projects:* Projects chosen to be funded by Environmental Impact Bonds have environmental and social benefits which can be articulated and quantified. The projects are consistent with well-known "green bond" guidelines such as the "Green Bond Principles" promulgated by the International Capital Market Association ("ICMA") in June 2018.[3] The Resiliency Projects are nature-based climate change adaptation projects with stormwater management, flood mitigation, water quality improvement, and transportation resilience benefits. Eventually they will also include additional community co-benefits such as recreation.

2. *Outcome evaluation and disclosure*: Each Environmental Impact Bond offering specifies one or more measurable project outcomes that will be quantified and disclosed to investors. The outcome(s) measured have a link to the projects' overall environmental and/or social goals. For the City of Hampton EIB, the Primary Outcome Metric is gallons of stormwater volume storage capacity across the three Resiliency Projects.

Some EIBs may include a performance payment feature, which allows the issuer to share risks and/or benefits of the projects with investors. Those payments are triggered when project outcomes are measured above or below pre-determined thresholds. These payments are sized to the projects' costs and benefits based on an economic analysis. The City of Hampton EIB does not contain any performance payment features.

The City of Hampton EIB will finance the construction of three Resiliency Projects in the Newmarket Creek watershed in Hampton, VA that provide resilience and community benefits to the City and surrounding neighborhoods by enhancing stormwater retention capacity and mitigating the effects of flooding relating to rainfall events and storm surges. As prototype projects, the City is interested in the evaluation of the resilience

[3] https://www.icmagroup.org/assets/documents/Regulatory/Green-Bonds/Green-Bonds-Principles-June-2018-270520.pdf

outcomes that these capital projects provide in order to inform future investments in resiliency projects.

1.3 Resilient Hampton and Newmarket Creek Water Plan Overview

Resilient Hampton is a city-wide initiative across a number of City departments, including Community Development and Public Works, to coordinate a comprehensive effort to manage the City's chronic and extreme water challenges from stormwater, tidally-induced, and storm surge flooding.

Under its motto of "Living With Water", the Resilient Hampton initiative embraces the City's relationship with water as a historic waterfront community and harbor while bringing a holistic forward-thinking toolkit of flood risk mitigation, urban design, environmental restoration, community assets, and economic development.

Phase I of the Resilient Hampton initiative began in 2015 with the five-day "Dutch Dialogues Virginia: Life at Sea Level" workshop organized and facilitated by experts from landscape architecture firm Waggonner & Ball and the Royal Netherlands Embassy. The City also collaborated with Joint Base Langley-Eustis on a Joint Land Use Study to assess varying hazard exposures, including flooding and climate change.

The conclusion of Phase I, a report titled *Living with Water Hampton: A Holistic Approach to Addressing Sea Level Rise and Resiliency*, laid out a set of community-based guiding principles to address resiliency needs. These principles are intended to address present-day challenges, taking into consideration the best available data related to sea level rise and climate change. The report identified significant water-related challenges to the lives and property of area residents, including: increased instances of tidal flooding, also known as "sunny day flooding," that affect residents' ability to access both employment and critical services; larger and more frequent storm surge during extreme events such as hurricanes and nor'easters that can cause extensive property damage; patterns of repetitive property loss in affected areas; increases in flood insurance rates combined with decreasing property values; and the need to secure the area's critical assets and industries, including national defense installations.[4] The guiding principles for the City's response are that resiliency work in Hampton should be: Safe; Equitable; Natural; Heritage-preserving; Integrated; Sufficient; Nimble; and Innovative.

As part of the ongoing Phase II, the City is implementing these community-based principles in a pilot area: the Newmarket Creek watershed. The *Newmarket Creek Water Plan* was developed after nearly two years of expert consultation, design work, public engagement, and planning. Community feedback was an integral part throughout the Plan development, including through two public forums in January 2019 and January 2020 where the vision and projects were presented for public comments. The Plan lays out not only a high-level strategic vision of the watershed's strategic priorities,

[4] Waggonner & Ball, "Living with Water Hampton: A Holistic Approach to Addressing Sea Level Rise and Resiliency" (2017), at p. 18, https://hampton.gov/DocumentCenter/View/20644/Resilient-Hampton-Phase-I-Report?bidId=.

but also specific projects which are themselves replicable pilots for successive generations of resiliency work in Hampton.

In addition, the Plan set a goal of using non-traditional forms of financing such as an Environmental Impact Bond to finance these projects. The City intends to use the City of Hampton EIB and its outcomes evaluation features to aid in future capital planning decisions, measure benefits to multiple stakeholders, and publicize the benefits of City projects to the communities they serve.

2. Description of Resiliency Projects

2.1 Description of Project Area and Needs: Newmarket Creek Watershed

Newmarket Creek is central to the City of Hampton's water management challenges that are causing more frequent and severe flooding than in the past. These challenges come from a variety of sources: precipitation, tidal forces, sea level rise, subsidence of an already low elevation, increased impervious surface, and depleted groundwater reservoirs.

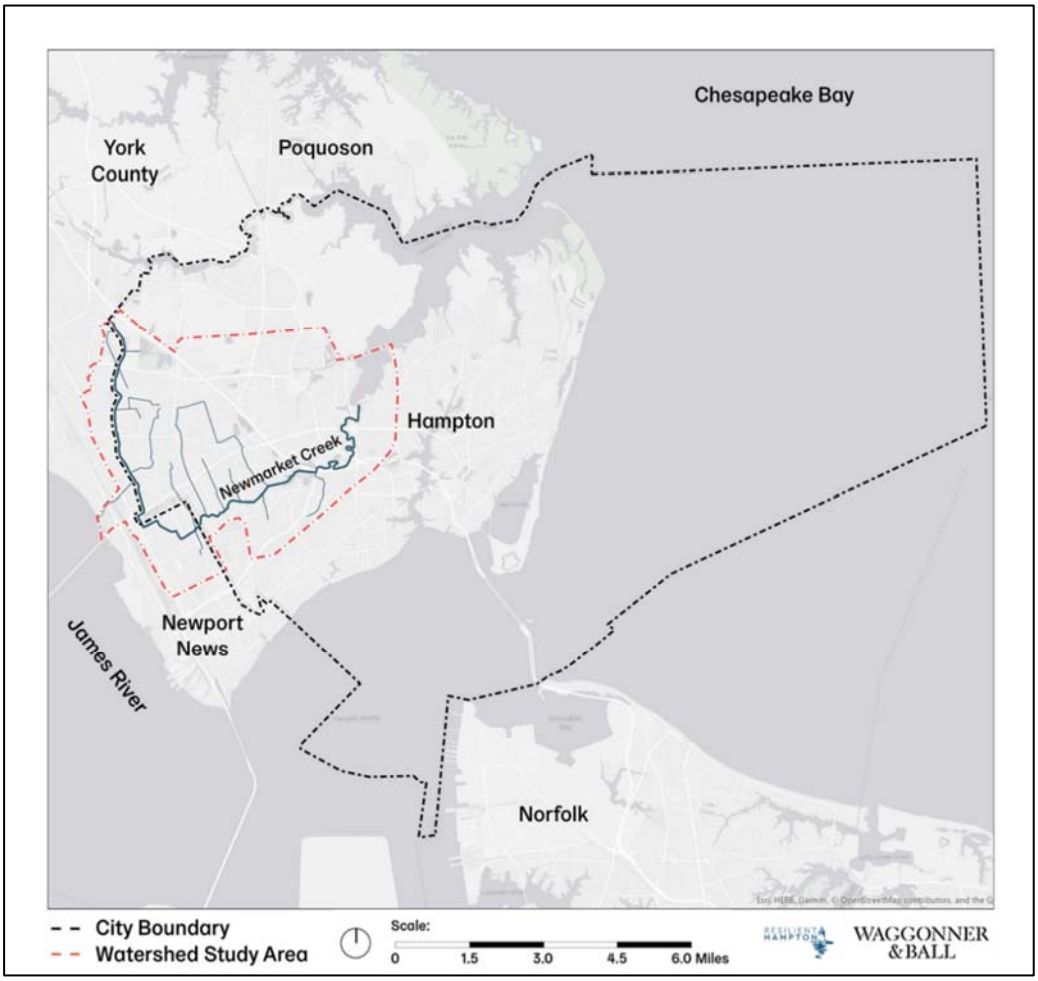

Figure 1: Newmarket Creek watershed and the City of Hampton municipal boundaries
Credit: Waggonner & Ball

The Creek runs through key parts of the City until it meets the Back River estuary of the Chesapeake Bay near the city center. It collects and conveys stormwater from its watershed, which encompasses a large part of the City, including residential neighborhoods, commercial districts, and municipal campuses. (Figure 1)

Stormwater management is a challenge for the City for a few different reasons. Impervious surfaces in the Creek watershed have increased 19% since 2000[5], while the generally high groundwater table has limited capacity for infiltration into the soil. In addition, when the rain-laden Creek meets the Bay, tidal forces can push water back up the Creek, causing flooding throughout the watershed.

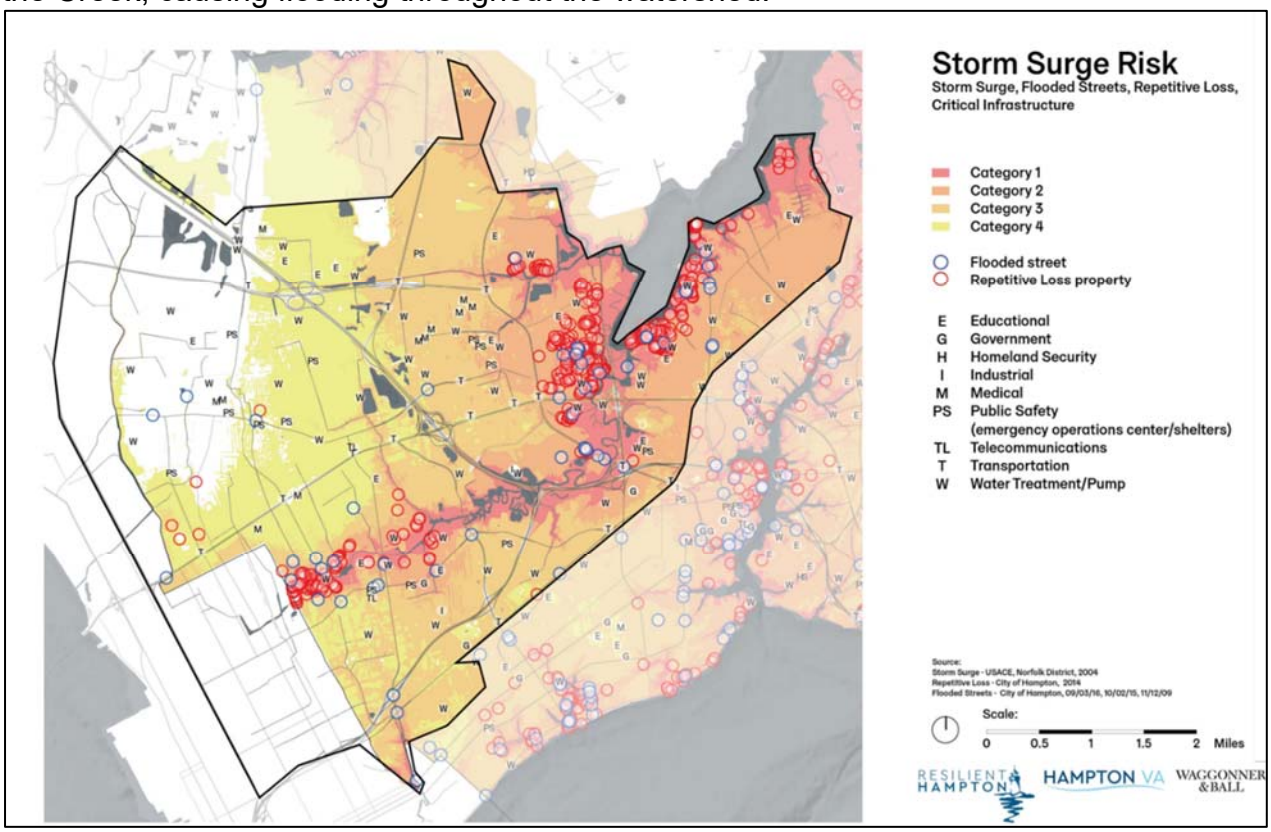

Figure 2: Repetitive loss flooding areas and storm surge in the Newmarket Creek watershed
Credit: Waggonner & Ball

The City is anticipating water management to be a growing concern in the future. Climate change is and will continue to cause more intense and frequent rainstorms. Areas of low elevation near the water are already being repeatedly flooded. (Figure 2) A large part of the City is just ten feet above sea level or less. In addition, the Hampton Roads region has one of the highest rates of land subsidence in the US, with large parts of the City of Hampton sinking at up to 2.4 mm / yr, and the highest rate of relative sea level rise on the Atlantic Coast.[6]

[5] https://www.dailypress.com/news/hampton/dp-nws-hampton-city-council-nasa-20190813-story.html

[6] https://www.nature.com/articles/s41598-017-15309-5

Successful mitigation and adaptation to these future water challenges is critical to preserving the economic future and way of life in Hampton. The importance of this work is heightened in the areas of the City within the Newmarket Creek watershed, not only because of its proximity to the water, but also because of the prevailing socioeconomic conditions in those affected neighborhoods, as seen in the data below. (The background data and methodology are given in the Appendix.)

Socioeconomic Metric	In Newmarket Creek Watershed, City of Hampton, Virginia
Population	77,469
Population demographics, by race:	
White alone	39.5%
Black or African-American alone (%)	51.2%
Other (%)	9.3%

Table 1: Selected socioeconomic data for census tracts within the Newmarket Creek watershed (U.S. Census Bureau, American Community Survey 2018)

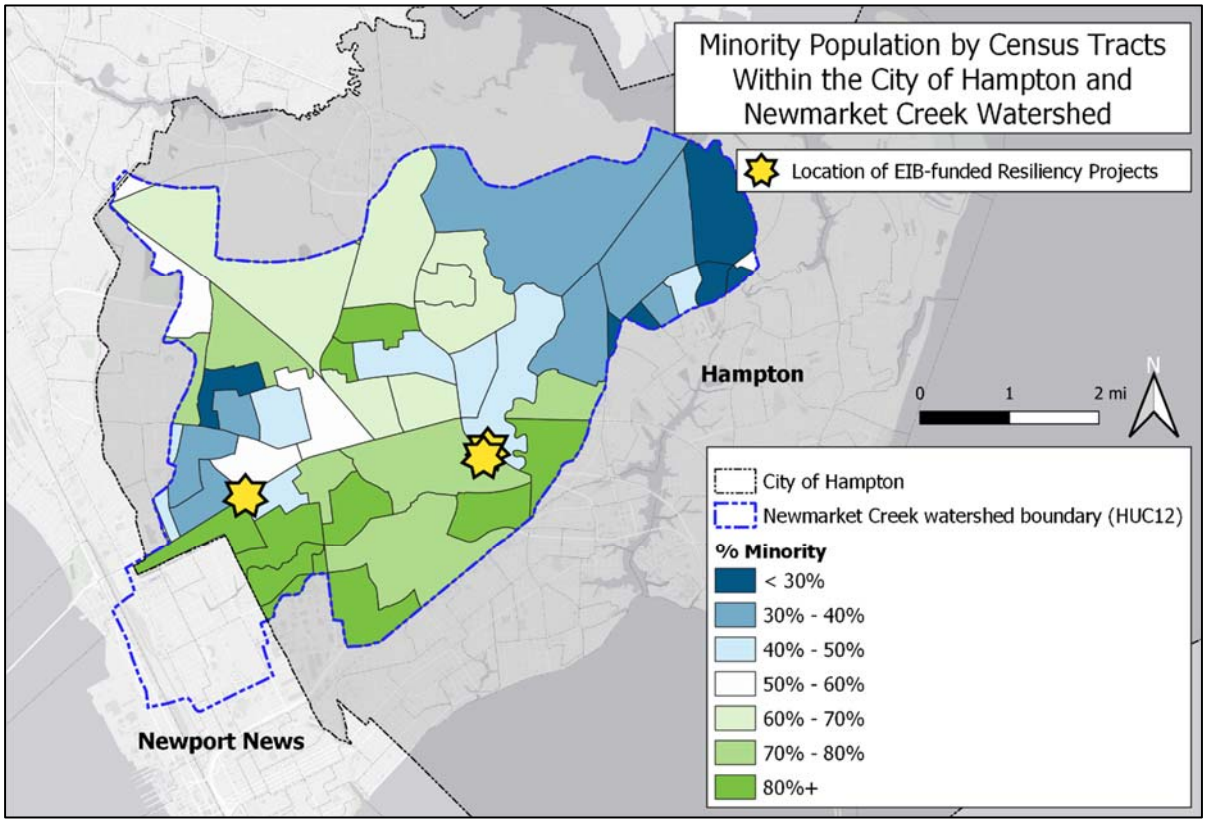

Figure 3: Map of minority population by census tracts within the Newmarket Creek watershed, City of Hampton, Virginia (U.S. Census Bureau, American Community Survey 2018)

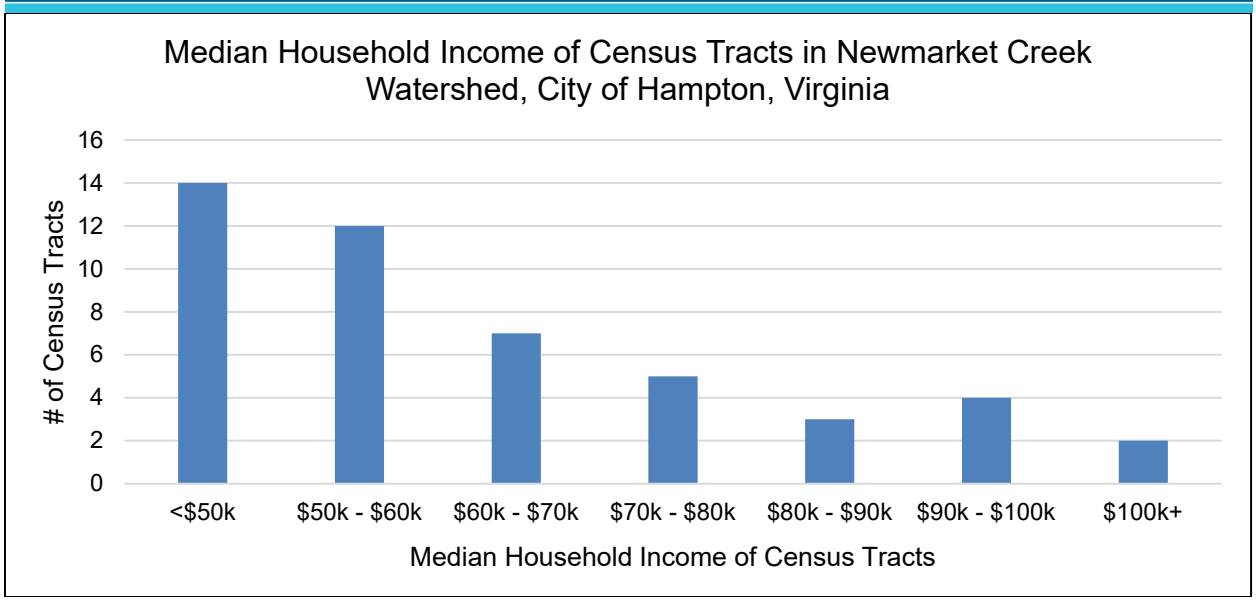

Figure 4: Median household income in census tracts within the Newmarket Creek watershed, City of Hampton, Virginia (U.S. Census Bureau, American Community Survey 2018)

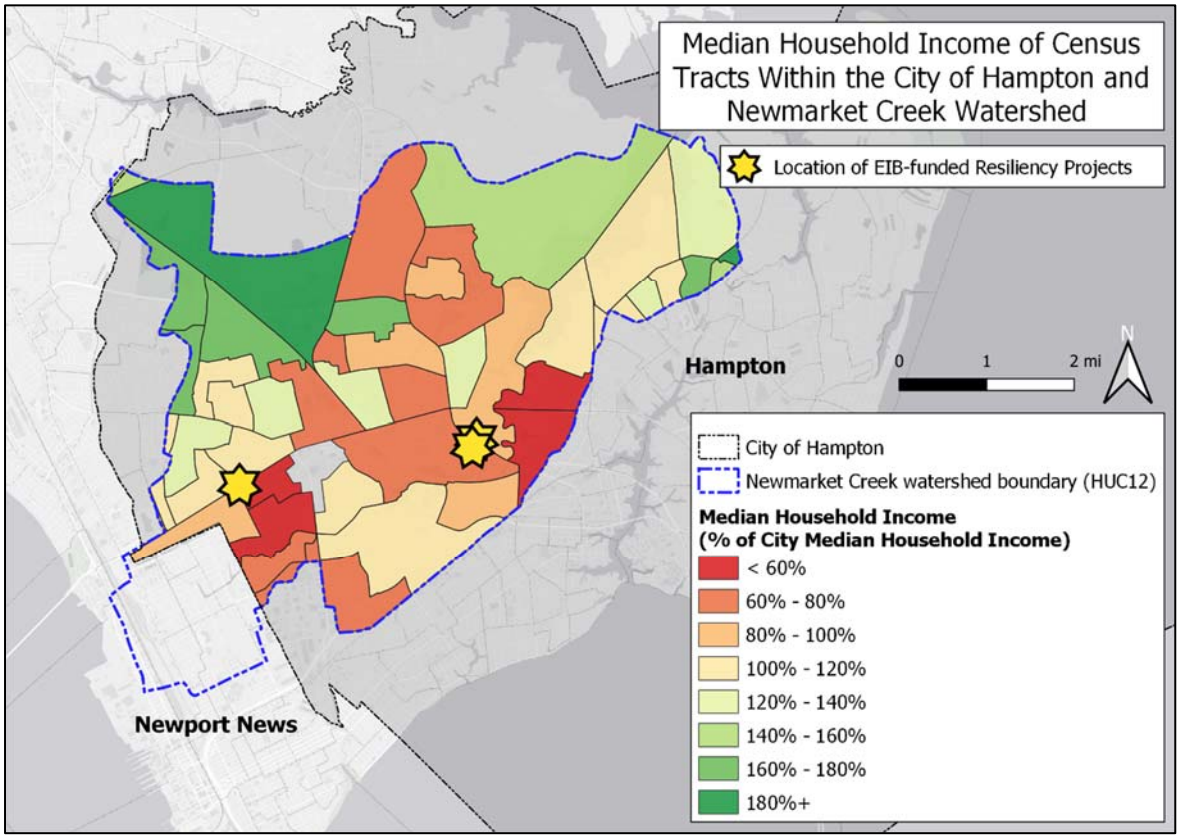

Figure 5: Map of median household income in census tracts within the Newmarket Creek watershed, City of Hampton, Virginia (as percent of median household income in the City)
(U.S. Census Bureau, American Community Survey 2018)

2.2 Process for Project Evaluation and Selection

As part of the Resilient Hampton initiative, the City conducted a multi-year process to identify resiliency challenges and opportunities. Beginning in 2015, the City engaged in the "Dutch Dialogues Virginia," a workshop that brought together urban water management experts from New Orleans and the Netherlands — engineers, architects, and planners — to meet with their counterparts in Hampton Roads to discuss ideas and solutions for the future. After that meeting, the City pledged to be a leader in coastal resiliency. Since then, Hampton has engaged Waggoner & Ball Architects (a firm based in New Orleans who were lead participants in the Dutch Dialogues workshop) to help gather data and develop an integrated approach to coastal resiliency, based on the Dutch approach to life at sea level and the motto "Living with Water". Rather than look at flooding alone, this approach helps integrate flood risk mitigation, engineering, urban design, environmental restoration, community assets, and economic development.[7]

The City Council selected the Newmarket Creek watershed as the first pilot project area. In January 2019, Waggonner & Ball and their Dutch colleagues from BoschSlabbers convened in Hampton for a week-long design workshop that included stakeholders from a range of organizations including Old Dominion University, Hampton University, the U.S. Army Corps of Engineers, Newport News and Poquoson officials, the Hampton Roads Planning District Commission, Joint Base Langley–Eustis Air Force Base, NASA, the Virginia Institute of Marine Science (VIMS), the Virginia Marine Resources Commission (VMRC), and more. The purpose of this workshop was to develop project proposals for areas of the City where water can be managed before it reaches Newmarket Creek.

One of the key principles was to slow, store, and redirect water to reduce flooding impacts in ways consistent with the Resilient Hampton principles of promoting sustainability and the protection and incorporation of natural resources into flooding responses. Projects were envisioned all along the creek and throughout the watershed. The conceptual designs prioritized during the workshop included the Resiliency Projects selected for funding through the City of Hampton EIB by the City's Finance, Planning, and Public Works departments and approved by the City Council.[8]

The Resiliency Projects were chosen to be funded by the EIB due to their contribution towards addressing the needs of the Newmarket Creek Watershed and improving the City's resiliency profile under the Resilient Hampton initiative. Their primary impact is measured by their capacity for storing stormwater, which is a major factor in both chronic and extreme flooding. In addition, the Resiliency Projects will be assessed based on their ability to improve living conditions and reduce flooding in low-income neighborhoods in the affected watershed. (See Section 4.1.) Both are aligned with well-known green bond and ESG frameworks, as discussed in Section 4.2. The City will fulfill these Resiliency Projects' status as prototypes by collecting data about their realized

[7] https://hampton.gov/3466/Dutch-Dialogues

[8] https://hampton.gov/3599/Phase-II-and-Pilot-Area

impacts through the EIB outcome evaluation protocol, which will improve decision-making and capital planning for future resiliency efforts.

2.3 Project Description: Big Bethel Blueway

Big Bethel Blueway is a green infrastructure project that will store and slow water through the redesign of existing waterways to reduce flooding upstream in residential neighborhoods, as well as downstream in Newmarket Creek. The installation of several weirs in the main drainage channel will create the ability to store stormwater where there previously was none. Expansion of the main channel and several of the smaller backyard drainage runnels that feed into it will increase their stormwater storage capacity. Installing vegetation on the banks will aid in the slowing, infiltration, and filtration of water, as well as creating visual privacy for adjacent residential parcels. The Blueway will have several distinctive segments along its length based on ecological, topographic, and urban typologies. As the Blueway approaches Newmarket Creek, ecological typologies will change to recreate ones found in coastal Virginia, where each has a different planting and stormwater strategy. Separate funding is anticipated to redesign the Blueway's existing maintenance path to become a recreational trail and to accommodate more stormwater storage.[9]

2.4 Project Description: North Armistead Avenue Road Raising and Green Infrastructure

North Armistead Avenue is a major route for traffic through the city and serves as a major connector of economic drivers like Joint Base Langley-Eustis, downtown Hampton, and the Coliseum Central district. In addition, North Armistead Avenue connects to key evacuation routes. Because the project area is low-lying, the roadway already sees frequent flood-related transportation disruptions, hampering reliable transportation to the military base and key economic centers. To mitigate this flood risk, a portion of North Armistead Avenue between Findlay Street and the bridge just west of Lasalle Avenue will be raised by several feet. In connection with the road raising, green infrastructure will be installed along the southbound lanes in the public right of way and in the medians to help slow, store, and redirect stormwater within the spaces adjacent to the elevated roadway. This system will be connected to the drainage improvements at Lake Hampton.[10] Separate funding is anticipated to establish a shared use path along the road.

2.5 Project Description: Lake Hampton

Lake Hampton will be transformed from a retention pond into a stormwater park that increases the site's existing stormwater storage capacity and yields multiple benefits for the community. Stormwater from the adjacent neighborhood to the northwest is currently conveyed to the lake in a re-routed drainage line. When the lake fills, it overtops its weir to drain into Newmarket Creek. The project will raise the height of the dam and weir and install a series of detention basins with wetland plantings in a

[9] Big Bethel Blueway project summary.

[10] North Armistead Avenue Green Infrastructure project summary.

"treatment train" to slow, store, and clean runoff from North Armistead Avenue before it enters the lake. Separate funding is anticipated to extend the existing Water Walk trail as a multi-use trail around the lake, bringing people alongside Newmarket Creek.[11]

3. Allocation of City of Hampton EIB Proceeds

3.1 Use of City of Hampton EIB Proceeds by Project

The City of Hampton EIB is being issued to finance costs of the Resiliency Projects, which constitute three green infrastructure and flood mitigation projects identified and undertaken pursuant to the Resilient Hampton initiative. [12]

Resiliency Project	Allocation of Bond Proceeds (dollars)
Big Bethel Blueway	$2,735,870
North Armistead Avenue Road Raising and Green Infrastructure	$5,432,302
Lake Hampton	$3,831,828
Total	**$12,000,000**

Table 2: Planned allocation of EIB proceeds across the three funded Resiliency Projects

3.2 Management of City of Hampton EIB Proceeds

The net proceeds of the City of Hampton EIB remaining after deduction of issuance costs will be used by the City to pay costs of the Resiliency Projects. Such amounts will be tracked and disbursed for such purpose and, pending disbursement, will be invested in accordance with Virginia law.

4. Discussion of Project Objectives

4.1 Primary Project Objectives and Description of Impacts

These Resiliency Projects are climate change adaptation and flood mitigation projects to address both chronic and extreme flooding in the Newmarket Creek watershed. Flooding in Hampton comes from two main sources: stormwater runoff during rain events, and tidal forces. Local studies indicate that the quantity of annual precipitation is already increasing in coastal Virginia. Severity of both chronic and extreme rain events are increasing as well: the one-year storm (which represents a storm moderate enough to be expected every year) is now expected to occur every 9 months[13]; the regional ten-

[11] Lake Hampton project summary.

[12] https://hampton.gov/3459/Resilient-Hampton

[13] "Recurrent Flooding Study for Tidewater Virginia", Virginia Institute of Marine Sciences 2013

year storm (which represents a storm unusual enough in its severity to only have a 10% chance of occurring in any given year) has increased its amount of rainfall compared to existing estimates by up to 10%.[14] Other threats include flooding resulting from storm surges and long-term elevation and sea level changes.

The Resiliency Projects will mitigate both chronic and extreme flooding by increasing the watershed's capacity to capture and store runoff before it reaches Newmarket Creek. (See Section 5.) By improving stormwater retention and infiltration and reducing the amount of stormwater overflowing the Creek's banks, the Resiliency Projects benefit not only the directly adjacent neighborhoods, but also the neighborhoods downstream. This accomplishes the Resiliency Projects' design goals of slowing and storing water.

In addition, the North Armistead Avenue road raising project is designed to address traffic disruptions due to chronic flooding on this critical transportation corridor. Raising the elevation of the road will greatly reduce its susceptibility to chronic tidal forces, as well as sea level rise due to climate change. Based on the current height of the road, water levels, and past traffic data, the road currently experiences an average of 92 hours of flooding per year, affecting approximately 45,000 vehicles annually. Current projections indicate the Project will eliminate annual recurring flooding and the associated transportation disruptions.

Year	Total Hours of Flooding	Total Number of Affected Cars
2019	101:40	54,558
2018	78:04	34,763
2017	84:02	42,845
2016	107:14	49,679
2015	81:14	35,164

Table 3: Traffic disruptions on North Armistead Avenue due to flooding in current conditions, 2015 - 2019

In addition to the measured impact of stormwater volume storage capacity and traffic resilience, the Resiliency Projects have numerous other benefits. The installed vegetation will reduce urban heat island, improve air quality, and provide neighborhood green space.

[14] "Analysis of Historical and Future Heavy Precipitation", City of Virginia Beach, Virginia 2018

4.2 Alignment with other ESG and Environmental Frameworks

4.2.1. Alignment with International Capital Market Association Green Bond Principles

The City of Hampton EIB and the funded Resiliency Projects are aligned with standards for issuing green bonds under the International Capital Market Association's Green Bond Principles ("ICMA GBP"). The Resiliency Projects' impacts are consistent with the ICMA GBP's Sustainable Water Management Projects (all Resiliency Projects) and Clean Transportation Projects (North Armistead Avenue) project impact classifications.[15]

ICMA GBP Green Sector	Core Indicator	Metric in EIB Projects
Sustainable Water Management Projects Improved measures to reduce the risk from adverse flooding impact	Number of people and/or enterprises benefitting from measures to mitigate the consequences of floods and droughts	Population of census tracts benefiting from flood mitigation
Sustainable land and water resources management (SLM) systems in place	Area covered by sustainable land and water resources management	Storage capacity of Resiliency Projects
Clean Transportation Projects Construction or improvement to core infrastructure	Reduction in weather-related disruption (days p.a.) and/or risk frequency (%)	Reduction in annual days of flood closures on North Armistead Avenue

Table 4: Alignment of EIB-funded Resiliency Projects with ICMA Green Sectors

Further, the City of Hampton EIB fulfills the four core components of the ICMA GBP: Use of Proceeds; Process for Project Evaluation and Selection; Management of Proceeds; and Reporting.[16]

[15] https://www.icmagroup.org/green-social-and-sustainability-bonds/impact-reporting/

[16] https://www.icmagroup.org/green-social-and-sustainability-bonds/green-bond-principles-gbp/

ICMA GBP Core Component	Indicator	EIB Technical Memorandum section(s)
1. Use of Proceeds	- Categorization of green project with clear environmental benefits	"Section 2: Description of Resiliency Projects" "Section 4.2: Alignment with other ESG and Environmental Frameworks"
2. Process for Project Evaluation and Selection	- Clear communication of environmental sustainability objectives - Process by which issuer determines project fit under Green Project categories above - Context within the issuer's overarching objectives, strategy, policy and/or processes relating to environmental sustainability	"Section 4: Discussion of Project Objectives" "Section 2.2: Process for Project Evaluation and Selection"
3. Management of Proceeds	- Net proceeds credited to sub-account or otherwise tracked in an appropriate manner - Formal internal tracking process, including periodically adjusting balance of tracked net proceeds	"Section 3.2: Management of City of Hampton EIB Proceeds"
4. Reporting	- Annual reporting of use of proceeds until full allocation	"Section 7: Environmental Impact Bond and Green Bond Reporting"

Table 5: Alignment of the City of Hampton EIB with the ICMA Green Bond Principles

4.2.2 Alignment with United Nations Sustainable Development Goals

Impacts from the Resiliency Projects are aligned with several United Nations Sustainable Development Goals ("UN SDGs"), as described in the ICMA "Green and Social Bonds: A High-Level Mapping to the Sustainable Development Goals" (June 2019) and the U.N. SDG 11 Synthesis Report: Tracking Progress Towards Inclusive, Safe, Resilient and Sustainable Cities and Human Settlements (2018). The Resiliency Projects address goals 1 (No Poverty), 11 (Sustainable Cities and Communities), 13 (Climate Action), and 14 (Life Below Water).[17]

[17] https://www.icmagroup.org/assets/documents/Regulatory/Green-Bonds/June-2019/Mapping-SDGs-to-Green-Social-and-Sustainability-Bonds06-2019-100619.pdf; http://uis.unesco.org/sites/default/files/documents/sdg11-synthesis-report-2018-en.pdf, at p. 69.

UN SDG	Target	Indicator in EIB Projects
1 (No Poverty)	1.5 – Number of people benefiting from measures to mitigate the consequences of climate change such as natural disasters	Population of census tracts benefiting from flood mitigation
11 (Sustainable Cities and Communities)	11.5 – Reduce human and economic impact of disasters, including water-related disasters, with a focus on poor and vulnerable populations	Population of census tracts benefiting from flood mitigation Reduction in annual days of flood closures on North Armistead Avenue
13 (Climate Action)	13.1 – Water storage capacity 13.1 – Reduction in weather-related disruption (days p.a.) and/or risk frequency (%)	Stormwater volume storage capacity of Resiliency Projects Reduction in annual days of flood closures on North Armistead Avenue
14 (Life Below Water)	14.1 – Avoided or reduced marine and freshwater pollution	Stormwater runoff retention capacity of Resiliency Projects

Table 6: Alignment of the City of Hampton EIB with the UN Sustainable Development Goals

5. Project Impact Estimation, as Designed Pre-Construction

5.1 Primary Project Outcome Metric: Stormwater Volume Storage Capacity

The primary Outcome Metric for the Resiliency Projects will be Stormwater Volume Storage Capacity (gallons). The aggregate volume storage capacity for the Resiliency Projects is estimated to be 8.62 million gallons. Although there are multiple ways to measure the resilience benefits of these Resiliency Projects, this metric was chosen because it is a meaningful proxy measure of the resilience benefits, decision-useful for the City in capital planning of future resiliency projects, and able to be measured cost-efficiently (see Section 6, “Project Impact Evaluation, Post-Construction”):

- Directly relevant to project goals: A significant amount of localized flooding in Hampton is driven by stormwater, making storage provided by the Resiliency Projects during rain events a key measure of flood resilience
- Decision-useful: The Resiliency Projects are intended to be replicable pilots that inform future capital planning decisions, making data about the cost-efficiency of localized flood mitigation projects valuable.
- Objective: Measurements are taken by registered land surveyors, verified by professional engineers, and can be repeated if desired.
- Cost-effective to quantify: Volume storage capacity can be measured via one post-construction survey, and verified by a third party using spot check survey measurements.

As a capacity measure, the Resiliency Projects' storage capacity represents the maximum amount of stormwater they can store every time it rains. This will especially benefit the City by absorbing chronic runoff during those less severe, more frequent rain events. In aggregate, the Resiliency Projects are expected to add 8.62 million gallons of stormwater volume storage capacity, or 26.4 acre-feet. One acre-foot is approximately equal to filling a football field with water to a height of one foot. The expected performance of the Resiliency Projects is given in the table below.

Resiliency Project	Expected Added Stormwater Volume Storage Capacity, gallons (acre-feet)
Big Bethel Blueway	2.70 million gallons (8.3 acre-feet)
North Armistead Avenue Green Infrastructure	0.33 million gallons (1.0 acre-feet)
Lake Hampton	5.59 million gallons (17.1 acre-feet)
Total	**8.62 million gallons (26.4 acre-feet)**

Table 7: Stormwater volume storage capacity, as designed, for EIB-funded Resiliency Projects

In addition, as described in Section 4.1, the road raising portion of the North Armistead Avenue Project is expected to eliminate the impacts of chronic flooding, which currently causes 92 hours of flooding and affects 45,000 vehicles in an average year.

The flood resilience benefits can also be thought of in terms of more infrequent but more extreme rain events. A "ten-year storm" is a rain event unusual enough in its severity to only have a 10% chance of occurring in any given year. These storms are more likely to flood residential areas and disrupt economic activity. Capturing as much runoff as possible is a critical step to managing flooding during these extreme events, which have become more frequent in coastal Virginia in recent years.

Resiliency Project	Stormwater Volume Storage Capacity	Total Nearby Runoff From a Ten-Year Storm	Nearby Runoff Absorbed by Project (%)
Big Bethel Blueway	2.70 million gallons (8.3 acre-feet)	213.8 acre-feet	3.9%
North Armistead Ave. GI	0.33 million gallons (1.0 acre-feet)	9.4 acre-feet	10.8%
Lake Hampton	5.59 million gallons (17.1 acre-feet)	43.0 acre-feet	39.9%

Table 8: Reduction in runoff during a ten-year storm due to Resiliency Projects

A ten-year storm also creates about 207,000 gallons of runoff from the average commercial parcel in Hampton, and about 28,000 gallons of runoff from the average single-family residential parcel. With their combined storage capacity of 8.62 million gallons, the Resiliency Projects are projected to create stormwater volume capture equivalent to the runoff from 27 commercial parcels, or 200 single-family residential parcels, during a ten-year rain event.

5.2 Overview of Pre-Construction Outcome Estimation Approach

The Stormwater Volume Storage Capacity achieved by the Resiliency Projects can be estimated using the engineering design drawings at the time of the issuance of the City of Hampton EIB. The storage capacity of each Resiliency Project is dependent on the geometric dimensions of several of its key design features. Using the dimensions in the design drawings allows pre-construction estimation of the Stormwater Volume Storage Capacity created by each Resiliency Project.

Big Bethel Blueway: The Stormwater Volume Storage Capacity added by this project comes from the addition of weirs and the expansion of the drainage channels. Since the existing channel does not have weirs, it does not currently have the ability to store stormwater. The weirs will hold back stormwater runoff collected from the nearby neighborhoods until it tops the weirs, reducing the rate of water flowing downstream into Newmarket Creek. The main drainage channel behind the weirs will be widened, increasing the amount of water that can be stored behind the weirs. Further, the backyard drainage swales that connect and contribute to the main drainage channel will have their storage capacity increased through the addition of bioretention cells. In the future, a site directly adjacent to the Blueway, currently a school site no longer in use, may receive green infrastructure installations to further enhance the stormwater management ability of the weirs.

North Armistead Avenue Road Raising and Green Infrastructure: The Stormwater Volume Storage Capacity added by this project comes from the installation of bioswales in the median of the road and between the road and the shared-use path, which will hold back and infiltrate stormwater runoff from the road itself. The surface storage capacity in the median and roadside bioswales will be an increase over present conditions. It is also likely that underground storage and infiltration capacity can be included as bioretention cells under the median and roadside bioswales.

Lake Hampton: The Stormwater Volume Storage Capacity added by this project comes from two key design features. First, the majority of the lake's storage capacity comes from precipitation filling the lake, preventing water from entering Newmarket Creek until the lake's levels top its weir into the Creek. The improvements made through the project to the outflow structures, including raising the height of the weir and the dam, will allow the lake to store an increased amount of precipitation before it tops the weir. Second, the project will add a number of detention basins in a "treatment train" that will capture

excess stormwater runoff from North Armistead Avenue. Each basin will fill in sequence, sending its excess volume to the basin adjacent to it, and eventually to the lake itself.

5.3 Calculations of Pre-Construction Outcome and Results

The following sections discuss the methodology used by the City's engineering consultants, Moffatt & Nichol, to calculate the as-designed Stormwater Volume Storage Capacity of each Resiliency Projects.

5.3.1. Big Bethel Blueway

The Stormwater Volume Storage Capacity created by this project is the sum of the storage capacity in the main drainage channel (the Blueway), plus the storage capacity in the bioretention cells to be created along several drainage easements running between residential properties adjacent to the channel.

The estimated storage capacity in the channel is calculated over intervals of 100 feet along the stream, by multiplying the 100 feet length by the average cross-sectional storage area available at each end of that interval. This is an "average end area" calculation method that is a typical method used in engineering and construction for establishing quantities. The storage available at each cross-section is the area bounded by the stream channel topography (the expanded banks and stream bed) and below the next downstream weir elevation associated with each cross-section. The calculation for a typical 100-foot interval is illustrated in Figures 3 and 4 below. The storage capacity is the average of the storage area at the upstream cross-section (A1) and the downstream cross-section (A2) times the length between cross-sections (L), which is 100 feet, so that: Blueway in-stream storage capacity at each 100-foot interval = (A1+A2)/2 x L.

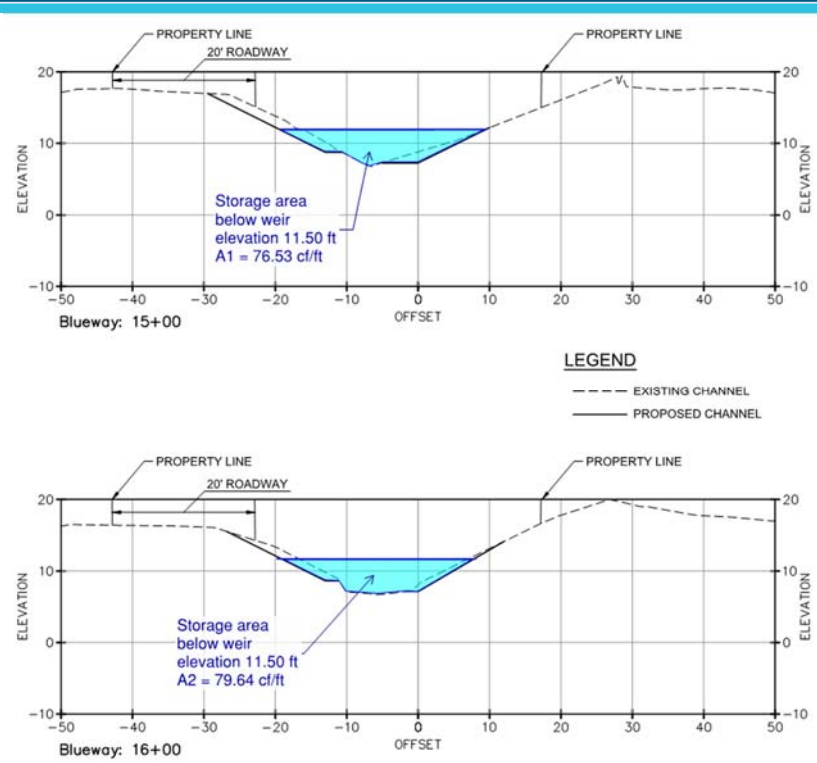

Figure 6: Big Bethel Blueway cross-section channel storage calculation example

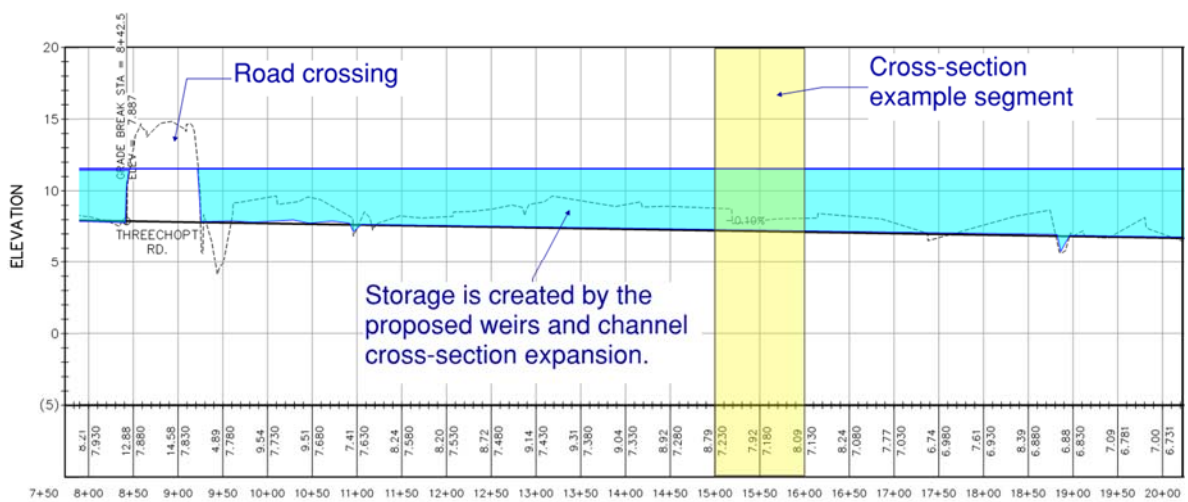

Figure 7: Big Bethel Blueway profile between example cross-sections

At this example location between cross-section stations 15+00 and 16+00, about 500 feet upstream of the proposed weir at Mercury Boulevard, the weir would retain water to an elevation of 11.5 feet NAVD88. The cross-section at 15+00 has a storage of 76.53 cubic feet per foot along the stream (cf/ft), and the cross-section at 16+00 has a storage of 79.64 cf/ft. Taking the average of these, 78.09 cf/ft, and multiplying by 100 feet between the cross-sections gives a total storage of 7,809 cubic feet between these locations. Summing the storage at all of the 100-foot intervals in the Blueway results in

a total in-stream storage capacity of approximately 310,530 cubic feet, equivalent to approximately 2.32 million gallons.

The storage capacity in the bioretention cells adjacent to the Blueway is a function of the length of the drainage easement available for constructing the bioretention cells and the cross-sectional area of the cells below existing grade. Since these easements are currently drained by a very shallow swale running along the existing grade, it is important that the bioretention cells not cause runoff to pond higher than those existing ground elevations. Thus, the storage created by the bioretention cells is all underground, within a layer of porous media (e.g. gravel or other similar granular material). This means that the storage capacity calculation includes the cross-sectional storage area, A, the length of the cells, L, and the void ratio between the porous media, R. The area is the Width, W, times the average Depth, D, and the actual calculation is: Bioretention cell storage capacity = W x D x L x R. Figure 5 below shows an example calculation for the bioretention cell between Sunnyside Drive and Weaver Road just south of Mercury Boulevard. Summing the storage at all of the nine bioretention cells adjacent to the Blueway results in a total storage capacity of approximately 50,662 cubic feet, equivalent to approximately 0.38 million gallons.

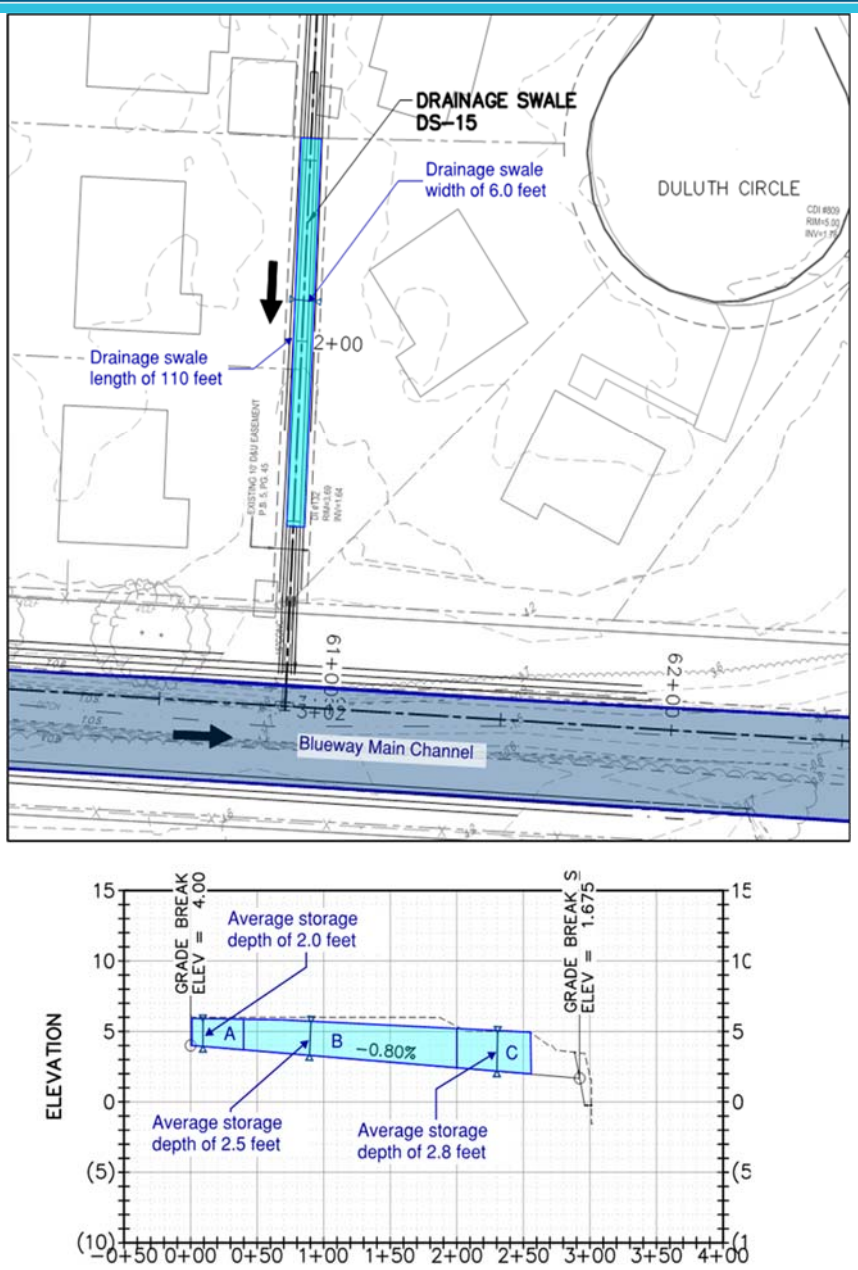

Figure 8: Big Bethel Blueway drainage swale storage area example calculation

5.3.2. North Armistead Avenue Road Raising and Green Infrastructure

The Stormwater Volume Storage Capacity created by this project is the sum of the capacities added by bioswales in the road median and on the roadside. The estimated added storage capacity in the median is calculated as the cross-sectional area of the median, shown shaded in blue in Figure 6 below, times the length of median associated with the raised roadway segment. The estimated added storage capacity created by the roadside bioswale is calculated similarly. The cross-section area for both the median and the bioswale may vary along the length of the roadway project, and the area is

calculated by the average end area method as described for the storage in the main channel of the Big Bethel Blueway, described above.

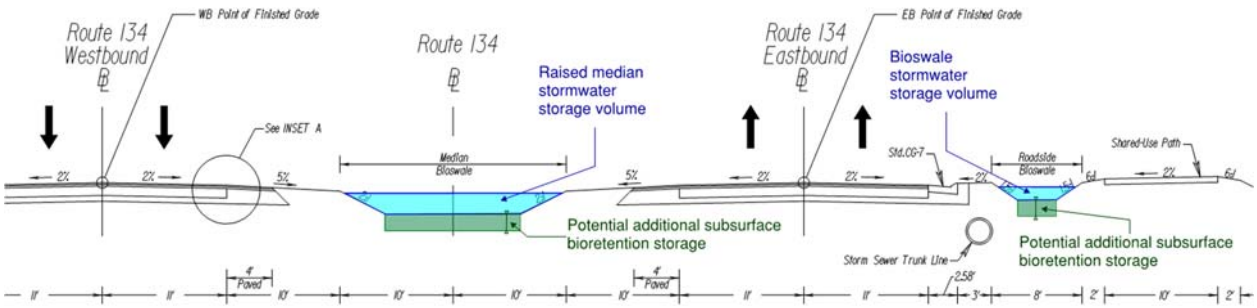

Figure 9: North Armistead Ave road raising and stormwater volume capture typical section

The project may ultimately include subsurface bioretention cells constructed below the median and/or the roadside bioswale. The purpose of the bioretention cells would be to provide additional stormwater volume capture and infiltration, below the grade for the median and bioswale allowed by current roadway design guidelines. The potential bioretention cells are illustrated in Figure 6 as green-shaded areas of approximately 1.5 feet in depth below the median and roadside bioswale. Due to the uncertainty of including these in the ultimate project design, the volume of the potential additional subsurface bioretention cells has not been included in the storage capacity calculation at this time.

5.3.3. Lake Hampton

The Stormwater Volume Storage Capacity created by this project is the sum of the additional storage capacity created in the lake itself, plus the storage capacity created in the detention basins.

The estimated added storage capacity in the lake is calculated as the footprint area of the lake at its normal daily high tide water level times the depth of water storage allowed by the raising of the dam and raising of the outflow weirs that control flow out to Newmarket Creek. The lake's current normal high tide level is approximately elevation 1.2 feet NAVD88, and the target storage elevation is 3.5 feet NAVD88. Figure 7 illustrates the additional storage in the lake created by the project's features. The effective footprint area of storage in the lake is approximately 304,000 square feet. Thus, the project would result in the lake increasing its total storage area of approximately 699,200 cubic feet, or 5.23 million gallons.

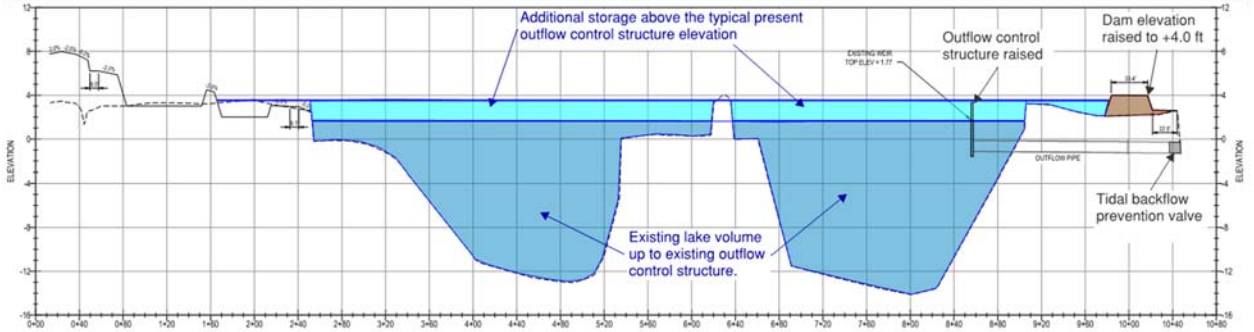

Figure 10: Additional storage capacity created by the Project in Lake Hampton above typical present level

The estimated added storage capacity in the stormwater detention basins between the lake and the eastbound lanes of N. Armistead Ave. is calculated as the sum of the storage for each of the individual basins. This storage for each basin is its bottom footprint area times the difference between each basin's overflow elevation (toward the next downstream basin) and its bed elevation. The footprint areas of storage vary by basin, and the storage depth in each basin is approximately 1.5 feet, as illustrated in Figure 8. The total storage achievable for the sum of all of the basins is approximately 47,586 cubic feet, or 0.36 million gallons.

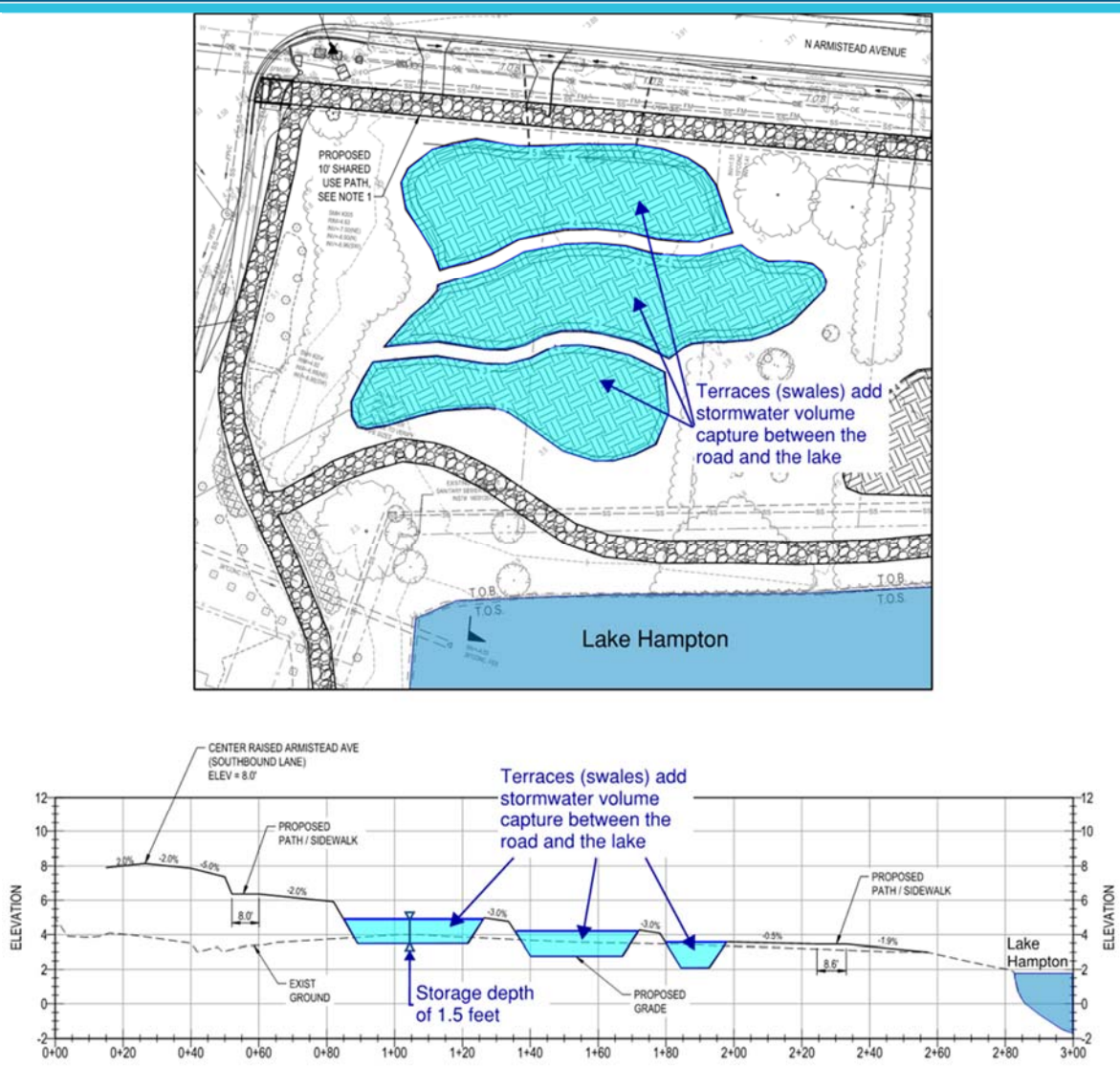

Figure 11: Storage area example for Lake Hampton stormwater detention basins

6. Project Impact Evaluation, Post-Construction

6.1 Approach to Third-Party Validated Outcome Evaluation

The realized post-construction Stormwater Volume Storage Capacity may be different than originally designed due to a number of factors, including variability in cost of materials and labor, variability in Contractor bid prices, unforeseen utility lines, and available easements. The EIB Outcome Evaluation is intended to provide the City with direct feedback about the degree to which the Resiliency Projects provide the resiliency benefits as anticipated in engineering designs before bond issuance.

6.2 Qualifications of Third-Party Validator

The City will contract with a Third-Party Validator once the Resiliency Projects are nearing completion and ready for outcome evaluation. To preserve objectivity, the Third-Party Validator has not and will not have been involved in the City of Hampton EIB or its Resiliency Projects up until that point. The City has already prepared an RFP for the Third-Party Validator. (See Appendix A.1.) The RFP will be distributed to the several engineering firms with which the City has existing contracts for general engineering services, any of which meet the qualifications to be the EIB Third-Party Validator.

6.3 Outcome Evaluation Methodology

The measurement of as-built Stormwater Volume Storage Capacity will be evaluated in two steps. First, the Contractor will measure final volume storage capacity after completing construction of each project by conducting an as-built survey of each project site. The surveys will measure the geometric dimensions of each Resiliency Project that determine its Stormwater Volume Storage Capacity. The Contractor will submit a survey report to the City that includes the measurements of each Resiliency Project's geometric dimensions.

Second, the independent Third-Party Validator will conduct a site inspection of each project to corroborate the Contractor's as-built survey, including spot check field measurements and photography. Once site inspections are complete at each Resiliency Project, the Validator will include the Contractor's verified outcome report and a comparison of as-built Volume Storage Capacity to as-designed Volume Storage Capacity in a Final Report to be shared with the City.

6.4 Timeline and Frequency of Monitoring and Evaluation

Evaluation Stage	Contractor's Role in Evaluation	Third-Party Validator's Role in Evaluation
1. During construction	(n/a)	Perform inspection and report to the City any perceived challenges to achieving projects as designed
2. Post-construction (no later than one month after completion of a Project)	Produce initial as-built survey: • Deliver as-built drawings certifying measurements to City in Civil 3D format	Verify Contractor's as-built drawings with site visit: • Verify "good engineering practice and standards" to match as-built survey within approx. 5% error • Spot check measurements to verify as-built survey, including photography and representative field survey measurements

		• Calculate volume storage capacity from as-built measurements using Civil 3D, using methodology from Moffatt & Nichol
3. Final Report (no later than 180 days after submission of Certificate of Completion)	(n/a)	Produce Final Report which includes: • Assessment of all project sites • Calculation of deviation of measured Volume Storage Capacity, if any, to Project Designs (via as-built survey)

Table 9: Roles of Contractor and Independent Validator across Project construction and evaluation

7. Environmental Impact Bond and Green Bond Reporting

The City expects to report annually on a voluntary basis on the expenditures of the proceeds of the Bonds and the construction progress of the Resiliency Projects through completion of all Resiliency Projects. This report will also identify the Resiliency Projects' alignment with the U.N. Sustainable Development Goals. Following completion of the Resiliency Projects, the City plans to provide a one-time, voluntary disclosure detailing the measured and independently verified outcome metric described above, Stormwater Volume Storage Capacity. The City may modify, amend, or discontinue the voluntary disclosure at any time.

7.1 Annual Disclosure Regarding Use of Bond Proceeds

The City intends to post on EMMA and on the Resilient Hampton website (https://hampton.gov/3459/Resilient-Hampton) annually a description of the expenditure of the proceeds of the Bonds and the progress of the Resiliency Projects. This report will also identify the Resiliency Projects' alignment with the U.N. Sustainable Development Goals.

7.2 Project Completion Disclosure

Within six (6) months of completion of each Resiliency Project and receipt of Independent Validator Final Report, the City intends to post on EMMA and on the Resilient Hampton website a report prepared by the Independent Validator to corroborate the construction and completion of the Resiliency Projects in accordance with their plans and specifications, and include in such report a verified comparison of Stormwater Volume Storage Capacity as-built to as-designed.

Appendix

Appendix A.1: City of Hampton Environmental Impact Bond – Independent Validator Scope of Services

The proposed scope of services to provide an independent validation of the outcome metric outlined for the three Environmental Impact Bond Projects:

Big Bethel Blueway is a green infrastructure project that will store and slow water through the redesign of existing waterways in order to reduce flooding upstream in residential neighborhoods, as well as downstream in Newmarket Creek. The installation of several weirs in the main drainage channel will create the ability to store stormwater where there previously was none. Expansion of the main channel and several of the smaller backyard drainage runnels that feed into it will increase their stormwater storage capacity. Installing vegetation on the banks will aid in the slowing, infiltration, and filtration of water, as well as creating visual privacy for adjacent residential parcels. The Blueway will have several distinctive segments along its length based on ecological, topographic, and urban typologies. As the Blueway approaches Newmarket Creek, ecological typologies will change to recreate ones found in coastal Virginia, where each has a different planting and stormwater strategy. Separate funding is anticipated to redesign the Blueway's existing maintenance path to become a recreational trail and to accommodate more stormwater storage.

North Armistead Avenue is a major route for traffic through the city and serves as a major connector of economic drivers like Joint Base Langley-Eustis, downtown Hampton, and the Coliseum Central district. In addition, North Armistead Avenue connects to key evacuation routes. Because the project area is low-lying, the roadway already sees frequent flood-related transportation disruptions, hampering reliable transportation to the military base and key economic centers. To mitigate this flood risk, a portion of North Armistead Avenue between Findlay Street and the bridge just west of Lasalle Avenue will be raised by several feet. In connection with the road raising, green infrastructure will be installed to help slow, store, and redirect stormwater within the space adjacent to the elevated roadway. A bioswale along the southbound lanes in the public right of way and bioswales in the medians will be constructed above groundwater levels to provide water storage. This system will be connected to the drainage improvements at Lake Hampton. Separate funding is anticipated to establish a shared use path along the road.

Lake Hampton will be transformed from a retention pond into a stormwater park that boosts the site's existing stormwater storage capacity and yields multiple benefits for the community. Stormwater from the adjacent neighborhood to the northwest is currently conveyed to the lake in a re-routed drainage line; when the lake fills, it overtops its weir to drain into Newmarket Creek. The project will raise the height of the dam and weir and install a series of detention basins with wetland plantings in a "treatment train" to slow, store, and clean runoff from North Armistead Avenue before it

enters the lake. Separate funding is anticipated to extend the existing Water Walk trail as a multi-use trail around the lake, bringing people alongside Newmarket Creek.

Performance metrics will include the volume of water storage capacity within the system. This storage will be utilized to detain, store and infiltrate runoff during storm events resulting in a reduction of nuisance flooding observed within the project areas.

The following three tasks have been outlined to validate the volume of water storage attained through the construction of these projects and identify any discrepancies.

Task 1 – Construction Phase Services

The VALIDATOR shall perform an inspection approximately at the midpoint of construction of each project and report to the city any perceived challenges to achieving the stormwater volume storage capacity goals for the project as designed.

Deliverables: The VALIDATOR will provide an inspection report for each project area, identifying their observations of the project progress, estimated percent complete. Identifying any perceived challenges to meeting the stated volume capture goals of each project.

Schedule: The City will conduct site visits on a regular basis to monitor progress. The Validator will coordinate with the City and Contractor and conduct an inspection after construction has reached at least a fifty (50) percent completion.

Task 2 – Post Construction

The VALIDATOR will verify the Contractor's as-built drawings provided by the City in Civil 3D format.

- The verification will consist of the VALIDATOR making site visits to each of the project sites and utilizing" good engineering practice and standards" to confirm the as-built survey matches the design drawings within approximately 5% error.
- Spot check measurements to verify the as-built survey, including photography, representative field survey measurements.
- Calculate volume storage capacity from the as-built measurements using Civil 3D, using the methodology utilized by Moffatt & Nichol during the development of the design drawings.

Deliverables: NONE

Schedule: The Validator will begin Task 2 as soon as reasonably possible but no later than one (1) month after completion of the project construction.

Task 3 – Final Report

In collaboration with City staff, the ENGINEER will incorporate proposed SWMFs into the existing conditions PCSWMM model to create the future conditions model. Using the model, an iterative process will be implemented to size the SWMFs. Prior to beginning the sizing process, the ENGINEER will collaborate with the City to determine the level of service (design criteria) for the proposed SWMFs. Information such as sizes, locations, and elevations of proposed diversion piping, along with stage/area data of proposed SWMFs, and outlet structure configurations, will be sized at a preliminary level. A summary of flows and peak WSEs will be summarized.

Based on comments received during the future conditions review meeting (Task 1), the future conditions model will be finalized.

Deliverables: The Validator will submit three (3) reports, one for each project. Each report shall include the following:

- Assessment of the project site, identifying any significant deviations from the original approved design, status of vegetation at the time the report was written. Any observations regarding water levels and system functionality.
- Calculation deviation of the measured Volume Storage Capacity, if any, to Project Designs (via as-built Survey)
- Conclusion as to whether the project Outcomes meet the specific volume storage capacity for the specific project as outlined in the EIB Project Design

Schedule: The Validator will complete the final task within 180 days after the submission of the Certificate of Completion from the City to the Validator.

Appendix A.2: Methodology and data for socioeconomic metrics in Newmarket Creek watershed

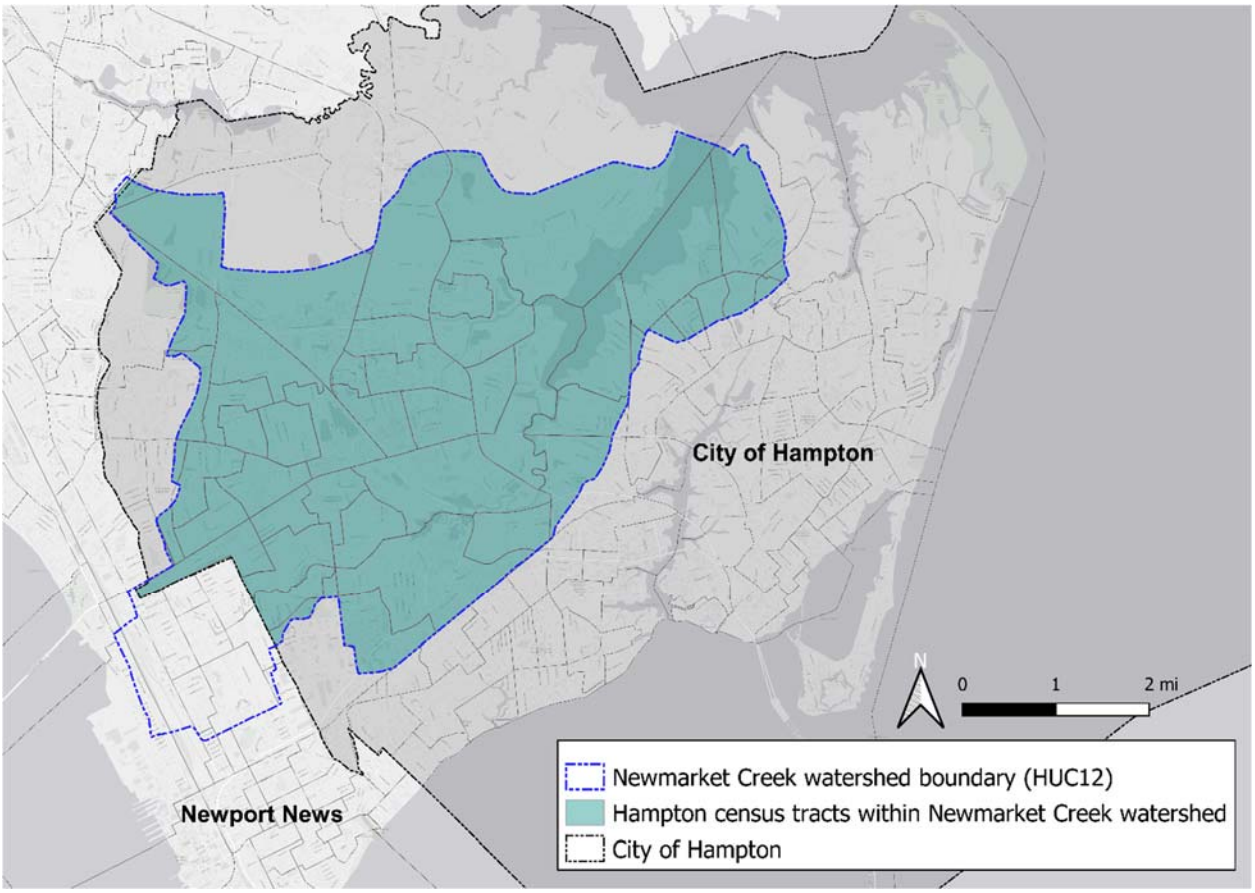

Figure 12: Census tracts within both the City of Hampton and Newmarket Creek watershed

Socioeconomic metrics for census tracts within the Newmarket Creek watershed were calculated based on data from the U.S. Census Bureau 2014-2018 American Community Survey (ACS). Census tracts in Hampton are identified as State FIPS code 51 and County FIPS code 650. Census tracts within the Newmarket Creek watershed were identified using the Virginia National Watershed Boundary Dataset (VaNWBD), and an overlay using GIS software. Some census tracts within the watershed but outside the City boundaries were excluded from the dataset. Data tables from these census tracts for each of the reported socioeconomic metrics (Population, Race, and Median Household Income) are given below. Minority populations are defined according to the Census Bureau, i.e. as the population self-identifying their race as other than White alone.[18] The median household income of each census tract was compared against the area median income of a household in the City as a whole, which was $54,550 (2018 USD).

[18] https://www.census.gov/topics/population/race/about.html

Census tract			Race							Income	
State FIPS	County FIPS	Census Tract Code	Total Population	White alone		Black or African American alone		Minority Population		Median HHI	
			#	#	%	#	%	#	% of total	$	% of AMI*
51	650	10306	680	379	55.7%	265	39.0%	301	44.3%	$72,670	133.2%
51	650	10306	1490	595	39.9%	747	50.1%	895	60.1%	$52,241	95.8%
51	650	10311	2028	836	41.2%	1058	52.2%	1192	58.8%	$38,026	69.7%
51	650	10312	741	489	66.0%	152	20.5%	252	34.0%	$63,676	116.7%
51	650	10312	909	752	82.7%	42	4.6%	157	17.3%	$64,879	118.9%
51	650	10309	1283	768	59.9%	440	34.3%	515	40.1%	$64,079	117.5%
51	650	10310	1958	926	47.3%	965	49.3%	1032	52.7%	$58,107	106.5%
51	650	10310	975	599	61.4%	253	25.9%	376	38.6%	$56,667	103.9%
51	650	10310	1081	688	63.6%	329	30.4%	393	36.4%	$74,549	136.7%
51	650	10400	2936	207	7.1%	2405	81.9%	2729	92.9%	$29,515	54.1%
51	650	10400	1045	124	11.9%	863	82.6%	921	88.1%	$51,000	93.5%
51	650	10501	1238	148	12.0%	1040	84.0%	1090	88.0%	$39,667	72.7%
51	650	10502	1479	209	14.1%	1183	80.0%	1270	85.9%	$50,875	93.3%
51	650	10601	1148	199	17.3%	930	81.0%	949	82.7%	$29,886	54.8%
51	650	10701	2210	638	28.9%	1401	63.4%	1572	71.1%	$29,632	54.3%
51	650	10702	2257	1771	78.5%	342	15.2%	486	21.5%	$56,587	103.7%
51	650	10703	1037	705	68.0%	205	19.8%	332	32.0%	$65,789	120.6%
51	650	10703	1459	788	54.0%	582	39.9%	671	46.0%	$55,365	101.5%
51	650	10703	585	455	77.8%	78	13.3%	130	22.2%	$93,194	170.8%
51	650	10501	3533	816	23.1%	2437	69.0%	2717	76.9%	$64,792	118.8%
51	650	10306	2503	1287	51.4%	464	18.5%	1216	48.6%	$53,638	98.3%
51	650	10400	1508	81	5.4%	1351	89.6%	1427	94.6%	$57,500	105.4%
51	650	10313	1961	673	34.3%	1072	54.7%	1288	65.7%	$35,027	64.2%
51	650	10103	946	612	64.7%	294	31.1%	334	35.3%	$60,268	110.5%
51	650	10400	487	286	58.7%	201	41.3%	201	41.3%	$24,000	44.0%
51	650	10103	2229	1867	83.8%	298	13.4%	362	16.2%	$74,188	136.0%
51	650	10103	1159	477	41.2%	534	46.1%	682	58.8%	$115,654	212.0%
51	650	10103	745	634	85.1%	73	9.8%	111	14.9%	$86,818	159.2%
51	650	10311	2835	736	26.0%	2001	70.6%	2099	74.0%	$90,208	165.4%
51	650	10313	2201	1128	51.2%	839	38.1%	1073	48.8%	$48,529	89.0%
51	650	10314	642	90	14.0%	541	84.3%	552	86.0%	$94,327	172.9%
51	650	10304	1802	622	34.5%	1077	59.8%	1180	65.5%	$102,031	187.0%
51	650	10312	1581	905	57.2%	485	30.7%	676	42.8%	$65,833	120.7%
51	650	10304	2783	1265	45.5%	1126	40.5%	1518	54.5%	$79,513	145.8%
51	650	10314	1677	655	39.1%	692	41.3%	1022	60.9%	$42,232	77.4%

51	650	10304	3474	918	26.4%	1965	56.6%	2556	73.6%	$57,430	105.3%
51	650	10200	2085	1372	65.8%	329	15.8%	713	34.2%	$84,583	155.1%
51	650	10307	2892	713	24.7%	1833	63.4%	2179	75.3%	$95,528	175.1%
51	650	10307	2038	823	40.4%	820	40.2%	1215	59.6%	$88,534	162.3%
51	650	10313	1944	266	13.7%	1631	83.9%	1678	86.3%	$41,925	76.9%
51	650	10306	1850	579	31.3%	1114	60.2%	1271	68.7%	$42,135	77.2%
51	650	10501	1211	153	12.6%	1058	87.4%	1058	87.4%	$33,770	61.9%
51	650	10701	1714	1073	62.6%	546	31.9%	641	37.4%	$57,571	105.5%
51	650	10309	985	356	36.1%	563	57.2%	629	63.9%	$53,235	97.6%
51	650	10502	997	260	26.1%	728	73.0%	737	73.9%	$41,500	76.1%
51	650	10400	498	103	20.7%	356	71.5%	395	79.3%	(n/a)	(n/a)
51	650	10602	1194	84	7.0%	1077	90.2%	1110	93.0%	$30,250	55.5%
51	650	10313	1456	473	32.5%	869	59.7%	983	67.5%	$70,179	128.7%

Table 10: Population demographics by race and median household income, census tracts within City of Hampton and Newmarket Creek watershed (U.S. Census Bureau, American Community Survey 2018)

*Area Median Income (AMI) of City of Hampton was $54,550, 2018 USD

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APPENDIX F

SUMMARY OF REFUNDED BONDS

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CITY OF HAMPTON, VIRGINIA

SUMMARY OF REFUNDED BONDS

Base CUSIP Number: 409558

Bonds	Maturity Date	CUSIP Suffix	Interest Rate	Par Amount	Call Date	Call Price
General Obligation	04/01/2024	2V4	4.000	$1,550,000	04/01/2023	100%
Public Improvement Bonds,	04/01/2025	2W2	4.000	1,550,000	04/01/2023	100%
Series 2013	04/01/2026	2X0	4.000	1,550,000	04/01/2023	100%
	04/01/2027	2Y8	4.000	1,550,000	04/01/2023	100%
	04/01/2029	2Z5	3.000	3,100,000	04/01/2023	100%
	04/01/2030	3A9	3.000	1,550,000	04/01/2023	100%
	04/01/2031	3B7	3.000	1,550,000	04/01/2023	100%
	04/01/2032	3C5	3.125	1,550,000	04/01/2023	100%
	04/01/2033	3D3	3.125	1,550,000	04/01/2023	100%
				$15,500,000		

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